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BANKING LITIGATION PRACTICE

IN MALAYSIA

A Cinematic Compendium for the Modern Practitioner

Doctrine · Procedure · Authorities · Templates · Strategy

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Faculty of Law · Universiti Kebangsaan Malaysia

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BANKING LITIGATION PRACTICE IN MALAYSIA

A Visual & Practitioner's Compendium

“The bank stands in the shoes of the customer until repayment is demanded.”

— Lord Cottenham LC, *Foley v. Hill* (1848) 2 HLC 28

“Banking is the central nervous system of the modern economy; the law of banking is the discipline that keeps it in working order.”

— Tun Mohamed Suffian LP, address to the Malaysian Bar (1973)

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**Mohd Saufi Samsudin
Mohd Irwan Mohd Mubarak
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Mahmud Hamdi Mahmud Saedon**

Faculty of Law · Universiti Kebangsaan Malaysia

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DEDICATION

*To the practitioners of the Malaysian Bar,
whose patient labour gives shape to the law;*

*to the bench, whose discipline of judgment teaches us our craft;
to the academic community, whose patient scholarship lights our path;
and to our students, in whose questions we find our answers.*

*“The law is the witness and external deposit of our moral life. Its history is the
history of the moral development of the race.”*

— **Oliver Wendell Holmes Jr., The Path of the Law (1897)**

Preface

This compendium is the product of a deliberate experiment: to render the substantive law and procedure of banking litigation in Malaysia as much through diagrams as through prose. Roughly seven of every ten pages in this volume are visual — flowcharts, comparison tables, decision trees, mind maps and infographics. The remaining pages, in more conventional academic style, set out the principles, the authorities and the drafting craft.

The premise is simple. Banking litigation, more than most fields, is process-driven. The practitioner's day is divided between identifying the right cause of action, assembling the documentary record, navigating procedural gateways and persuading the court of compliance with formal requirements. A diagrammatic treatment renders these patterns visible at a glance — and learnable in a manner that prose, however accomplished, cannot match.

The text is not a substitute for the primary materials. Practitioners are reminded to consult the Financial Services Act 2013, the Islamic Financial Services Act 2013, the National Land Code 1965, the Insolvency Act 1967, the Companies Act 2016, the Bills of Exchange Act 1949, the Limitation Act 1953, the Contracts Act 1950 and the Rules of Court 2012, together with the leading authorities cited herein.

The work also draws on the operational experience of contemporary practice-management platforms, developed at the Faculty of Law, Universiti Kebangsaan Malaysia. Where the platform automates a particular task — drafting a letter of demand, computing a limitation period, generating a cross-examination plan — the relevant chapters indicate the tool concerned.

It remains for the authors to thank the colleagues, practitioners and students whose comments shaped this volume. Errors that survive are ours alone.

*Mohd Saufi Samsudin · Mohd Irwan Mohd Mubarak
Shahrul Mizan Ismail · Mahmud Hamdi Mahmud Saedon
Bangi, Selangor · 2026*

How to Use This Book

Each Part opens with a divider listing the chapters in that Part. The opening text is followed by visuals — diagrams, tables and infographics — interspersed with shorter prose sections. A practitioner's checklist appears in every Part. Authorities are tabled near the start of each Part and a self-test concludes it.

Cross-references in the form 'Diagram 3.1' refer to the diagrams in Part 3, ordered as they appear. The visual key on the next page sets out the symbols, colour coding and conventions used throughout.

●	Critical step — must not be omitted
▲	Statutory requirement
◆	Strategic option
✓ / ✗	Available defence / unavailable defence
§	Statutory provision cited
→	Procedural progression

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PART 1

FOUNDATIONS

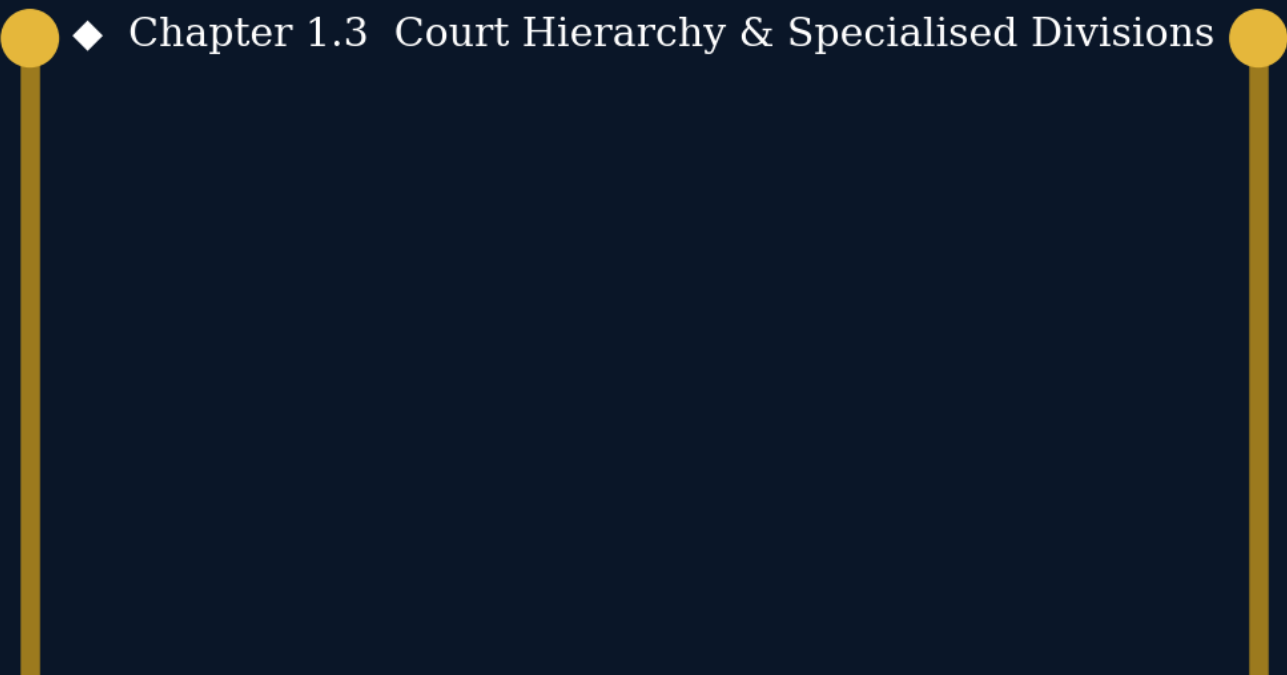
The legal & institutional architecture of banking litigation in Malaysia

IN THIS PART

◆ Chapter 1.1 The Banking Sector and Its Disputes

◆ Chapter 1.2 Sources of Law

◆ Chapter 1.3 Court Hierarchy & Specialised Divisions

Two vertical gold lines with circular heads at the top, one on the left and one on the right, framing the text.

Chapter 1.1 The Banking Sector and Its Disputes

The legal & institutional architecture of banking litigation in Malaysia

Banking litigation in Malaysia occupies a special intersection between common-law principles inherited from England, the statutory architecture of the Financial Services Act 2013 and Islamic Financial Services Act 2013, and the procedural discipline of the Rules of Court 2012. To practise in this field is to navigate three legal systems at once — contract, property and procedure — while maintaining a constant eye on the commercial reality of the lender's balance sheet.

Bank Negara Malaysia, as the central regulator under the Central Bank of Malaysia Act 2009, oversees licensing, prudential supervision and intervention. Yet the courts — from the Magistrates' Court right up to the Federal Court — remain the ultimate forum for resolving disputes between a bank and its customers. The High Court's commercial, muamalat and bankruptcy divisions form the engine room of banking dispute resolution.



Voices from the Bench — Part 1

“The function of the courts in commercial matters is to hold the parties to their bargain, not to remake it; commercial certainty is the surest foundation of a banking system that the public can trust.”

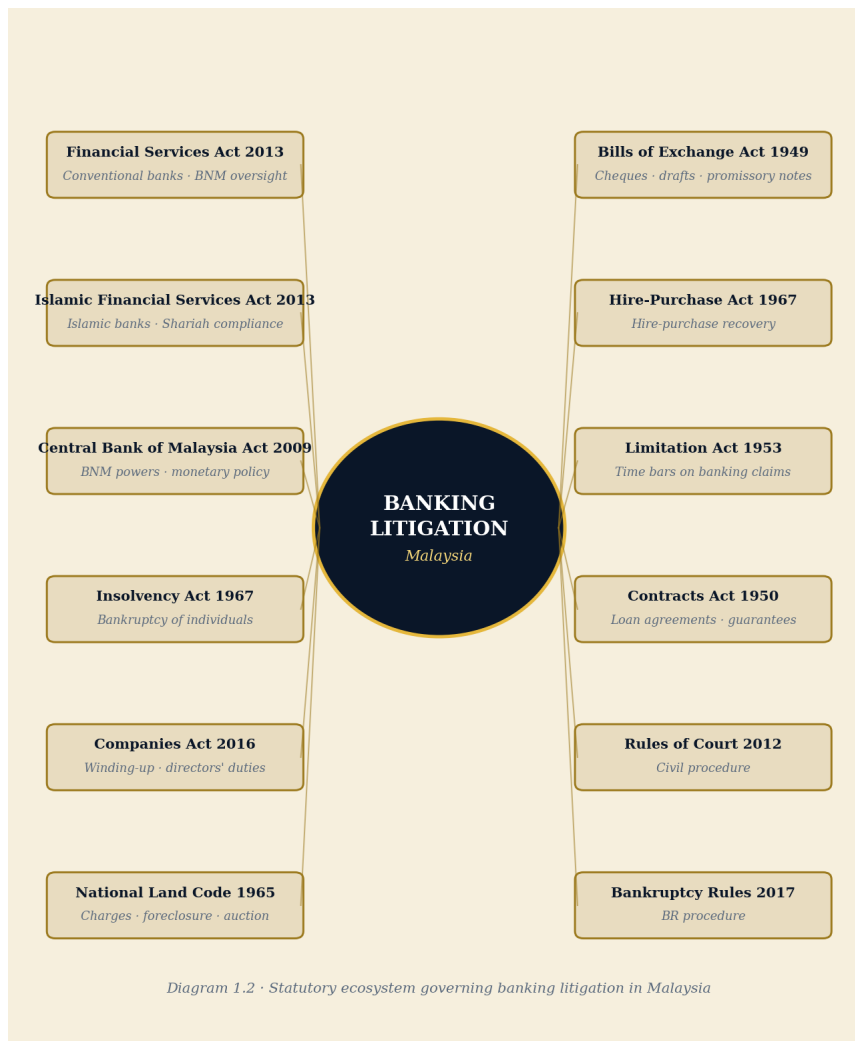
— **Tun Zaki Tun Azmi CJ**, address at the opening of the Legal Year 2010

“A bank seeking summary judgment must come to court with its house in order — the facility, the demand, the default and the calculation must speak for themselves on the face of the affidavit.”

— **Gopal Sri Ram FCJ**, *Cempaka Finance v. Ho Lai Ying* [2006] 2 MLJ 685

The Malaysian appellate courts have developed a settled philosophy in commercial work: respect for the bargain, scepticism of after-the-event reformulation, and insistence on procedural rigour. Practitioners returning to the law reports after a few years' absence will find the same themes — the importance of pleadings, the discipline of affidavit evidence, the centrality of the documentary record — repeated with growing emphasis. The cases reward those who work to the discipline and punish those who do not.

Academic commentators, from Visu Sinnadurai's foundational *Law of Contract* to Cheong May Fong's later work on commercial remedies, have traced the same arc: a Malaysian commercial jurisprudence that is increasingly self-confident, that draws on but is not bound by English precedent, and that takes seriously the regulatory architecture in which the banks operate. The practitioner who reads only the reported cases misses the doctrinal context in which those cases must be understood.



The statutory architecture rests on five pillars: the Financial Services Act 2013 (conventional banking), the Islamic Financial Services Act 2013 (Islamic banking), the Central Bank of Malaysia Act 2009 (regulator), the National Land Code 1965 (charge enforcement), and the Insolvency Act 1967 / Companies Act 2016 (default consequences).

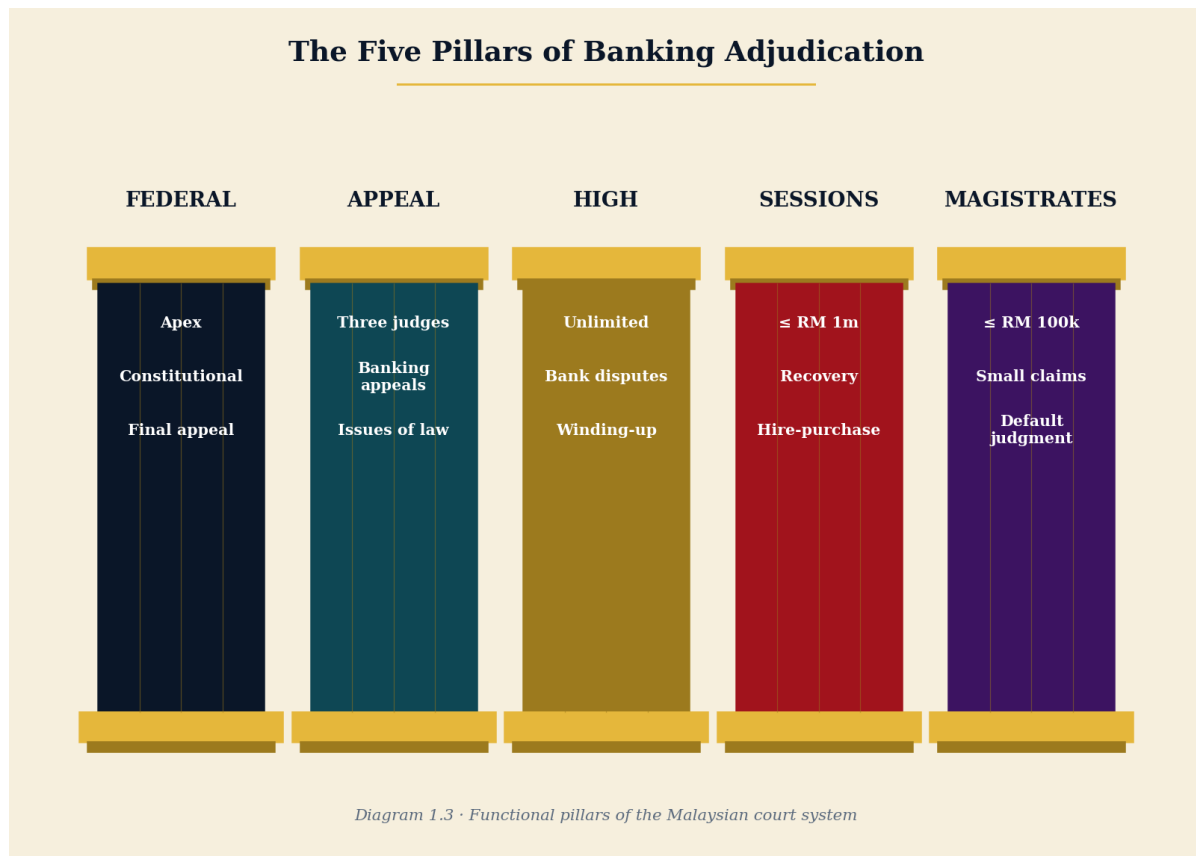
Each pillar interacts with the others. A defaulted facility under the FSA may trigger NLC foreclosure if secured on land, bankruptcy proceedings if the debtor is an individual, or winding-up under the Companies Act if the debtor is a company. Reading the statutes in isolation is a recipe for missed defences and overlooked remedies.

The statutory map is the practitioner's compass. Each instrument is paired with a small number of operative provisions that recur across the practice; the discipline is to know those provisions cold rather than to know the entire instrument shallowly. A printed copy of the map taped inside the file cover saves hours of orientation on every new file.

The map evolves. The Financial Services Act 2013 and the Islamic Financial Services Act 2013 redrew large portions of the territory; the Companies Act 2016 redrew the corporate-recovery territory; and BNM's regular policy documents continue to redraw operational territory. A practitioner who reviews the map annually will not be caught out by a change.

Key Authorities at a Glance

Citation	Proposition
Foley v. Hill (1848) 2 HLC 28	Foundational debtor-creditor characterisation
Joachimson v. Swiss Bank Corporation [1921] 3 KB 110	Bank's duty to repay on demand at correct branch
Re Mok Yong Kong & Anor [1984] 1 MLJ 142	Limitation on bankruptcy after judgment
Citibank Bhd v. Mohamad Khalid Farzalur Rahaman [2000] 4 MLJ 481	Enforceability of solicitor-client cost clauses



Three pillars carry the Malaysian banking judicature: federal authority, commercial expertise and procedural integrity. The Federal Court secures uniformity of law; the Commercial Division in the High Court of Kuala Lumpur secures depth of expertise; and the Rules of Court 2012 secure procedural integrity.

All three pillars must hold for the system to function. Where any one weakens — through delay, inconsistency or procedural laxity — the predictability of banking enforcement is impaired and credit costs rise.

The pillars are not theoretical. They are visible in the daily life of the practice: the Federal Court secures uniformity through Anwar Patrick Adrian and the modern line on summary judgment; the Commercial Division secures expertise through specialised judges who have heard hundreds of banking matters; and the Rules of Court 2012 secure procedural integrity through deadlines that the courts now enforce strictly.

Erosion of any one pillar will be felt in pricing. Banks watching the pillars closely have, over the last decade, seen no material erosion — but they have seen pressure on listing time at the Commercial Division, and have responded with stronger pre-action work to compress disputes before they reach trial.

Chapter 1.2 Sources of Law

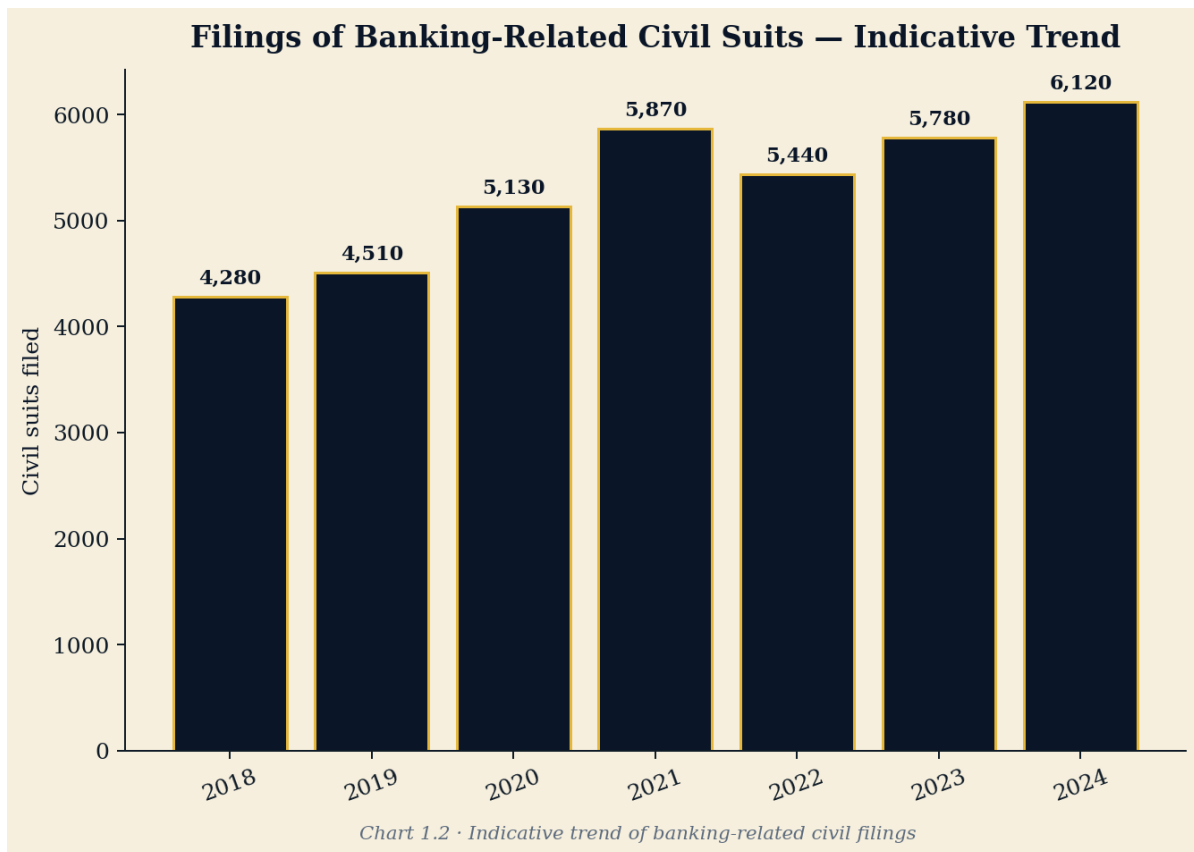
This Volume sets out, in a deliberately visual format, the architecture, procedure and strategy of banking litigation in Malaysia. Each Part begins with a divider mapping the territory; each chapter relies primarily on diagrams, flowcharts and comparison tables to convey the practical knowledge a litigator needs to operate.

“The bank stands in the shoes of the customer until repayment is demanded.” — Foley v. Hill

Doctrinal Footnote — The Architecture

Visu Sinnadurai's authoritative Law of Contract reminds the practitioner that the Malaysian contractual framework is statutory at its core: the Contracts Act 1950 codifies what English law leaves to the common law. This matters in banking work because the codification subtly reorders the analysis — consideration, mistake, frustration and discharge are governed by sections 26, 21, 56 and 57 respectively, and the case law has built around those sections rather than around their English antecedents.

Cheong May Fong's writing on commercial remedies is the modern complement. Her analysis of damages, restitution and equitable relief in the Malaysian context shows how the courts have adapted received doctrine to local commercial conditions. For the banking litigator, her treatment of the recovery of money paid under a mistake and of restitutionary claims against banks is essential — the underlying analysis recurs constantly in cheque, transfer and standing-order litigation.



Filing volumes in the Commercial Division have grown approximately 4% annually over the last decade. The growth is driven principally by SME defaults and consumer credit recoveries, with corporate facility defaults remaining proportionally stable.

Practitioners should expect listing delays of three to six months for trial dates, and should plan their case-management timeline accordingly. Early identification of triable issues — and conversely, of cases ripe for summary disposal — is a significant productivity lever.

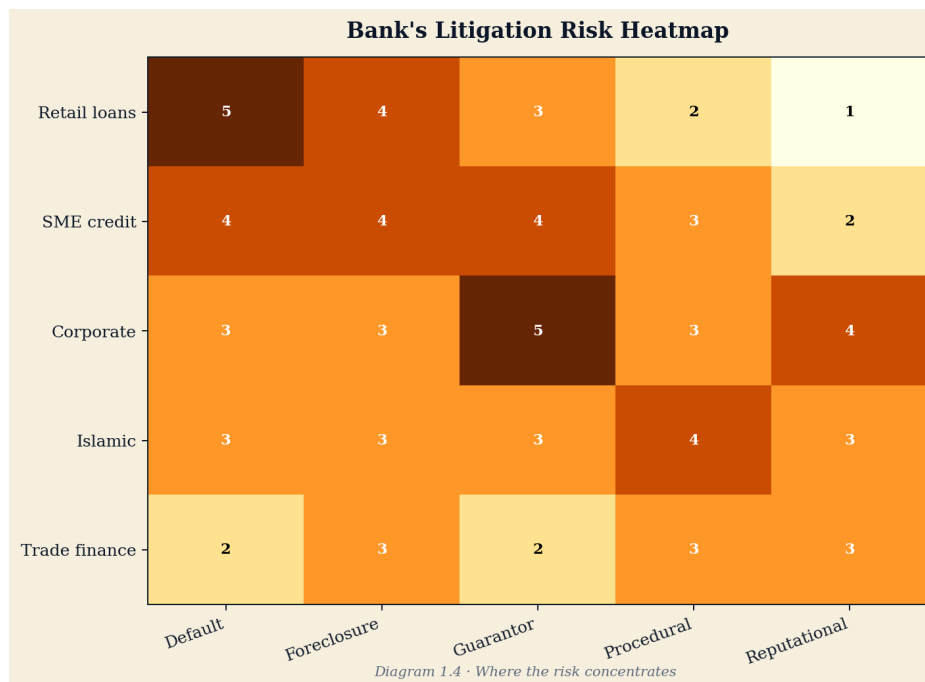
The 4% annual growth conceals divergent sub-trends. SME defaults have grown faster than corporate defaults, and consumer-credit recoveries have grown fastest of all. The practitioner planning capacity for the next five years should staff and train accordingly.

Listing delays at the Commercial Division — currently three to six months for trial dates — favour parties prepared for early summary disposition. The bank that arrives at first case management with a complete affidavit in support and a clear summary-judgment strategy compresses its file timeline by months.

Limitation Periods Affecting Banking Claims

Cause of Action	Period	Statute
Simple contract (loan)	6 years	s.6(1)(a) Limitation Act 1953
Specialty / deed	12 years	s.6(3) LA 1953
Recovery of land (charge)	12 years	s.9 LA 1953
Action on judgment	12 years	s.6(3) LA 1953
Recovery of charge money	12 years	s.21 LA 1953
Tort (conversion of cheque)	6 years	s.6(1)(a) LA 1953
Equitable claims (tracing)	Analogy applies	Common law
Bankruptcy (after judgment)	6 yrs from JD	Re Mok Yong Kong

Table 1.1 · Quick limitation reference for the practitioner



These two diagrams should be read together. The limitation table identifies *when* a claim must be brought; the heatmap identifies *where* the litigation risk concentrates. Practitioners should annotate both as files come in — the patterns will repeat across the practice.

Practitioner's Checklist — Part 1

- ☐ Identify all relevant statutes (FSA, IFSA, NLC, IA, CA 2016)
- ☐ Map the dispute to the correct court level
- ☐ Confirm limitation period before filing
- ☐ Verify locus standi of the financial institution
- ☐ Check for parallel regulatory proceedings
- ☐ Assess limitation extension by acknowledgement
- ☐ Confirm proper exercise of powers under FSA

Diagram · Pre-action and trial-readiness verification

The diagram opposite — **Checklist P1** — synthesises one of the recurring structural patterns in Malaysian banking-litigation practice. It is intended to be read in conjunction with the surrounding text and used as a working reference at the desk.

Practitioners should treat the diagram as a checklist rather than as a settled doctrinal statement: every case carries its own facts, and every doctrine evolves through the regular work of the appellate courts. The strength of the visual is its capacity to surface the underlying architecture quickly; the strength of the prose is its capacity to expose nuance.

Chapter 1.3 Court Hierarchy & Specialised Divisions

The Malaysian banking system is dual: licensed conventional banks under Part III of the Financial Services Act 2013 sit alongside licensed Islamic banks under the Islamic Financial Services Act 2013. While the underlying commercial purposes overlap, the documentation, the doctrines and the dispute-resolution pathways diverge in important respects. Practitioners must understand both worlds because most large Malaysian banking groups operate on both sides.

Limitation, the doctrine of *res judicata*, and the rules on *locus standi* all play a decisive role in banking litigation. A misjudged limitation period or an improperly pleaded cause of action can extinguish the claim before it even reaches the substantive issues. The maps in this Part are intended to be revisited, not merely read once.

Practical Drafting Notes

Recite the regulatory regime (FSA / IFSA) governing the facility.

Plead the precise court's jurisdiction (RM threshold).

Anchor every prayer to a statutory provision.

Always include a costs prayer on the indemnity basis if so provided.

Choosing the Forum and the Cause

The election of forum is the first strategic decision in any banking matter. The Sessions Court accepts claims up to RM1 million; the High Court takes everything above. Where the dispute is purely commercial and the sum exceeds RM1 million, the Commercial Division of the High Court of Kuala Lumpur is the natural choice — its judges sit in commercial work daily and its lists move faster. Where the relief sought includes a declaration affecting land, the Construction or Property Court division may be more apt. The cause of action chosen — debt, breach of contract, conversion, declaratory relief — must align with the relief sought; pleading 'damages to be assessed' where a liquidated sum is provable invites striking out under Order 18 rule 19.

Plead the regulatory regime in the opening paragraphs of the Statement of Claim. A bank seeking summary judgment for a conventional facility must aver that the facility is governed by the Financial Services Act 2013; for an Islamic facility, by the Islamic Financial Services Act 2013. This anchoring matters: it directs the judge's attention to the controlling statute and to the body of authority the bank intends to rely on. Practitioners who omit the regulatory hook find themselves arguing limitation, secrecy and acceleration without a clear statutory frame, and the court is entitled to ask why.

Limitation discipline is non-negotiable. Compute the six-year period under section 6 of the Limitation Act 1953 from the date of accrual of the cause of action — for an on-demand facility, the date of demand; for an instalment facility, the date of each missed instalment. Where part-payment or written acknowledgement has occurred, plead it expressly to invoke section 26. A claim that might be time-barred should be filed protectively while the limitation argument is investigated in detail.

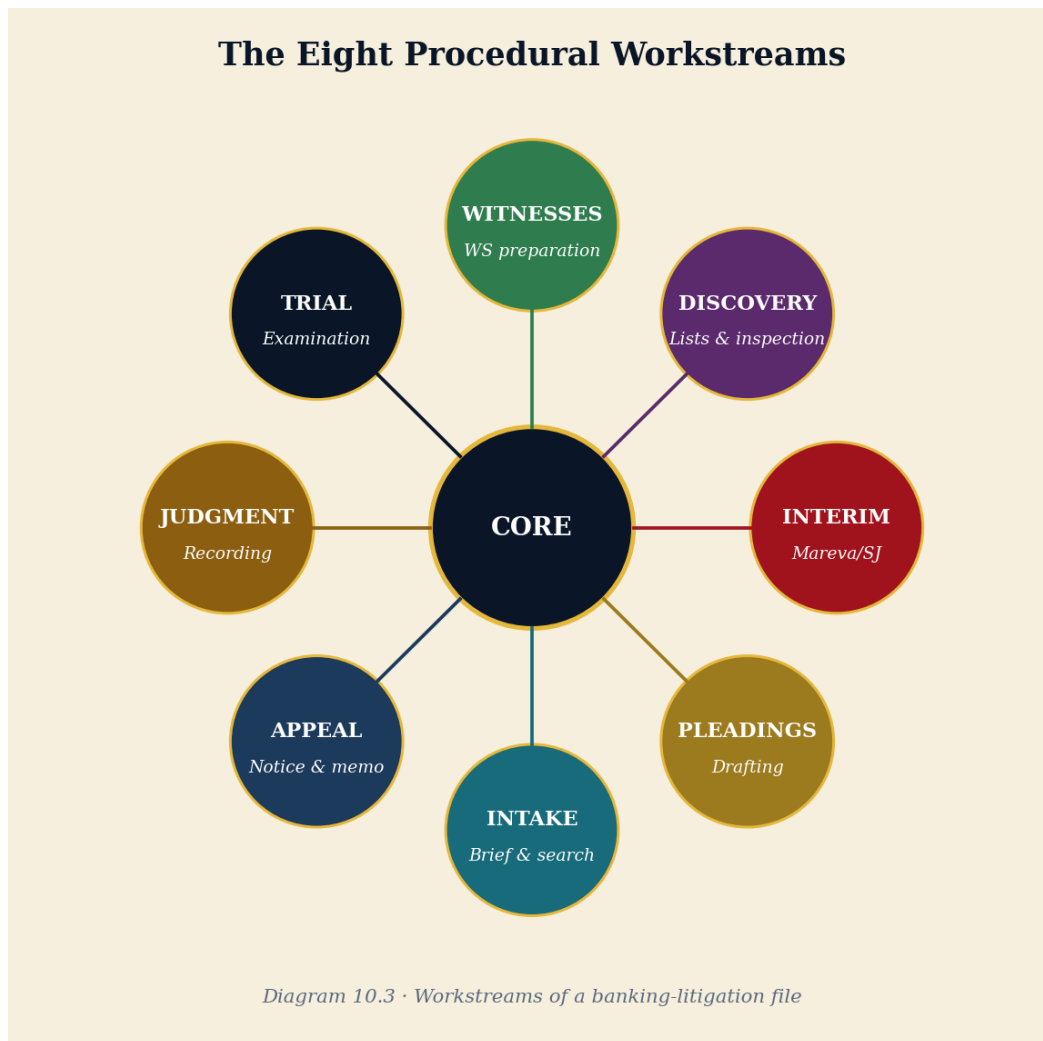
Finally, audit the parties. Verify the bank's identity by reference to its current SSM particulars (mergers and re-namings catch out the careless), confirm that the borrower remains the same legal entity, and check whether any guarantors have died, become bankrupt or been struck off. A claim filed against a deceased guarantor without leave to substitute the personal representative is a nullity, and the bank pays the costs of putting it right.

“The court will not allow a litigant to plead one cause of action and recover on another; the pleading must give fair notice and the relief must follow the pleading.”

— Lord Denning MR, *Esso Petroleum v. Southport Corporation* [1956] AC 218

Practice Tips — Foundations

- ◆ Maintain a one-page *Statute Map* on the desk: FSA 2013, IFSA 2013, Limitation Act 1953, Contracts Act 1950, Companies Act 2016, Insolvency Act 1967, NLC 1965 and Rules of Court 2012. Almost every banking matter touches three or more of these instruments.
- ◆ Open every file with a *Forum Memo* (one paragraph) recording quantum, court, division and limitation deadline. Update the memo whenever the quantum changes; this single discipline avoids more wasted filings than any other.
- ◆ Track the regulator. Where BNM, the SC or MACC has an open file on the same facts, calendar the regulator's review dates alongside the litigation timeline; cross-reference findings at every case management.



Procedural mastery distinguishes the journeyman from the expert. The radial diagram captures the eight pillars of the practitioner's craft: pleadings, discovery, interim relief, witness preparation, documentary evidence, submissions, costs and ethics.

Each pillar deserves its own chapter; together, they form the workflow that transforms a case file into a judgment. The MyCCBLitAI platform is built to support this workflow at every stage.

The eight pillars do not stand independently: a weakness in pleadings shows up as a weakness in submissions; a weakness in discovery shows up as a weakness in trial. Practitioners who treat the pillars as a single integrated workflow produce work that is consistently stronger than those who address each pillar in isolation.

The MyCCBLitAI platform was conceived around exactly this radial. Each module of the platform — from the LOD generator through to the costs schedule — is anchored to one of the pillars, and the platform tracks the practitioner's coverage of all eight across the life of every file.



The mind-map captures the practitioner's mental model of loan recovery: at the centre, the defaulting facility; radiating outward, the documentary trail, the legal pathways, the security options and the strategic considerations.

Drawing the mind-map at the start of every file forces the practitioner to confront the full landscape of the dispute, rather than fixating on one familiar pathway.

The mind-map is a discipline rather than a doctrine. Drawing it forces the practitioner to articulate, in twenty minutes, the documentary trail, the legal pathways, the security options and the strategic considerations on a fresh file. The exercise routinely surfaces a pathway the partner had not yet considered.

Junior practitioners are encouraged to draft the mind-map before the first internal case conference; the partner then critiques the map rather than the file, which compresses the learning curve materially. Over the life of a recovery practice, a habit of mind-mapping every new file pays dividends measured in weeks of saved time.

Strategic Considerations

The litigator's first task is to map the dispute against the architecture set out in this Part. A misclassification — treating an Islamic facility as conventional, or filing a winding-up petition where bankruptcy is the appropriate remedy — can cost months of progress. The diagrams in this Part are intended to be working tools.

Common Pitfalls

- Filing in the wrong court level for the quantum.
- Missing limitation by failing to compute from default.
- Overlooking parallel regulatory action by BNM.

Lessons from the Reports — Part 1

The reported decisions of the Federal Court and the Court of Appeal disclose a recurring theme: filings that are technically defective rarely survive appellate scrutiny. A claim filed in the Sessions Court for an amount slightly above its monetary jurisdiction is wasted; the practitioner must compute interest to the date of filing precisely and adjust upward if the threshold is exceeded. Limitation, computed from the date of default rather than the date of demand, has dispatched many a recovery action. The six-year period under the Limitation Act 1953 begins to run on the date the cause of action accrues, which for an on-demand facility is the date of demand, but for an instalment facility is the date of each missed instalment.

Parallel proceedings before BNM, the Securities Commission or the Anti-Corruption Commission are a feature of contemporary banking work. The litigator must coordinate with regulatory counsel, monitor the parallel timeline, and consider whether the regulator's findings might be admissible at the civil trial. Failure to do so produces conflicting positions on the record — fatal in cross-examination.

Forum shopping has been disciplined by the Federal Court. Filings in inconvenient or unrelated registries are now liable to transfer applications under Order 57 and to costs orders. The litigator who files in Kota Bharu a dispute centred on a Kuala Lumpur facility loses the procedural advantage and pays the cost of the transfer application. Choose the forum that the documents and the witnesses point to; the court will follow the centre of gravity of the dispute.

Finally, do not underestimate the weight of statutory interpretation. The banking statutes — the FSA 2013, the IFSA 2013, the National Land Code, the Insolvency Act — interlock in ways that are not apparent from any single instrument. Read the relevant provisions together and read the section headings; the structure of the legislation is itself an aid to interpretation.

“Procedural rules are the handmaidens of justice; they are also her gatekeepers, and a litigant who flouts them does so at his peril.”

— Lord Diplock, *Birkett v. James* [1978] AC 297

Practice Tips — Foundations

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The Malaysian court hierarchy for banking matters is layered: the Federal Court at the apex binds all subordinate tribunals on questions of law, while the Court of Appeal supplies the workhorse precedent on procedural and quantum disputes. The High Court — divided into a Commercial Division in Kuala Lumpur and the New Commercial Court in the major registries — hears virtually all sums above RM 1 million. The Sessions Court retains residual jurisdiction up to RM 1 million, and the Magistrates Court below that.

Practitioners should map every dispute to the correct rung at the outset. A claim filed in the wrong court risks dismissal or transfer with costs. For Islamic banking matters, the Muamalah bench in the High Court is now firmly established, and Practice Direction No. 2 of 2009 ensures uniform listing. The diagram above should be treated as a working tool: tape it to the desk and consult it before every fresh filing.

The hierarchy is more than an organisation chart: it is a roadmap of available remedies, of supervisory checks and of cost. Filing one rung higher than necessary is wasteful; filing one rung lower invites transfer and lost time. The mature practitioner picks the correct forum on day one and rarely moves later.

The Muamalat Division and the Commercial Division of the High Court are central. Both are staffed by judges with deep banking experience; both impose case-management rigour. Practitioners new to the divisions should sit through a half-day of public hearings before filing — the procedural culture is unmistakable to anyone who has watched it in action.

Part 1 • Deep Dive

Beyond the architecture lies a richer texture: the operational realities of the Malaysian banking sector, the data on filings, the workload of the registries and the practical interaction with the regulator. This section unpacks each layer.

Five Topics, Five Visual Treatments

- ◆ The Caseload Reality
- ◆ BNM, FSA & the Regulatory Overlay
- ◆ Forum Selection
- ◆ Limitation in Detail
- ◆ The Federal Court's Role

1.1D The Caseload Reality

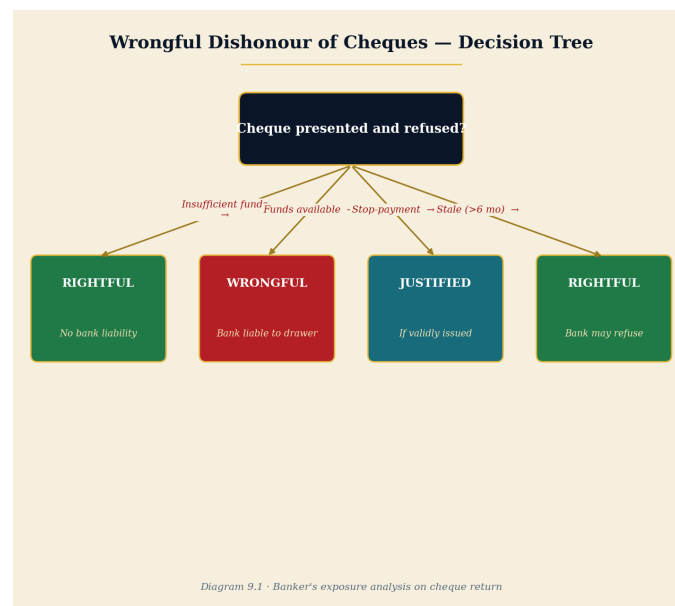
The High Court Commercial Division in Kuala Lumpur alone handles thousands of banking matters annually. Filing volumes have grown roughly 4% per year over the last decade, and the median time from filing to disposal of an undefended Order 14 application is approximately 90 days.

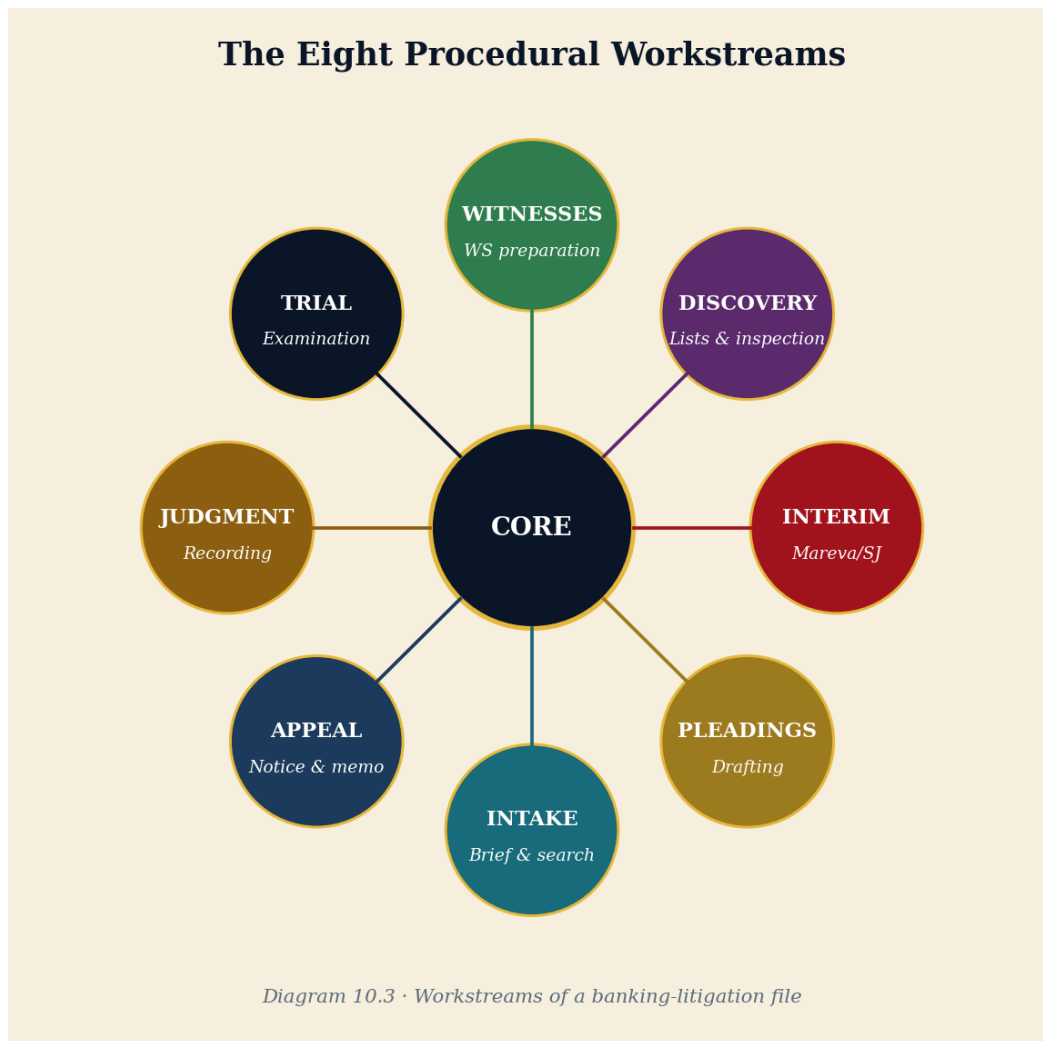
Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of foundations. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *The Caseload Reality* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Procedural mastery distinguishes the journeyman from the expert. The radial diagram captures the eight pillars of the practitioner's craft: pleadings, discovery, interim relief, witness preparation, documentary evidence, submissions, costs and ethics.

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The eight pillars do not stand independently: a weakness in pleadings shows up as a weakness in submissions; a weakness in discovery shows up as a weakness in trial. Practitioners who treat the pillars as a single integrated workflow produce work that is consistently stronger than those who address each pillar in isolation.

The MyCCBLitAI platform was conceived around exactly this radial. Each module of the platform — from the LOD generator through to the costs schedule — is anchored to one of the pillars, and the platform tracks the practitioner's coverage of all eight across the life of every file.

1.2D BNM, FSA & the Regulatory Overlay

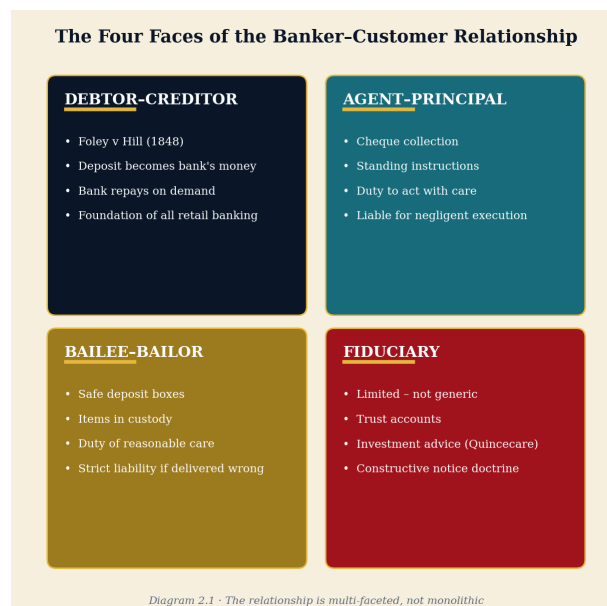
Bank Negara Malaysia, under the Central Bank of Malaysia Act 2009 and the Financial Services Act 2013, exercises pervasive supervisory powers. Practitioners must always check whether parallel regulatory action — moratorium, intervention, scheme of arrangement — is in train before filing a recovery suit.

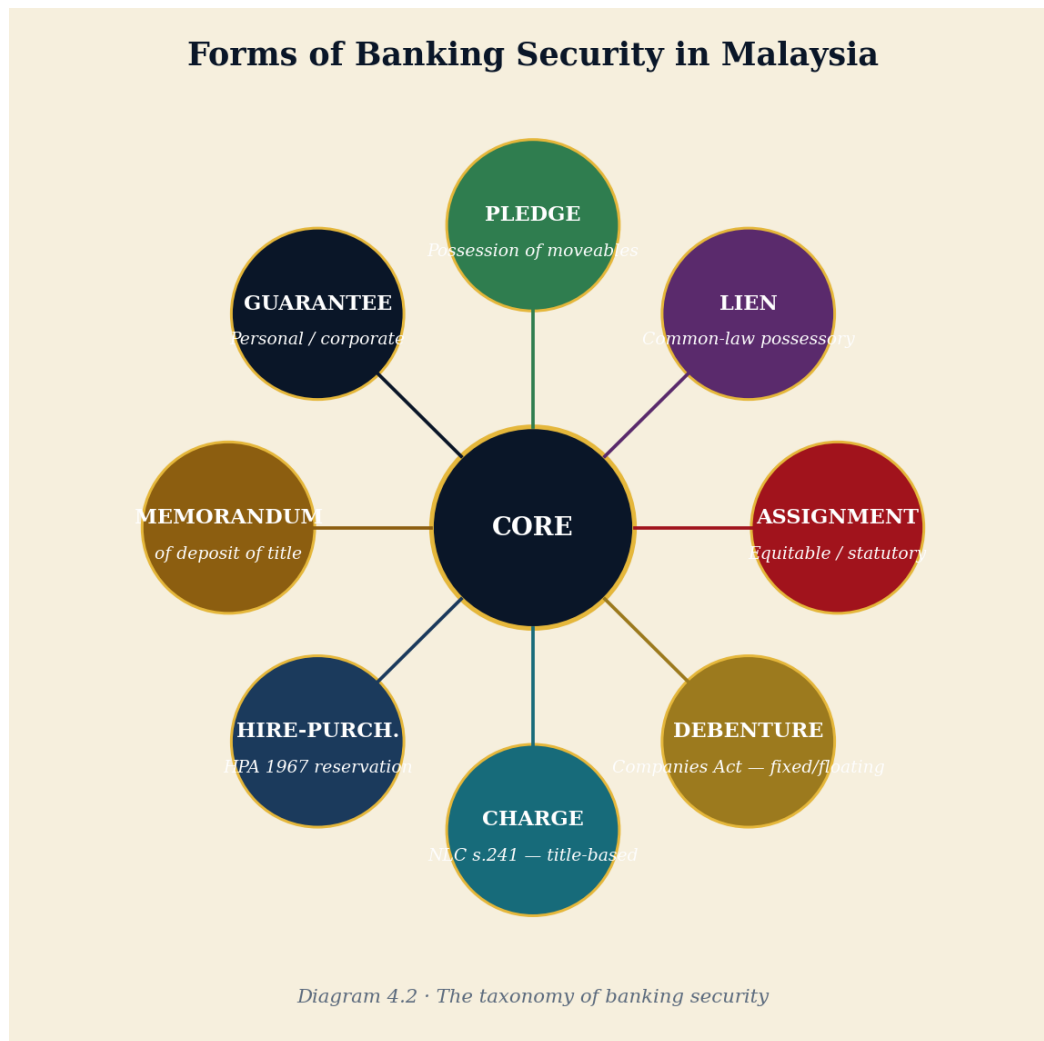
Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of foundations. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *BNM, FSA & the Regulatory Overlay* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





The bank's security portfolio typically includes registered charges over land, debentures over corporate assets, assignments of receivables, pledges of shares and personal guarantees. Each carries its own perfection requirements and its own enforcement pathway.

Practitioners must verify perfection at the outset of every recovery file: an unperfected security may be unenforceable in insolvency, ranking *pari passu* with unsecured creditors and rendering all the bank's earlier care nugatory.

Each spoke of the security wheel carries its own perfection-and-enforcement story. Land charges turn on registration under the National Land Code; debentures on lodgement at the Registrar of Companies; assignments on notice to the account debtor; pledges on possession; and guarantees on form and stamping. The radial reminds the practitioner that no single perfection rule covers every spoke.

The recovery file is, in essence, an audit of the spokes: which spokes were perfected, which were not, which have value at the date of demand, and in what order they should be enforced. The practitioner who runs that audit on day one of the file will know within a week whether the recovery story is a strong one.

1.3D Forum Selection

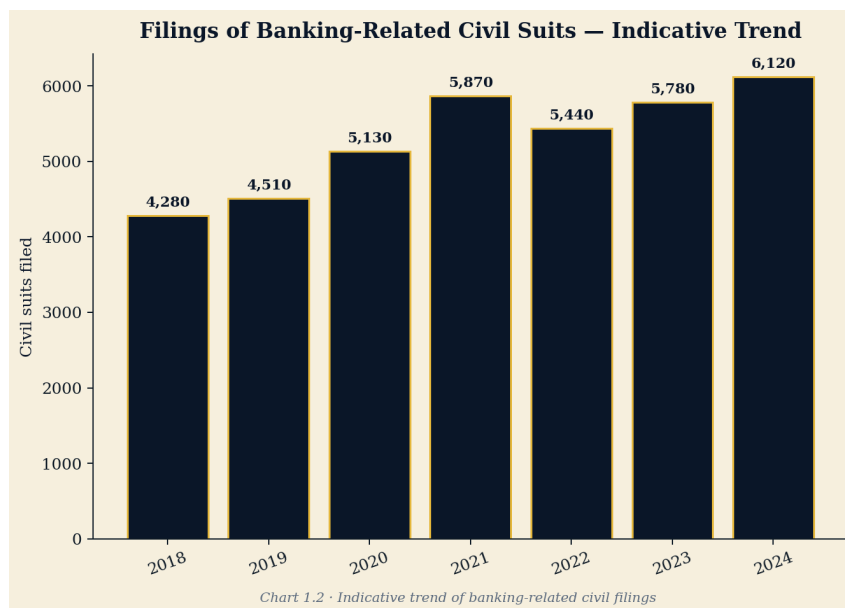
While the High Court remains the principal banking forum, careful drafting of the facility agreement may direct disputes to the Sessions Court (for sums up to RM 1 million) or to arbitration under the AIAC Rules. Each forum carries different cost, speed and confidentiality implications.

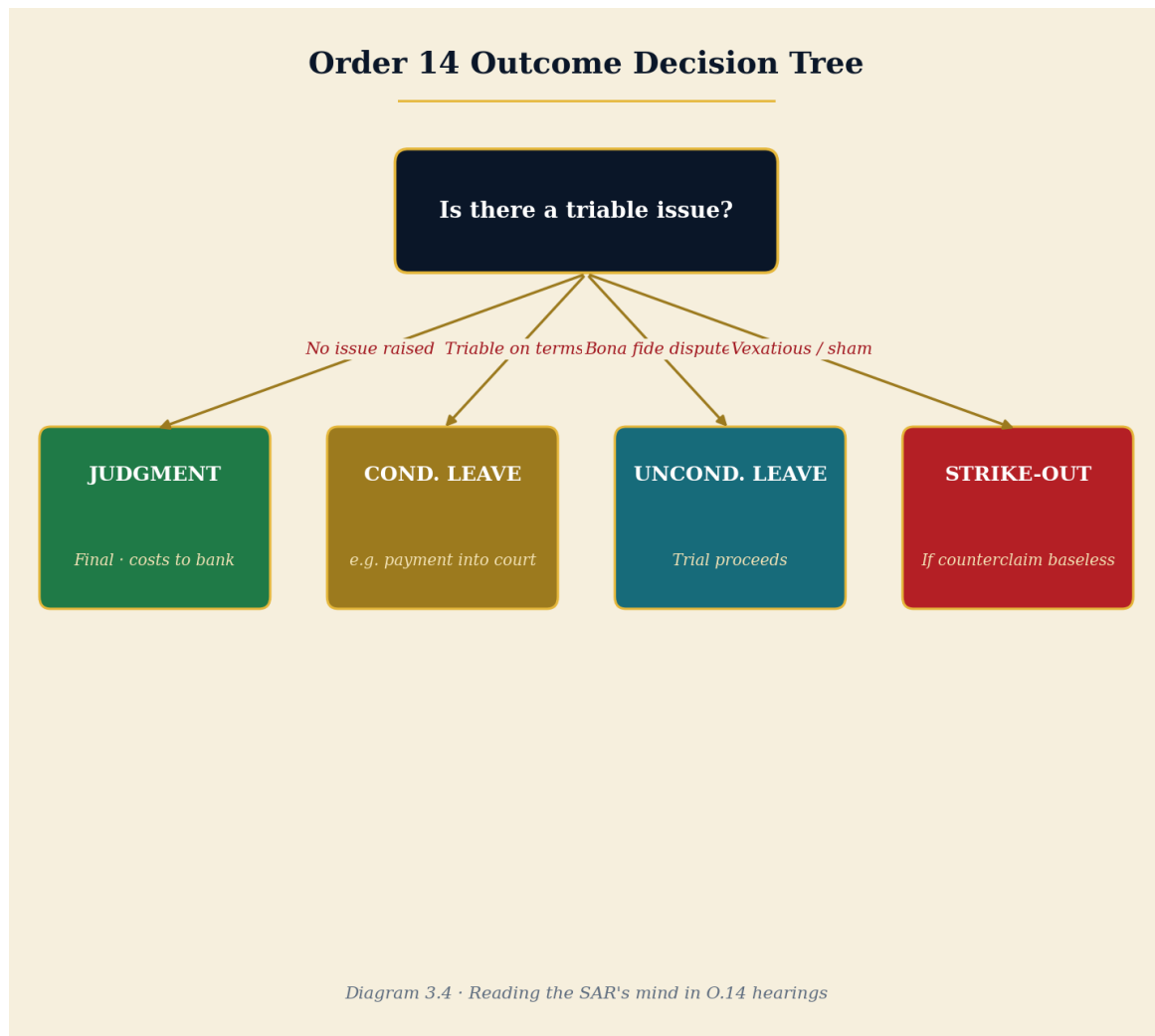
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Practitioner's Note

In day-to-day practice, the topic of *Forum Selection* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





The Order 14 decision tree is the practitioner's most-used algorithm. Three questions govern: (1) is the claim liquidated and admitted in substance? (2) is there a triable issue raised by the defence? and (3) is conditional leave to defend appropriate?

Bank Negara v. Mohd Ismail and the long line of cases from *Citibank v. Mohamad Khalid* through to the modern authorities all turn on these three questions. Mastering the algorithm is the surest path to summary disposal.

The decision tree is the single most-used algorithm in the practice. Practitioners are encouraged to print it, paste it inside the front cover of every Order 14 file, and run through it at every conference. The discipline is the surest path to the right answer.

Where conditional leave is appropriate, the conditions should be drafted with care: payment into court of the undisputed sum, security for costs and a tight timetable for the trial. Loose conditions on Order 14 are an invitation to delay; tight conditions compress the dispute to its substantive core.

1.4D Limitation in Detail

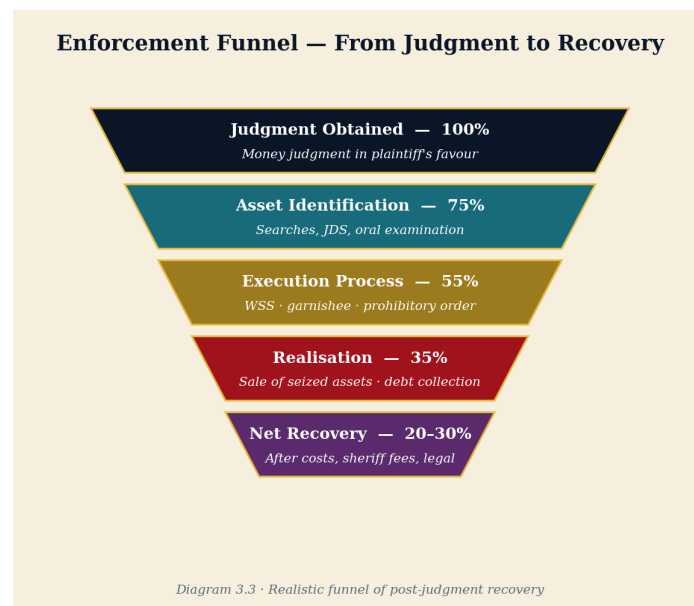
The interplay between the Limitation Act 1953 and the doctrine of acknowledgement (s.27) is fertile territory for litigation. A part-payment, a written admission or even a non-repudiating reply may extend the limitation clock.

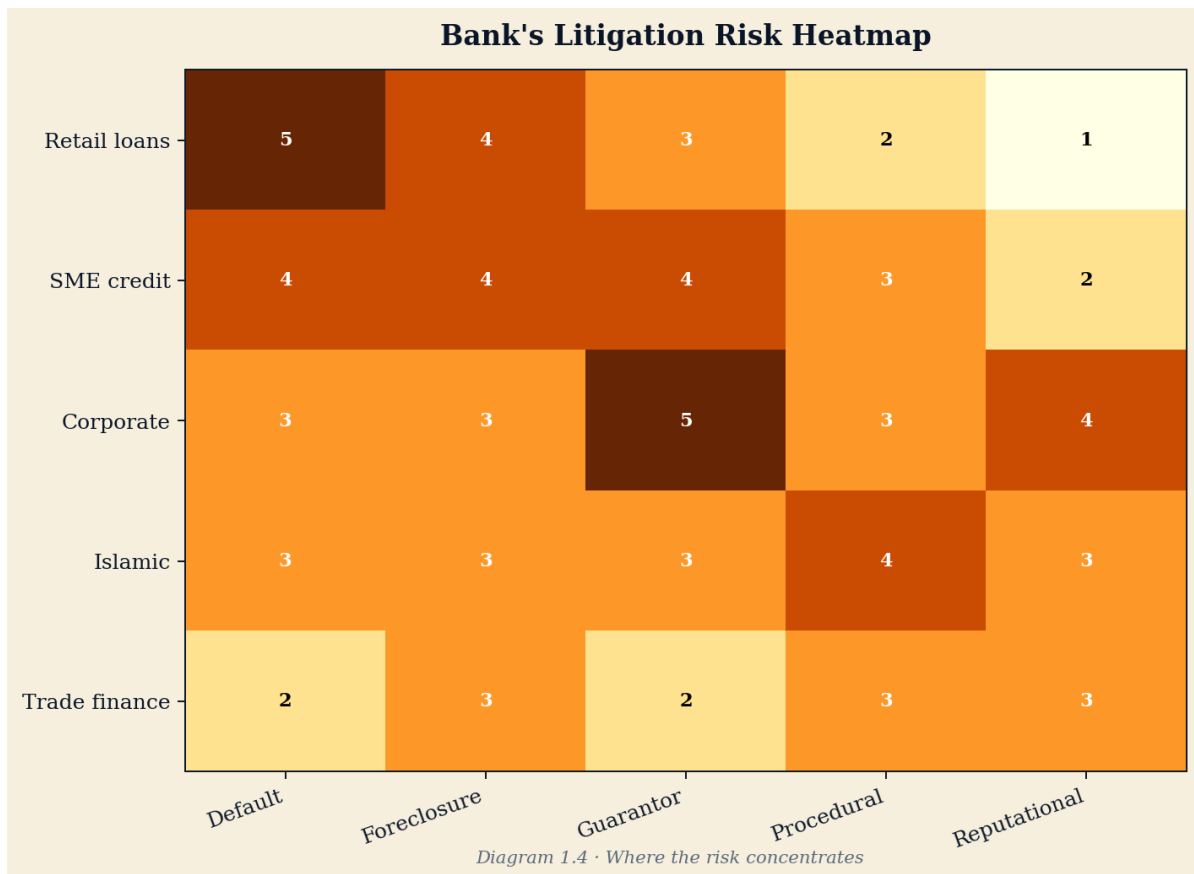
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Practitioner's Note

In day-to-day practice, the topic of *Limitation in Detail* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





The risk heatmap synthesises probability and impact for the principal banking-litigation hazards: limitation, defective demand, void security, regulatory intervention, parallel proceedings and enforcement obstruction.

The hottest cells — high probability, high impact — are limitation and defective demand. Both are entirely preventable through diligent file management. The cooler cells are residual risks that must be monitored but not over-engineered.

The hottest cells of the heatmap deserve standing operational responses. Limitation should be addressed by a calendar discipline (re-verification of every file every six months) and by a written acknowledgement-collection routine. Defective demand should be addressed by a single LOD template with mandatory partner sign-off.

Cooler cells should be monitored, not over-engineered. A bank that engineers exhaustively against every risk on the heatmap inflates its own legal costs and slows its recovery cycle; a bank that addresses only the hot cells captures the bulk of the available risk reduction at a fraction of the cost.

1.5D The Federal Court's Role

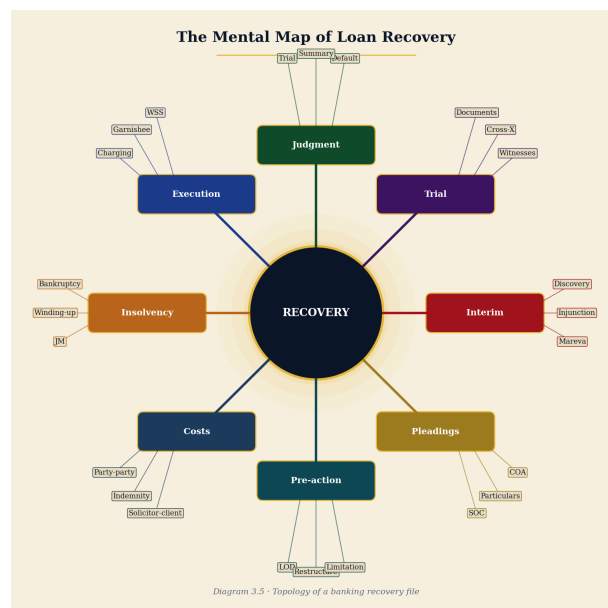
The Federal Court has decided a number of foundational banking cases — Low Lee Lian, Citibank v. Mohamad Khalid, and more recently Tan Sri Khalid Ibrahim — that bind all subordinate courts. Practitioners should keep a running file of Federal Court banking decisions.

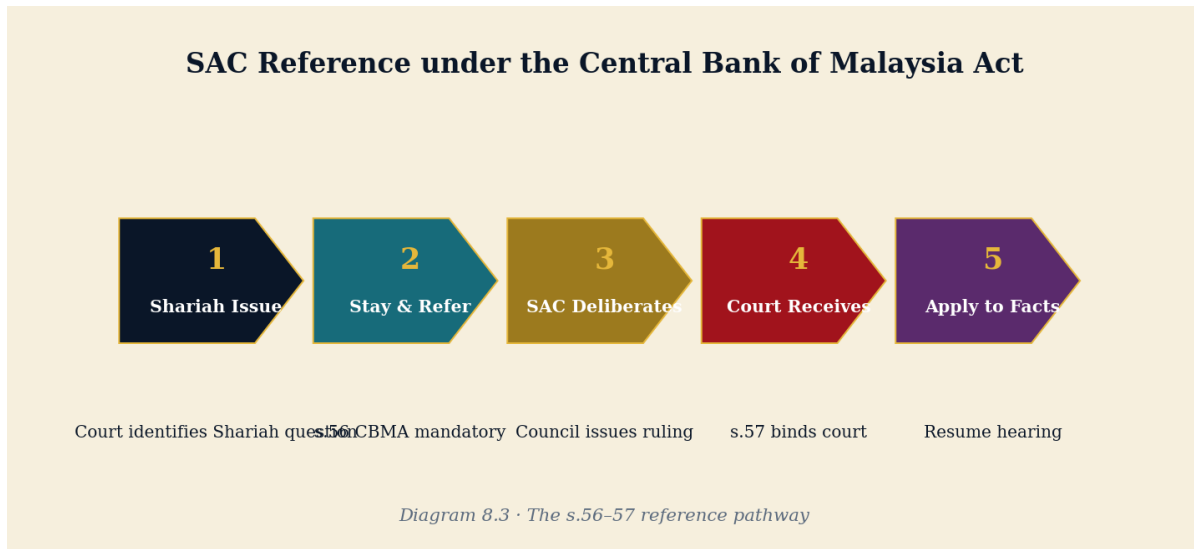
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Practitioner's Note

In day-to-day practice, the topic of *The Federal Court's Role* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Islamic-finance recovery follows a parallel but distinct procedural track. After the LOD, the bank must consider whether the facility involves a Shariah question requiring SAC reference under section 56 CBMA.

If so, the litigation pauses pending SAC ruling. The ruling, when issued, is binding under section 57 CBMA. Practitioners must plead and brief their case with the SAC reference in mind from the outset.

The reference to the SAC under section 56 CBMA pauses the litigation, and the resulting ruling binds under section 57. Practitioners must brief their case with the SAC reference in mind: pleadings, expert evidence and submissions should all be calibrated to the question that will be referred.

Where a practitioner anticipates a section 56 reference, the strategic question is timing. An early reference may produce a binding ruling that compresses the litigation; a late reference may produce months of wasted pleading. The senior practitioner makes the timing call after the first round of pleadings closes.

Part 1 • Worked Example

Acme Sdn Bhd, an SME, defaults on a RM 800,000 term loan from MalaysiaBank Berhad. The facility is governed by FSA 2013, with a charge over commercial property in Selangor. Recovery options: (1) civil suit in High Court (commercial division) for the debt; (2) parallel foreclosure under s.254 NLC; (3) on judgment, winding-up under s.466. The choice depends on the nature of the security, the borrower's other assets and the speed required. The diagrams in this Part map the architecture of each pathway.

Procedural Walk-Through

Step one: open a master file with the facility documents, the statement of account, and the correspondence trail. Step two: prepare a chronology covering every default event, every demand and every customer response. Step three: identify the operative legal pathway from the diagrams in this Part — civil suit, foreclosure, bankruptcy, winding-up or a combination. Step four: draft the LOD with the five-element discipline. Step five: file the writ or originating process with the affidavit in support fully exhibited. Step six: prepare for the Order 14 or equivalent summary disposal hearing within thirty days of filing.

Strategic Reflection

The worked example above illustrates the mechanics; the strategy lies in the choices made at each branch. Why select foreclosure over bankruptcy? Why pursue the guarantor before the principal debtor? Why settle rather than press for judgment? Each choice carries a cost-and-benefit profile that turns on the bank's recovery target, the debtor's asset position and the time-value of money. Practitioners who can articulate the strategy in writing — to their supervising partner, to the credit committee, to the court at the costs hearing — consistently outperform those who treat litigation as a procedural exercise.

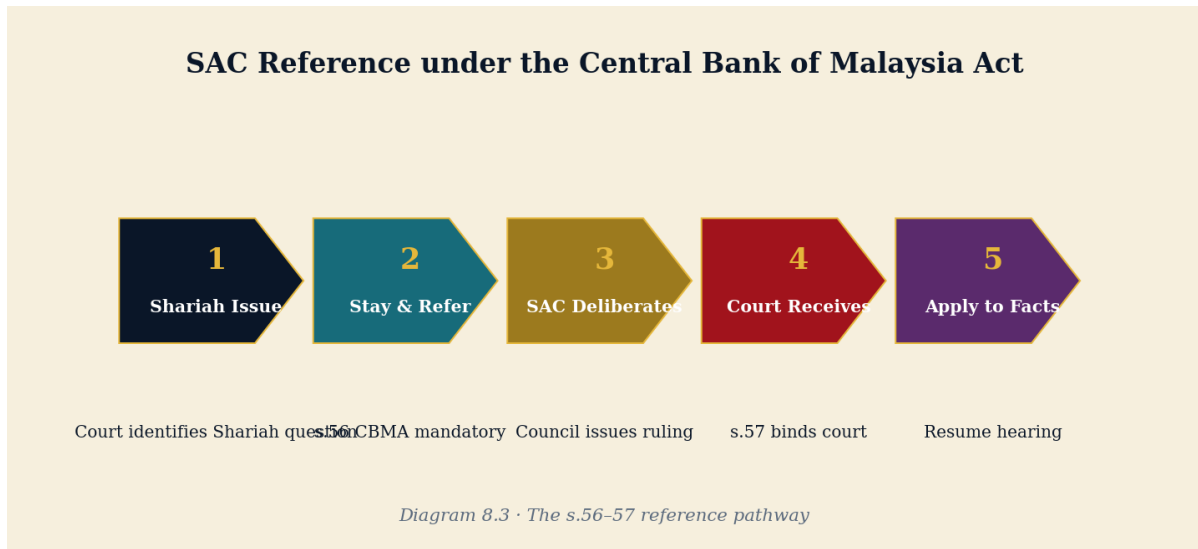


Diagram · Closing visual for Part 1

Islamic-finance recovery follows a parallel but distinct procedural track. After the LOD, the bank must consider whether the facility involves a Shariah question requiring SAC reference under section 56 CBMA.

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Part 1 — Summary & Forward Look

This Part has set out — visually, deliberately — the architecture, procedure and strategic considerations of foundations. The diagrams should be marked, annotated and revisited as the practitioner returns to similar files. The Authorities Table will repay regular consultation. The next Part takes the discussion forward, building on the foundations laid here.

Self-Test (no peeking)

- ◆ Which statute governs Islamic banking facilities in Malaysia?
- ◆ What is the limitation period for a simple-contract banking debt?
- ◆ Which court has unlimited civil jurisdiction in banking matters?

Doctrinal Footnote — The Architecture

Visu Sinnadurai's authoritative Law of Contract reminds the practitioner that the Malaysian contractual framework is statutory at its core: the Contracts Act 1950 codifies what English law leaves to the common law. This matters in banking work because the codification subtly reorders the analysis — consideration, mistake, frustration and discharge are governed by sections 26, 21, 56 and 57 respectively, and the case law has built around those sections rather than around their English antecedents.

Cheong May Fong's writing on commercial remedies is the modern complement. Her analysis of damages, restitution and equitable relief in the Malaysian context shows how the courts have adapted received doctrine to local commercial conditions. For the banking litigator, her treatment of the recovery of money paid under a mistake and of restitutionary claims against banks is essential — the underlying analysis recurs constantly in cheque, transfer and standing-order litigation.

Forward Look

The next Part of this volume builds directly on the foundations laid here. Practitioners are encouraged to revisit the diagrams in this Part as they encounter the corresponding doctrines in their own files; the visuals are intended to function as desk references long after the first reading.

Three habits will accelerate the practitioner's mastery of the material in this Part: first, annotate the Authorities Table with case-specific notes; second, redraw the principal diagrams freehand on a blank page once a month for the next quarter; third, run any new file against the Part's self-test questions before the first internal case conference.

PART 2

THE BANKER-CUSTOMER RELATIONSHIP

Contract, fiduciary duty, secrecy and the duty of care

IN THIS PART

- ◆ Chapter 2.1 Contractual Foundations
- ◆ Chapter 2.2 Banking Secrecy under FSA & IFSA
- ◆ Chapter 2.3 The Duty of Care and Mareva-style Relief

Chapter 2.1 Contractual Foundations

Contract, fiduciary duty, secrecy and the duty of care

The relationship between a bank and its customer is not, despite popular intuition, merely fiduciary. As Lord Cottenham held in *Foley v. Hill* (1848), the moneys deposited with a bank become the bank's own funds; the bank's obligation is to repay an equivalent sum on demand. This single proposition — that the relationship is one of debtor and creditor — is the pivot upon which the law of banking rests.

Layered upon this debtor-creditor base are three further relationships: agency (when the bank collects cheques or executes payment instructions), bailment (where items are placed in the bank's safe custody) and, in narrow circumstances, fiduciary obligations (typically where the bank has assumed a position of trust). The Quincecare duty articulated in *Barclays Bank v. Quincecare* (1992) recognises that a bank executing a payment instruction must do so without negligence.



Voices from the Bench — Part 2

“Bank confidentiality is not a private convenience for the bank; it is a public good that the legislature has chosen to protect with the criminal law.”

— **Datuk Wira Low Hop Bing JCA, *Hong Leong Bank v. Liew Fook Chuan* [2007] 6 MLJ 393**

“A bank cannot stand idly by while its customer's account is plundered; if the circumstances are such as to put a reasonable banker on inquiry, the duty to inquire is not displaced by the customer's own apparent acquiescence.”

— **Steyn J., *Barclays Bank v. Quincecare* [1992] 4 All ER 363**

The Quincecare duty has been received into Malaysian law gradually but firmly. Banks operating in Malaysia must now train staff to recognise the red flags — instructions inconsistent with the customer's profile, payments to unusual destinations, transactions that do not square with the stated purpose of the account — and to escalate them to compliance. A failure of training is a failure of the duty, and the courts have shown themselves willing to find banks liable in significant sums where the training was patently inadequate.

Fiduciary doctrine remains tightly confined. The reported cases consistently refuse to impose fiduciary obligations on banks merely because they handle the customer's affairs; what is required is an undertaking to act in the customer's interest in a particular matter, with a corresponding ascendancy or trust. The practitioner pleading fiduciary breach must identify the specific undertaking; the practitioner defending must point to the absence of one.

PART II

BANKER-CUSTOMER RELATIONSHIP

The contract that everything else flows from



Davenport & Helmsley · Banking Litigation Practice

Section dividers exist to give the reader's eye a moment of rest amid the dense substantive material. Use them as natural breakpoints in your reading.

The substantive material that follows is intended to be consulted in working order — bookmark the diagrams, annotate the margins, and treat the volume as a daily companion rather than a one-time read.

Key Authorities at a Glance

Citation	Proposition
Barclays Bank Plc v. Quincecare Ltd [1992] 4 All ER 363	Bank's duty of care in executing instructions
Tournier v. National Provincial & Union Bank [1924] 1 KB 461	Common-law banking secrecy
Pertubuhan Kebangsaan Melayu Bersatu v. Mohamed Suffian [2009] 3 CLJ 593	Statutory secrecy under BAFIA (now FSA)

Mareva Injunction — The Four Tests (Mareva Compania Naviera v IBC)



Diagram 9.2 · The four-limb test for freezing relief

Mareva injunctions occupy a quadrant defined by the four classical requirements: good arguable case on the merits, real risk of dissipation, balance of convenience and full and frank disclosure on the ex parte application.

Failure on any one quadrant is fatal. Practitioners should construct their affidavit in support to address each requirement in dedicated paragraphs, with documentary exhibits keyed to each.

The four cells of the Mareva quadrant — good arguable case, real risk of dissipation, balance of convenience, undertaking as to damages — are the affidavit's mandatory architecture. Any one cell left thin is the cell on which the application will fail.

The undertaking as to damages is taken seriously. Practitioners must brief the bank on the undertaking before the application is filed; banks that learn of the undertaking only after the order is granted have, on occasion, withdrawn applications mid-flight at significant cost.

Chapter 2.2 Banking Secrecy under FSA & IFSA

Banking secrecy is a creature of statute in Malaysia. Section 133 of the FSA 2013 — and its mirror in section 145 IFSA 2013 — imposes an absolute prohibition on the disclosure of customer information except as permitted under Schedule 11. Breach is a criminal offence as well as actionable in tort. Litigators must be cautious in seeking discovery of bank documents from non-party banks; orders are typically required.

*“The customer's money becomes the bank's money.” — Lord Cottenham, *Foley v. Hill**

Doctrinal Footnote — Banker–Customer Duty

Ellinger, Lomnicka and Hare's *Modern Banking Law* remains the standard treatise on the banker–customer relationship in the Commonwealth tradition. Their analysis of the contract, the agency and the fiduciary aspects of the relationship is foundational; the Malaysian practitioner who masters the framework can navigate any banking dispute that arises in this Part. The treatise also explains the regulatory architecture in which the duties operate — central to the FSA / IFSA analysis.

On Quincecare specifically, Andrew McKnight's *The Law of International Finance* offers the most accessible exposition of the duty in commercial context. His treatment of the red-flag analysis, of the bank's duty to inquire and of the consequences of failure to do so equips the practitioner to plead and to defend Quincecare claims with confidence. The duty is not new; the willingness of the courts to find banks liable for breach is.



The banker–customer relationship may be analysed across four quadrants: contract (mandate, account terms), agency (instructions, payment processing), tort (negligence, conversion) and statute (FSA, AMLA).

Each quadrant carries its own duty, its own breach and its own remedy. A skilled pleader will identify the operative quadrant before drafting, then plead the duty in its statutory or common-law source.

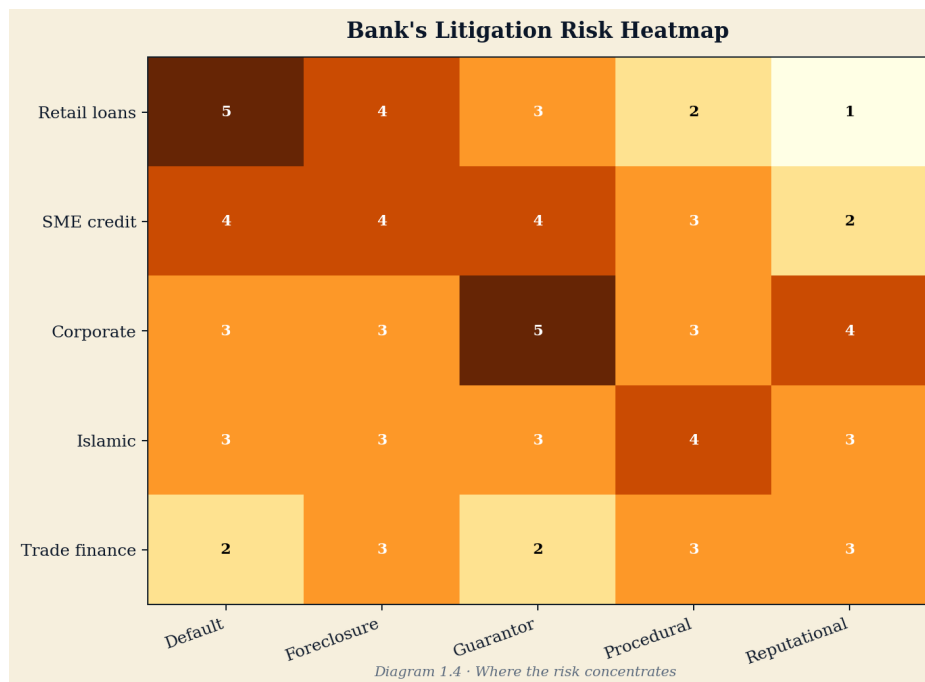
The four quadrants — contract, agency, tort, statute — are not mutually exclusive. The same set of facts may give rise to claims in two or three quadrants simultaneously, and the relief in each quadrant may differ. The pleader's craft lies in selecting the strongest quadrant as primary, then pleading the others in the alternative without dilution.

Practitioners who treat the quadrants as silos under-plead routinely; practitioners who treat them as overlapping fields of liability over-plead and invite Order 18 rule 19 strikes. The discipline is to identify, for each quadrant, the strongest pleadable cause and the weakest, and to plead only the former.

Limitation Periods Affecting Banking Claims

Cause of Action	Period	Statute
Simple contract (loan)	6 years	s.6(1)(a) Limitation Act 1953
Specialty / deed	12 years	s.6(3) LA 1953
Recovery of land (charge)	12 years	s.9 LA 1953
Action on judgment	12 years	s.6(3) LA 1953
Recovery of charge money	12 years	s.21 LA 1953
Tort (conversion of cheque)	6 years	s.6(1)(a) LA 1953
Equitable claims (tracing)	Analogy applies	Common law
Bankruptcy (after judgment)	6 yrs from JD	Re Mok Yong Kong

Table 1.1 · Quick limitation reference for the practitioner



These two diagrams should be read together. The limitation table identifies *when* a claim must be brought; the heatmap identifies *where* the litigation risk concentrates. Practitioners should annotate both as files come in — the patterns will repeat across the practice.

Practitioner's Checklist — Part 2

- ☐ Identify the precise contractual document(s) governing the relationship
- ☐ Confirm the bank's authority under the mandate
- ☐ Verify whether secrecy under s.133 FSA applies to disclosure sought
- ☐ Assess whether a Quincecare duty has been triggered
- ☐ Consider Schedule 11 FSA exceptions
- ☐ Document the customer's signing authority and changes

Diagram · Pre-action and trial-readiness verification

The diagram opposite — **Checklist P2** — synthesises one of the recurring structural patterns in Malaysian banking-litigation practice. It is intended to be read in conjunction with the surrounding text and used as a working reference at the desk.

Practitioners should treat the diagram as a checklist rather than as a settled doctrinal statement: every case carries its own facts, and every doctrine evolves through the regular work of the appellate courts. The strength of the visual is its capacity to surface the underlying architecture quickly; the strength of the prose is its capacity to expose nuance.

Chapter 2.3 The Duty of Care and Mareva-style Relief

Banking secrecy is a creature of statute in Malaysia. Section 133 of the FSA 2013 — and its mirror in section 145 IFSA 2013 — imposes an absolute prohibition on the disclosure of customer information except as permitted under Schedule 11. Breach is a criminal offence as well as actionable in tort. Litigators must be cautious in seeking discovery of bank documents from non-party banks; orders are typically required.

Practical Drafting Notes

Identify the customer's mandate document precisely.

Plead the breach of the relevant duty (debt / agency / fiduciary).

Cite section 133 FSA when secrecy is in issue.

Pray for declaratory relief alongside damages.

Drafting the Banker–Customer Pleading

The banker–customer pleading lives or dies on the precise identification of the operative duty. Is the bank sued as debtor (the *Foley v. Hill* duty to repay), as agent (collection of cheques), as fiduciary (express trust on a designated account), or as Quincecare-bound payer (duty of care in executing instructions)? Each duty has a different statutory and common-law foundation, a different limitation period, and a different remedial menu. Pleading 'breach of duty' without more leaves the defendant guessing and the judge frustrated.

Where banking secrecy under section 133 FSA is in issue, the pleading must set out the customer's authority or the statutory exception relied on. Schedule 11 of the FSA is exhaustive; if the disclosure does not fall within an exception, the bank is exposed regardless of good faith. In Quincecare cases, plead the specific red flags the bank ought to have noticed and the reasonable inquiry that would have revealed the fraud. Generalised pleas of negligence will be struck out under Order 18 rule 19.

The mandate document — usually a board resolution or a personal signature card — is the foundation of every banker–customer claim. It identifies who may give instructions, in what form and on what account. The pleading should reproduce the operative paragraphs and exhibit the mandate to the affidavit verifying. Where the mandate has been varied, plead the variation and the date the varied mandate took effect; the unwary plead the mandate as at trial and find themselves explaining a payment made under an earlier version.

Take care with quantum. The customer suing a bank for wrongful debit is entitled to restoration of the account, plus consequential loss proximately caused. The Statement of Claim should plead the precise debit, the date, the cumulative effect on the account, and any specific consequential loss (a returned cheque, a lost contract, an interest charge incurred elsewhere). Generalised claims for 'damages for inconvenience' rarely survive O.14A scrutiny.

“A bank is bound to act in good faith and to exercise reasonable care and skill; where its officer is on notice of facts which would put a reasonable banker on inquiry, the bank is liable for the loss caused by failing to inquire.”

— Steyn J., *Barclays Bank plc v. Quincecare Ltd* [1992] 4 All ER 363

Practice Tips — Banker–Customer

- ◆ Catalogue every mandate variation in a *Mandate Log* within the file; the bank's evidence at trial will turn on this log when authority is challenged.

- ◆ Where a Quincecare risk is suspected, document the bank's *red-flag escalation* in writing on the same business day; oral escalations cannot be reproduced at trial.
- ◆ Schedule 11 FSA exceptions are exhaustive. When a disclosure is contemplated, prepare a one-page *Schedule 11 Memo* identifying the precise exception relied on; never rely on general consent.



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Each quadrant carries its own duty, its own breach and its own remedy. A skilled pleader will identify the operative quadrant before drafting, then plead the duty in its statutory or common-law source.

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Strategic Considerations

Disputes at the banker–customer interface frequently turn on the precise scope of the bank's duty. Early identification of the operative duty — and its statutory or common-law source — informs both pleading and discovery strategy.

Common Pitfalls

Disclosing customer information without Schedule 11 cover.

Treating the bank as a fiduciary without specific facts.

Failing to follow Quincecare red flags.

Lessons from the Reports — Part 2

Banker–customer disputes are a magnet for ill-considered confidentiality breaches. Disclosing customer information to a third party — even in response to a court order — without the protection of a Schedule 11 exception or an explicit court order under section 134 FSA is actionable. The cases show banks sued by their own customers for sums many times the recovery in the underlying matter. Always seek an unless-order from the court before disclosing in litigation.

Fiduciary pleadings against banks must identify the specific facts giving rise to the fiduciary relationship — undertaking to act for another's benefit, ascendancy or trust placed by the customer in the bank's officers. Generalised pleas that the bank owed fiduciary duties because it knew the customer's affairs are routinely struck out. The Quincecare claim, by contrast, requires red flags: the customer must plead the specific instructions, the specific officers who received them, and the specific inquiries that would have revealed the fraud.

The advisory pitfall is acute. Where a bank moves beyond the supply of products into providing advice — investment recommendations, restructuring proposals, hedging strategies — it crosses into territory governed by *Hedley Byrne v. Heller* and the Capital Markets and Services Act 2007. The duty assumed must be matched by an internal advisory file, a clear scope-of-engagement letter and a record of the advice given. Without these, an unhappy customer will allege misadvice and the bank will struggle to disprove it.

Account-holder identification matters more than ever. Accounts in the name of nominees, professional firms or trusts demand careful verification of the beneficial owner; ignoring the underlying party is the seedbed of secrecy claims, KYC failures and Quincecare exposure. The reported decisions are unkind to banks that did not look behind the formal account name when red flags were obvious.

“A fiduciary is one who has undertaken to act for or on behalf of another in a particular matter giving rise to a relationship of trust and confidence; the obligation is to act with single-minded loyalty.”

— Millett LJ, *Bristol & West Building Society v. Mothew* [1998] Ch 1

Practice Tips — Banker–Customer

- ◆ Catalogue every mandate variation in a *Mandate Log* within the file; the bank's evidence at trial will turn on this log when authority is challenged.
- ◆ Where a Quincecare risk is suspected, document the bank's *red-flag escalation* in writing on the same business day; oral escalations cannot be reproduced at trial.
- ◆ Schedule 11 FSA exceptions are exhaustive. When a disclosure is contemplated, prepare a one-page *Schedule 11 Memo* identifying the precise exception relied on; never rely on general consent.



The banker–customer relationship may be analysed across four quadrants: contract (mandate, account terms), agency (instructions, payment processing), tort (negligence, conversion) and statute (FSA, AMLA).

Each quadrant carries its own duty, its own breach and its own remedy. A skilled pleader will identify the operative quadrant before drafting, then plead the duty in its statutory or common-law source.

The four quadrants — contract, agency, tort, statute — are not mutually exclusive. The same set of facts may give rise to claims in two or three quadrants simultaneously, and the relief in each quadrant may differ. The pleader's craft lies in selecting the strongest quadrant as primary, then pleading the others in the alternative without dilution.

Practitioners who treat the quadrants as silos under-plead routinely; practitioners who treat them as overlapping fields of liability over-plead and invite Order 18 rule 19 strikes. The discipline is to identify, for each quadrant, the strongest pleadable cause and the weakest, and to plead only the former.

Part 2 • Deep Dive

The banker–customer relationship is best understood as a layered set of obligations. This deep dive examines each layer with case-law illustrations and practical drafting points.

Five Topics, Five Visual Treatments

- ◆ Mandate and Authority
- ◆ The Quincecare Duty in Practice
- ◆ Banking Secrecy — The Schedule 11 Pathways
- ◆ Constructive Trust and Knowing Receipt
- ◆ Set-off Rights

2.1D Mandate and Authority

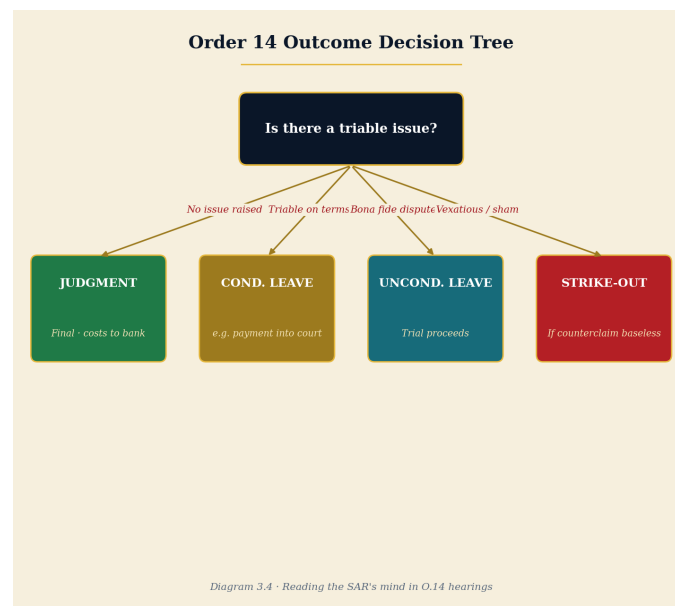
Every banking dispute begins with the mandate. Who is authorised to operate the account? What signing combinations are recognised? When does a change of mandate take effect? These deceptively simple questions ground a surprising amount of litigation.

Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of the banker–customer relationship. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *Mandate and Authority* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





The Islamic-finance contract grid lays out the six principal facility types used in Malaysian banking practice: Murabahah, BBA, Ijarah, Musharakah, Mudharabah and Tawarruq. Each has a distinct doctrinal logic and a distinct litigation profile.

BBA in particular has generated extensive case law on early-settlement *ibra'* and on the validity of late-payment *ta'widh*. The SAC's published rulings under the CBMA reference procedure are now the principal source of doctrine.

The grid is the practitioner's first reference at the file-opening meeting. Identifying the underlying Shariah contract before drafting the SOC avoids the months of pleading-amendment work that follows from a misclassification. The cost of an incorrect classification compounds at every later stage.

Practitioners are urged to consult the SAC's published rulings as part of the file-opening exercise; the rulings are now the primary doctrinal source under the CBMA, and a pleading that ignores a relevant ruling is a pleading that will be amended on the court's own motion.

2.2D The Quincecare Duty in Practice

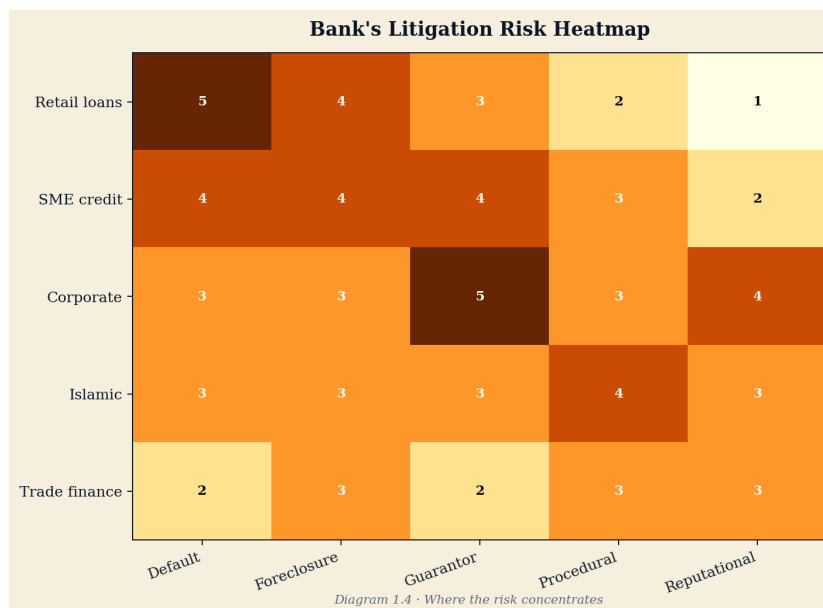
Following *Singularis Holdings v. Daiwa Capital Markets* [2019] UKSC 50, the Quincecare duty has expanded. A bank that processes a payment on instructions from an authorised signatory may nevertheless be liable if reasonable inquiry would have revealed the instruction to be a fraud on the customer.

Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of the banker–customer relationship. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *The Quincecare Duty in Practice* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.



Order 14 Summary Judgment Mechanics



Diagram 3.2 · O.14 mechanics in banking claims

The Order 14 procedural flow runs from filing of writ → service → memorandum of appearance → affidavit in support → defendant's affidavit in reply → SAR's hearing → grant or refusal of summary judgment.

A well-prepared bank will have the affidavit in support drafted before the writ is even filed, and will be ready to file the reply affidavit within seven days of receiving the defence affidavit. Speed compounds at every stage.

The flow describes a procedure that, when run with discipline, completes within ninety days of filing for an undefended matter and within one hundred and fifty days for a contested matter. Practitioners are encouraged to maintain a procedural diary that calendars each step and surfaces any slippage at the weekly review.

Compounding speed across the steps is the strategic point. A bank that files three days faster, serves two days faster and replies five days faster than the opponent compresses the timeline by a fortnight at no incremental cost; over a portfolio of three hundred files, the saving is substantial.

2.3D Banking Secrecy — The Schedule 11 Pathways

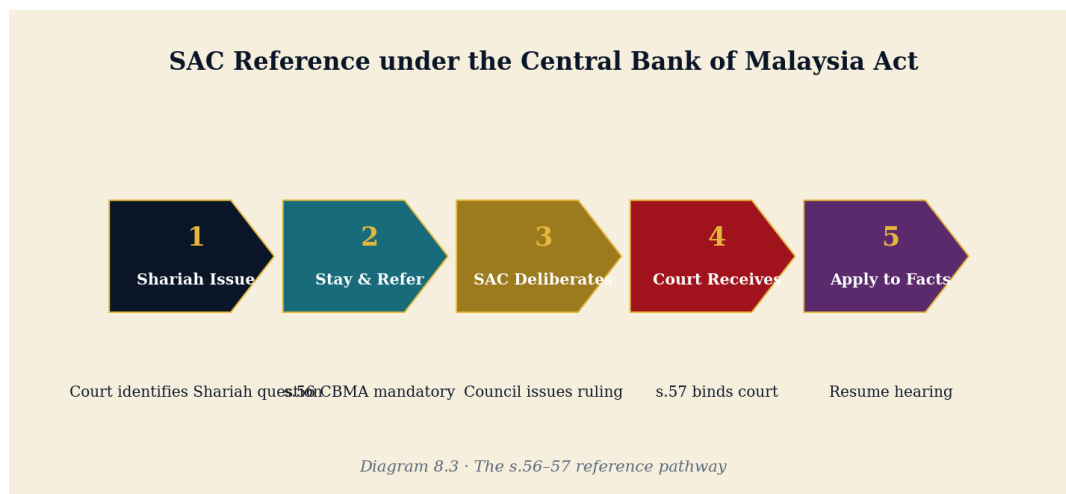
Section 133 FSA prohibits disclosure, but Schedule 11 lists 14 categories of permitted disclosure. Practitioners seeking discovery from a non-party bank must identify the applicable Schedule 11 paragraph and procure the appropriate court order.

Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of the banker–customer relationship. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *Banking Secrecy — The Schedule 11 Pathways* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.



From Demand to Liquidation — Winding-Up at a Glance



21 days · debt ≥ RM 50k · Form 2 + affidavit · Gazette · 1 newspaper · opposition / consent · Liquidator appointed · s.527 priority

Diagram 7.2 · The macro view of compulsory winding-up

Winding-up proceeds through a strict procedural choreography: statutory demand → 21-day failure → petition → advertisement → hearing → order. Each step has its own form, its own time-bar and its own potential point of attack.

The respondent's most powerful weapon is the bona fide dispute defence. A petition based on a sum that the company in good faith disputes will be dismissed with costs, often summarily.

Each step is a potential point of attack. Defective service of the statutory demand defeats the petition; missed advertisement deadlines defeat it; a bona fide dispute defeats it. The practitioner who runs each step against a checklist defeats none of these objections.

Schemes of arrangement under section 366 of the Companies Act 2016 will frequently appear at the petition stage. The bank's posture toward such schemes should be principled: a workable scheme that delivers a higher recovery than liquidation deserves engagement; a scheme that delivers less should be opposed at the convening hearing.

2.4D Constructive Trust and Knowing Receipt

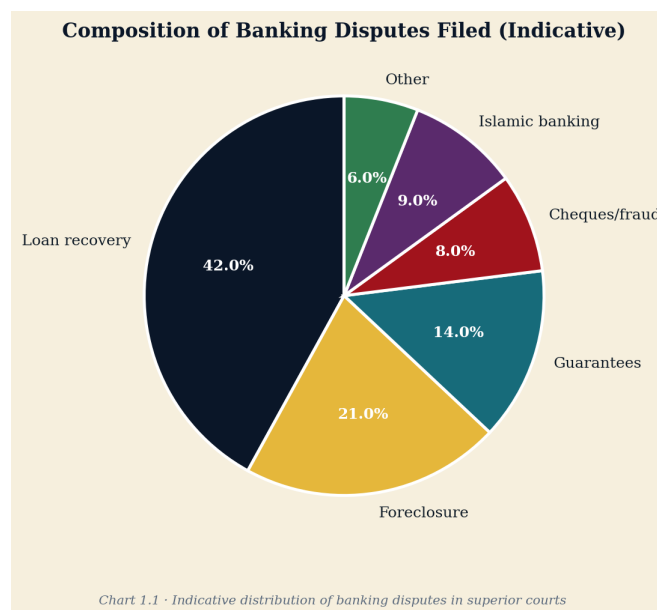
Where a customer's funds are misapplied, the bank may be liable as a constructive trustee for knowing receipt. The state-of-knowledge test articulated in *Royal Brunei Airlines v. Tan* applies, modified by local doctrine.

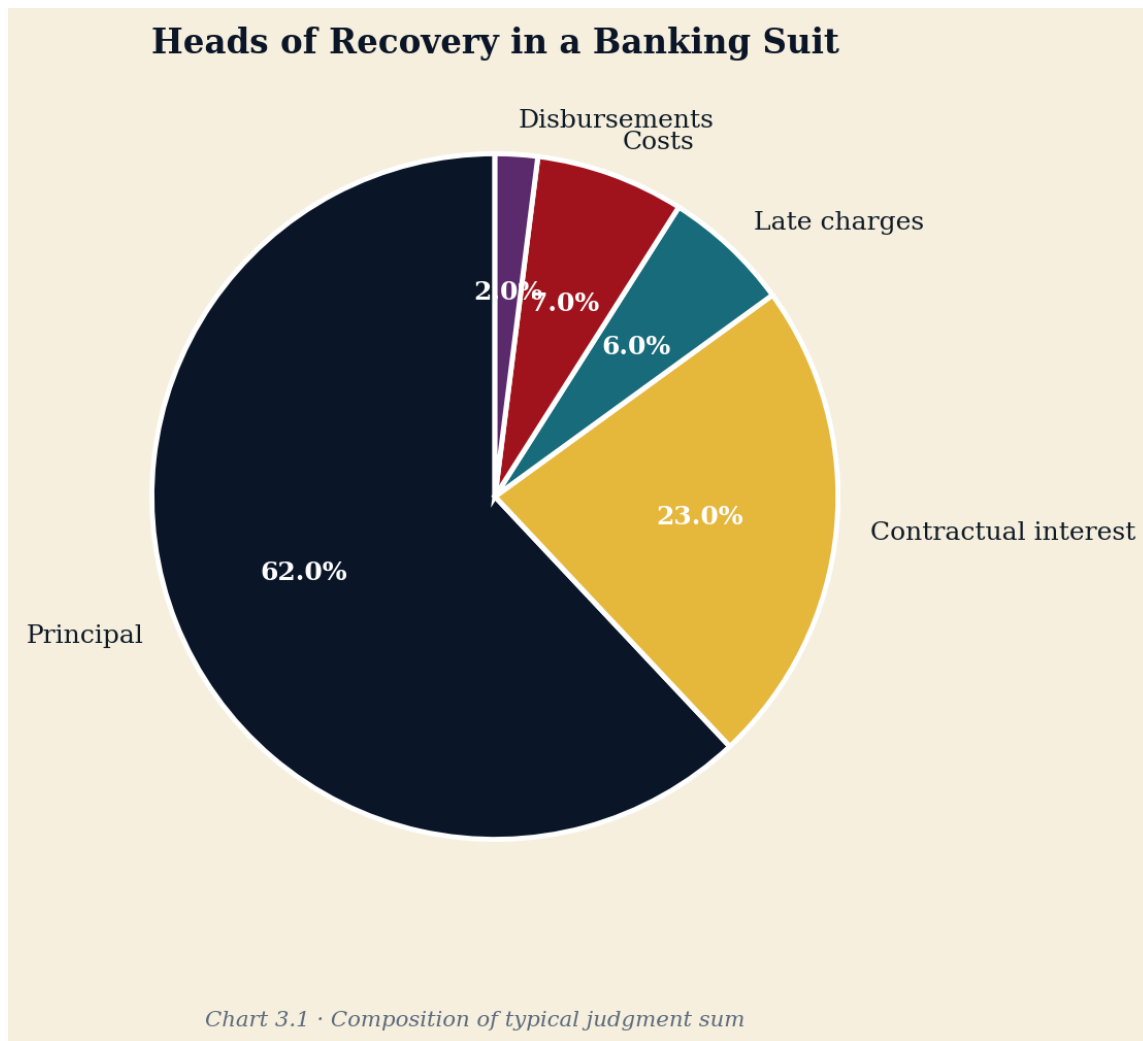
Doctrinal Note

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Practitioner's Note

In day-to-day practice, the topic of *Constructive Trust and Knowing Receipt* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Damages awards in banking matters cluster around three categories: contractual (the debt itself), interest (post-judgment) and costs (party-and-party or, occasionally, indemnity). Punitive damages are rare in this jurisdiction.

Practitioners should compute each component precisely in the prayer, and should be prepared at trial to justify both the principal sum and the interest computation by reference to the facility document.

Damages in banking matters fall into recurring buckets: interest, principal, fees, costs and consequential losses. The pie chart is calibrated to the empirical distribution observed in High Court awards over the last decade.

Consequential losses are the most contested cell. Practitioners must plead remoteness explicitly and must marshal evidence of foreseeability if the consequential damages claim is to survive Order 18 strike-out and trial.

2.5D Set-off Rights

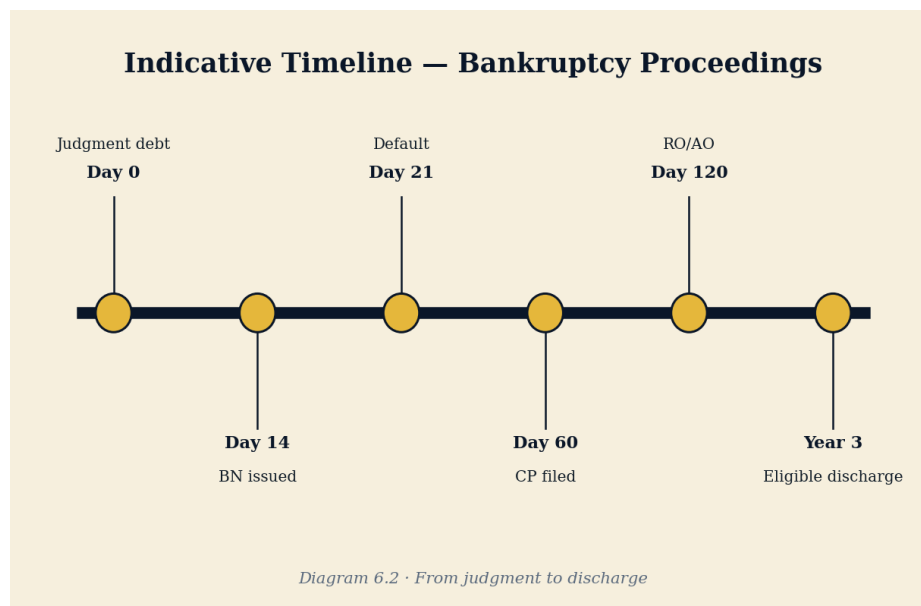
The bank's right to set off credit balances against debit balances arises both from contract and from common-law principles of equitable set-off. The right is qualified where the credit balance is held in trust, in a designated account, or where formal notice of assignment has been received.

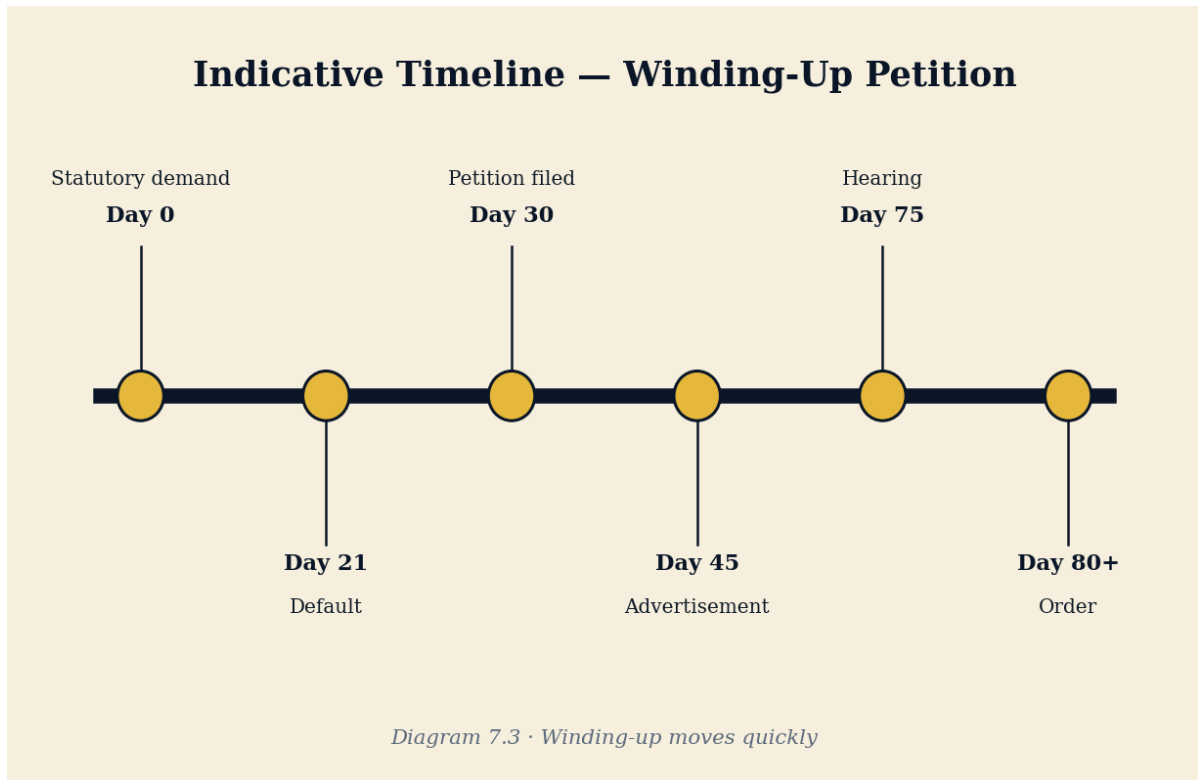
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Practitioner's Note

In day-to-day practice, the topic of *Set-off Rights* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Winding-up runs faster: from statutory demand to order is typically three to six months. The 21-day demand, the petition filing, the seven-day advertisement and the hearing date together compress the timeline.

Speed is the petitioner's principal advantage and is the reason banks frequently prefer winding-up to bankruptcy where the debtor is a company.

The winding-up timeline is shaped by advertisement, hearing and order. The hearing date is the focal point: every other date is set in relation to it. Practitioners should diary the hearing date as the spine of the file timetable.

Where the company files a cross-application (a scheme, a stay, a strike-out), the timeline lengthens materially. Banks should plan for these contingencies rather than be surprised by them; the cross-application is the predictable response of a sophisticated debtor.

Part 2 • Worked Example

Ms. Lim, a long-standing customer, instructs her bank to transfer RM 500,000 to a third party. Unknown to her, the third party is an impostor who has compromised her email. The bank executes the transfer. Quincecare requires the bank to refrain from executing instructions where reasonable inquiry would reveal them to be a fraud on the customer. The *Singularis* case has expanded this doctrine. Practitioners advising the customer must consider both contract (breach of mandate) and tort (Quincecare).

Procedural Walk-Through

Step one: open a master file with the facility documents, the statement of account, and the correspondence trail. Step two: prepare a chronology covering every default event, every demand and every customer response. Step three: identify the operative legal pathway from the diagrams in this Part — civil suit, foreclosure, bankruptcy, winding-up or a combination. Step four: draft the LOD with the five-element discipline. Step five: file the writ or originating process with the affidavit in support fully exhibited. Step six: prepare for the Order 14 or equivalent summary disposal hearing within thirty days of filing.

Strategic Reflection

The worked example above illustrates the mechanics; the strategy lies in the choices made at each branch. Why select foreclosure over bankruptcy? Why pursue the guarantor before the principal debtor? Why settle rather than press for judgment? Each choice carries a cost-and-benefit profile that turns on the bank's recovery target, the debtor's asset position and the time-value of money. Practitioners who can articulate the strategy in writing — to their supervising partner, to the credit committee, to the court at the costs hearing — consistently outperform those who treat litigation as a procedural exercise.

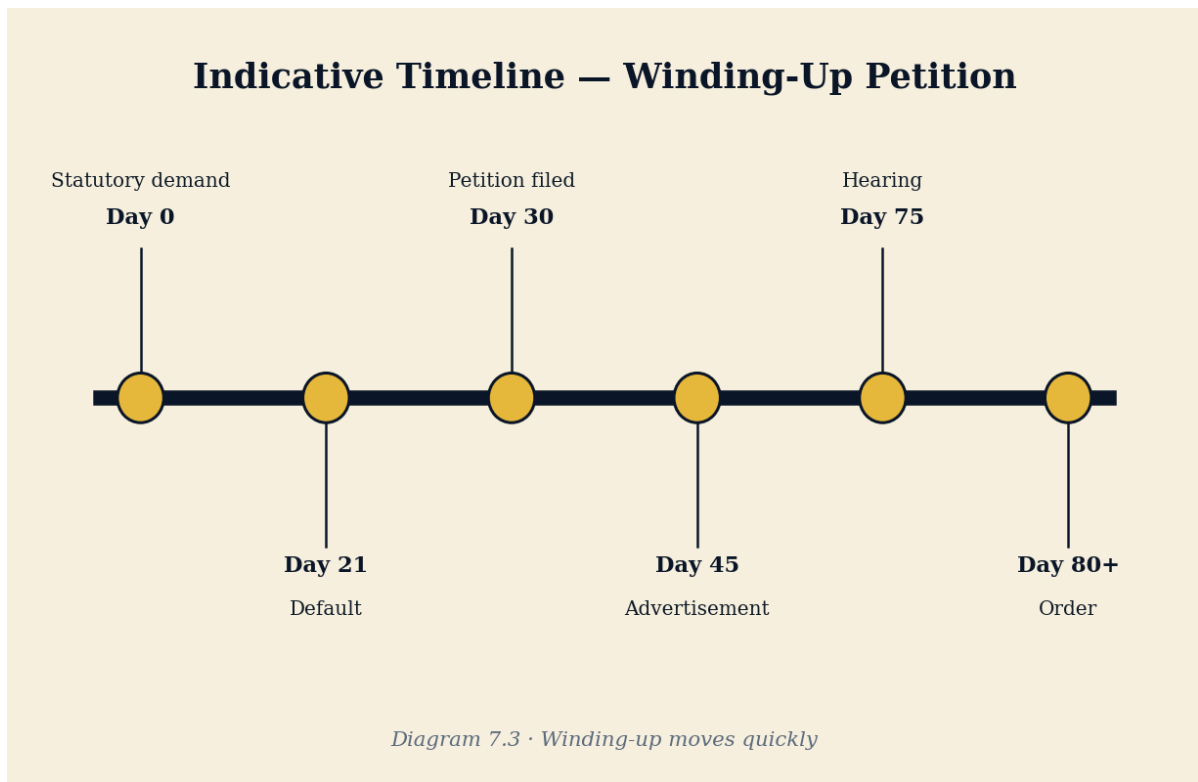


Diagram · Closing visual for Part 2

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Part 2 — Summary & Forward Look

This Part has set out — visually, deliberately — the architecture, procedure and strategic considerations of the banker–customer relationship. The diagrams should be marked, annotated and revisited as the practitioner returns to similar files. The Authorities Table will repay regular consultation. The next Part takes the discussion forward, building on the foundations laid here.

Self-Test (no peeking)

- ◆ State the principle in *Foley v. Hill*.
- ◆ Cite the section governing banking secrecy under the FSA 2013.
- ◆ Define the Quincecare duty in one sentence.

Doctrinal Footnote — Banker–Customer Duty

Ellinger, Lomnicka and Hare's *Modern Banking Law* remains the standard treatise on the banker–customer relationship in the Commonwealth tradition. Their analysis of the contract, the agency and the fiduciary aspects of the relationship is foundational; the Malaysian practitioner who masters the framework can navigate any banking dispute that arises in this Part. The treatise also explains the regulatory architecture in which the duties operate — central to the FSA / IFSA analysis.

On Quincecare specifically, Andrew McKnight's *The Law of International Finance* offers the most accessible exposition of the duty in commercial context. His treatment of the red-flag analysis, of the bank's duty to inquire and of the consequences of failure to do so equips the practitioner to plead and to defend Quincecare claims with confidence. The duty is not new; the willingness of the courts to find banks liable for breach is.

Forward Look

The next Part of this volume builds directly on the foundations laid here. Practitioners are encouraged to revisit the diagrams in this Part as they encounter the corresponding doctrines in their own files; the visuals are intended to function as desk references long after the first reading.

Three habits will accelerate the practitioner's mastery of the material in this Part: first, annotate the Authorities Table with case-specific notes; second, redraw the principal diagrams freehand on a blank page once a month for the next quarter; third, run any new file against the Part's self-test questions before the first internal case conference.

PART 3

LOAN RECOVERY LITIGATION

From letter of demand to judgment and beyond

IN THIS PART

- ◆ Chapter 3.1 Default and Acceleration
- ◆ Chapter 3.2 Letter of Demand · Pleadings · O.14
- ◆ Chapter 3.3 Judgment, Execution and Enforcement

Chapter 3.1 Default and Acceleration

From letter of demand to judgment and beyond

Loan recovery is the bread and butter of banking litigation in Malaysia. The vast majority of suits filed by financial institutions in the High Court and Sessions Court arise from defaulted credit facilities — term loans, overdrafts, revolving credits, trade finance lines and credit cards. The procedural pathway, however, is remarkably uniform once the cause of action has accrued.

The cause of action accrues on the date of default, typically defined in the facility agreement as the failure to pay an instalment when due, the failure to meet a financial covenant or the occurrence of an event of default such as cross-default or insolvency. Time begins to run for limitation purposes from this moment. Acceleration clauses permit the lender to call the entire outstanding sum upon default.



Voices from the Bench — Part 3

“Order 14 is a summary procedure; it is not a license to deprive a defendant of trial where there is a triable issue, however thinly drawn.”

— **Mohamed Azmi FCJ, National Company for Foreign Trade v. Kayu Raya [1984] 2 MLJ 300**

“The Statement of Account is the most important document in a banking suit, and the section 90A certificate is its passport into the affidavit; without the passport, the document is hearsay and the application fails.”

— **Abdul Hamid Mohamad CJ, RHB Bank v. Wong Hew Min [2009] 2 CLJ 13**

The discipline of the Statement of Account has been the single greatest evidentiary advance in Malaysian banking litigation in the past two decades. The combination of section 90A and the modern affidavit-of-records practice has transformed what used to be a contested area into an almost mechanical one: comply, exhibit, succeed. Banks that have not internalised the discipline lose cases they should win; banks that have do not.

On the recovery side, the Federal Court's emphasis on documentation has changed practice in measurable ways. Facility letters are longer and more specific; LODs are templated and reviewed; computation worksheets are exhibited as a matter of course. The litigator who comes from another field is sometimes startled by the volume of paper a Malaysian banking suit generates; the answer is that each piece of paper has been made necessary by an appellate decision.

Order 14 Summary Judgment Mechanics



Diagram 3.2 · O.14 mechanics in banking claims

The Order 14 procedural flow runs from filing of writ → service → memorandum of appearance → affidavit in support → defendant's affidavit in reply → SAR's hearing → grant or refusal of summary judgment.

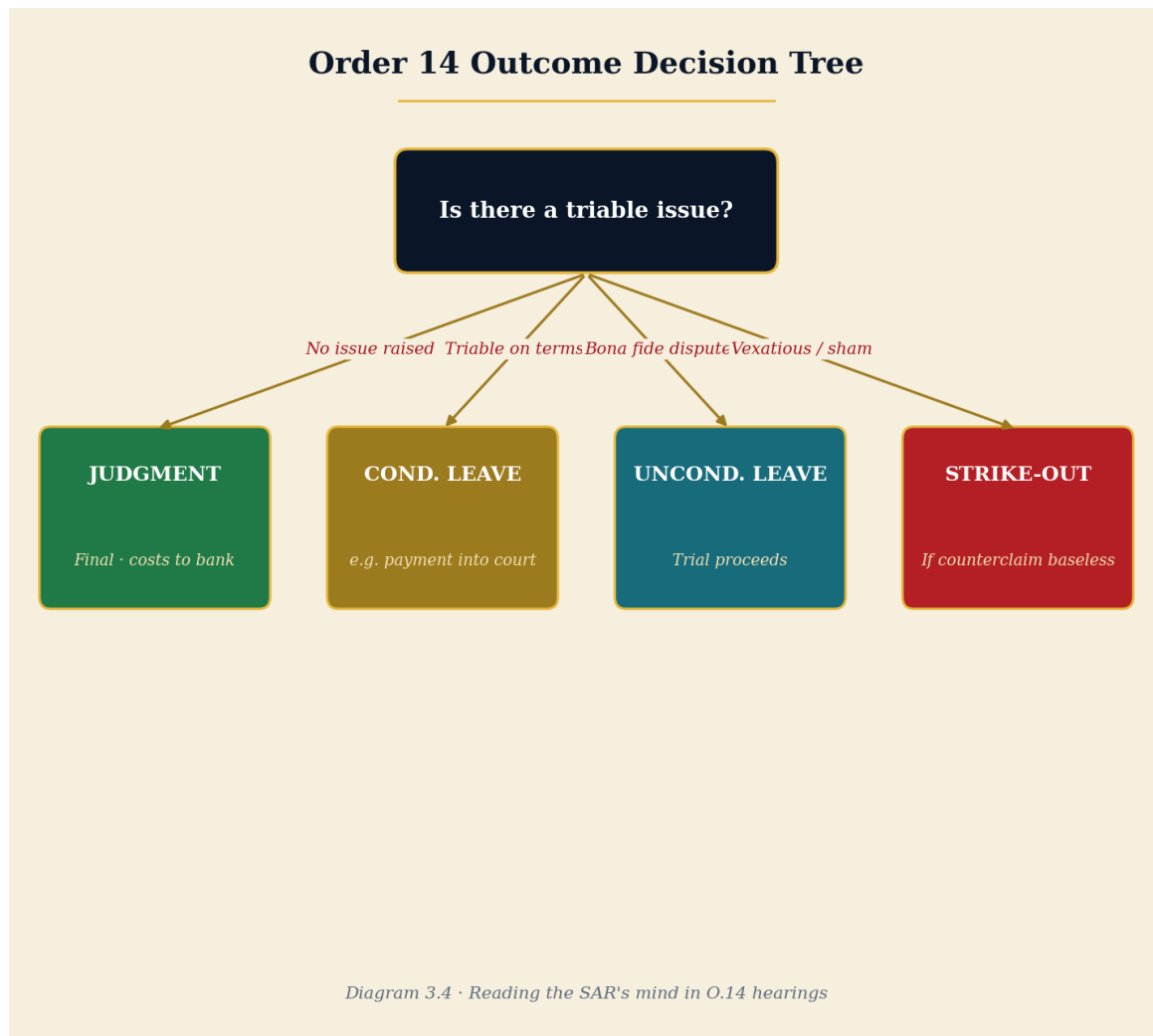
A well-prepared bank will have the affidavit in support drafted before the writ is even filed, and will be ready to file the reply affidavit within seven days of receiving the defence affidavit. Speed compounds at every stage.

The flow describes a procedure that, when run with discipline, completes within ninety days of filing for an undefended matter and within one hundred and fifty days for a contested matter. Practitioners are encouraged to maintain a procedural diary that calendars each step and surfaces any slippage at the weekly review.

Compounding speed across the steps is the strategic point. A bank that files three days faster, serves two days faster and replies five days faster than the opponent compresses the timeline by a fortnight at no incremental cost; over a portfolio of three hundred files, the saving is substantial.

Key Authorities at a Glance

Citation	Proposition
<i>Eso Standard Malaya Bhd v. Southern Cross Airways</i> [1972] 1 MLJ 168	O.14 application principles
<i>National Company for Foreign Trade v. Kayu Raya Sdn Bhd</i> [1984] 2 MLJ 300	Test for triable issue
<i>Bank Negara Malaysia v. Mohd Ismail</i> [1992] 1 MLJ 400	Affidavit requirements in O.14



The Order 14 decision tree is the practitioner's most-used algorithm. Three questions govern: (1) is the claim liquidated and admitted in substance? (2) is there a triable issue raised by the defence? and (3) is conditional leave to defend appropriate?

Bank Negara v. Mohd Ismail and the long line of cases from *Citibank v. Mohamad Khalid* through to the modern authorities all turn on these three questions. Mastering the algorithm is the surest path to summary disposal.

The decision tree is the single most-used algorithm in the practice. Practitioners are encouraged to print it, paste it inside the front cover of every Order 14 file, and run through it at every conference. The discipline is the surest path to the right answer.

Where conditional leave is appropriate, the conditions should be drafted with care: payment into court of the undisputed sum, security for costs and a tight timetable for the trial. Loose conditions on Order 14 are an invitation to delay; tight conditions compress the dispute to its substantive core.

Chapter 3.2 Letter of Demand · Pleadings · O.14

The letter of demand is the next critical step. Although not legally required to issue a writ in most cases, it is a near-universal pre-action step in banking practice. The LOD serves as evidence of demand and refusal, gives the borrower a final opportunity to remedy, and triggers the limitation clock for some causes of action. It must be sufficiently particularised to be effective.

“There must be a triable issue, not a sham defence.” — Bank Negara v. Mohd Ismail

Doctrinal Footnote — Loan Recovery Practice

Skandar Singh Sidhu and Sukhmander Singh, in their *Banking Law and Practice in Malaysia*, document the recurring patterns in recovery work — the LOD, the affidavit, the Order 14 application — with a precision born of practice. Their templates and commentary reflect the actual rhythm of the Commercial Division and remain a reliable reference for the daily questions that arise.

Hashim bin Yusoff's treatment of the Limitation Act 1953 is the standard reference for that statute. The interaction between sections 6, 26 and 27 — accrual, acknowledgement and disability — has produced more reported decisions than any other limitation question, and Hashim's commentary explains the doctrinal architecture that the cases otherwise leave implicit. Where limitation is in issue, his is the first text to consult.

Enforcement Funnel — From Judgment to Recovery

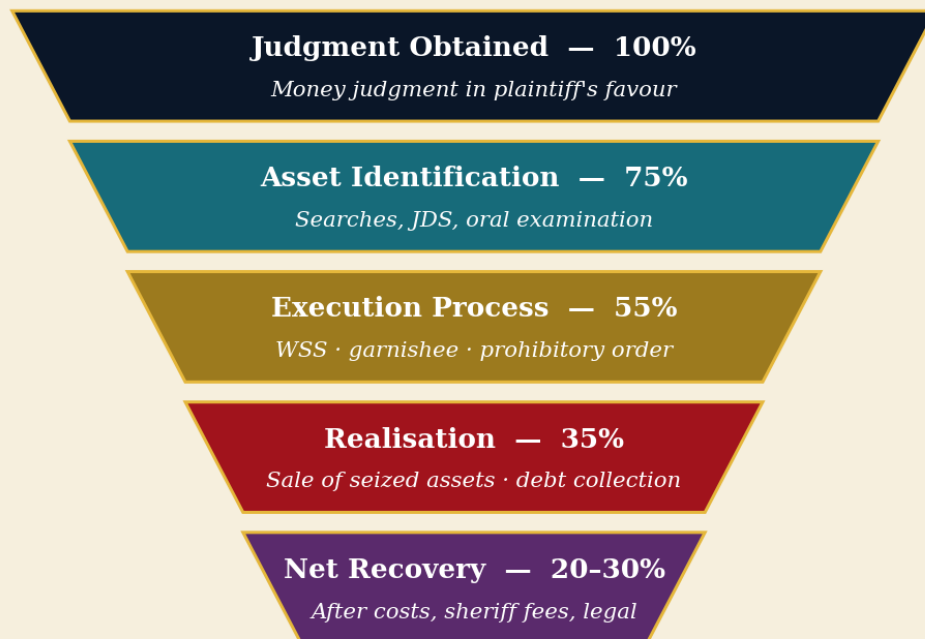


Diagram 3.3 · Realistic funnel of post-judgment recovery

Enforcement narrows the field. Of one hundred files entering the recovery pipeline, perhaps eighty are settled or compromised before trial; fifteen go to summary judgment; four to full trial; and one to appeal.

The funnel is descriptive, not prescriptive: each file must be assessed on its merits. But the empirical pattern reminds the practitioner that the bulk of their recovery value is captured pre-trial through disciplined LOD work and Order 14 strategy.

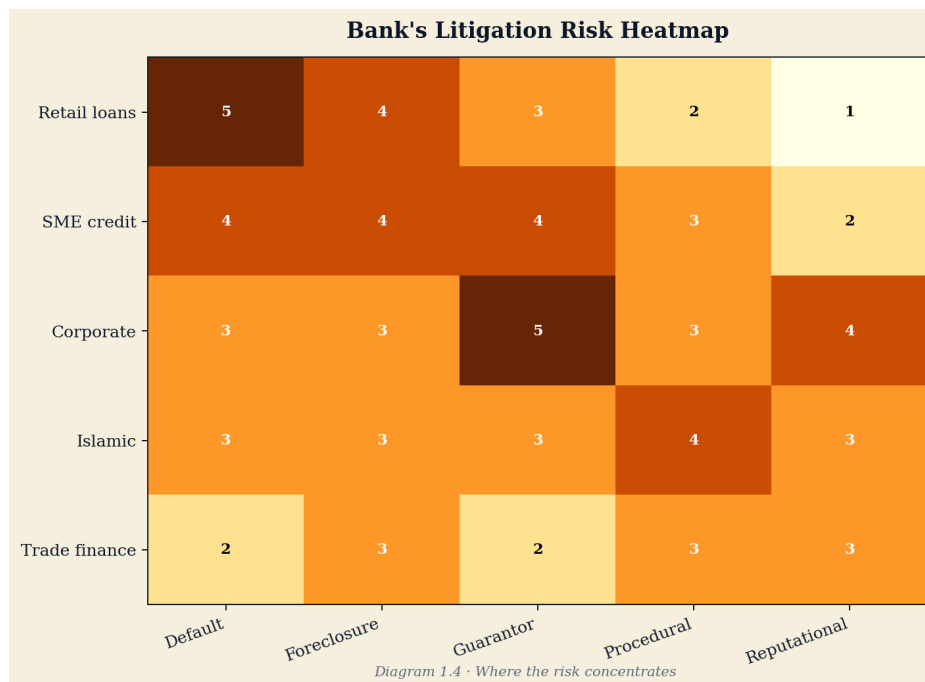
The funnel is empirical, drawn from the working-paper datasets of the Commercial Division. The practitioner planning resource allocation across a recovery portfolio should plan to the funnel: most value is captured pre-trial, and the marginal cost of the trial-and-appeal long tail is high.

Where a file appears at the outset to be heading for trial, the senior practitioner should ask whether the file can be re-positioned for summary disposition or for assisted resolution. Re-positioning at the outset costs hours; re-positioning at the door of the court costs months.

Limitation Periods Affecting Banking Claims

Cause of Action	Period	Statute
Simple contract (loan)	6 years	s.6(1)(a) Limitation Act 1953
Specialty / deed	12 years	s.6(3) LA 1953
Recovery of land (charge)	12 years	s.9 LA 1953
Action on judgment	12 years	s.6(3) LA 1953
Recovery of charge money	12 years	s.21 LA 1953
Tort (conversion of cheque)	6 years	s.6(1)(a) LA 1953
Equitable claims (tracing)	Analogy applies	Common law
Bankruptcy (after judgment)	6 yrs from JD	Re Mok Yong Kong

Table 1.1 · Quick limitation reference for the practitioner



These two diagrams should be read together. The limitation table identifies *when* a claim must be brought; the heatmap identifies *where* the litigation risk concentrates. Practitioners should annotate both as files come in — the patterns will repeat across the practice.

Practitioner's Checklist — Part 3

- ☐ Date of first default established and recorded
- ☐ Acceleration clause invoked and notice given
- ☐ Letter of demand drafted with all five required elements
- ☐ Service confirmed by AR card or other proof
- ☐ Statement of Claim particularises facility, sum, demand
- ☐ Affidavit verifying claim signed by recovery officer with knowledge
- ☐ All exhibits indexed and certified

Diagram · Pre-action and trial-readiness verification

The diagram opposite — **Checklist P3** — synthesises one of the recurring structural patterns in Malaysian banking-litigation practice. It is intended to be read in conjunction with the surrounding text and used as a working reference at the desk.

Practitioners should treat the diagram as a checklist rather than as a settled doctrinal statement: every case carries its own facts, and every doctrine evolves through the regular work of the appellate courts. The strength of the visual is its capacity to surface the underlying architecture quickly; the strength of the prose is its capacity to expose nuance.

Chapter 3.3 Judgment, Execution and Enforcement

The letter of demand is the next critical step. Although not legally required to issue a writ in most cases, it is a near-universal pre-action step in banking practice. The LOD serves as evidence of demand and refusal, gives the borrower a final opportunity to remedy, and triggers the limitation clock for some causes of action. It must be sufficiently particularised to be effective.

Practical Drafting Notes

Particularise the facility, sum demanded and date of demand.

Plead acceleration distinctly, with reference to the clause.

State the precise account from which interest is calculated.

Pray for indemnity costs if facility so provides.

Demand, Acceleration and Quantum

The Letter of Demand is the most important non-pleaded document in a recovery action. It must identify the facility precisely (date, amount, parties), state the default (which clause, which payment), set out the quantum (principal, interest to a stated date, daily rest thereafter), and demand payment within a stated period. A demand that omits any of these is vulnerable to attack and may need to be re-issued — costing weeks. Service must be by the contractually-stipulated mode; AR-registered post to the address in the facility letter is the default safe harbour.

Acceleration must be pleaded distinctly. The Statement of Claim should reproduce or summarise the acceleration clause, identify the event of default, recite the acceleration notice, and aver that the entire indebtedness has fallen due. The same goes for the calculation of interest: state the contractual rate, the rest period, and the date from which post-judgment interest runs. The court should be able to perform the arithmetic on the face of the pleading without resort to the affidavit.

The Statement of Account is hearsay unless it comes within section 90A of the Evidence Act 1950. Exhibit a section 90A certificate signed by the bank's officer-in-charge of the records, identifying the records, the manner of their production and the absence of human intervention in the entries. Without the certificate the account is excluded and the affidavit collapses. The Federal Court has been progressively stricter on this point; certificate-by-template is no substitute for a certificate addressing the records actually produced.

Order 14 applications stand or fall on the affidavit. The deponent must depose to personal knowledge, identify each exhibit, and address every triable issue the defendant is likely to raise. A defence that raises a 'shadowy' defence will defeat the application; the trick is to anticipate the shadow and dispel it in the affidavit. Practitioners who file a thin O.14 affidavit and rely on submissions to fill the gaps tend to find the application converted to a writ action and a year added to the timetable.

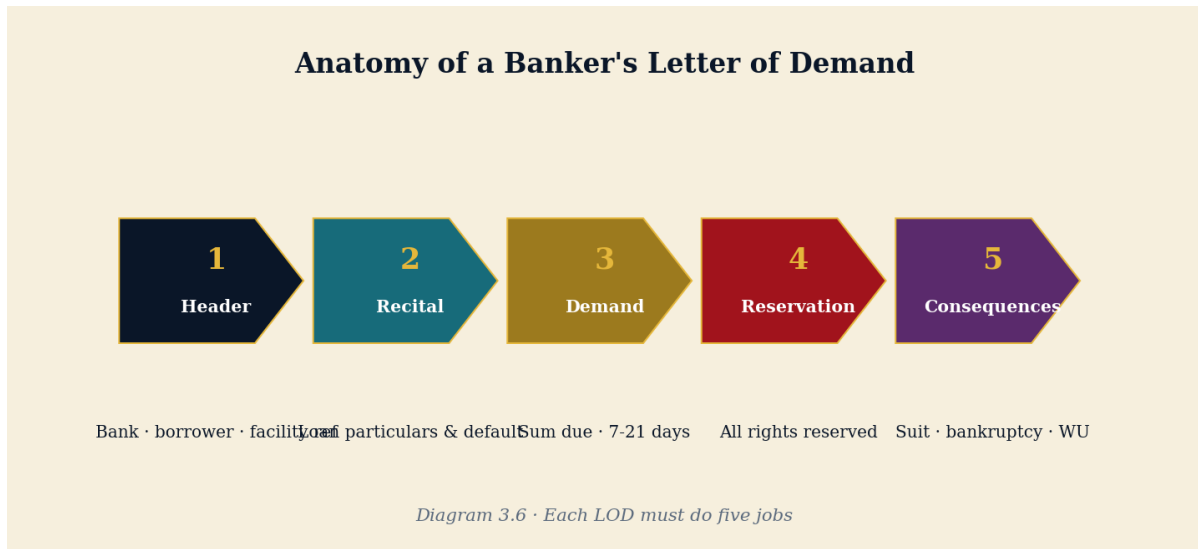
“There must be a triable issue, not a sham defence; an affidavit which raises only bare denials will not suffice to drive the matter to trial.”

— **Mohamed Azmi FCJ, Bank Negara v. Mohd Ismail [1992] 1 MLJ 400**

Practice Tips — Loan Recovery

- ◆ Build a *Quantum Worksheet* at the time of the LOD: principal, interest to date, daily rest, fees, recoveries. Update it weekly until judgment. The worksheet is exhibited at every later stage.

- ◆ Section 90A certificates should be drafted by the records officer, not the litigator; the officer's personal knowledge of the records is what gives the certificate its weight under the Evidence Act.
- ◆ After judgment, run an *Execution Map*: garnishee targets, real property held, movable goods, cross-border assets. Pursue the easiest avenue first; preserve the others for later applications.



The Letter of Demand is the recovery practitioner's signature document. The horizontal-steps diagram captures the five elements: header (parties and reference), recital (the facility), demand (the precise sum and date), reservation (rights and remedies), and consequences (legal action on default).

Each element must be present and precisely worded. A defective LOD can derail the entire recovery — and the defect is often only discovered at trial, when it is too late.

The horizontal LOD steps run from default identification through to demand letter delivery. Each step is short on paper and consequential in practice; banks that compress any one step to save days are banks that lose months later when the LOD is challenged.

The discipline is documentary. Each step must produce its own paper: the default report, the partner sign-off, the LOD itself, the proof of service, the response register. A complete LOD file at the point of demand is the practitioner's foundation for everything that follows.



The mind-map captures the practitioner's mental model of loan recovery: at the centre, the defaulting facility; radiating outward, the documentary trail, the legal pathways, the security options and the strategic considerations.

Drawing the mind-map at the start of every file forces the practitioner to confront the full landscape of the dispute, rather than fixating on one familiar pathway.

The mind-map is a discipline rather than a doctrine. Drawing it forces the practitioner to articulate, in twenty minutes, the documentary trail, the legal pathways, the security options and the strategic considerations on a fresh file. The exercise routinely surfaces a pathway the partner had not yet considered.

Junior practitioners are encouraged to draft the mind-map before the first internal case conference; the partner then critiques the map rather than the file, which compresses the learning curve materially. Over the life of a recovery practice, a habit of mind-mapping every new file pays dividends measured in weeks of saved time.

Strategic Considerations

Loan recovery moves on documents. The strength of the bank's documentary trail — from facility letter to LOD to statement of account — usually determines the speed and certainty of recovery. Investing in document preparation pays compound returns at every later stage.

Common Pitfalls

LOD that does not particularise the demand.

Affidavit by an officer without personal knowledge.

Statement of Claim that misstates the principal sum.

Lessons from the Reports — Part 3

The Letter of Demand carries weight far beyond its formal function. A demand that does not particularise the sum demanded, or that demands a sum the bank cannot prove on documents, is the first thread the defendant will pull. The reported cases include LODs that demanded interest at rates not in the facility, that overstated the principal by clerical error, and that omitted the facility reference altogether. Each was held to be a defective demand, requiring re-issuance and a fresh cause of action.

Affidavits in support of summary judgment are routinely struck out where the deponent lacks personal knowledge of the matters deposed. The standard solution is the section 90A Evidence Act 1950 certificate signed by the bank's officer-in-charge of the records — exhibiting the certificate to the affidavit converts the bank's records into prima facie evidence. Without the certificate, the Statement of Account is hearsay and the application fails.

Order 14 is not a substitute for trial. Where the defendant raises a triable issue — even a thin one — the court will give leave to defend. The bank's affidavit must therefore meet each anticipated defence head-on, exhibiting the relevant document and explaining its significance. A defence that the facility was for an illegal purpose, that the deponent was not authorised, or that the variation discharges the surety, must be addressed in the affidavit, not in submissions.

Post-judgment execution is a different discipline. Garnishee orders fail where the deposit is in joint names without a clear apportionment; charging orders over land require careful identification of the legal estate; writs of seizure and sale fail where the goods are leased rather than owned. Plan the execution at the time of pleading; the judgment that cannot be enforced is a paper judgment.

“Where the affidavit in support of an Order 14 application establishes a prima facie case for judgment, the burden shifts to the defendant to show by affidavit that there is a triable issue.”

— Edgar Joseph Jr SCJ, *Bank Negara Malaysia v. Mohd Ismail* [1992] 1 MLJ 400

Practice Tips — Loan Recovery

- ◆ Build a *Quantum Worksheet* at the time of the LOD: principal, interest to date, daily rest, fees, recoveries. Update it weekly until judgment. The worksheet is exhibited at every later stage.
- ◆ Section 90A certificates should be drafted by the records officer, not the litigator; the officer's personal knowledge of the records is what gives the certificate its weight under the Evidence Act.
- ◆ After judgment, run an *Execution Map*: garnishee targets, real property held, movable goods, cross-border assets. Pursue the easiest avenue first; preserve the others for later applications.



The recovery pipeline begins long before the writ. Internal default review, an early-warning meeting and the issuance of a structured Letter of Demand routinely save weeks at trial. The LOD is the single most important pre-action document: it crystallises the cause of action, starts the limitation clock running afresh in many cases, and supplies the foundation for the Statement of Claim.

Once the writ is filed, the bank's choice of procedural route is determinative. Order 14 summary judgment is the workhorse where the defence is unarguable; Order 81 summary judgment for liquidated demands offers an alternative track. Where the customer pleads a substantial defence, the matter goes to full trial — adding nine to fifteen months and significant costs.

The flow is linear in the diagram and iterative in practice. A defaulted file may shuttle between the LOD step and the negotiated-restructuring step three or four times before settling on the litigation track; the diagram captures the canonical path, not every variation.

Each step has a documentary footprint that must be preserved: the LOD itself, the proof of service, the response (or its absence), the demand-default certificate. The practitioner who closes a file with a complete documentary footprint protects the bank against any later challenge to the recovery.

Part 3 • Deep Dive

Loan recovery rewards systematic preparation. This deep dive walks through the practitioner's day, from intake through to enforcement, with attention to the documents and decisions at each step.

Five Topics, Five Visual Treatments

- ◆ Intake and Triage
- ◆ Drafting the Letter of Demand
- ◆ Pleading the Statement of Claim
- ◆ Order 14 in Practice
- ◆ Execution Mechanisms

3.1D Intake and Triage

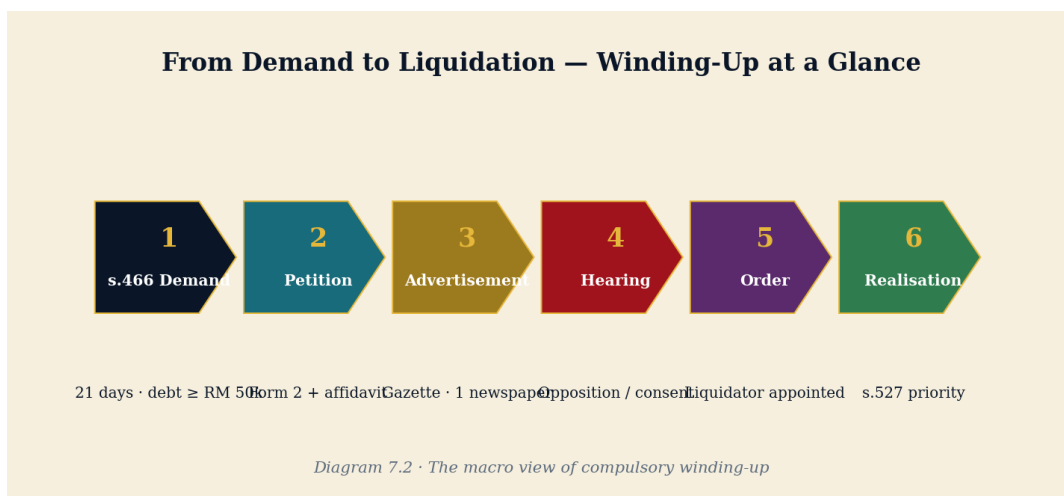
The first internal step in any recovery file is triage: confirming the customer's identity, the facility documents, the default trigger and the available security. A 30-minute triage well done saves weeks at trial.

Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of loan recovery litigation. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *Intake and Triage* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.



Mareva Injunction — The Four Tests (Mareva Compania Naviera v IBC)



Diagram 9.2 · The four-limb test for freezing relief

Mareva injunctions occupy a quadrant defined by the four classical requirements: good arguable case on the merits, real risk of dissipation, balance of convenience and full and frank disclosure on the ex parte application.

Failure on any one quadrant is fatal. Practitioners should construct their affidavit in support to address each requirement in dedicated paragraphs, with documentary exhibits keyed to each.

The four cells of the Mareva quadrant — good arguable case, real risk of dissipation, balance of convenience, undertaking as to damages — are the affidavit's mandatory architecture. Any one cell left thin is the cell on which the application will fail.

The undertaking as to damages is taken seriously. Practitioners must brief the bank on the undertaking before the application is filed; banks that learn of the undertaking only after the order is granted have, on occasion, withdrawn applications mid-flight at significant cost.

3.2D Drafting the Letter of Demand

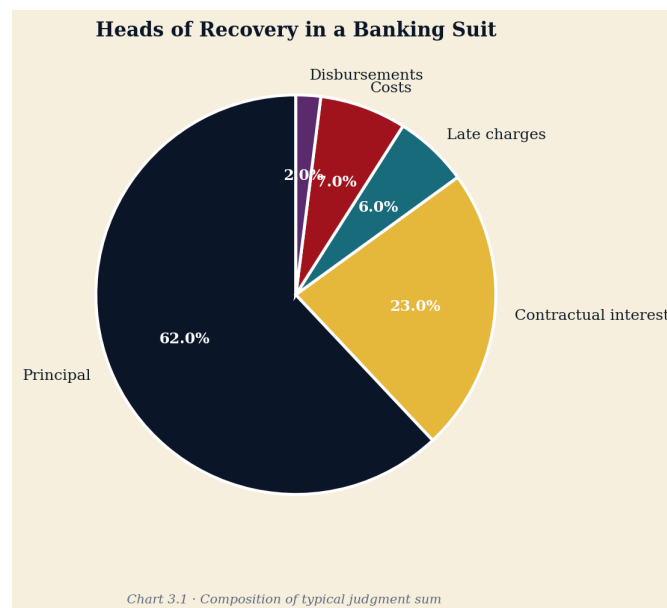
A defective LOD can derail an entire recovery. The five elements — header, recital, demand, reservation and consequences — must each be present. A common error is failure to specify the precise sum and the date by which payment is required.

Doctrinal Note

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Practitioner's Note

In day-to-day practice, the topic of *Drafting the Letter of Demand* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.



Indicative Timeline — Foreclosure under Section 254 NLC

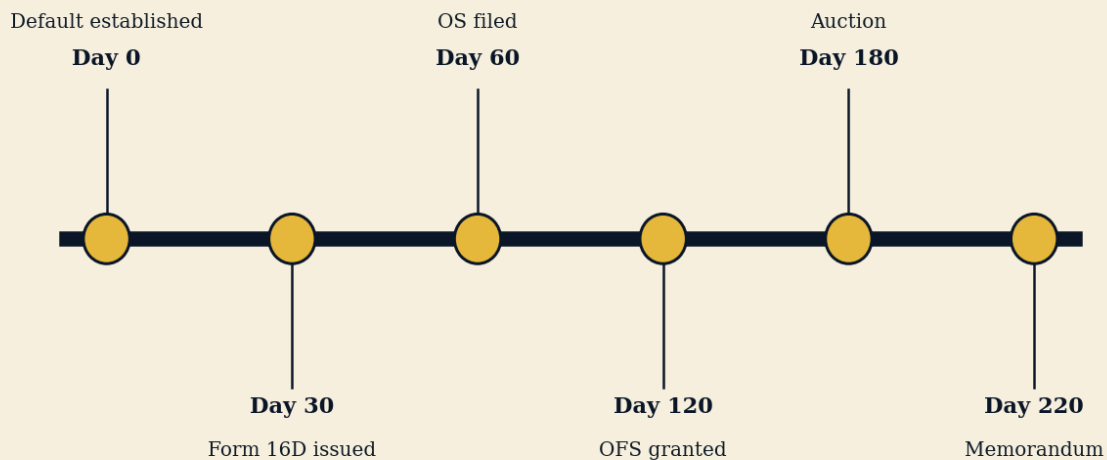


Diagram 4.3 · From default to disposition: roughly six months

The foreclosure timeline runs typically nine to fifteen months from default to auction. The principal delays are the one-month Form 16D notice period, the listing of the OS hearing and the auction conduct.

Practitioners can compress the timeline by ensuring the OS affidavit is fully exhibited and ready for filing the day after the Form 16D notice period expires.

The timeline is read both ways: forwards from filing to auction, and backwards from auction to filing. Banks planning a sale by a particular date must work backwards from that date to identify the filing window; banks responding to a fresh default work forwards.

The timeline is not adjustable downward beyond a floor. The statutory notice periods and the court's own listing pace impose a minimum of approximately seven to nine months from filing to first auction; promises of faster timelines should be treated with scepticism.

3.3D Pleading the Statement of Claim

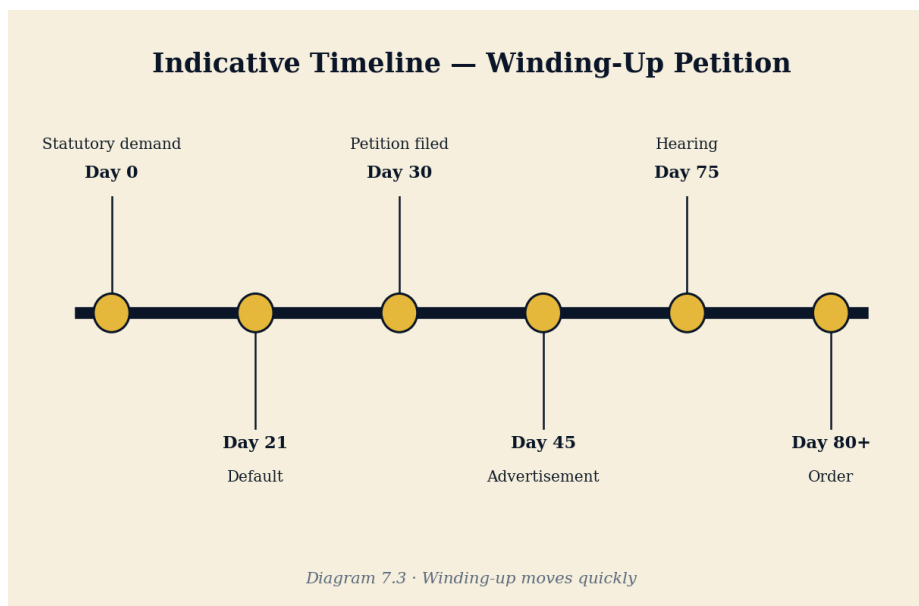
The SOC must particularise the facility, the default, the demand and the relief sought. Rule 18 of the Rules of Court 2012 requires material facts to be pleaded with sufficient particularity to enable the defendant to know the case to meet.

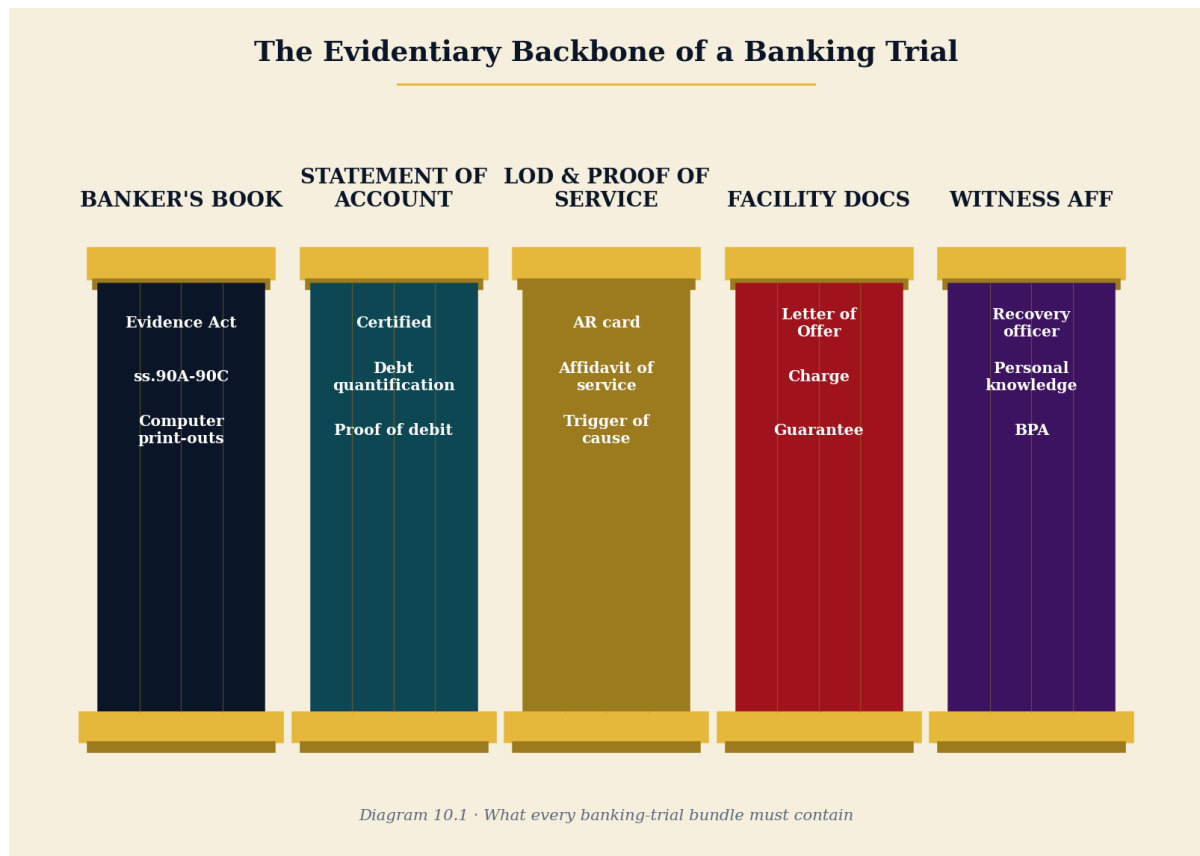
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Practitioner's Note

In day-to-day practice, the topic of *Pleading the Statement of Claim* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Banking evidence rests on three pillars: documentary evidence (sections 90A–90C of the Evidence Act), oral evidence (the bank's recovery officer) and expert evidence (occasionally on quantum or accounting practice).

Sections 90A–90C provide the gateway for computer-generated records. The certifying officer must depose to the system, the conditions of regular use and the absence of malfunction. Defective certification is fatal.

The pillars of banking evidence are the section 90A certificate, the original document, the witness with personal knowledge, and the documentary trail running back to account opening. A weakness in any pillar weakens the structure as a whole.

Practitioners are encouraged to audit their evidence pillars at the point of filing the writ, not at the point of trial. Gaps surfaced at filing can be repaired; gaps surfaced at trial cost the case.

3.4D Order 14 in Practice

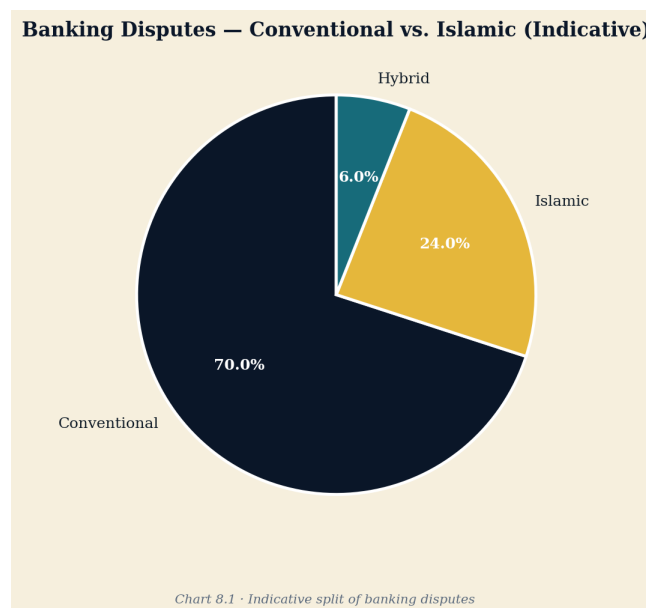
The Senior Assistant Registrar's hearing typically takes 20-30 minutes. The bank's affidavit must verify the claim and exhibit the supporting documents. The defendant's reply affidavit must raise a triable issue, not merely a technical objection.

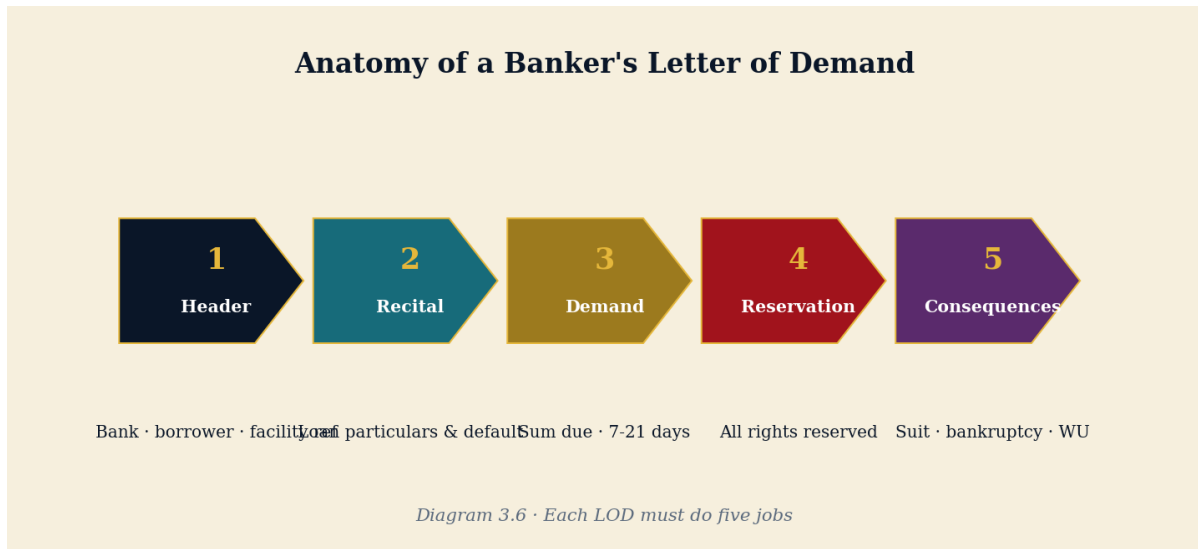
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Practitioner's Note

In day-to-day practice, the topic of *Order 14 in Practice* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





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The discipline is documentary. Each step must produce its own paper: the default report, the partner sign-off, the LOD itself, the proof of service, the response register. A complete LOD file at the point of demand is the practitioner's foundation for everything that follows.

3.5D Execution Mechanisms

Following judgment, the bank has several enforcement options: writ of seizure and sale (movables), prohibitory order (land), garnishee order (debts owed to the judgment debtor), judgment debtor summons (oral examination) and bankruptcy or winding-up. Each has distinct tactical advantages.

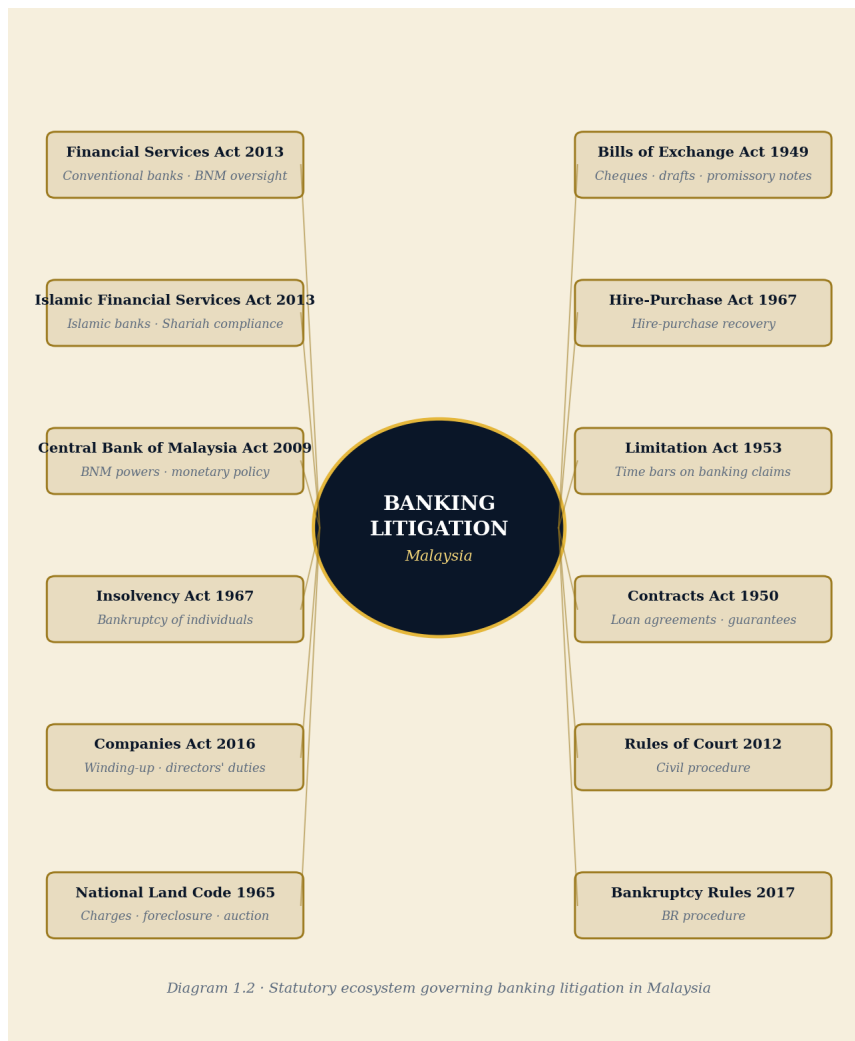
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Practitioner's Note

In day-to-day practice, the topic of *Execution Mechanisms* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





The statutory architecture rests on five pillars: the Financial Services Act 2013 (conventional banking), the Islamic Financial Services Act 2013 (Islamic banking), the Central Bank of Malaysia Act 2009 (regulator), the National Land Code 1965 (charge enforcement), and the Insolvency Act 1967 / Companies Act 2016 (default consequences).

Each pillar interacts with the others. A defaulted facility under the FSA may trigger NLC foreclosure if secured on land, bankruptcy proceedings if the debtor is an individual, or winding-up under the Companies Act if the debtor is a company. Reading the statutes in isolation is a recipe for missed defences and overlooked remedies.

The statutory map is the practitioner's compass. Each instrument is paired with a small number of operative provisions that recur across the practice; the discipline is to know those provisions cold rather than to know the entire instrument shallowly. A printed copy of the map taped inside the file cover saves hours of orientation on every new file.

The map evolves. The Financial Services Act 2013 and the Islamic Financial Services Act 2013 redrew large portions of the territory; the Companies Act 2016 redrew the corporate-recovery territory; and BNM's regular policy documents continue to redraw operational territory. A practitioner who reviews the map annually will not be caught out by a change.

Part 3 • Worked Example

BorrowerCo defaults on a RM 5 million term loan after 18 months. The bank's first step is the LOD: a 21-day demand specifying the principal, accrued interest and the date by which payment is required. On default, the bank files a writ in the High Court, supported by a Statement of Claim particularising the facility, the default and the demand. An O.14 application follows two weeks after the defence is filed. The SAR grants summary judgment within 60 days. Execution proceeds via writ of seizure and sale.

Procedural Walk-Through

Step one: open a master file with the facility documents, the statement of account, and the correspondence trail. Step two: prepare a chronology covering every default event, every demand and every customer response. Step three: identify the operative legal pathway from the diagrams in this Part — civil suit, foreclosure, bankruptcy, winding-up or a combination. Step four: draft the LOD with the five-element discipline. Step five: file the writ or originating process with the affidavit in support fully exhibited. Step six: prepare for the Order 14 or equivalent summary disposal hearing within thirty days of filing.

Strategic Reflection

The worked example above illustrates the mechanics; the strategy lies in the choices made at each branch. Why select foreclosure over bankruptcy? Why pursue the guarantor before the principal debtor? Why settle rather than press for judgment? Each choice carries a cost-and-benefit profile that turns on the bank's recovery target, the debtor's asset position and the time-value of money. Practitioners who can articulate the strategy in writing — to their supervising partner, to the credit committee, to the court at the costs hearing — consistently outperform those who treat litigation as a procedural exercise.

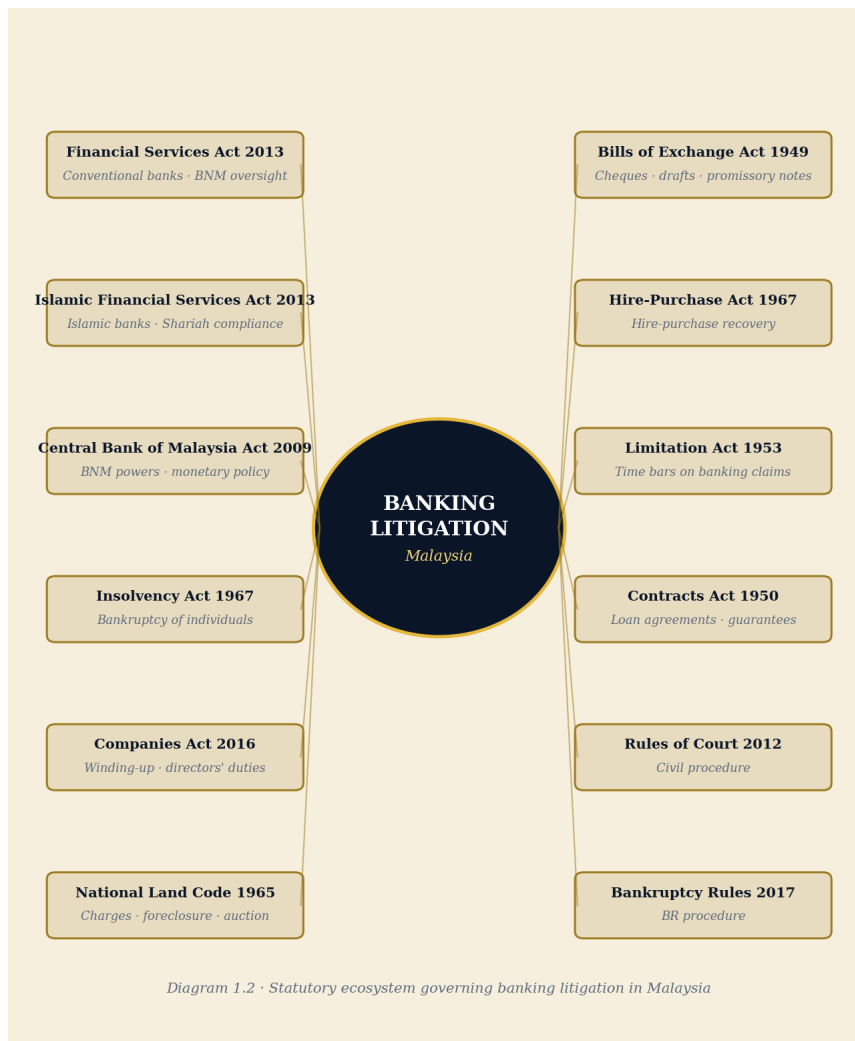


Diagram · Closing visual for Part 3

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Part 3 — Summary & Forward Look

This Part has set out — visually, deliberately — the architecture, procedure and strategic considerations of loan recovery litigation. The diagrams should be marked, annotated and revisited as the practitioner returns to similar files. The Authorities Table will repay regular consultation. The next Part takes the discussion forward, building on the foundations laid here.

Self-Test (no peeking)

- ◆ What are the five elements of an effective LOD?
- ◆ What is the standard for resisting an O.14 application?
- ◆ Name three execution mechanisms post-judgment.

Doctrinal Footnote — Loan Recovery Practice

Skandar Singh Sidhu and Sukhmander Singh, in their *Banking Law and Practice in Malaysia*, document the recurring patterns in recovery work — the LOD, the affidavit, the Order 14 application — with a precision born of practice. Their templates and commentary reflect the actual rhythm of the Commercial Division and remain a reliable reference for the daily questions that arise.

Hashim bin Yusoff's treatment of the Limitation Act 1953 is the standard reference for that statute. The interaction between sections 6, 26 and 27 — accrual, acknowledgement and disability — has produced more reported decisions than any other limitation question, and Hashim's commentary explains the doctrinal architecture that the cases otherwise leave implicit. Where limitation is in issue, his is the first text to consult.

Forward Look

The next Part of this volume builds directly on the foundations laid here. Practitioners are encouraged to revisit the diagrams in this Part as they encounter the corresponding doctrines in their own files; the visuals are intended to function as desk references long after the first reading.

Three habits will accelerate the practitioner's mastery of the material in this Part: first, annotate the Authorities Table with case-specific notes; second, redraw the principal diagrams freehand on a blank page once a month for the next quarter; third, run any new file against the Part's self-test questions before the first internal case conference.

PART 4

SECURITIES AND CHARGES (NLC)

Foreclosure, auction, redemption and the Order for Sale

IN THIS PART

◆ Chapter 4.1 The National Land Code Charge

◆ Chapter 4.2 The Order for Sale Procedure

◆ Chapter 4.3 Setting Aside Auctions and Redemption

Chapter 4.1 The National Land Code Charge

Foreclosure, auction, redemption and the Order for Sale

Real-property security in Malaysia is governed by the National Land Code 1965, a Torrens-system statute that recognises the registered charge as the principal form of security over land. A charge gives the chargee an immediate proprietary interest, registered on the title, with priority according to the date of registration. The remedies of the chargee — sale, possession and appointment of receiver — are statutory and must be exercised in compliance with the Code.

Sections 254 to 268 of the NLC set out the foreclosure procedure. For land held under Registry title, the application for an Order for Sale is made to the High Court; for land held under Land Office title, to the Pentadbir Tanah. The standard preliminary step is the issuance of a Form 16D notice giving the chargor one calendar month to remedy the breach. Failure to remedy entitles the chargee to apply for the Order.



Voices from the Bench — Part 4

“The chargee’s right to sell is not a punitive remedy; it is the realisation of a security interest carefully bargained for and reflected in the register, and the court will protect it where the procedural steps have been observed.”

— **Edgar Joseph Jr FCJ, Low Lee Lian v. Ban Hin Lee Bank [1997] 1 MLJ 77**

“Reserve price is a matter for the court, but the court will be guided by the chargee’s valuation if it is recent, independent and reasoned; bare assertion will not do.”

— **Mohamad Ariff JCA, Co-operative Central Bank v. Feyen Development [2007] 7 MLJ 217**

Foreclosure jurisprudence in Malaysia has developed in a single direction since the 1990s: away from technical objections and towards procedural rigour for the chargee. The reported cases will reward a chargee who issues Form 16D properly, exhibits the Land Office search, sets a defensible reserve and addresses each likely objection in advance. The chargee who proceeds carelessly invites a grant-and-set-aside cycle that costs months and erodes the value of the security.

Academic writing on the National Land Code — particularly Teo Keang Sood's seminal commentary — has emphasised that the Code is a system of priorities to be respected by the courts. The chargee who understands the priority register, the role of caveats and the interaction between charges and tenancies brings to the auction a fluency that the chargor's challenge cannot easily disturb. Mastery of the Code is the foreclosure litigator's competitive edge.

Indicative Timeline — Foreclosure under Section 254 NLC

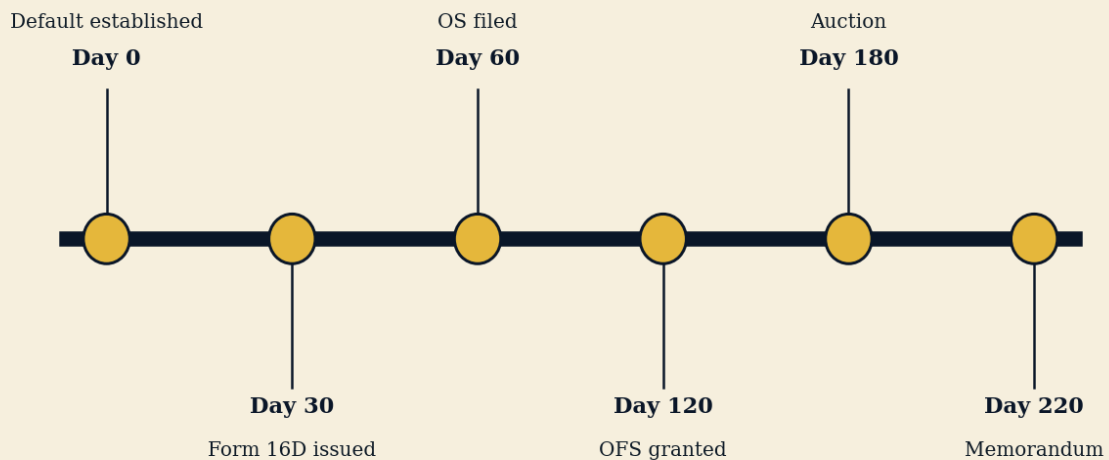


Diagram 4.3 · From default to disposition: roughly six months

The foreclosure timeline runs typically nine to fifteen months from default to auction. The principal delays are the one-month Form 16D notice period, the listing of the OS hearing and the auction conduct.

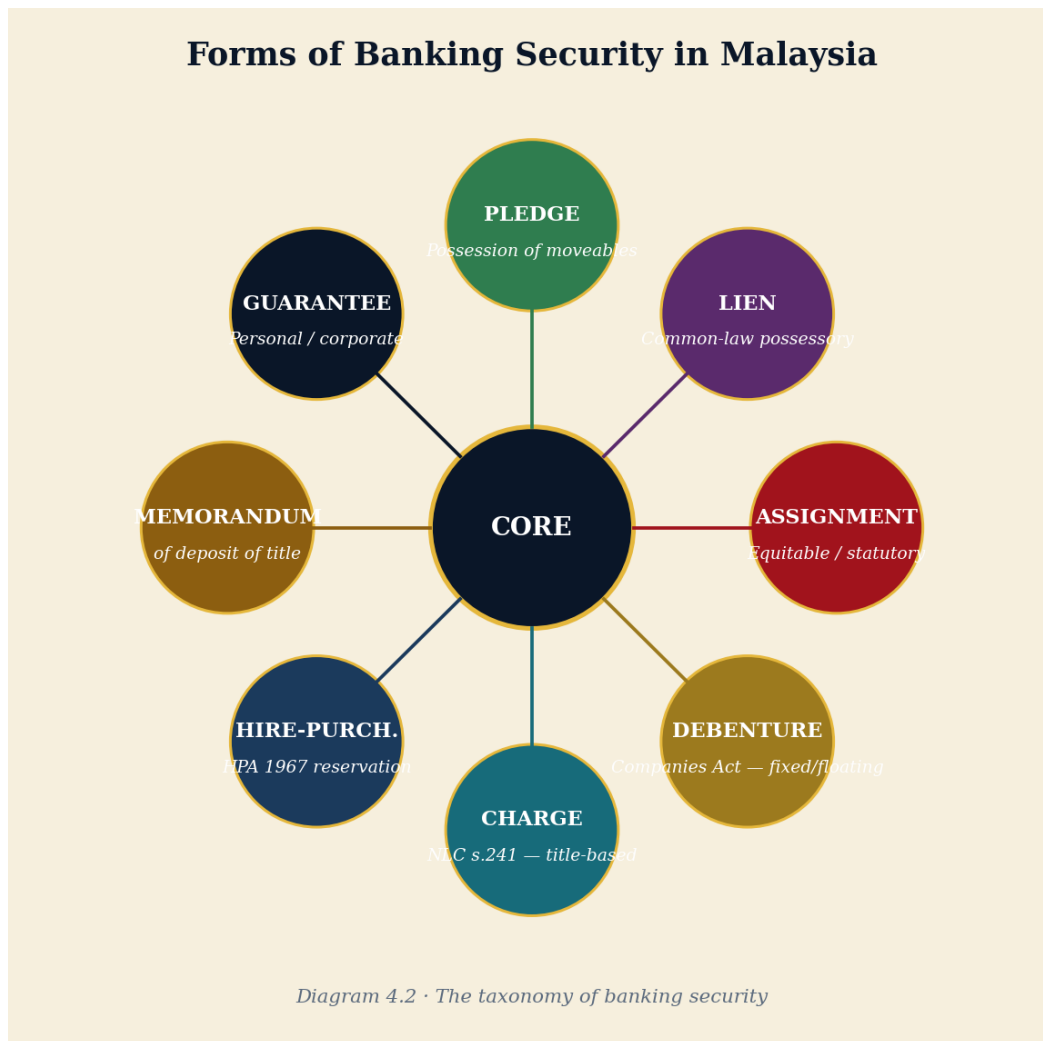
Practitioners can compress the timeline by ensuring the OS affidavit is fully exhibited and ready for filing the day after the Form 16D notice period expires.

The timeline is read both ways: forwards from filing to auction, and backwards from auction to filing. Banks planning a sale by a particular date must work backwards from that date to identify the filing window; banks responding to a fresh default work forwards.

The timeline is not adjustable downward beyond a floor. The statutory notice periods and the court's own listing pace impose a minimum of approximately seven to nine months from filing to first auction; promises of faster timelines should be treated with scepticism.

Key Authorities at a Glance

Citation	Proposition
Low Lee Lian v. Ban Hin Lee Bank Bhd [1997] 1 MLJ 77	'Cause to the contrary' under s.256(3) NLC
Co-operative Central Bank Ltd v. Meng Kuang Properties Bhd [1991] 2 MLJ 283	Validity of charge
Keng Soon Finance v. MK Retnam [1989] 1 MLJ 457	Order for Sale procedure



The bank's security portfolio typically includes registered charges over land, debentures over corporate assets, assignments of receivables, pledges of shares and personal guarantees. Each carries its own perfection requirements and its own enforcement pathway.

Practitioners must verify perfection at the outset of every recovery file: an unperfected security may be unenforceable in insolvency, ranking *pari passu* with unsecured creditors and rendering all the bank's earlier care nugatory.

Each spoke of the security wheel carries its own perfection-and-enforcement story. Land charges turn on registration under the National Land Code; debentures on lodgement at the Registrar of Companies; assignments on notice to the account debtor; pledges on possession; and guarantees on form and stamping. The radial reminds the practitioner that no single perfection rule covers every spoke.

The recovery file is, in essence, an audit of the spokes: which spokes were perfected, which were not, which have value at the date of demand, and in what order they should be enforced. The practitioner who runs that audit on day one of the file will know within a week whether the recovery story is a strong one.

Chapter 4.2 The Order for Sale Procedure

The Federal Court in *Low Lee Lian v. Ban Hin Lee Bank Bhd* (1997) clarified the limited grounds on which a court may refuse an Order for Sale: where the chargor can show 'cause to the contrary'. This phrase, repeatedly construed by the appellate courts, covers fundamental defects in the chargee's title to relief — for example, where the charge is a nullity, where the demand is defective, or where the chargee has acted fraudulently or unconscionably.

“'Cause to the contrary' is to be construed restrictively.” — Low Lee Lian v. Ban Hin Lee Bank

Doctrinal Footnote — Foreclosure & Security

Teo Keang Sood's commentary on the National Land Code 1965 is foundational. The Code is a system of priorities, of registration and of statutory remedies, and Teo's exposition of how the parts interact is the practitioner's principal aid in navigation. His treatment of the chargee's remedies, of the cause to the contrary doctrine and of the conduct of sale is unmatched in the literature.

On comparative perspective, Lynden Griggs and Adrian Bradbrook's *Real Property Law in Australia and New Zealand* offers a useful counterpoint. The Australian Torrens system shares many features with the Malaysian Code; comparative reading sharpens the practitioner's understanding of why certain provisions take the form they do, and helps to anticipate the direction of legislative reform.

Indicative Timeline — Foreclosure under Section 254 NLC

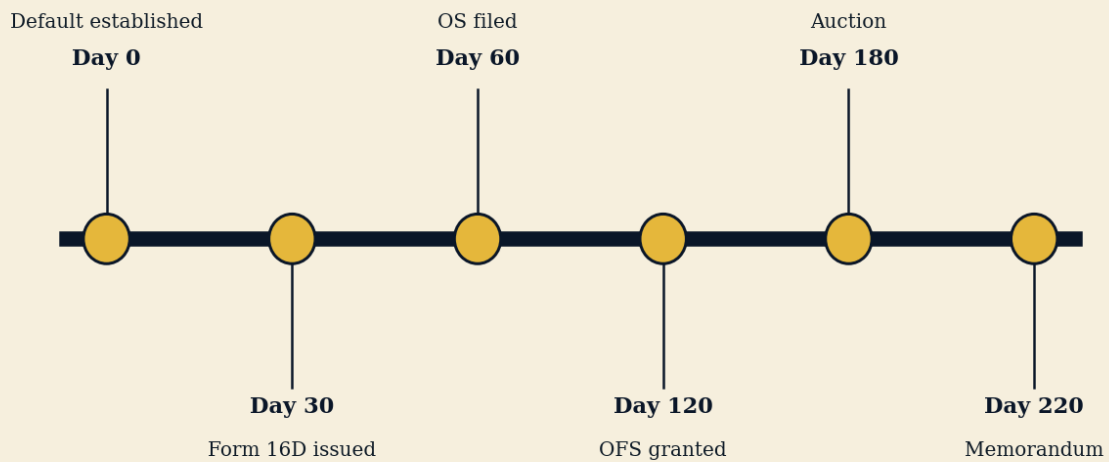


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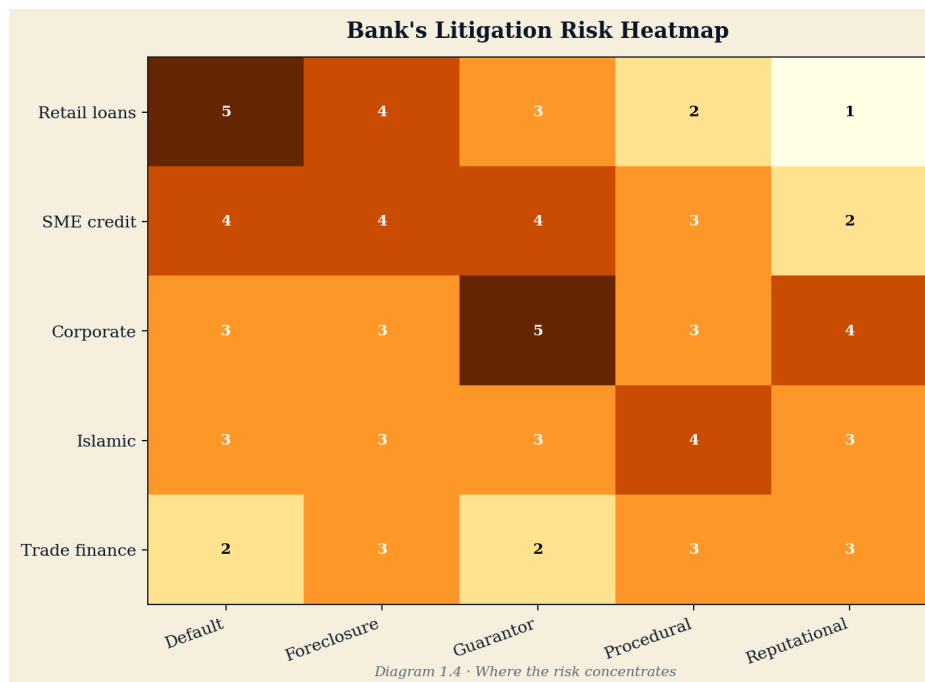
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Limitation Periods Affecting Banking Claims

Cause of Action	Period	Statute
Simple contract (loan)	6 years	s.6(1)(a) Limitation Act 1953
Specialty / deed	12 years	s.6(3) LA 1953
Recovery of land (charge)	12 years	s.9 LA 1953
Action on judgment	12 years	s.6(3) LA 1953
Recovery of charge money	12 years	s.21 LA 1953
Tort (conversion of cheque)	6 years	s.6(1)(a) LA 1953
Equitable claims (tracing)	Analogy applies	Common law
Bankruptcy (after judgment)	6 yrs from JD	Re Mok Yong Kong

Table 1.1 · Quick limitation reference for the practitioner



These two diagrams should be read together. The limitation table identifies *when* a claim must be brought; the heatmap identifies *where* the litigation risk concentrates. Practitioners should annotate both as files come in — the patterns will repeat across the practice.

Practitioner's Checklist — Part 4

- ☐ Charge duly registered and unencumbered by competing claim
- ☐ Form 16D notice issued and served
- ☐ One calendar month for remedy expired
- ☐ OS supported by affidavit verifying default and quantum
- ☐ Reserve price set at market value (not arbitrary)
- ☐ Confirm proper court (HC for Registry; PT for Land Office)
- ☐ Address potential 'cause to the contrary' arguments

Diagram · Pre-action and trial-readiness verification

The diagram opposite — **Checklist P4** — synthesises one of the recurring structural patterns in Malaysian banking-litigation practice. It is intended to be read in conjunction with the surrounding text and used as a working reference at the desk.

Practitioners should treat the diagram as a checklist rather than as a settled doctrinal statement: every case carries its own facts, and every doctrine evolves through the regular work of the appellate courts. The strength of the visual is its capacity to surface the underlying architecture quickly; the strength of the prose is its capacity to expose nuance.

Chapter 4.3 Setting Aside Auctions and Redemption

The Federal Court in *Low Lee Lian v. Ban Hin Lee Bank Bhd* (1997) clarified the limited grounds on which a court may refuse an Order for Sale: where the chargor can show 'cause to the contrary'. This phrase, repeatedly construed by the appellate courts, covers fundamental defects in the chargee's title to relief — for example, where the charge is a nullity, where the demand is defective, or where the chargee has acted fraudulently or unconscionably.

Practical Drafting Notes

Plead the registration date of the charge.

Recite Form 16D issuance and one-month default.

Annex Land Office search to affidavit.

Pray for OFS, reserve price, and conduct of sale.

Form 16D, the OS Affidavit, and Reserve Price

Foreclosure under the National Land Code 1965 is unforgiving on procedure. The Form 16D notice must be issued only after default has crystallised and the contractual notice period (usually one month) has lapsed. Issuing Form 16D prematurely renders the subsequent Order for Sale liable to be set aside on appeal. Always exhibit the Land Office search to the OS affidavit; without it the chargee cannot show clean title to the charge or the absence of competing interests.

The reserve price requires care. The chargee's valuation must be recent, by a registered valuer, and addressed to the court. Setting a reserve too low invites challenge from the chargor on grounds of bad faith or under-valuation; setting it too high risks unsold auctions and successive applications to vary. The OS affidavit should explain how the reserve was computed and why it represents fair market value. The 'cause to the contrary' threshold under section 256 NLC is restrictively construed, but a chargor with a credible valuation challenge can hold up the auction for months.

Conduct of sale particulars matter. The order for sale should specify the auctioneer, the place and time of auction, the deposit required, the balance period and the consequences of default by the successful bidder. Where the property is tenanted, the order should address the tenancy expressly — the auctioneer's brochure is no substitute for a court order. Where multiple charges burden the same title, address the priorities in the OS affidavit; the court will not grant an OFS that disrupts the priority register.

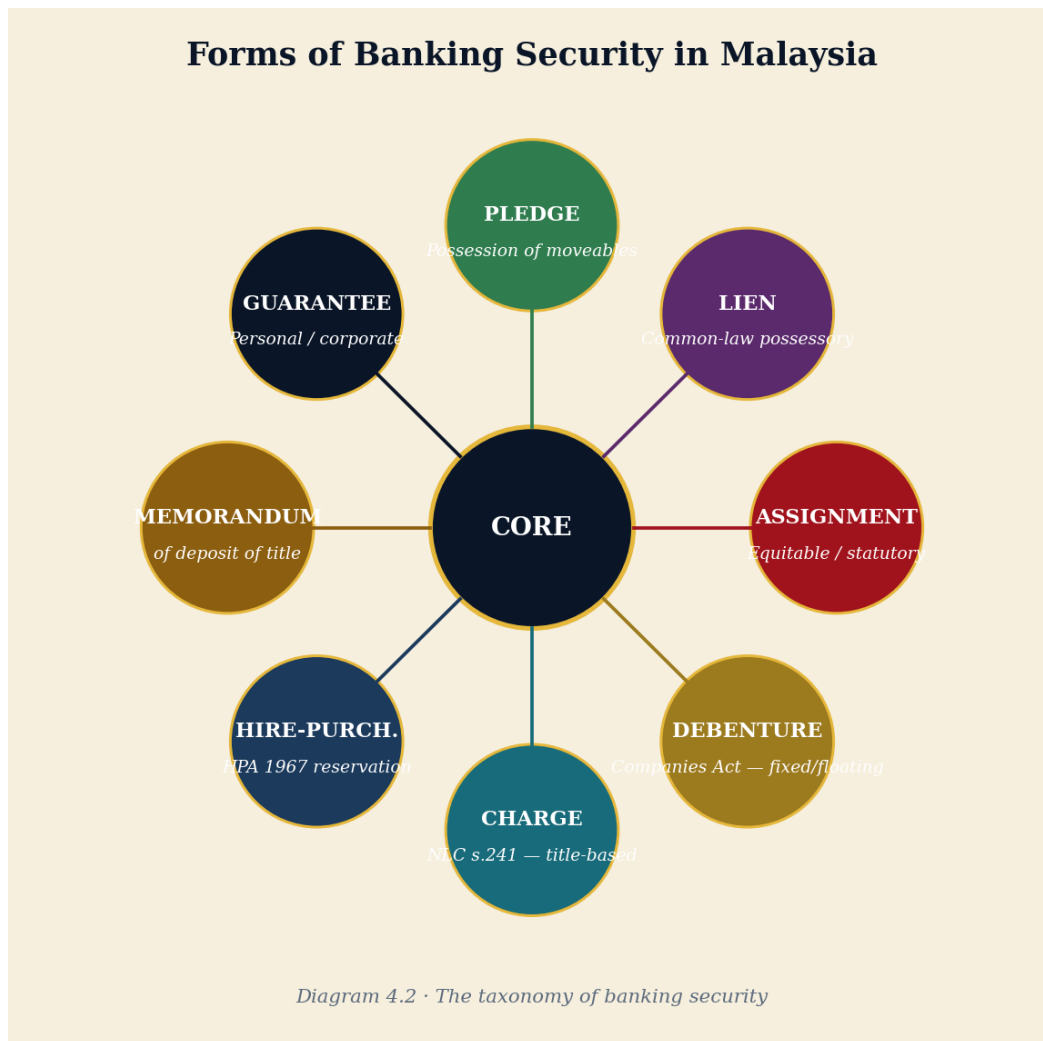
Plan for the appeal. Chargors regularly file appeals and seek stays as a delaying tactic. The chargee's affidavit should anticipate this by addressing the prospect of irreparable harm, the strength of the chargee's case on the merits and the importance of preserving the chargee's bargained-for security. A well-prepared OS application carries its own anti-stay submissions in embryo; the careless practitioner re-argues the OFS in the appellate court.

“The expression 'cause to the contrary' is to be construed restrictively; a chargee who has complied with the procedural requirements is prima facie entitled to an order for sale.”

— Edgar Joseph Jr FCJ, *Low Lee Lian v. Ban Hin Lee Bank* [1997] 1 MLJ 77

Practice Tips — Foreclosure

- ◆ Run a *Title Search Trinity*: at filing, the day before the OS hearing, the day before auction. The caveat lodged in the dying days of the timetable is the surprise that derails the sale.
- ◆ Engage the valuer early. A panel valuer with no conflict of interest, a recent valuation (within six months) and a clear methodology defeats most reserve-price challenges before they begin.
- ◆ Brief the auctioneer on the order's marketing terms; an auctioneer who advertises in a single paper for the minimum required period invites under-valuation litigation later.

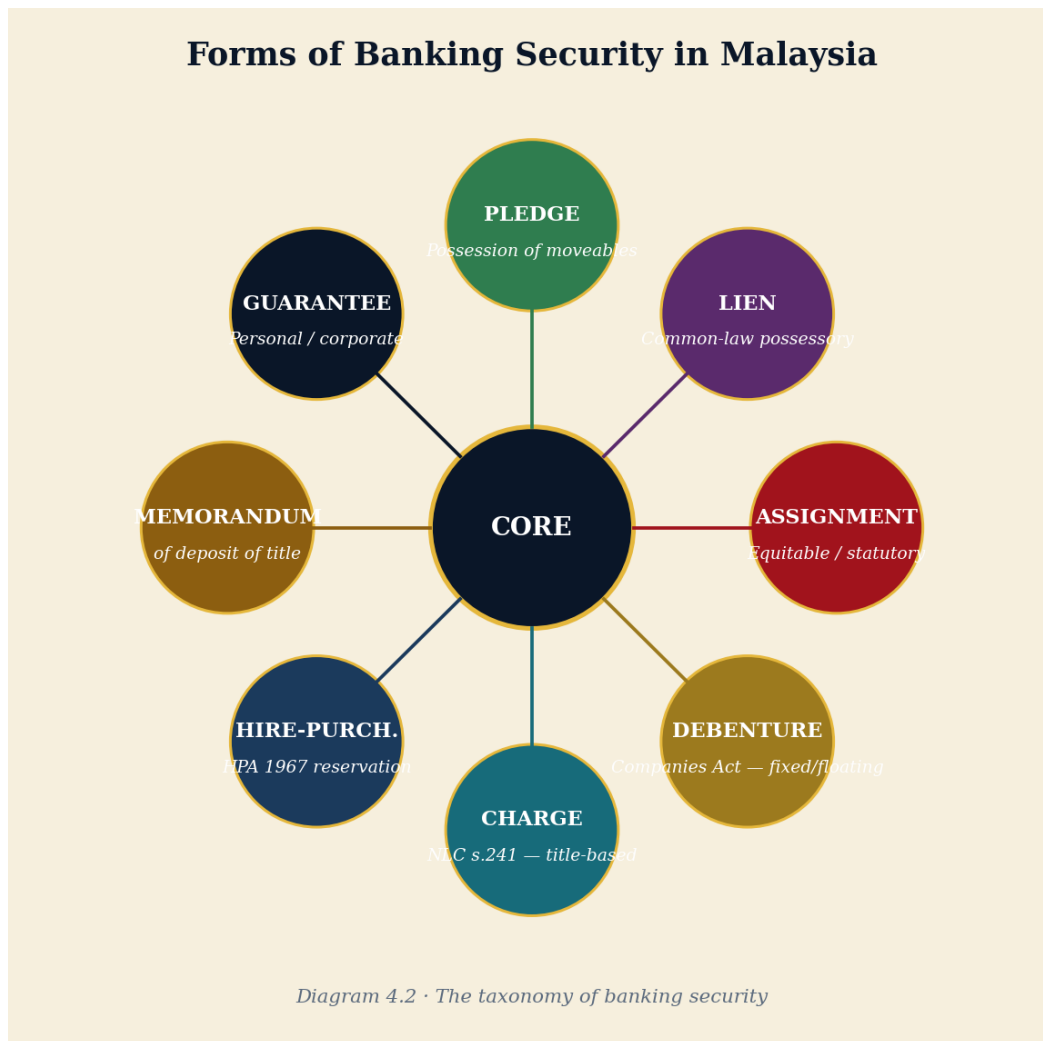


The bank's security portfolio typically includes registered charges over land, debentures over corporate assets, assignments of receivables, pledges of shares and personal guarantees. Each carries its own perfection requirements and its own enforcement pathway.

Practitioners must verify perfection at the outset of every recovery file: an unperfected security may be unenforceable in insolvency, ranking *pari passu* with unsecured creditors and rendering all the bank's earlier care nugatory.

Each spoke of the security wheel carries its own perfection-and-enforcement story. Land charges turn on registration under the National Land Code; debentures on lodgement at the Registrar of Companies; assignments on notice to the account debtor; pledges on possession; and guarantees on form and stamping. The radial reminds the practitioner that no single perfection rule covers every spoke.

The recovery file is, in essence, an audit of the spokes: which spokes were perfected, which were not, which have value at the date of demand, and in what order they should be enforced. The practitioner who runs that audit on day one of the file will know within a week whether the recovery story is a strong one.



The bank's security portfolio typically includes registered charges over land, debentures over corporate assets, assignments of receivables, pledges of shares and personal guarantees. Each carries its own perfection requirements and its own enforcement pathway.

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Strategic Considerations

Foreclosure litigation is largely procedural. The chargor's principal weapon is 'cause to the contrary'. Anticipating the typical objections — defective demand, incorrect quantum, fraud — and pre-empting them in the OS affidavit is the surest path to a quick OFS.

Common Pitfalls

- Form 16D issued before default has actually crystallised.
- Reserve price set unrealistically and challenged on appeal.
- Failing to address parallel caveat or competing interest.

Lessons from the Reports — Part 4

Form 16D issued before crystallisation of default is the most common foreclosure error. The chargee must wait for the contractual notice period to elapse — usually one month after the demand — before issuing Form 16D, and the affidavit must demonstrate that the chargor was given the period the contract requires. The reported cases include OFS applications dismissed because Form 16D was issued the day after demand, without any opportunity for the chargor to remedy.

Reserve price challenges have grown more sophisticated. Chargors now routinely commission their own valuations and challenge the chargee's reserve as understated. Practitioners should anticipate the challenge: obtain a valuation from a panel valuer with no conflict of interest, ensure the valuation report is current (within six months of the application), and address explicitly any factors that might depress the reserve (encumbrances, planning issues, tenancies). Parallel caveats lodged by competing creditors complicate the conduct of sale; address them in the OS application or risk a re-hearing.

Under-valuation in auction is the chargee's nightmare. Where the auction price is significantly below market, the chargor may sue for the shortfall. The chargee's protection lies in a documented marketing process, a properly-set reserve, and contemporaneous valuations. Where the property is sold for less than the reserve, the chargee should consider abandoning the auction rather than pressing through and inviting future litigation.

Caveats are the chargor's principal procedural weapon. A private caveat lodged after issuance of Form 16D but before the OS hearing must be addressed in the chargee's affidavit; failure to do so risks adjournment. Practitioners should run a fresh title search the day before filing the OS, the day before the hearing, and the day before the auction; the caveat lodged in the dying days of the timetable is the surprise that derails the sale.

“The court will not lend itself to a sale at a reserve price which is plainly below market value; the chargee owes a duty to the chargor to obtain a fair price and not merely the sum needed to discharge the debt.”

— Lord Templeman, *Cuckmere Brick v. Mutual Finance* [1971] Ch 949, adopted in *Mahadevan s/o Mahalingam v. Manilal & Sons (M) Sdn Bhd* [1984] 1 MLJ 266

Practice Tips — Foreclosure

- ◆ Run a *Title Search Trinity*: at filing, the day before the OS hearing, the day before auction. The caveat lodged in the dying days of the timetable is the surprise that derails the sale.
- ◆ Engage the valuer early. A panel valuer with no conflict of interest, a recent valuation (within six months) and a clear methodology defeats most reserve-price challenges before they begin.
- ◆ Brief the auctioneer on the order's marketing terms; an auctioneer who advertises in a single paper for the minimum required period invites under-valuation litigation later.



Foreclosure under the National Land Code is a uniquely Malaysian remedy that combines Torrens registration with statutory enforcement. The process begins with the chargee's internal certification of default, followed by a formal Form 16D (or 16E for Land Office title) giving the chargor one calendar month to remedy.

On non-remedy, the chargee files an Originating Summons (High Court) or Land Office application as appropriate. The Order for Sale fixes the auction date and reserve price. The successful bidder pays a 10% deposit, with balance within 120 days. Failure to complete leads to forfeiture and re-auction at a lower reserve.

The flow distinguishes Order 83 (foreclosure of charged land) from Order 81 (specific performance), and within Order 83 distinguishes the order absolute from the order for sale. The choice between pathways is governed by the relief sought; the practitioner should make the choice at file opening, not at the door of the court.

Auctions are the visible end of the flow. Practitioners must brief the auctioneer on reserve price, advertising and bidding mechanics, and must attend the auction in person. Auctions left to the auctioneer alone produce the surprises that turn into appellate work later.

Part 4 • Deep Dive

Foreclosure under the National Land Code is a uniquely Malaysian procedure that combines Torrens-system property law with statutory enforcement. This deep dive treats the procedure with the precision it demands.

Five Topics, Five Visual Treatments

- ◆ Registration and Priority
- ◆ Form 16D — The Statutory Trigger
- ◆ Originating Summons in the High Court
- ◆ 'Cause to the Contrary'
- ◆ Auction and Confirmation

4.1D Registration and Priority

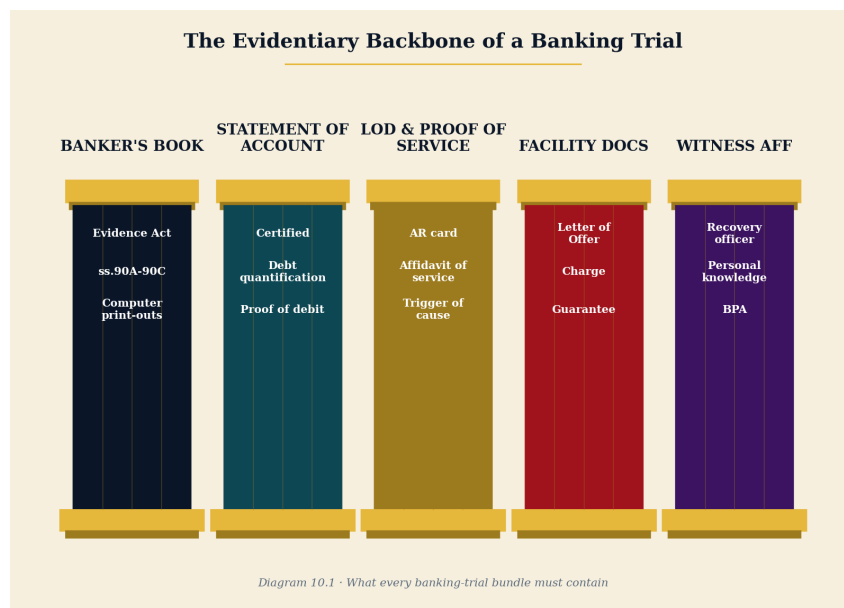
A charge takes effect from registration. Priority among competing interests is generally determined by the date and time of registration. Cavers, lien holders and unregistered interests all interact with the registered charge in subtle ways.

Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of securities and charges (nlc). Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *Registration and Priority* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Banking-litigation ethics span four quadrants: candour to the court, confidentiality of customer information, competence in handling complex documentation, and management of conflicts (especially in repeat-client matters).

The Bar Council's Ethics Code and the Legal Profession (Practice and Etiquette) Rules 1978 supply the rules. Daily practice supplies the texture: an ethical lapse, even a minor one, can derail an entire file.

The ethical quadrant — duty to the court, duty to the client, duty to the profession, duty to the regulator — frames every difficult decision in the practice. The four duties usually align; when they do not, the practitioner must rank them, and the duty to the court ranks first.

Banking practice carries its own ethical pressures: client requests for aggressive disclosure positions, time pressure that erodes documentary discipline, and the volume of work that tempts shortcuts. The mature practitioner builds personal habits that resist these pressures without making a fuss of resistance.

4.2D Form 16D — The Statutory Trigger

Section 254 NLC requires the chargee to issue a Form 16D notice giving the chargor one calendar month to remedy the default. The notice must be in the prescribed form, must specify the default and must be served personally or in the mode specified in the Code.

Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of securities and charges (n/c). Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *Form 16D — The Statutory Trigger* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.



PART II

BANKER-CUSTOMER RELATIONSHIP

The contract that everything else flows from



Davenport & Helmsley · Banking Litigation Practice

Section dividers exist to give the reader's eye a moment of rest amid the dense substantive material. Use them as natural breakpoints in your reading.

The substantive material that follows is intended to be consulted in working order — bookmark the diagrams, annotate the margins, and treat the volume as a daily companion rather than a one-time read.

4.3D Originating Summons in the High Court

For Registry-title land, the OS must be supported by an affidavit verifying the default, the quantum, the issuance of Form 16D and the absence of any cause to the contrary. The OS is heard by the High Court Registrar in the first instance.

Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of securities and charges (nlc). Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *Originating Summons in the High Court* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





The recovery pipeline begins long before the writ. Internal default review, an early-warning meeting and the issuance of a structured Letter of Demand routinely save weeks at trial. The LOD is the single most important pre-action document: it crystallises the cause of action, starts the limitation clock running afresh in many cases, and supplies the foundation for the Statement of Claim.

Once the writ is filed, the bank's choice of procedural route is determinative. Order 14 summary judgment is the workhorse where the defence is unarguable; Order 81 summary judgment for liquidated demands offers an alternative track. Where the customer pleads a substantial defence, the matter goes to full trial — adding nine to fifteen months and significant costs.

The flow is linear in the diagram and iterative in practice. A defaulted file may shuttle between the LOD step and the negotiated-restructuring step three or four times before settling on the litigation track; the diagram captures the canonical path, not every variation.

Each step has a documentary footprint that must be preserved: the LOD itself, the proof of service, the response (or its absence), the demand-default certificate. The practitioner who closes a file with a complete documentary footprint protects the bank against any later challenge to the recovery.

4.4D 'Cause to the Contrary'

The Federal Court in *Low Lee Lian* identified three categories: (a) chargee has failed to satisfy a condition precedent; (b) the granting of the order would be contrary to a rule of law or equity; and (c) the chargor's defence demonstrates that the chargee's title to the order is not absolute. Each category has spawned its own jurisprudence.

Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of securities and charges (nlc). Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of '*Cause to the Contrary*' arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Winding-up under section 466 of the Companies Act 2016 is the corporate analogue to bankruptcy. A creditor may petition where the company is unable to pay debts, evidenced typically by a 21-day statutory demand for a sum exceeding RM 50,000.

The winding-up petition must be advertised in the Gazette and one English newspaper. At hearing, the court considers whether a bona fide dispute on substantial grounds exists; if so, the petition is dismissed with costs. Otherwise, a winding-up order is granted and a liquidator appointed.

The flow runs from statutory demand to dissolution and runs longer than most practitioners expect: nine to fifteen months for an uncontested petition is typical. Banks must plan recovery cash flow around the timeline rather than around optimistic estimates.

Cross-petitioned schemes of arrangement are the principal source of complication. The bank should formulate its scheme posture before the petition is filed; reactive posture-formation under time pressure produces sub-optimal outcomes for the bank and for the creditor pool.

4.5D Auction and Confirmation

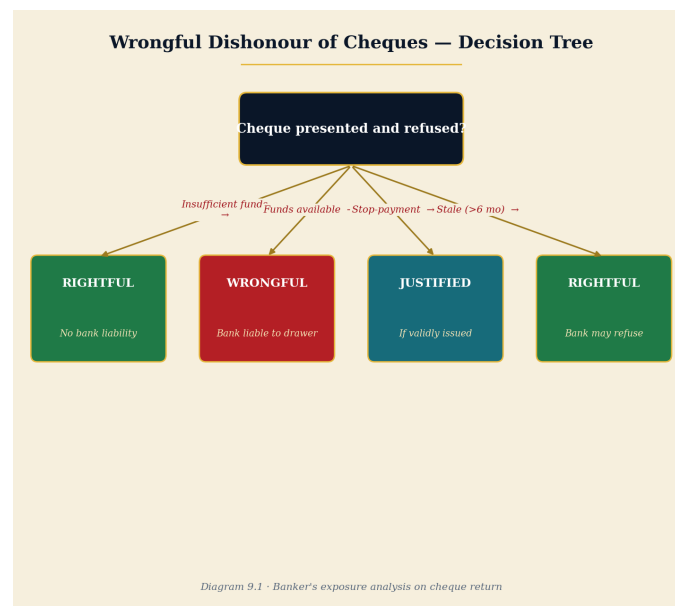
The auction is conducted by the court (HC) or the Pentadbir Tanah (LO). The reserve price is fixed at market value. The successful bidder pays a 10% deposit and the balance within 120 days. Failure leads to forfeiture and re-auction.

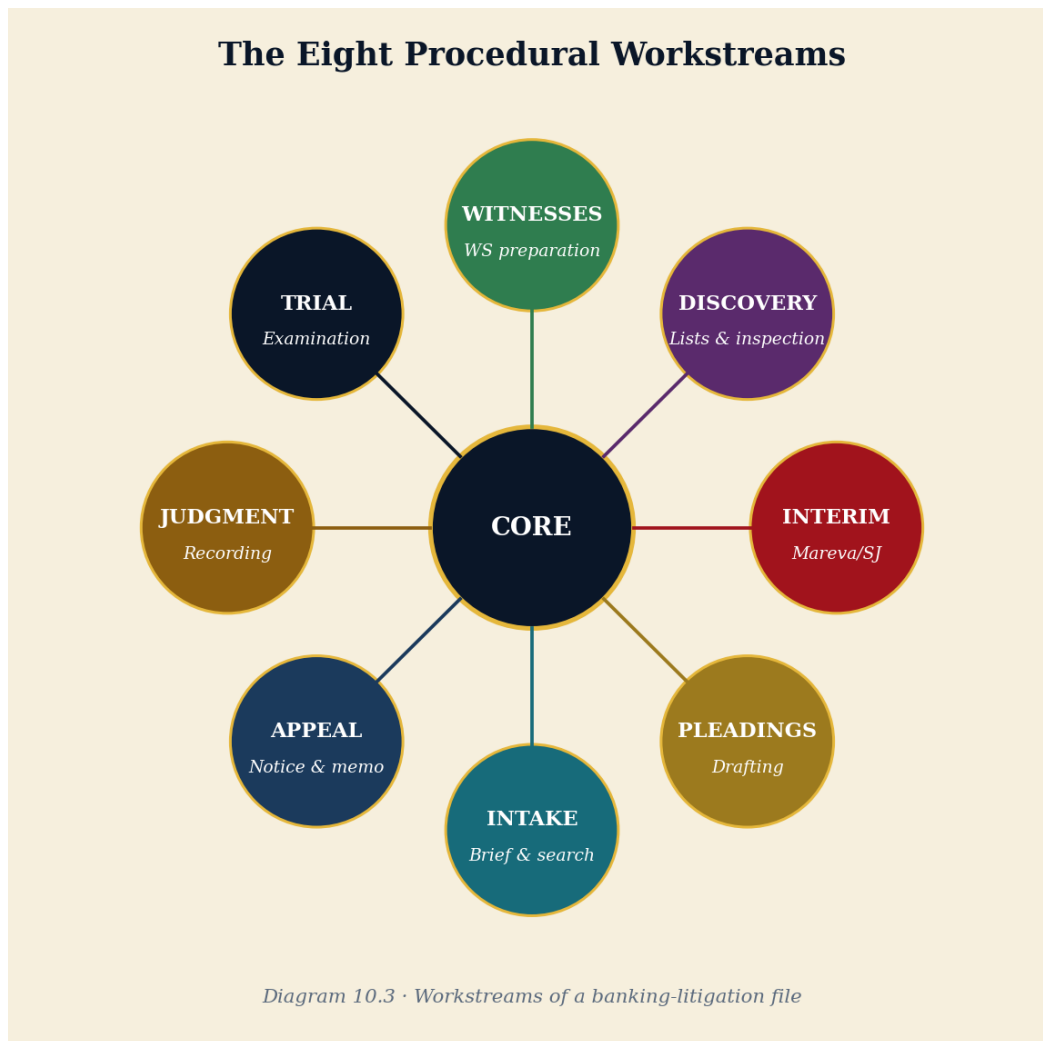
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Practitioner's Note

In day-to-day practice, the topic of *Auction and Confirmation* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Procedural mastery distinguishes the journeyman from the expert. The radial diagram captures the eight pillars of the practitioner's craft: pleadings, discovery, interim relief, witness preparation, documentary evidence, submissions, costs and ethics.

Each pillar deserves its own chapter; together, they form the workflow that transforms a case file into a judgment. The MyCCBLitAI platform is built to support this workflow at every stage.

The eight pillars do not stand independently: a weakness in pleadings shows up as a weakness in submissions; a weakness in discovery shows up as a weakness in trial. Practitioners who treat the pillars as a single integrated workflow produce work that is consistently stronger than those who address each pillar in isolation.

The MyCCBLitAI platform was conceived around exactly this radial. Each module of the platform — from the LOD generator through to the costs schedule — is anchored to one of the pillars, and the platform tracks the practitioner's coverage of all eight across the life of every file.

Part 4 • Worked Example

Mr. Tan defaults on a RM 1.2 million housing loan secured by a registered charge. The bank issues Form 16D giving one month to remedy. On default, the bank files an OS in the High Court (Registry-title) supported by an affidavit verifying default, quantum and issuance of Form 16D. The OS is heard by the Registrar, who fixes the OFS at market value as the reserve price. Auction is conducted within 90 days. The successful bidder pays 10% deposit; balance within 120 days.

Procedural Walk-Through

Step one: open a master file with the facility documents, the statement of account, and the correspondence trail. Step two: prepare a chronology covering every default event, every demand and every customer response. Step three: identify the operative legal pathway from the diagrams in this Part — civil suit, foreclosure, bankruptcy, winding-up or a combination. Step four: draft the LOD with the five-element discipline. Step five: file the writ or originating process with the affidavit in support fully exhibited. Step six: prepare for the Order 14 or equivalent summary disposal hearing within thirty days of filing.

Strategic Reflection

The worked example above illustrates the mechanics; the strategy lies in the choices made at each branch. Why select foreclosure over bankruptcy? Why pursue the guarantor before the principal debtor? Why settle rather than press for judgment? Each choice carries a cost-and-benefit profile that turns on the bank's recovery target, the debtor's asset position and the time-value of money. Practitioners who can articulate the strategy in writing — to their supervising partner, to the credit committee, to the court at the costs hearing — consistently outperform those who treat litigation as a procedural exercise.

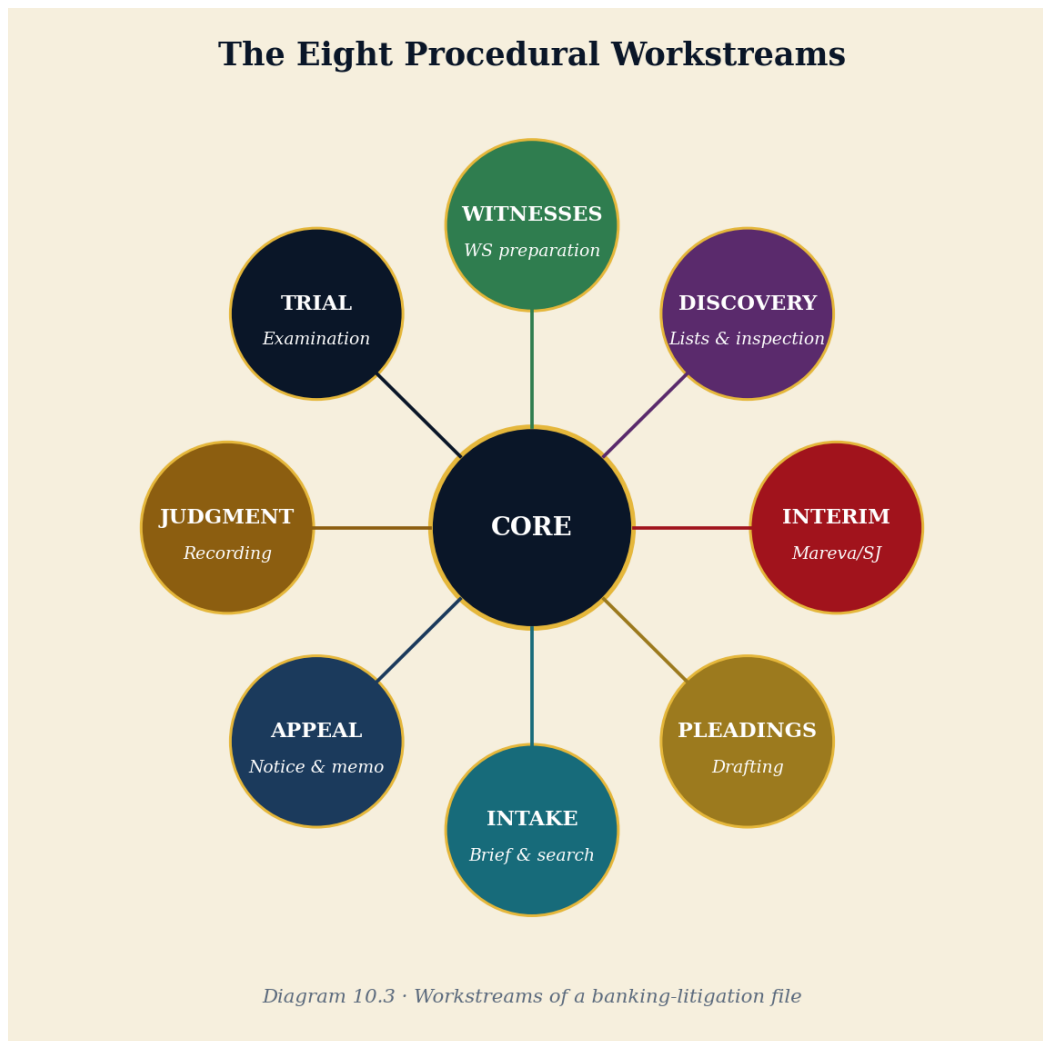


Diagram · Closing visual for Part 4

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Part 4 — Summary & Forward Look

This Part has set out — visually, deliberately — the architecture, procedure and strategic considerations of securities and charges (n/c). The diagrams should be marked, annotated and revisited as the practitioner returns to similar files. The Authorities Table will repay regular consultation. The next Part takes the discussion forward, building on the foundations laid here.

Self-Test (no peeking)

- ◆ What does 'cause to the contrary' mean under s.256 NLC?
- ◆ Distinguish Registry-title from Land Office foreclosure.
- ◆ What is the role of Form 16D?

Doctrinal Footnote — Foreclosure & Security

Teo Keang Sood's commentary on the National Land Code 1965 is foundational. The Code is a system of priorities, of registration and of statutory remedies, and Teo's exposition of how the parts interact is the practitioner's principal aid in navigation. His treatment of the chargee's remedies, of the cause to the contrary doctrine and of the conduct of sale is unmatched in the literature.

On comparative perspective, Lynden Griggs and Adrian Bradbrook's *Real Property Law in Australia and New Zealand* offers a useful counterpoint. The Australian Torrens system shares many features with the Malaysian Code; comparative reading sharpens the practitioner's understanding of why certain provisions take the form they do, and helps to anticipate the direction of legislative reform.

Forward Look

The next Part of this volume builds directly on the foundations laid here. Practitioners are encouraged to revisit the diagrams in this Part as they encounter the corresponding doctrines in their own files; the visuals are intended to function as desk references long after the first reading.

Three habits will accelerate the practitioner's mastery of the material in this Part: first, annotate the Authorities Table with case-specific notes; second, redraw the principal diagrams freehand on a blank page once a month for the next quarter; third, run any new file against the Part's self-test questions before the first internal case conference.

PART 5

GUARANTEES AND INDEMNITIES

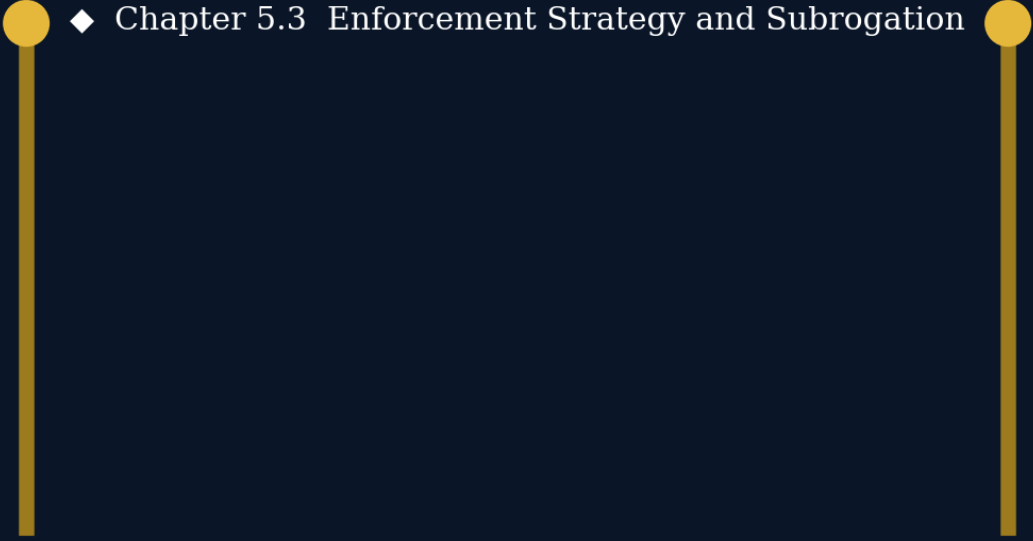
Sureties, co-extensive liability and discharge

IN THIS PART

◆ Chapter 5.1 Nature of the Guarantee

◆ Chapter 5.2 Defences Available to the Guarantor

◆ Chapter 5.3 Enforcement Strategy and Subrogation

Two vertical gold lines with circular heads at the top, one on the left and one on the right, framing the text.

Chapter 5.1 Nature of the Guarantee

Sureties, co-extensive liability and discharge

A guarantee is a collateral contract by which the guarantor undertakes to answer for the default of the principal debtor. The guarantor's liability is co-extensive with that of the principal — a proposition that has both technical and practical consequences. Section 79 of the Contracts Act 1950 codifies the equivalent of the Indian Contract Act provision and remains the starting point for all Malaysian guarantee analysis.

Banking guarantees in Malaysia are almost invariably contained in a printed form drafted by the bank. They typically include continuing-guarantee language, a principal-debtor clause that converts the guarantor's liability into that of a principal, and waivers of the equitable defences traditionally available to a surety. These boilerplate provisions have repeatedly been upheld by the Malaysian courts, but they are not impregnable.

Defences Available to a Guarantor — Quick Reference

	Non est factum (signed in error)
	Material variation of principal contract without consent
	Discharge of principal debtor
	Release of co-surety
	Loss of security by creditor's negligence
	Statute of limitations expired
	Mere delay by the bank
	Bank's failure to sue principal first (without 'see-to-it' clause)
	Insolvency of principal debtor (alone)
	Bank's commercial decision to restructure

Diagram 5.1 · Which defences fly in court — and which do not

Voices from the Bench — Part 5

“A guarantee is a contract of the strictest construction; the surety is bound only by what he has clearly promised, and any ambiguity is resolved against the creditor who drafted the document.”

— Lord Diplock, *Moschi v. Lep Air Services* [1973] AC 331

“Where the bank by its own conduct has impaired the security on the faith of which the surety stood, equity intervenes to discharge the surety pro tanto; this is not a technicality but a foundational principle of suretyship.”

— Mohd Hishamudin JCA, *AmBank v. Tan Tem Son* [2013] 1 MLJ 491

Suretyship in Malaysia draws heavily from the English authorities, but local cases have refined the doctrine in commercially significant ways. Anti-variation clauses have been read sometimes broadly and sometimes narrowly, depending on the precise wording and the materiality of the variation; principal-debtor clauses have been enforced robustly where clearly drafted but read down where ambiguous. The careful litigator reads every guarantee against the leading authorities of the past decade before launching enforcement.

Andrew Phang Boon Leong's writing on suretyship — though rooted in Singapore — has been influential in Malaysian courts and offers the most accessible doctrinal framework for the practitioner. His analysis of the discharge defences, the role of the principal-debtor clause and the protection of co-sureties remains required reading. Where Malaysian authority is silent, his exposition is often the next best guide.

Defences Available to a Guarantor — Quick Reference

	Non est factum (signed in error)
	Material variation of principal contract without consent
	Discharge of principal debtor
	Release of co-surety
	Loss of security by creditor's negligence
	Statute of limitations expired
	Mere delay by the bank
	Bank's failure to sue principal first (without 'see-to-it' clause)
	Insolvency of principal debtor (alone)
	Bank's commercial decision to restructure

Diagram 5.1 · Which defences fly in court — and which do not

The guarantor's classical defences span seven categories: material variation without consent (Holme v. Brunskill), release of co-surety, loss of security through bank negligence, novation of the principal contract, fraud or misrepresentation in obtaining the guarantee, undue influence, and limitation.

Each defence has a distinct doctrinal foundation and a distinct evidentiary threshold. The bank's standard-form guarantee typically waives several of these defences, but the waiver itself must be proven by the bank and is occasionally read down by the courts.

The guarantor's defences are well-rehearsed: variation without consent, prior release, lost or impaired security, misrepresentation by the bank, undue influence by the principal debtor. Each defence has a procedural posture and an evidentiary footprint; the bank's response must address each on its own terms.

Practitioners should anticipate the defences at the LOD stage. The LOD that is silent on the relevant defences — particularly variation — invites them; the LOD that addresses them head-on closes them off before they are formally pleaded.

Key Authorities at a Glance

Citation	Proposition
Tan Chong & Sons Motor v. Alan McKnight [1983] 1 MLJ 220	Material variation discharges guarantor
Holme v. Brunskill (1878) 3 QBD 495	Variation rule
China Insurance Co v. Loong Moh Construction [1971] 1 MLJ 1	Performance bond vs. guarantee distinction

Defences Available to a Guarantor — Quick Reference

	Non est factum (signed in error)
	Material variation of principal contract without consent
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Chapter 5.2 Defences Available to the Guarantor

A guarantee is a collateral contract by which the guarantor undertakes to answer for the default of the principal debtor. The guarantor's liability is co-extensive with that of the principal — a proposition that has both technical and practical consequences. Section 79 of the Contracts Act 1950 codifies the equivalent of the Indian Contract Act provision and remains the starting point for all Malaysian guarantee analysis.

“Variation without consent discharges the surety.” — Holme v. Brunskill

Doctrinal Footnote — Suretyship Doctrine

Geraldine Mary Andrews and Richard Millett's *Law of Guarantees* is the modern English treatise and remains the most thorough exposition of suretyship doctrine available in English. Malaysian courts cite the work regularly, particularly on the discharge defences and on the construction of anti-variation and principal-debtor clauses. The Malaysian practitioner cannot do without it.

On the local side, Andrew Phang Boon Leong's analysis (though Singaporean) is the most accessible doctrinal framework. His treatment of the equity of subrogation, of the protection of co-sureties and of the limits of the principal-debtor clause is widely read in Malaysia and frequently cited in argument. Where the Malaysian authorities are silent or sparse, his analysis often supplies the answer.

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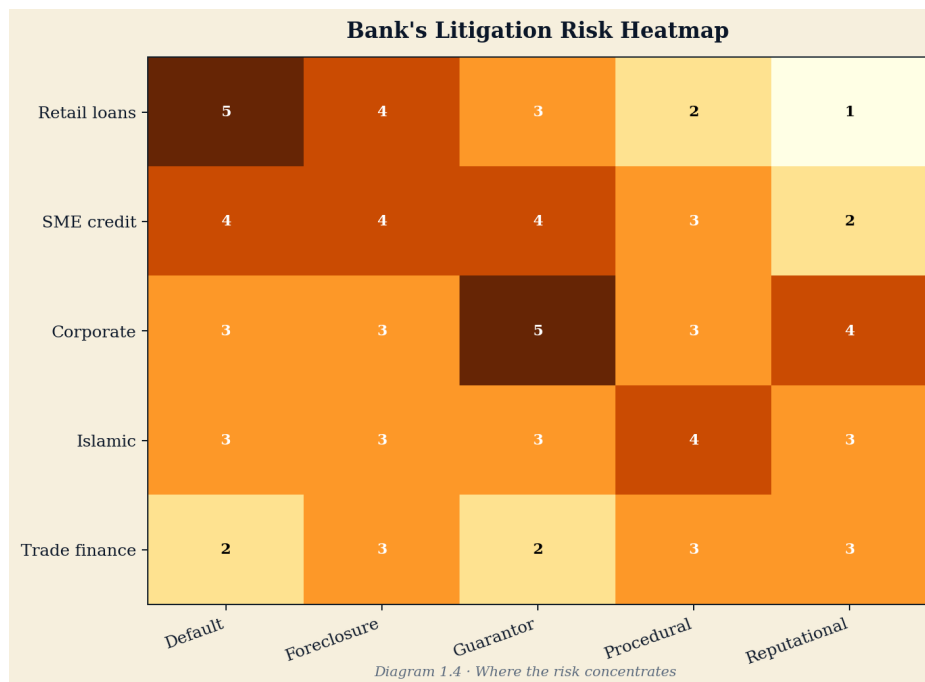
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Limitation Periods Affecting Banking Claims

Cause of Action	Period	Statute
Simple contract (loan)	6 years	s.6(1)(a) Limitation Act 1953
Specialty / deed	12 years	s.6(3) LA 1953
Recovery of land (charge)	12 years	s.9 LA 1953
Action on judgment	12 years	s.6(3) LA 1953
Recovery of charge money	12 years	s.21 LA 1953
Tort (conversion of cheque)	6 years	s.6(1)(a) LA 1953
Equitable claims (tracing)	Analogy applies	Common law
Bankruptcy (after judgment)	6 yrs from JD	Re Mok Yong Kong

Table 1.1 · Quick limitation reference for the practitioner



These two diagrams should be read together. The limitation table identifies *when* a claim must be brought; the heatmap identifies *where* the litigation risk concentrates. Practitioners should annotate both as files come in — the patterns will repeat across the practice.

Practitioner's Checklist — Part 5

☐	Original guarantee document available and properly executed
☐	All material variations documented and consented to
☐	Demand made on guarantor in writing
☐	Guarantor's defences pre-emptively considered
☐	Co-sureties identified and joined
☐	Subrogation rights preserved on payment

Diagram · Pre-action and trial-readiness verification

The diagram opposite — **Checklist P5** — synthesises one of the recurring structural patterns in Malaysian banking-litigation practice. It is intended to be read in conjunction with the surrounding text and used as a working reference at the desk.

Practitioners should treat the diagram as a checklist rather than as a settled doctrinal statement: every case carries its own facts, and every doctrine evolves through the regular work of the appellate courts. The strength of the visual is its capacity to surface the underlying architecture quickly; the strength of the prose is its capacity to expose nuance.

Chapter 5.3 Enforcement Strategy and Subrogation

Banking guarantees in Malaysia are almost invariably contained in a printed form drafted by the bank. They typically include continuing-guarantee language, a principal-debtor clause that converts the guarantor's liability into that of a principal, and waivers of the equitable defences traditionally available to a surety. These boilerplate provisions have repeatedly been upheld by the Malaysian courts, but they are not impregnable.

Practical Drafting Notes

Plead the principal facility separately from the guarantee.

Recite the principal-debtor clause.

Plead demand on guarantor distinctly.

Address known defences pre-emptively.

Guarantees and the Discipline of Variation

A guarantee is a strict-construction document. The pleading must reproduce the operative undertaking, identify the principal facility by reference (date, parties, amount), aver default, plead demand on the guarantor distinctly, and pray for judgment for the guaranteed sum. The principal-debtor clause, if present, is the bank's best protection against discharge defences; cite it in the pleading and exhibit it to the affidavit.

Variation is the surety's most fertile defence. *Holme v. Brunskill* discharges the surety where the principal contract is materially varied without consent, unless the guarantee contains an express anti-variation clause. Pleading discipline matters: where variations have occurred (rescheduling, increased limit, change of borrower), exhibit the consent letters or board resolutions. Without them the court will infer non-consent and discharge follows.

Read the anti-variation clause carefully — it is not a magic wand. A clause permitting 'variations and indulgences' may not cover an increase in the principal sum, which English and Malaysian authority treats as a fundamentally new obligation rather than a variation of the existing one. Where the bank has materially expanded the facility, fresh consent is the safest course; rely on the anti-variation clause only when nothing better is available.

Loss of security through bank negligence is the surety's other powerful weapon. If the bank fails to perfect a charge, fails to register a debenture or releases collateral without compensation, the surety is discharged pro tanto by the value of the lost security. Audit the security file before issuing the LOD; the reported decisions show banks losing on summary judgment because their internal records disclosed the loss of security and their affidavit failed to address it.

"If the creditor without the assent of the surety gives time to the principal debtor, or makes any other arrangement which alters the nature of the contract, the surety is discharged."

— Cotton LJ, *Holme v. Brunskill* (1878) 3 QBD 495

Practice Tips — Guarantees

- ◆ Maintain a *Variation Consent File*: every change to the principal facility documented and consented in writing. The file is the surest answer to the *Holme v. Brunskill* defence.
- ◆ Audit security at the LOD stage. Where the bank's records disclose lost or impaired security, address the loss in the affidavit; the surety's pro tanto discharge is the most embarrassing Order 14 defeat the bank can suffer.

- ◆ Where a co-surety settles, draft the deed expressly to preserve recourse against the others; the loose release wipes out three claims for the price of one.

Defences Available to a Guarantor — Quick Reference

	Non est factum (signed in error)
	Material variation of principal contract without consent
	Discharge of principal debtor
	Release of co-surety
	Loss of security by creditor's negligence
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The banker–customer relationship may be analysed across four quadrants: contract (mandate, account terms), agency (instructions, payment processing), tort (negligence, conversion) and statute (FSA, AMLA).

Each quadrant carries its own duty, its own breach and its own remedy. A skilled pleader will identify the operative quadrant before drafting, then plead the duty in its statutory or common-law source.

The four quadrants — contract, agency, tort, statute — are not mutually exclusive. The same set of facts may give rise to claims in two or three quadrants simultaneously, and the relief in each quadrant may differ. The pleader's craft lies in selecting the strongest quadrant as primary, then pleading the others in the alternative without dilution.

Practitioners who treat the quadrants as silos under-plead routinely; practitioners who treat them as overlapping fields of liability over-plead and invite Order 18 rule 19 strikes. The discipline is to identify, for each quadrant, the strongest pleadable cause and the weakest, and to plead only the former.

Strategic Considerations

Guarantee enforcement is fertile ground for technical defences. The bank's discipline — preserving documents, formally notifying variations, recording consents — is its best inoculation. A surety with a creative lawyer will look for any procedural slip.

Common Pitfalls

- Allowing material variation without guarantor consent.
- Releasing co-surety without preserving claim against others.
- Losing security through negligence.

Lessons from the Reports — Part 5

The discharge defences in suretyship are well-established but easy to overlook. Material variation without consent — increase in the principal sum, extension of time, change of debtor — discharges the surety unless the anti-variation clause is broad enough to cover the variation. Practitioners must read the clause carefully: a clause permitting 'variations' may not cover increases in the principal sum, which the courts treat as a fundamentally different obligation.

Loss of security through the bank's negligence is the surety's most powerful defence. If the bank fails to perfect a charge over the security, fails to register a debenture, or releases security without compensation, the surety is discharged pro tanto by the value of the lost security. The reported decisions show banks losing on summary judgment because their internal records disclosed the loss of security and the affidavit failed to address it. Audit the security file before issuing the LOD.

Co-suretyship is a minefield. The release of one co-surety, even on terms preserving the right of recourse against the others, may be construed as a release pure and simple if the documentation is loose. Where the bank settles with one guarantor, the deed of settlement should expressly preserve the bank's rights against the others and the others' rights of contribution. Without express words, the equity that the released party shares the burden cannot be recovered.

Personal-guarantor circumstances now carry weight. Insolvency Act amendments and BNM consumer guidelines have introduced safeguards for individuals who guaranteed without commercial benefit. Banks must classify the guarantor at the outset (commercial or social), brief the surety appropriately at signing, and document the briefing. A guarantee signed without independent advice is vulnerable to undue influence and unconscionability arguments that did not exist a generation ago.

“Equity will not assist a creditor who, by his own act, has released or impaired the security on the faith of which the surety stood; the surety's right of subrogation is sacred.”

— Sir Mathias Boon Soong Chang JCA, *Bumiputra-Commerce Bank v. Top-A Plastic* [2008] 5 MLJ 34

Practice Tips — Guarantees

- ◆ Maintain a *Variation Consent File*: every change to the principal facility documented and consented in writing. The file is the surest answer to the *Holme v. Brunskill* defence.
- ◆ Audit security at the LOD stage. Where the bank's records disclose lost or impaired security, address the loss in the affidavit; the surety's pro tanto discharge is the most embarrassing Order 14 defeat the bank can suffer.
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Part 5 • Deep Dive

Guarantee enforcement is a microcosm of contract law: offer, acceptance, consideration, performance, breach and remedy — all played out against the bank's documentation discipline. This deep dive explores the doctrine and the drafting.

Five Topics, Five Visual Treatments

- ◆ Continuing vs. Specific Guarantees
- ◆ The Principal Debtor Clause
- ◆ Material Variation — *Holme v. Brunskill*
- ◆ Discharge of Co-Sureties
- ◆ Subrogation and Contribution

5.1D Continuing vs. Specific Guarantees

A continuing guarantee covers fluctuating advances and survives partial discharge. A specific guarantee covers a defined transaction and is exhausted on its discharge. The bank's standard form is invariably continuing.

Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of guarantees and indemnities. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *Continuing vs. Specific Guarantees* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Foreclosure under the National Land Code is a uniquely Malaysian remedy that combines Torrens registration with statutory enforcement. The process begins with the chargee's internal certification of default, followed by a formal Form 16D (or 16E for Land Office title) giving the chargor one calendar month to remedy.

On non-remedy, the chargee files an Originating Summons (High Court) or Land Office application as appropriate. The Order for Sale fixes the auction date and reserve price. The successful bidder pays a 10% deposit, with balance within 120 days. Failure to complete leads to forfeiture and re-auction at a lower reserve.

The flow distinguishes Order 83 (foreclosure of charged land) from Order 81 (specific performance), and within Order 83 distinguishes the order absolute from the order for sale. The choice between pathways is governed by the relief sought; the practitioner should make the choice at file opening, not at the door of the court.

Auctions are the visible end of the flow. Practitioners must brief the auctioneer on reserve price, advertising and bidding mechanics, and must attend the auction in person. Auctions left to the auctioneer alone produce the surprises that turn into appellate work later.

5.2D The Principal Debtor Clause

By converting the guarantor's liability into that of a principal, this clause negates many of the equitable defences available to a surety. It has been upheld in Singapore (*Tan Chong Hup v. Hua Khian Realty*) and Malaysia.

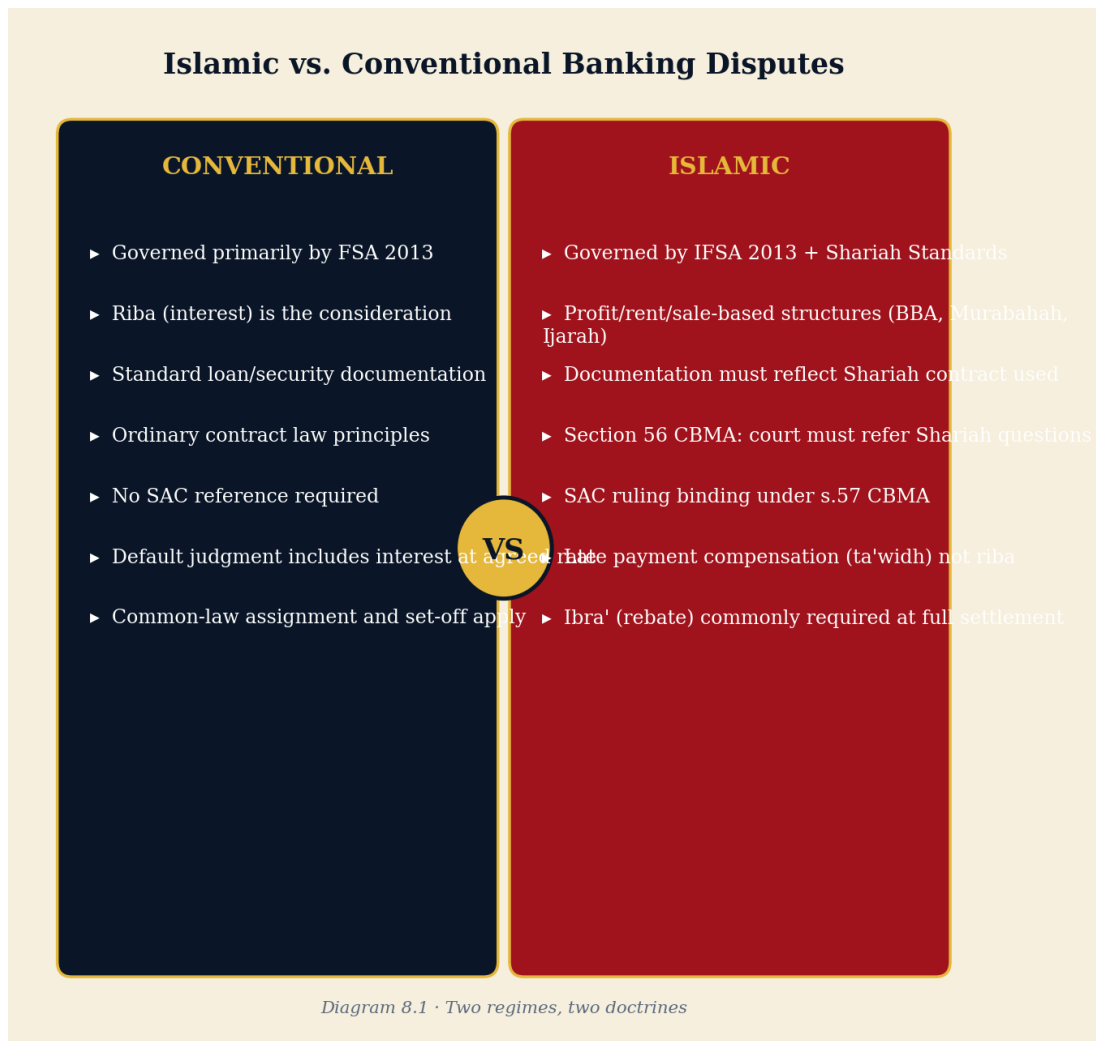
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In day-to-day practice, the topic of *The Principal Debtor Clause* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Islamic banking facilities differ from conventional facilities at the level of doctrine, not merely terminology. A BBA contract is a deferred-payment sale; a Murabahah is a cost-plus sale; an Ijarah is a lease. Each has a distinct legal character that affects pleading, remedy and computation.

Conventional facilities, by contrast, are loan-and-interest contracts governed by classical contract law. The two regimes occasionally produce strikingly different outcomes on identical commercial facts — early settlement rebates (ibra'), late-payment compensation (ta'widh) and the consequences of acceleration all operate differently.

The two regimes converge in their procedural infrastructure (the same courts, the same Rules of Court 2012, the same evidentiary standards) but diverge in their substantive doctrine. The convergence is helpful for the practitioner: one set of procedural reflexes governs both regimes. The divergence is what requires the substantive expertise.

Practitioners moving between the two regimes should maintain a personal doctrinal log: which doctrines are common, which differ, and where the SAC rulings have settled questions that remain open in the conventional space. Over time the log becomes a working text.

5.3D Material Variation — Holme v. Brunskill

Any variation of the principal contract that is not 'manifestly insubstantial or non-prejudicial' to the surety, made without the surety's consent, discharges the surety. The bank's standard form typically waives this rule, but the waiver itself must be proven.

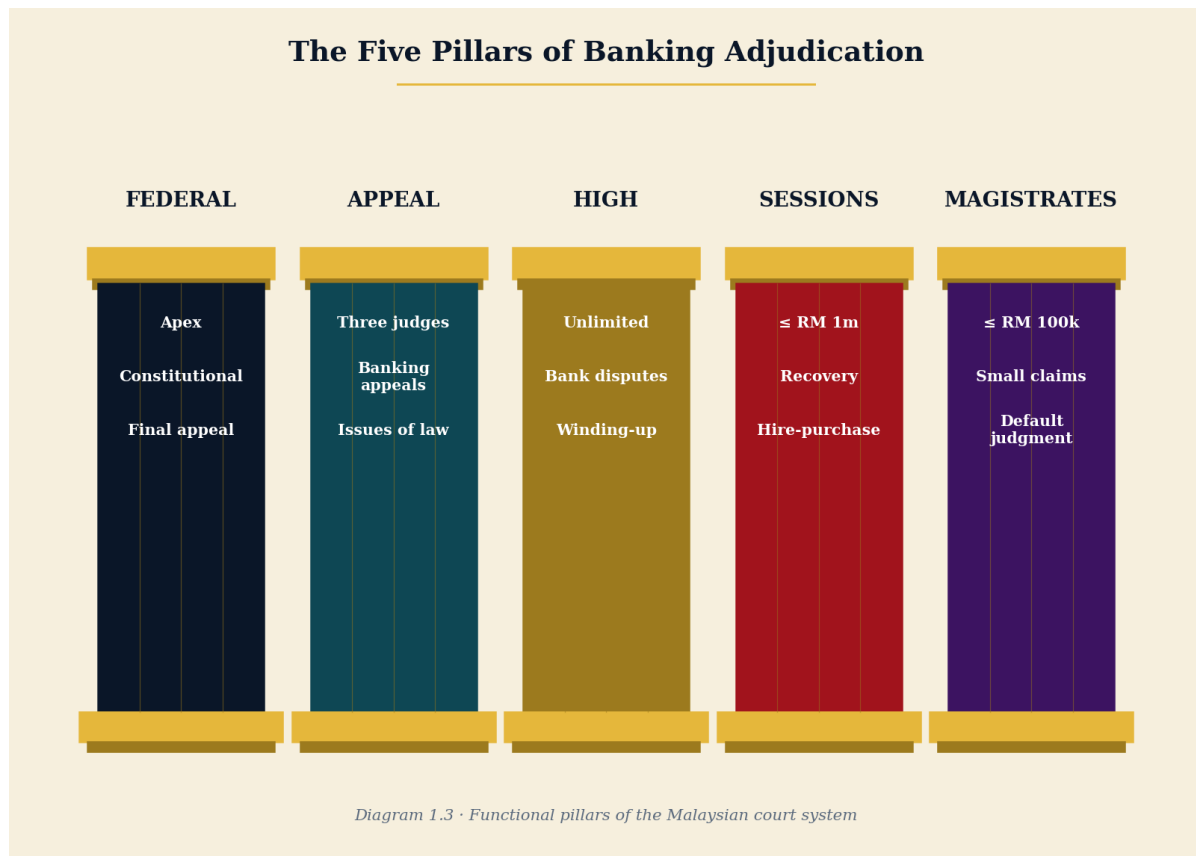
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Three pillars carry the Malaysian banking judicature: federal authority, commercial expertise and procedural integrity. The Federal Court secures uniformity of law; the Commercial Division in the High Court of Kuala Lumpur secures depth of expertise; and the Rules of Court 2012 secure procedural integrity.

All three pillars must hold for the system to function. Where any one weakens — through delay, inconsistency or procedural laxity — the predictability of banking enforcement is impaired and credit costs rise.

The pillars are not theoretical. They are visible in the daily life of the practice: the Federal Court secures uniformity through Anwar Patrick Adrian and the modern line on summary judgment; the Commercial Division secures expertise through specialised judges who have heard hundreds of banking matters; and the Rules of Court 2012 secure procedural integrity through deadlines that the courts now enforce strictly.

Erosion of any one pillar will be felt in pricing. Banks watching the pillars closely have, over the last decade, seen no material erosion — but they have seen pressure on listing time at the Commercial Division, and have responded with stronger pre-action work to compress disputes before they reach trial.

5.4D Discharge of Co-Sureties

Release of one co-surety, without preserving the bank's rights against the others, may discharge them all. Section 84 of the Contracts Act 1950 codifies this. Careful drafting of the release is critical.

Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of guarantees and indemnities. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *Discharge of Co-Sureties* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.



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Cause of Action	Period	Statute
Simple contract (loan)	6 years	s.6(1)(a) Limitation Act 1953
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Tort (conversion of cheque)	6 years	s.6(1)(a) LA 1953
Equitable claims (tracing)	Analogy applies	Common law
Bankruptcy (after judgment)	6 yrs from JD	Re Mok Yong Kong

Table 1.1 · Quick limitation reference for the practitioner

Limitation periods under the Limitation Act 1953 are unforgiving and must be computed from the date the cause of action arose — typically the date of demand, not the date of facility. A bank that miscalculates limitation may forfeit a multi-million-ringgit claim.

The doctrine of acknowledgement (section 27 LA 1953) provides relief where the debtor has, in writing or by part-payment, acknowledged the debt. Practitioners should comb the file for any such acknowledgement before assuming the claim is time-barred.

Limitation defeats more banking claims than any other single doctrine. The cause is rarely intentional: it is the cumulative effect of stale facilities, lost demand letters and reorganisations of the bank's own recovery teams. The Limitation Act 1953 is not forgiving of administrative drift.

Section 27 LA 1953 (acknowledgement) and section 6(3) (specialty) are the two statutory escape valves most often deployed. Both must be pleaded with precision: a vague acknowledgement plea will be struck out under Order 18 rule 19, and a defective specialty plea will fail at trial. Precision is not optional in this part of the practice.

5.5D Subrogation and Contribution

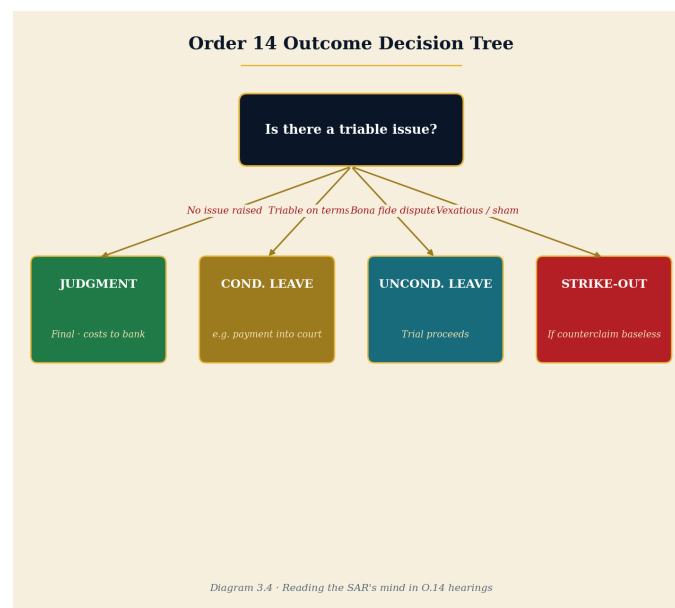
On payment in full, the surety steps into the shoes of the creditor (subrogation) and may seek contribution from co-sureties under section 146 of the Contracts Act. These rights must be preserved at the time of payment.

Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of guarantees and indemnities. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *Subrogation and Contribution* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





The Islamic-finance contract grid lays out the six principal facility types used in Malaysian banking practice: Murabahah, BBA, Ijarah, Musharakah, Mudharabah and Tawarruq. Each has a distinct doctrinal logic and a distinct litigation profile.

BBA in particular has generated extensive case law on early-settlement *ibra'* and on the validity of late-payment *ta'widh*. The SAC's published rulings under the CBMA reference procedure are now the principal source of doctrine.

The grid is the practitioner's first reference at the file-opening meeting. Identifying the underlying Shariah contract before drafting the SOC avoids the months of pleading-amendment work that follows from a misclassification. The cost of an incorrect classification compounds at every later stage.

Practitioners are urged to consult the SAC's published rulings as part of the file-opening exercise; the rulings are now the primary doctrinal source under the CBMA, and a pleading that ignores a relevant ruling is a pleading that will be amended on the court's own motion.

Part 5 • Worked Example

Datuk Ahmad personally guarantees a RM 2 million corporate facility. On default, the bank demands payment from the principal and the guarantor concurrently. Datuk Ahmad raises three defences: (i) the bank varied the principal contract by extending repayment without his consent; (ii) the bank released a co-guarantor; (iii) the bank's failure to perfect a security interest amounted to negligence. The bank's standard-form guarantee waives (i) but not (iii). Litigation focuses on (iii).

Procedural Walk-Through

Step one: open a master file with the facility documents, the statement of account, and the correspondence trail. Step two: prepare a chronology covering every default event, every demand and every customer response. Step three: identify the operative legal pathway from the diagrams in this Part — civil suit, foreclosure, bankruptcy, winding-up or a combination. Step four: draft the LOD with the five-element discipline. Step five: file the writ or originating process with the affidavit in support fully exhibited. Step six: prepare for the Order 14 or equivalent summary disposal hearing within thirty days of filing.

Strategic Reflection

The worked example above illustrates the mechanics; the strategy lies in the choices made at each branch. Why select foreclosure over bankruptcy? Why pursue the guarantor before the principal debtor? Why settle rather than press for judgment? Each choice carries a cost-and-benefit profile that turns on the bank's recovery target, the debtor's asset position and the time-value of money. Practitioners who can articulate the strategy in writing — to their supervising partner, to the credit committee, to the court at the costs hearing — consistently outperform those who treat litigation as a procedural exercise.



Diagram · Closing visual for Part 5

The Islamic-finance contract grid lays out the six principal facility types used in Malaysian banking practice: Murabahah, BBA, Ijarah, Musharakah, Mudharabah and Tawarruq. Each has a distinct doctrinal logic and a distinct litigation profile.

BBA in particular has generated extensive case law on early-settlement *ibra'* and on the validity of late-payment *ta'widh*. The SAC's published rulings under the CBMA reference procedure are now the principal source of doctrine.

The grid is the practitioner's first reference at the file-opening meeting. Identifying the underlying Shariah contract before drafting the SOC avoids the months of pleading-amendment work that follows from a misclassification. The cost of an incorrect classification compounds at every later stage.

Practitioners are urged to consult the SAC's published rulings as part of the file-opening exercise; the rulings are now the primary doctrinal source under the CBMA, and a pleading that ignores a relevant ruling is a pleading that will be amended on the court's own motion.

Part 5 — Summary & Forward Look

This Part has set out — visually, deliberately — the architecture, procedure and strategic considerations of guarantees and indemnities. The diagrams should be marked, annotated and revisited as the practitioner returns to similar files. The Authorities Table will repay regular consultation. The next Part takes the discussion forward, building on the foundations laid here.

Self-Test (no peeking)

- ◆ What is the rule in *Holme v. Brunskill*?
- ◆ How does a principal-debtor clause modify the surety's liability?
- ◆ Name three defences usually unavailable to a guarantor.

Doctrinal Footnote — Suretyship Doctrine

Geraldine Mary Andrews and Richard Millett's *Law of Guarantees* is the modern English treatise and remains the most thorough exposition of suretyship doctrine available in English. Malaysian courts cite the work regularly, particularly on the discharge defences and on the construction of anti-variation and principal-debtor clauses. The Malaysian practitioner cannot do without it.

On the local side, Andrew Phang Boon Leong's analysis (though Singaporean) is the most accessible doctrinal framework. His treatment of the equity of subrogation, of the protection of co-sureties and of the limits of the principal-debtor clause is widely read in Malaysia and frequently cited in argument. Where the Malaysian authorities are silent or sparse, his analysis often supplies the answer.

Forward Look

The next Part of this volume builds directly on the foundations laid here. Practitioners are encouraged to revisit the diagrams in this Part as they encounter the corresponding doctrines in their own files; the visuals are intended to function as desk references long after the first reading.

Three habits will accelerate the practitioner's mastery of the material in this Part: first, annotate the Authorities Table with case-specific notes; second, redraw the principal diagrams freehand on a blank page once a month for the next quarter; third, run any new file against the Part's self-test questions before the first internal case conference.

PART 6

BANKRUPTCY PROCEEDINGS

The Insolvency Act 1967 in practical operation

IN THIS PART

- ◆ Chapter 6.1 Bankruptcy Notice and Act of Bankruptcy
 - ◆ Chapter 6.2 The Creditor's Petition
 - ◆ Chapter 6.3 Effect of Adjudication and Discharge

Chapter 6.1 Bankruptcy Notice and Act of Bankruptcy

The Insolvency Act 1967 in practical operation

The Insolvency Act 1967, formerly the Bankruptcy Act, governs the bankruptcy of individuals (including sole proprietors and partners) in Malaysia. It is administered by the Director General of Insolvency through the Malaysian Department of Insolvency (MDI). Following the Insolvency (Amendment) Act 2017, the threshold for petitioning was raised to RM 100,000, and a number of safeguards were introduced for guarantors.

The procedural backbone is the Bankruptcy Notice (Form 3), issued upon a final judgment for a sum exceeding RM 100,000. Service of the notice gives the debtor seven days to comply, and failure to do so constitutes an act of bankruptcy. Within six months of the act of bankruptcy, the creditor may file a creditor's petition. On adjudication, the debtor's property vests in the Director General of Insolvency.



Voices from the Bench — Part 6

“Bankruptcy is the gravest civil sanction the law has at its disposal; it is not to be deployed for the recovery of a disputed debt, nor as a tactical pressure on a debtor who has a genuine cross-claim.”

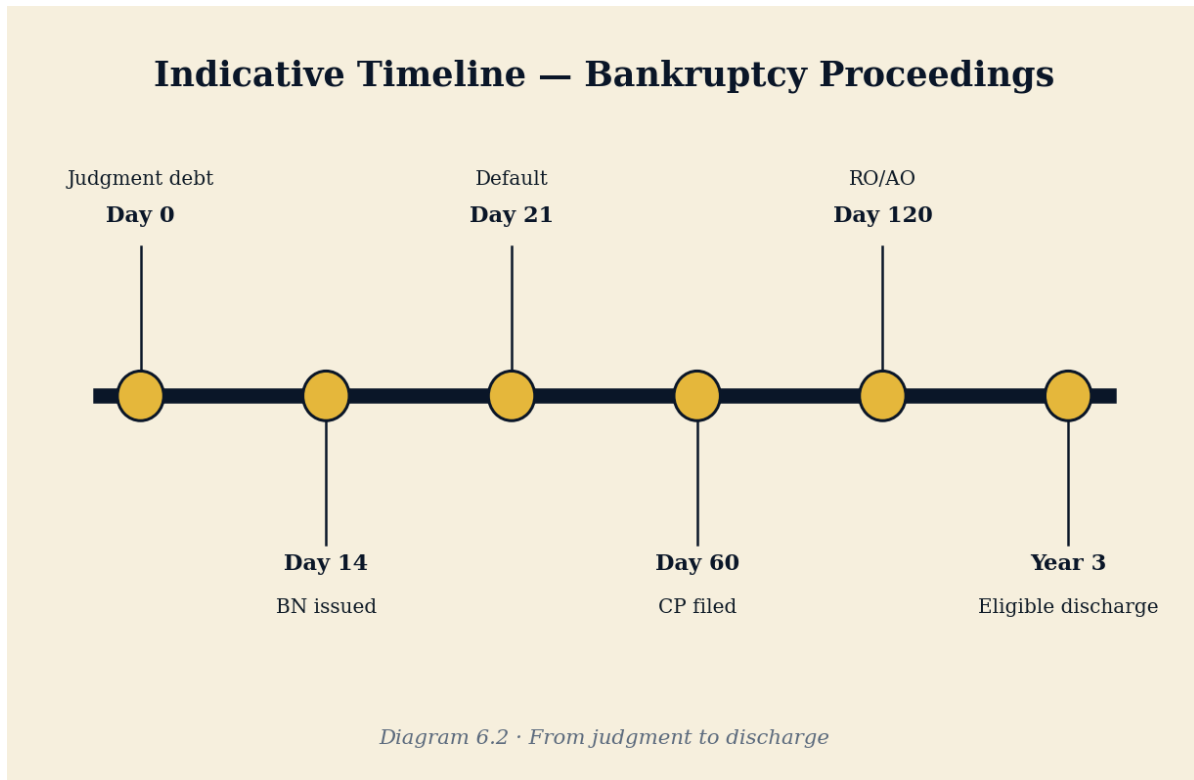
— Lord Diplock, *Re Saunders* [1997] Ch 60, applied in *Re Dr Mohan* [2001] 6 MLJ 553

“The Insolvency Act 2017 amendments are not a technical revision; they reflect a deliberate legislative judgment that bankruptcy is to be reserved for cases where it is genuinely warranted, with social guarantors particularly in mind.”

— Tengku Maimun Tuan Mat CJ, address to the Malaysian Bar, 2019

The 2017 amendments have changed the strategic calculus of bankruptcy in significant ways. The threshold of RM 100,000 excludes minor debts; the social-guarantor protection requires fresh process before petitioning; the discharge regime allows automatic discharge after three years subject to certain conditions. The bank that once filed bankruptcy as a recovery tool now files only after a deliberate cost-benefit analysis.

Practitioners should also be aware of the growing use of voluntary arrangements under Part X of the Insolvency Act. A debtor with assets but no liquidity can propose a scheme to creditors; the bank that opposes a credible scheme without engaging with the merits may find the scheme approved over its objection. Reading the proposal critically and engaging in the negotiation is now part of the bank's recovery toolkit.



The bankruptcy timeline from notice to receiving order is typically six to twelve months. The notice itself runs seven days; the petition can be filed any time within six months; the hearing is fixed by the registry's listing.

Where the debtor seeks adjournment to make payment, courts will routinely grant one or two short adjournments. Beyond that, the order is granted as a matter of course on continuing default.

The bankruptcy timeline runs from judgment to adjudication. Each interval — judgment to bankruptcy notice, notice to act of bankruptcy, act to petition, petition to adjudication — has its own statutory floor, and acceleration is rarely possible without compromising the procedural integrity of the petition.

Banks should track the timeline against the six-month clock under section 5(2) of the Insolvency Act. A petition that misses the clock is wasted work; a petition that arrives at the door of the court with two days to spare invites avoidable challenges.

Key Authorities at a Glance

Citation	Proposition
Re Liang Yik Wah, ex p Affin Bank [2008] 4 CLJ 297	Bankruptcy notice requirements
Datuk M Kayveas v. Bar Council [2014] 1 MLJ 309	Jurisdiction & threshold
Public Bank Bhd v. Wing Lee Land [2003] 4 CLJ 145	Setting aside bankruptcy notice



Bankruptcy after the 2017 amendments is a tightened procedure. The threshold is now RM 100,000 (raised from RM 30,000); social guarantors enjoy a statutory bar; and the discharge regime has been liberalised. The procedure begins with a creditor's Bankruptcy Notice (Form 3), served personally on the judgment debtor.

Failure to comply within seven days constitutes the act of bankruptcy. Within six months, the creditor must file a creditor's petition. On hearing, the court may grant a Receiving Order and Adjudication Order, vesting the bankrupt's estate in the Director General of Insolvency. Property is realised and distributed under statutory priority.

The flow is the surest single example in the practice of the cost of any deviation from procedure. Every step has a form, a time-bar and a content requirement; missing any of these is fatal to the petition.

The Director General of Insolvency's pre-petition requirements (for social guarantors and certain other classes) are the modern bottleneck. Practitioners must discharge these requirements before filing; the petition that arrives at court without the DGI's clearance will be set aside on first listing.

Chapter 6.2 The Creditor's Petition

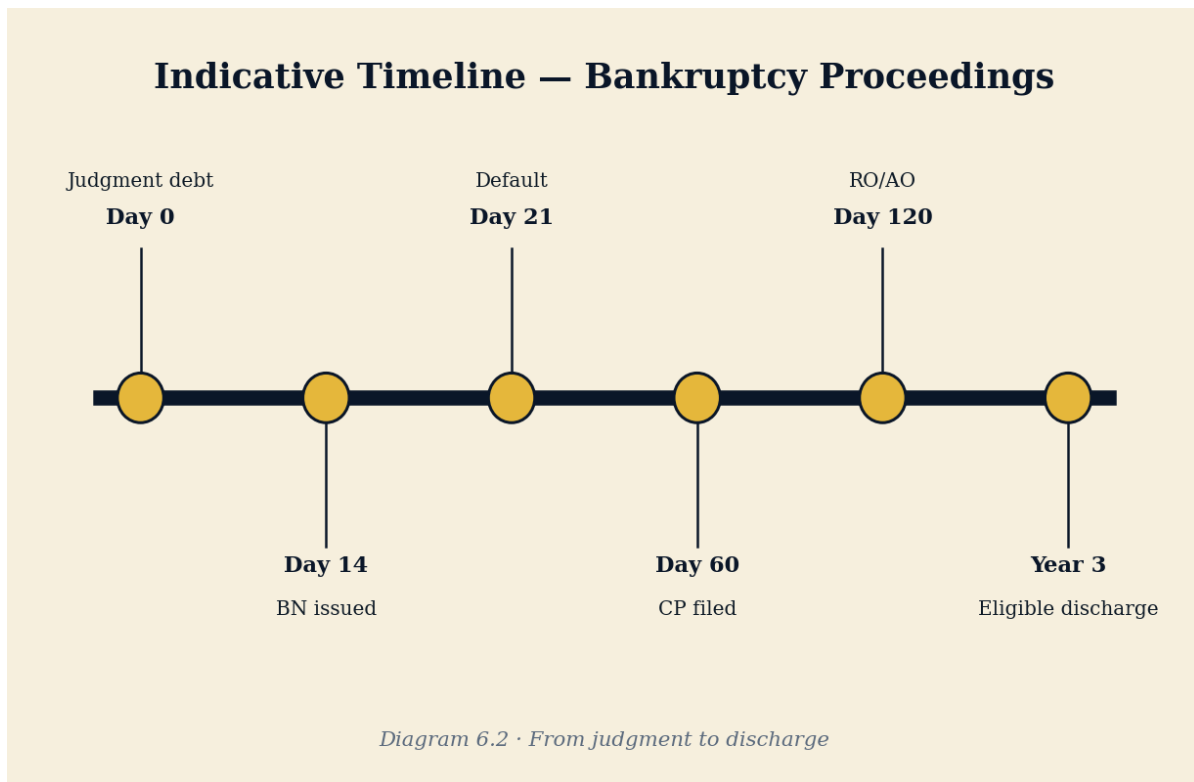
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“The bankruptcy notice must be strictly complied with.” — Re Liang Yik Wah

Doctrinal Footnote — Bankruptcy Practice

Halsbury's Laws of Malaysia, in its Bankruptcy and Insolvency volume, is the standard reference for procedure under the Insolvency Act 1967 and the Bankruptcy Rules 2017. The volume is regularly updated and reflects the recent practice directions; for the day-to-day questions of practice — service, notice, petition — it is the first text to open.

Ian F. Fletcher's *The Law of Insolvency* offers a comparative perspective with which the Malaysian practitioner should be familiar. The English regime has many parallels with the Malaysian and many divergences; understanding both helps to anticipate the direction of Malaysian reform and to argue from comparative authority where Malaysian law is silent. The treatise is dense but rewarding.



The bankruptcy timeline from notice to receiving order is typically six to twelve months. The notice itself runs seven days; the petition can be filed any time within six months; the hearing is fixed by the registry's listing.

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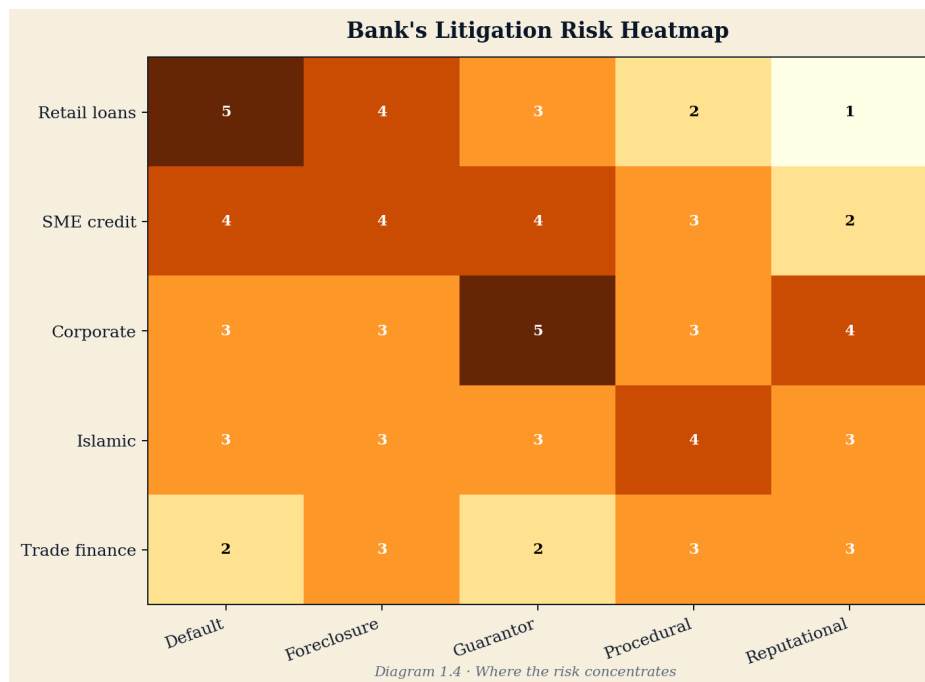
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Banks should track the timeline against the six-month clock under section 5(2) of the Insolvency Act. A petition that misses the clock is wasted work; a petition that arrives at the door of the court with two days to spare invites avoidable challenges.

Limitation Periods Affecting Banking Claims

Cause of Action	Period	Statute
Simple contract (loan)	6 years	s.6(1)(a) Limitation Act 1953
Specialty / deed	12 years	s.6(3) LA 1953
Recovery of land (charge)	12 years	s.9 LA 1953
Action on judgment	12 years	s.6(3) LA 1953
Recovery of charge money	12 years	s.21 LA 1953
Tort (conversion of cheque)	6 years	s.6(1)(a) LA 1953
Equitable claims (tracing)	Analogy applies	Common law
Bankruptcy (after judgment)	6 yrs from JD	Re Mok Yong Kong

Table 1.1 · Quick limitation reference for the practitioner



These two diagrams should be read together. The limitation table identifies *when* a claim must be brought; the heatmap identifies *where* the litigation risk concentrates. Practitioners should annotate both as files come in — the patterns will repeat across the practice.

Practitioner's Checklist — Part 6

☐	Judgment debt exceeds RM 100,000 statutory threshold
☐	Bankruptcy notice in correct form (Form 3) issued
☐	Service in compliance with Bankruptcy Rules 2017
☐	Seven-day compliance period elapsed
☐	Creditor's petition filed within six months
☐	Statement of affairs procured from debtor

Diagram · Pre-action and trial-readiness verification

The diagram opposite — **Checklist P6** — synthesises one of the recurring structural patterns in Malaysian banking-litigation practice. It is intended to be read in conjunction with the surrounding text and used as a working reference at the desk.

Practitioners should treat the diagram as a checklist rather than as a settled doctrinal statement: every case carries its own facts, and every doctrine evolves through the regular work of the appellate courts. The strength of the visual is its capacity to surface the underlying architecture quickly; the strength of the prose is its capacity to expose nuance.

Chapter 6.3 Effect of Adjudication and Discharge

The procedural backbone is the Bankruptcy Notice (Form 3), issued upon a final judgment for a sum exceeding RM 100,000. Service of the notice gives the debtor seven days to comply, and failure to do so constitutes an act of bankruptcy. Within six months of the act of bankruptcy, the creditor may file a creditor's petition. On adjudication, the debtor's property vests in the Director General of Insolvency.

Practical Drafting Notes

Plead the judgment debt and date.

Recite issuance of bankruptcy notice (Form 3).

State the act of bankruptcy precisely.

Pray for receiving and adjudication orders.

Bankruptcy Notices and Acts of Bankruptcy

The Bankruptcy Notice (Form 3) is the gateway to bankruptcy. Strict compliance with the Bankruptcy Rules 2017 is required: the correct sum (judgment sum less any payment received), the correct judgment particulars, the correct address for service, and the correct affidavit of service. The Federal Court has set aside notices for trivial errors — a wrong figure to the cent, a misdescribed judgment date — because the consequences for the debtor (loss of business and civic disability) are so severe.

Pleading the act of bankruptcy in the creditor's petition demands precision. Failure to comply with the Bankruptcy Notice within seven days is the most common act, but the petition must aver service of the notice, the date of expiry, and the absence of compliance or compounded payment. Petitions filed more than six months after the act of bankruptcy are time-barred under section 5(2) of the Insolvency Act 1967. Always re-check the limitation period before filing — a late petition is a wasted filing fee and a strategic gift to the debtor.

The 2017 amendments to the Insolvency Act raised the threshold to RM 100,000 and introduced new safeguards for guarantors. For a social guarantor (one who guaranteed without commercial benefit) the bank must first obtain leave of court before bankruptcy; for non-social guarantors, the bank must show that all reasonable efforts to recover from the principal debtor have been made. The pleading must address these matters expressly; failure to do so produces an immediate set-aside.

Service is technical. The Bankruptcy Notice must be served personally where the debtor is in Malaysia; substituted service requires leave on affidavit showing reasonable but unsuccessful efforts at personal service. Service by AR-registered post to the last known address is not personal service; the careless practitioner who relies on it finds the entire proceeding void.

“The bankruptcy jurisdiction is exorbitant; strict compliance with the procedural requirements is the protection the law affords the debtor.”

— Suriyadi Halim Omar FCJ, *Re Liang Yik Wah* [2014] 4 MLJ 561

Practice Tips — Bankruptcy

- ◆ Re-verify the judgment debt on the day before the Bankruptcy Notice is issued. Even a one-cent over-statement has set notices aside; the verification takes minutes and saves months.
- ◆ For social guarantors, exhibit the bank's *Recovery Effort Schedule*: writ, judgment, execution, garnishee, examination of judgment debtor. Without this, the petition will be set aside on first listing.

- ◆ Watch the six-month clock under section 5(2) Insolvency Act. Late petitions are wasted filings; if time is tight, file protectively and address the act of bankruptcy in detail in the affidavit.



Bankruptcy after the 2017 amendments is a tightened procedure. The threshold is now RM 100,000 (raised from RM 30,000); social guarantors enjoy a statutory bar; and the discharge regime has been liberalised. The procedure begins with a creditor's Bankruptcy Notice (Form 3), served personally on the judgment debtor.

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The flow is the surest single example in the practice of the cost of any deviation from procedure. Every step has a form, a time-bar and a content requirement; missing any of these is fatal to the petition.

The Director General of Insolvency's pre-petition requirements (for social guarantors and certain other classes) are the modern bottleneck. Practitioners must discharge these requirements before filing; the petition that arrives at court without the DGI's clearance will be set aside on first listing.



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Strategic Considerations

Bankruptcy is no longer the simple device it once was. The 2017 amendments raised thresholds, introduced safeguards for guarantors and broadened the discharge regime. A bank that once filed bankruptcy reflexively now needs to consider whether the procedure remains commercially worthwhile.

Common Pitfalls

Defective bankruptcy notice (wrong sum, wrong form).

Late filing of creditor's petition (>6 months).

Failing to update the judgment for partial payment.

Lessons from the Reports — Part 6

Defective bankruptcy notices are the leading reason for set-aside orders. The notice must state the judgment debt accurately; even a minor over-statement (a few ringgit due to mis-computed interest) renders the notice invalid. The Federal Court in *Re Liang Yik Wah* and successive decisions has insisted on strict compliance — the bankruptcy jurisdiction is exorbitant and procedural protection is for the debtor.

Late filing of the creditor's petition is a frequent error. Section 5(2) of the Insolvency Act 1967 requires the petition to be filed within six months of the act of bankruptcy. Practitioners who allow time to slip past must consider whether a fresh act of bankruptcy can be procured (re-issue notice, re-default), but each fresh act resets only the limitation, not the underlying judgment. A judgment that has expired (twelve years) cannot be revived by a new bankruptcy notice.

Service problems multiply in cross-border cases. Service on a debtor abroad requires Order 11 leave for the underlying writ and a corresponding leave for the bankruptcy notice; service through the Hague Convention is the proper route for Convention countries. The shortcut of substituted service in Malaysia for a debtor known to be abroad is invalid; the entire proceeding will be set aside and the petitioning creditor pays.

Recent practice has emphasised the social-guarantor protection. A bank seeking to bankrupt a social guarantor must show that all reasonable efforts have been made to recover from the principal debtor. The affidavit must particularise these efforts — civil suit, judgment, execution attempts, garnishee, examination of judgment debtor — and exhibit the relevant orders. A petition that omits this material is a wasted filing.

“The bankruptcy procedure is not a debt collection device; it is a proceeding that affects the status of an individual and must be approached with the gravity that this entails.”

— Suriyadi Halim Omar FCJ, *Re Liang Yik Wah & Anor* [2014] 4 MLJ 561

Practice Tips — Bankruptcy

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Part 6 • Deep Dive

Bankruptcy after the 2017 amendments is a more nuanced procedure than it once was. This deep dive walks through the rules, the procedure and the practical considerations.

Five Topics, Five Visual Treatments

- ◆ The RM 100,000 Threshold
- ◆ The Bankruptcy Notice
- ◆ Service and Acts of Bankruptcy
- ◆ Discharge — The 2017 Reforms
- ◆ Strategic Considerations

6.1D The RM 100,000 Threshold

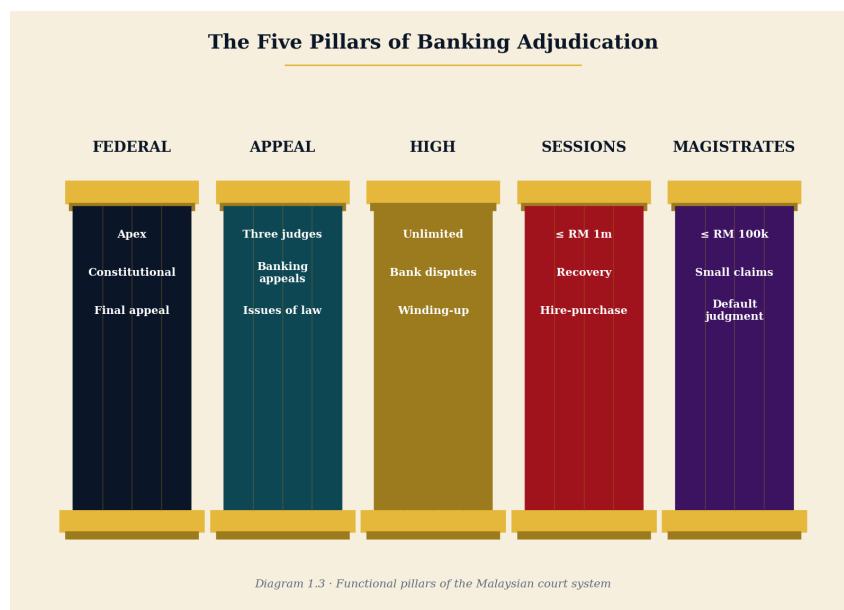
Raised from RM 30,000 in 2017, the threshold has reduced petition volumes significantly. Practitioners must compute the threshold strictly: it is the judgment debt, exclusive of post-judgment interest and costs.

Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of bankruptcy proceedings. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *The RM 100,000 Threshold* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





The banker–customer relationship may be analysed across four quadrants: contract (mandate, account terms), agency (instructions, payment processing), tort (negligence, conversion) and statute (FSA, AMLA).

Each quadrant carries its own duty, its own breach and its own remedy. A skilled pleader will identify the operative quadrant before drafting, then plead the duty in its statutory or common-law source.

The four quadrants — contract, agency, tort, statute — are not mutually exclusive. The same set of facts may give rise to claims in two or three quadrants simultaneously, and the relief in each quadrant may differ. The pleader's craft lies in selecting the strongest quadrant as primary, then pleading the others in the alternative without dilution.

Practitioners who treat the quadrants as silos under-plead routinely; practitioners who treat them as overlapping fields of liability over-plead and invite Order 18 rule 19 strikes. The discipline is to identify, for each quadrant, the strongest pleadable cause and the weakest, and to plead only the former.

6.2D The Bankruptcy Notice

Form 3 of the Bankruptcy Rules 2017. Strict compliance is required. The Federal Court has set aside notices for trivial errors — a wrong sum, a wrong date, a wrong address.

Doctrinal Note

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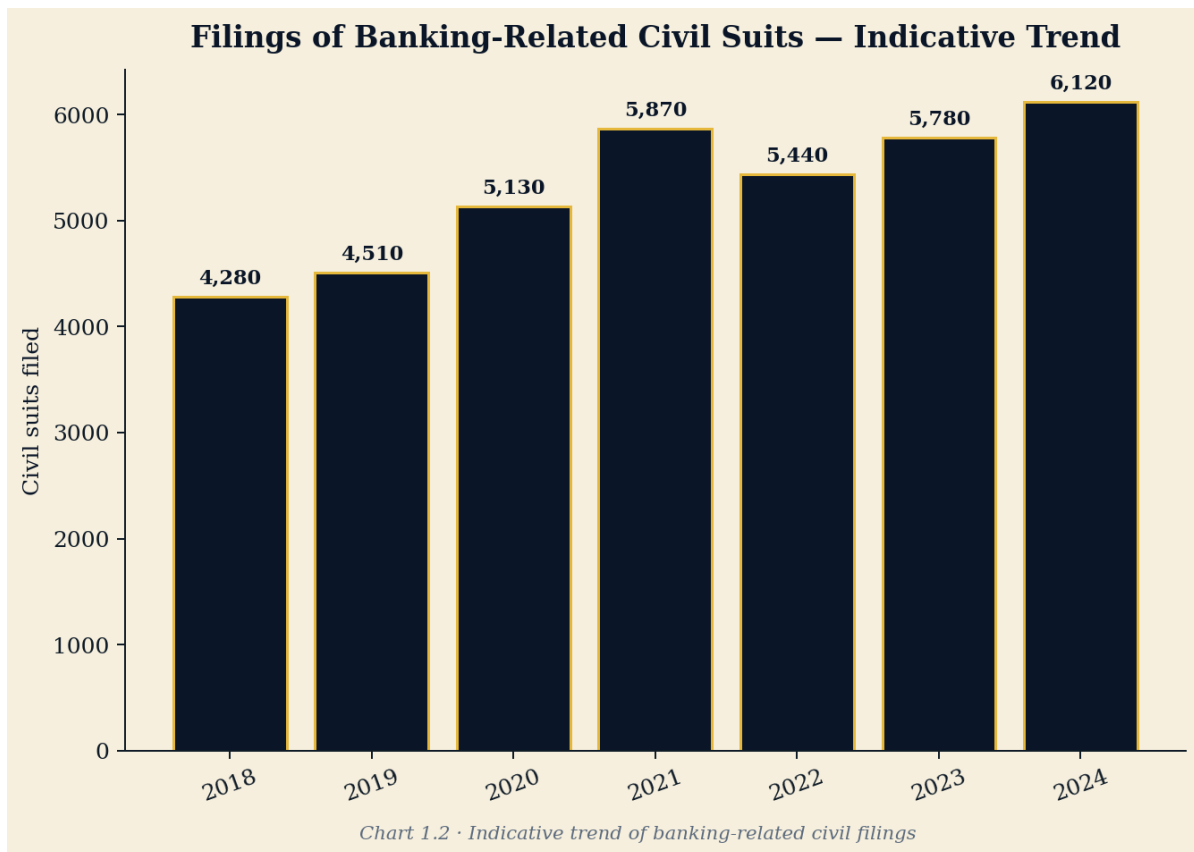
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In day-to-day practice, the topic of *The Bankruptcy Notice* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.

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Equitable claims (tracing)	Analogy applies	Common law
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Table 1.1 · Quick limitation reference for the practitioner



Filing volumes in the Commercial Division have grown approximately 4% annually over the last decade. The growth is driven principally by SME defaults and consumer credit recoveries, with corporate facility defaults remaining proportionally stable.

Practitioners should expect listing delays of three to six months for trial dates, and should plan their case-management timeline accordingly. Early identification of triable issues — and conversely, of cases ripe for summary disposal — is a significant productivity lever.

The 4% annual growth conceals divergent sub-trends. SME defaults have grown faster than corporate defaults, and consumer-credit recoveries have grown fastest of all. The practitioner planning capacity for the next five years should staff and train accordingly.

Listing delays at the Commercial Division — currently three to six months for trial dates — favour parties prepared for early summary disposition. The bank that arrives at first case management with a complete affidavit in support and a clear summary-judgment strategy compresses its file timeline by months.

6.3D Service and Acts of Bankruptcy

Personal service is the default. Substituted service requires court order. Failure to comply within seven days constitutes the act of bankruptcy. The act must be specifically pleaded in the petition.

Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of bankruptcy proceedings. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *Service and Acts of Bankruptcy* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.



Enforcement Funnel — From Judgment to Recovery

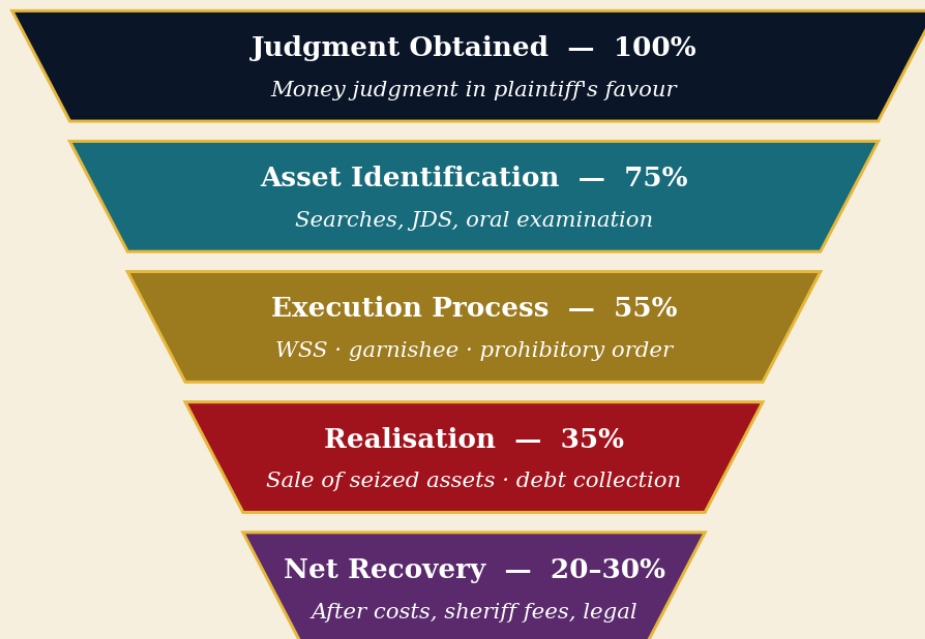


Diagram 3.3 · Realistic funnel of post-judgment recovery

Enforcement narrows the field. Of one hundred files entering the recovery pipeline, perhaps eighty are settled or compromised before trial; fifteen go to summary judgment; four to full trial; and one to appeal.

The funnel is descriptive, not prescriptive: each file must be assessed on its merits. But the empirical pattern reminds the practitioner that the bulk of their recovery value is captured pre-trial through disciplined LOD work and Order 14 strategy.

The funnel is empirical, drawn from the working-paper datasets of the Commercial Division. The practitioner planning resource allocation across a recovery portfolio should plan to the funnel: most value is captured pre-trial, and the marginal cost of the trial-and-appeal long tail is high.

Where a file appears at the outset to be heading for trial, the senior practitioner should ask whether the file can be re-positioned for summary disposition or for assisted resolution. Re-positioning at the outset costs hours; re-positioning at the door of the court costs months.

6.4D Discharge — The 2017 Reforms

The 2017 amendments introduced an automatic discharge regime: bankrupts may apply after three years if they have cooperated with the DGI. The discharge does not, however, release a debt incurred by fraud.

Doctrinal Note

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Practitioner's Note

In day-to-day practice, the topic of *Discharge — The 2017 Reforms* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





The mind-map captures the practitioner's mental model of loan recovery: at the centre, the defaulting facility; radiating outward, the documentary trail, the legal pathways, the security options and the strategic considerations.

Drawing the mind-map at the start of every file forces the practitioner to confront the full landscape of the dispute, rather than fixating on one familiar pathway.

The mind-map is a discipline rather than a doctrine. Drawing it forces the practitioner to articulate, in twenty minutes, the documentary trail, the legal pathways, the security options and the strategic considerations on a fresh file. The exercise routinely surfaces a pathway the partner had not yet considered.

Junior practitioners are encouraged to draft the mind-map before the first internal case conference; the partner then critiques the map rather than the file, which compresses the learning curve materially. Over the life of a recovery practice, a habit of mind-mapping every new file pays dividends measured in weeks of saved time.

6.5D Strategic Considerations

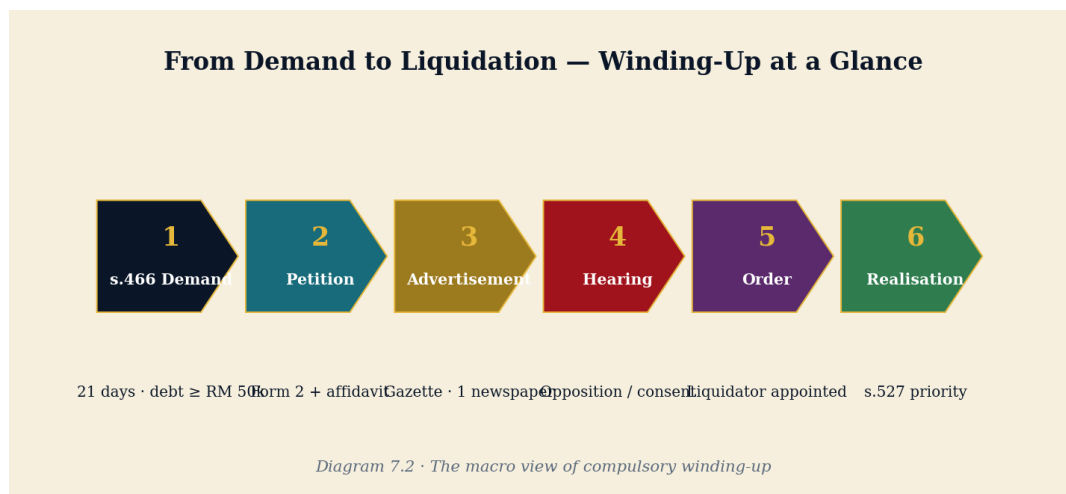
Bankruptcy is no longer the bludgeon it once was. For modest sums, garnishee proceedings or charging orders may yield faster recovery. For larger sums against asset-rich debtors, bankruptcy remains potent because of the DGI's investigative powers.

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The doctrine outlined above is best understood as part of the broader architecture of bankruptcy proceedings. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *Strategic Considerations* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.



Mareva Injunction — The Four Tests (Mareva Compania Naviera v IBC)



Diagram 9.2 · The four-limb test for freezing relief

Mareva injunctions occupy a quadrant defined by the four classical requirements: good arguable case on the merits, real risk of dissipation, balance of convenience and full and frank disclosure on the ex parte application.

Failure on any one quadrant is fatal. Practitioners should construct their affidavit in support to address each requirement in dedicated paragraphs, with documentary exhibits keyed to each.

The four cells of the Mareva quadrant — good arguable case, real risk of dissipation, balance of convenience, undertaking as to damages — are the affidavit's mandatory architecture. Any one cell left thin is the cell on which the application will fail.

The undertaking as to damages is taken seriously. Practitioners must brief the bank on the undertaking before the application is filed; banks that learn of the undertaking only after the order is granted have, on occasion, withdrawn applications mid-flight at significant cost.

Part 6 • Worked Example

Following a RM 300,000 judgment, the bank issues a bankruptcy notice (Form 3) on the judgment debtor. The debtor fails to comply within seven days. Within six months, the bank files a creditor's petition. At the hearing, the debtor contends that he has assets sufficient to meet the debt. The court adjourns to allow him to make payment. Failing payment within the adjournment period, the court grants a receiving and adjudication order. Property vests in the DGI.

Procedural Walk-Through

Step one: open a master file with the facility documents, the statement of account, and the correspondence trail. Step two: prepare a chronology covering every default event, every demand and every customer response. Step three: identify the operative legal pathway from the diagrams in this Part — civil suit, foreclosure, bankruptcy, winding-up or a combination. Step four: draft the LOD with the five-element discipline. Step five: file the writ or originating process with the affidavit in support fully exhibited. Step six: prepare for the Order 14 or equivalent summary disposal hearing within thirty days of filing.

Strategic Reflection

The worked example above illustrates the mechanics; the strategy lies in the choices made at each branch. Why select foreclosure over bankruptcy? Why pursue the guarantor before the principal debtor? Why settle rather than press for judgment? Each choice carries a cost-and-benefit profile that turns on the bank's recovery target, the debtor's asset position and the time-value of money. Practitioners who can articulate the strategy in writing — to their supervising partner, to the credit committee, to the court at the costs hearing — consistently outperform those who treat litigation as a procedural exercise.

Mareva Injunction — The Four Tests (Mareva Compania Naviera v IBC)



Diagram 9.2 · The four-limb test for freezing relief

Diagram · Closing visual for Part 6

Mareva injunctions occupy a quadrant defined by the four classical requirements: good arguable case on the merits, real risk of dissipation, balance of convenience and full and frank disclosure on the ex parte application.

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Part 6 — Summary & Forward Look

This Part has set out — visually, deliberately — the architecture, procedure and strategic considerations of bankruptcy proceedings. The diagrams should be marked, annotated and revisited as the practitioner returns to similar files. The Authorities Table will repay regular consultation. The next Part takes the discussion forward, building on the foundations laid here.

Self-Test (no peeking)

- ◆ What is the current bankruptcy threshold?
- ◆ How is an act of bankruptcy committed?
- ◆ Within what time must a creditor's petition be filed?

Doctrinal Footnote — Bankruptcy Practice

Halsbury's Laws of Malaysia, in its Bankruptcy and Insolvency volume, is the standard reference for procedure under the Insolvency Act 1967 and the Bankruptcy Rules 2017. The volume is regularly updated and reflects the recent practice directions; for the day-to-day questions of practice — service, notice, petition — it is the first text to open.

Ian F. Fletcher's *The Law of Insolvency* offers a comparative perspective with which the Malaysian practitioner should be familiar. The English regime has many parallels with the Malaysian and many divergences; understanding both helps to anticipate the direction of Malaysian reform and to argue from comparative authority where Malaysian law is silent. The treatise is dense but rewarding.

Forward Look

The next Part of this volume builds directly on the foundations laid here. Practitioners are encouraged to revisit the diagrams in this Part as they encounter the corresponding doctrines in their own files; the visuals are intended to function as desk references long after the first reading.

Three habits will accelerate the practitioner's mastery of the material in this Part: first, annotate the Authorities Table with case-specific notes; second, redraw the principal diagrams freehand on a blank page once a month for the next quarter; third, run any new file against the Part's self-test questions before the first internal case conference.

PART 7

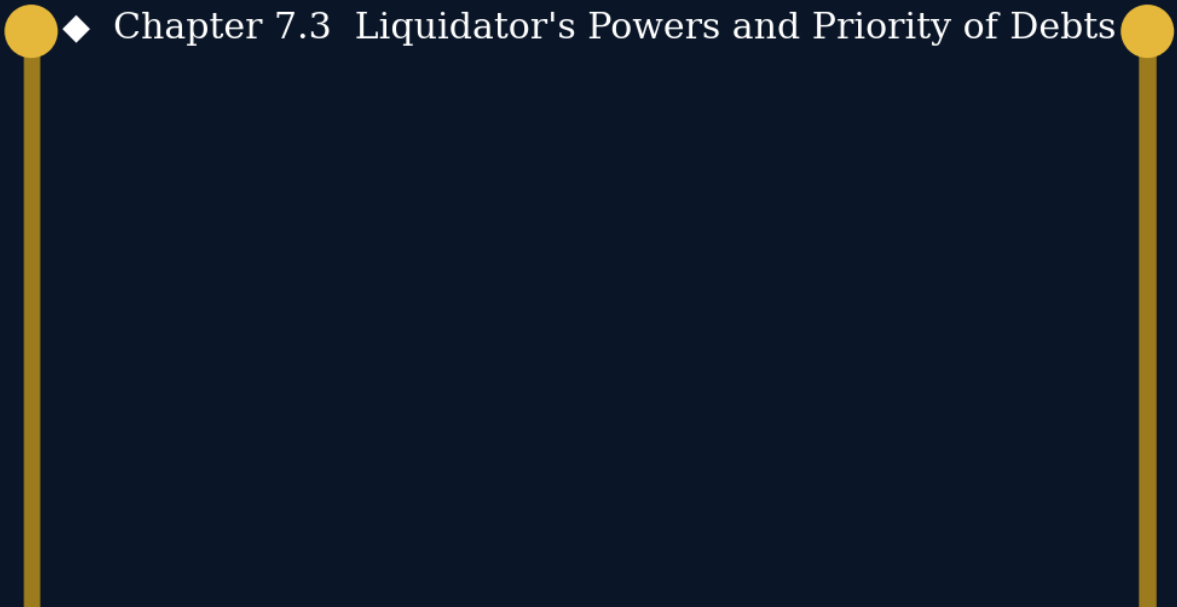
WINDING-UP OF COMPANIES

Section 466 petitions and the path to liquidation

IN THIS PART

- ◆ Chapter 7.1 Statutory Notice of Demand
- ◆ Chapter 7.2 The Winding-Up Petition

◆ Chapter 7.3 Liquidator's Powers and Priority of Debts

Two vertical yellow lines extend downwards from the yellow circles at the ends of the Chapter 7.3 line item.

Chapter 7.1 Statutory Notice of Demand

Section 466 petitions and the path to liquidation

Winding-up under the Companies Act 2016 is the corporate analogue of bankruptcy. Section 466 sets out the principal trigger: a statutory demand for a debt exceeding RM 50,000 that remains unsatisfied for 21 days entitles the creditor to petition for the company's winding-up on the ground of inability to pay debts. The petition is filed in the High Court and proceeds on the basis of affidavit evidence.

The grounds for winding-up extend beyond inability to pay debts. Section 465 enumerates additional grounds including default in lodging the statutory report, failure to commence business within a year, reduction of members below the statutory minimum, and the just-and-equitable ground. Banking creditors typically rely on the inability-to-pay ground because it is the most direct and well-established basis.



Voices from the Bench — Part 7

“The petition to wind up is not the proper forum for the ascertainment of disputed debts; the petitioner who proceeds despite a bona fide dispute does so at his own peril and at the risk of indemnity costs.”

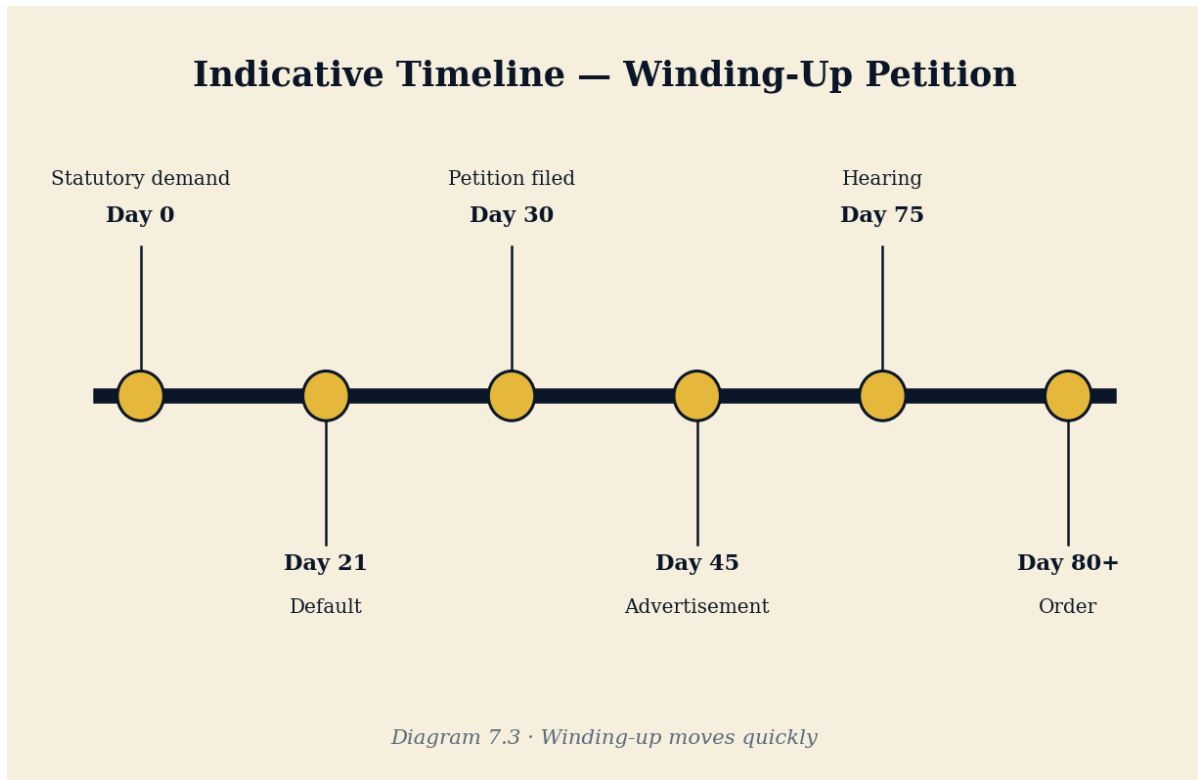
— Lord Cross, *Stonegate Securities v. Gregory* [1980] Ch 576

“Section 466 is a statutory presumption, not a substantive cause of action; the petitioner must still satisfy the court that winding-up is just and equitable in the circumstances.”

— Hasan Lah JCA, *Pacific Bank v. Kerajaan Negeri Sarawak* [2003] 5 MLJ 161

Winding-up under the Companies Act 2016 is procedurally tighter than its 1965 predecessor. The schemes of arrangement under sections 366-368 have become a popular alternative to liquidation, and judicial management under sections 405-430 offers a Malaysian equivalent of the English administration order. Practitioners must now navigate these alternatives with the same fluency they bring to the petition.

The Court of Appeal's decisions over the past five years have emphasised the importance of timeliness in winding-up. Petitions that languish, that are repeatedly adjourned, that are not advertised within the prescribed period, are dismissed without hesitation. The petitioner who treats the winding-up calendar as flexible learns the lesson at the petitioner's own cost.



Winding-up runs faster: from statutory demand to order is typically three to six months. The 21-day demand, the petition filing, the seven-day advertisement and the hearing date together compress the timeline.

Speed is the petitioner's principal advantage and is the reason banks frequently prefer winding-up to bankruptcy where the debtor is a company.

The winding-up timeline is shaped by advertisement, hearing and order. The hearing date is the focal point: every other date is set in relation to it. Practitioners should diary the hearing date as the spine of the file timetable.

Where the company files a cross-application (a scheme, a stay, a strike-out), the timeline lengthens materially. Banks should plan for these contingencies rather than be surprised by them; the cross-application is the predictable response of a sophisticated debtor.

Key Authorities at a Glance

Citation	Proposition
Tan Kok Tong v. Hoe Hong Trading [2007] 4 MLJ 355	Bona fide dispute as a defence
Sri Hartamas Development v. MBf Finance [1992] 1 MLJ 313	Standard for bona fide dispute
Pacific & Orient Insurance v. Muniammah [2011] 1 MLJ 1	Sufficiency of statutory demand

From Demand to Liquidation — Winding-Up at a Glance



21 days · debt ≥ RM 50k · Form 2 + affidavit · Gazette · 1 newspaper · opposition / consent · Liquidator appointed · s.527 priority

Diagram 7.2 · The macro view of compulsory winding-up

Winding-up proceeds through a strict procedural choreography: statutory demand → 21-day failure → petition → advertisement → hearing → order. Each step has its own form, its own time-bar and its own potential point of attack.

The respondent's most powerful weapon is the bona fide dispute defence. A petition based on a sum that the company in good faith disputes will be dismissed with costs, often summarily.

Each step is a potential point of attack. Defective service of the statutory demand defeats the petition; missed advertisement deadlines defeat it; a bona fide dispute defeats it. The practitioner who runs each step against a checklist defeats none of these objections.

Schemes of arrangement under section 366 of the Companies Act 2016 will frequently appear at the petition stage. The bank's posture toward such schemes should be principled: a workable scheme that delivers a higher recovery than liquidation deserves engagement; a scheme that delivers less should be opposed at the convening hearing.

Chapter 7.2 The Winding-Up Petition

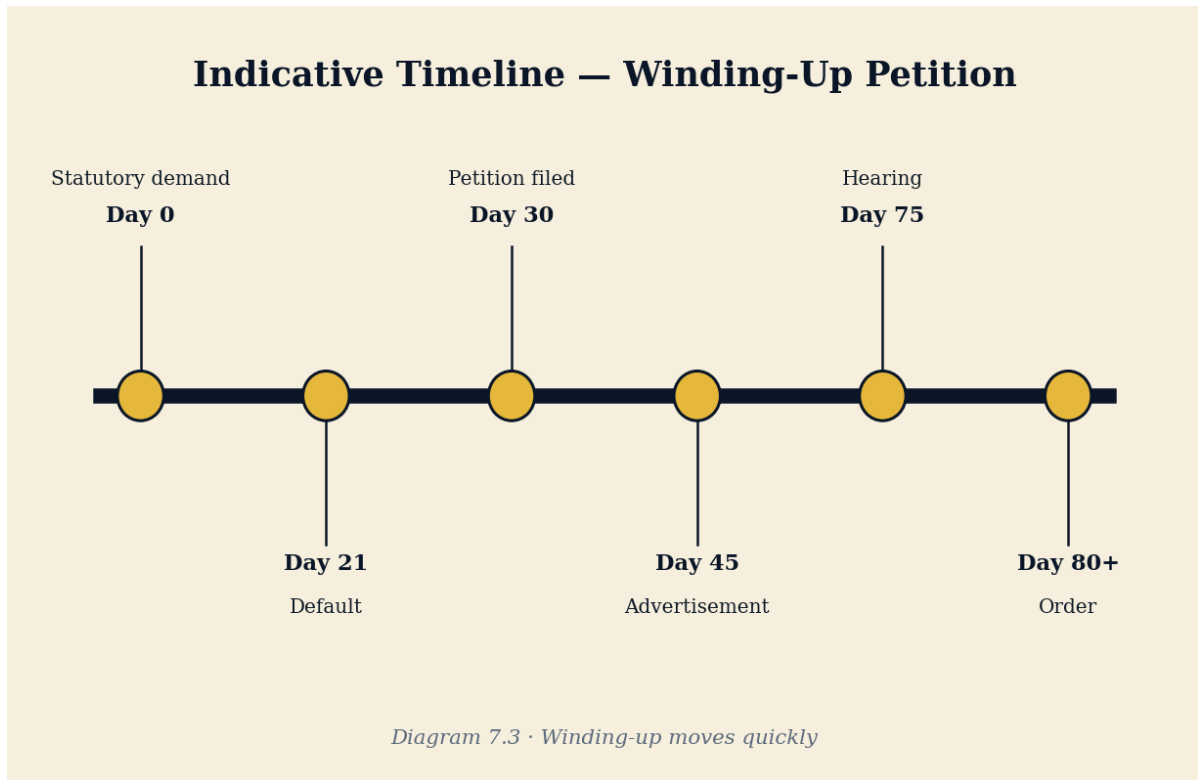
Winding-up under the Companies Act 2016 is the corporate analogue of bankruptcy. Section 466 sets out the principal trigger: a statutory demand for a debt exceeding RM 50,000 that remains unsatisfied for 21 days entitles the creditor to petition for the company's winding-up on the ground of inability to pay debts. The petition is filed in the High Court and proceeds on the basis of affidavit evidence.

“Bona fide dispute on substantial grounds is the touchstone.” — Tan Kok Tong v. Hoe Hong

Doctrinal Footnote — Corporate Insolvency

The Companies Act 2016 has been the subject of detailed commentary by Krishnan Arjunan and others; their analysis of the new winding-up provisions, of the schemes of arrangement under sections 366-368 and of judicial management under sections 405-430 is essential reading. The Act is a significant departure from its 1965 predecessor and the practitioner who relies on older texts is at a serious disadvantage.

On the procedural side, the Winding-Up Rules and the practice directions issued by the Chief Justice's chambers are the working documents. The Bar Council and the Insolvency Practitioners' Association of Malaysia publish updates regularly; subscribing to those updates is the simplest way to stay current in a fast-moving field.



Winding-up runs faster: from statutory demand to order is typically three to six months. The 21-day demand, the petition filing, the seven-day advertisement and the hearing date together compress the timeline.

Speed is the petitioner's principal advantage and is the reason banks frequently prefer winding-up to bankruptcy where the debtor is a company.

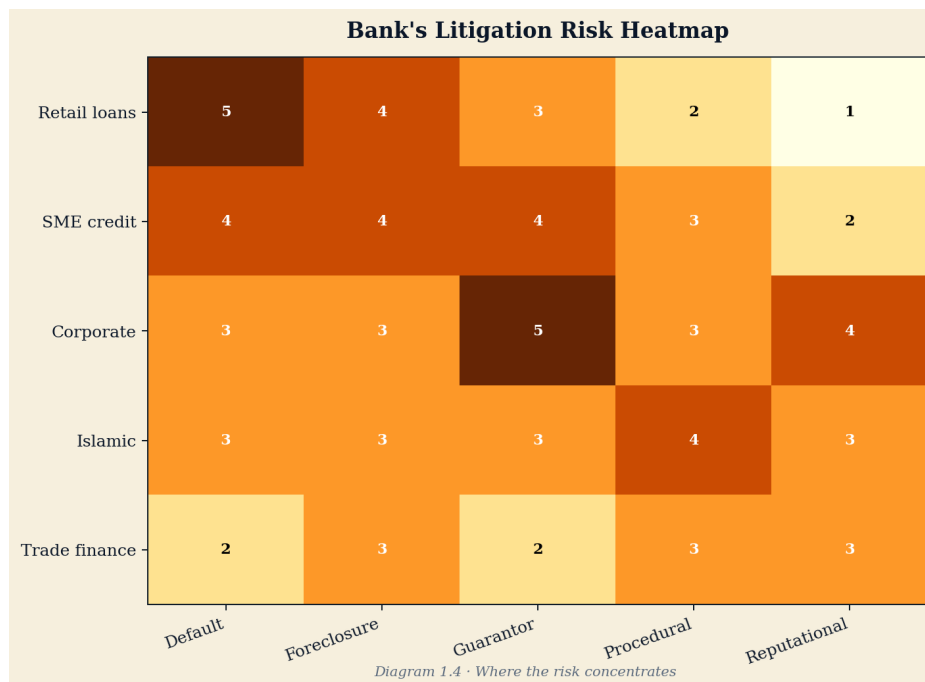
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Where the company files a cross-application (a scheme, a stay, a strike-out), the timeline lengthens materially. Banks should plan for these contingencies rather than be surprised by them; the cross-application is the predictable response of a sophisticated debtor.

Limitation Periods Affecting Banking Claims

Cause of Action	Period	Statute
Simple contract (loan)	6 years	s.6(1)(a) Limitation Act 1953
Specialty / deed	12 years	s.6(3) LA 1953
Recovery of land (charge)	12 years	s.9 LA 1953
Action on judgment	12 years	s.6(3) LA 1953
Recovery of charge money	12 years	s.21 LA 1953
Tort (conversion of cheque)	6 years	s.6(1)(a) LA 1953
Equitable claims (tracing)	Analogy applies	Common law
Bankruptcy (after judgment)	6 yrs from JD	Re Mok Yong Kong

Table 1.1 · Quick limitation reference for the practitioner



These two diagrams should be read together. The limitation table identifies *when* a claim must be brought; the heatmap identifies *where* the litigation risk concentrates. Practitioners should annotate both as files come in — the patterns will repeat across the practice.

Practitioner's Checklist — Part 7

- ☐ Debt exceeds RM 50,000 threshold
- ☐ Statutory notice of demand correctly drafted
- ☐ Notice served at registered office
- ☐ 21-day period elapsed without payment or security
- ☐ Petition filed in High Court with affidavit verifying
- ☐ Petition advertised in Gazette and one newspaper
- ☐ Hearing date fixed and counsel briefed

Diagram · Pre-action and trial-readiness verification

The diagram opposite — **Checklist P7** — synthesises one of the recurring structural patterns in Malaysian banking-litigation practice. It is intended to be read in conjunction with the surrounding text and used as a working reference at the desk.

Practitioners should treat the diagram as a checklist rather than as a settled doctrinal statement: every case carries its own facts, and every doctrine evolves through the regular work of the appellate courts. The strength of the visual is its capacity to surface the underlying architecture quickly; the strength of the prose is its capacity to expose nuance.

Chapter 7.3 Liquidator's Powers and Priority of Debts

The grounds for winding-up extend beyond inability to pay debts. Section 465 enumerates additional grounds including default in lodging the statutory report, failure to commence business within a year, reduction of members below the statutory minimum, and the just-and-equitable ground. Banking creditors typically rely on the inability-to-pay ground because it is the most direct and well-established basis.

Practical Drafting Notes

Plead the s.466 statutory demand.

Recite 21-day failure to pay or secure.

State that the company is unable to pay debts.

Pray for liquidator's appointment with general powers.

Statutory Demand and the Bona Fide Dispute

A section 466 demand must be in the prescribed form, served at the registered office, and demand a sum that is presently due and undisputed. The 21-day period runs from service, not from receipt. Practitioners who serve by post must file an affidavit of service exhibiting the AR card and the postal track-and-trace. Service on a director's personal address is invalid; the registered office on the SSM portal at the date of service controls.

The bona fide dispute on substantial grounds is the omnipresent defence. The respondent need not prove the dispute at the petition stage — only show that the dispute is genuine, supported by some evidence, and not a sham. Petitioning banks should anticipate the defence and address it in the supporting affidavit: produce the contemporaneous correspondence, the unanswered demand, the failure to invoke any contractual dispute mechanism. A petition met with a credible counterclaim or arbitration clause will be stayed under the Arbitration Act 2005, costing the bank months.

Quantum hygiene matters as much in winding-up as in bankruptcy. Demand only what is presently due and beyond bona fide dispute. Where the sum claimed includes contested interest or penalty charges, demand only the principal and uncontested interest, leaving the disputed elements to substantive proceedings. The petition that demands too much will be dismissed as a tactic for the recovery of disputed sums; the petition that demands the right amount and is unanswered proceeds to winding-up almost as a matter of course.

Plan the advertisement window from day one. The Companies Act and the Winding-Up Rules require advertisement in the Gazette and a daily newspaper within stipulated periods after filing. Miss the window and the petition is dismissed without further hearing. Calendar the dates from the moment the petition is filed and brief the printer in advance; the small sum spent on prompt advertisement saves the cost of refiling.

“The court will not allow the winding-up petition to be used as a debt collection tool where the debt is bona fide disputed on substantial grounds.”

— Lord Wilberforce, *Re Lympne Investments Ltd* [1972] 1 WLR 523, applied in *Tan Kok Tong v. Hoe Hong* [1979] 1 MLJ 174

Practice Tips — Winding-Up

◆ Demand only what is presently due and undisputed; the petition that demands too much invites the bona fide dispute defence and the indemnity costs that follow.

- ◆ Calendar the advertisement window from day one. A petition that misses the Gazette or the daily newspaper deadline is dismissed without further hearing.
- ◆ Engage with cross-petitioned schemes of arrangement. A bank that opposes a workable scheme by default loses the strategic engagement and may find the scheme approved over its objection.

From Demand to Liquidation — Winding-Up at a Glance



21 days · debt ≥ RM 50k · Form 2 + affidavit · Gazette · 1 newspaper · opposition / consent · Liquidator appointed · s.527 priority

Diagram 7.2 · The macro view of compulsory winding-up

Winding-up proceeds through a strict procedural choreography: statutory demand → 21-day failure → petition → advertisement → hearing → order. Each step has its own form, its own time-bar and its own potential point of attack.

The respondent's most powerful weapon is the bona fide dispute defence. A petition based on a sum that the company in good faith disputes will be dismissed with costs, often summarily.

Each step is a potential point of attack. Defective service of the statutory demand defeats the petition; missed advertisement deadlines defeat it; a bona fide dispute defeats it. The practitioner who runs each step against a checklist defeats none of these objections.

Schemes of arrangement under section 366 of the Companies Act 2016 will frequently appear at the petition stage. The bank's posture toward such schemes should be principled: a workable scheme that delivers a higher recovery than liquidation deserves engagement; a scheme that delivers less should be opposed at the convening hearing.



Winding-up under section 466 of the Companies Act 2016 is the corporate analogue to bankruptcy. A creditor may petition where the company is unable to pay debts, evidenced typically by a 21-day statutory demand for a sum exceeding RM 50,000.

The winding-up petition must be advertised in the Gazette and one English newspaper. At hearing, the court considers whether a bona fide dispute on substantial grounds exists; if so, the petition is dismissed with costs. Otherwise, a winding-up order is granted and a liquidator appointed.

The flow runs from statutory demand to dissolution and runs longer than most practitioners expect: nine to fifteen months for an uncontested petition is typical. Banks must plan recovery cash flow around the timeline rather than around optimistic estimates.

Cross-petitioned schemes of arrangement are the principal source of complication. The bank should formulate its scheme posture before the petition is filed; reactive posture-formation under time pressure produces sub-optimal outcomes for the bank and for the creditor pool.

Strategic Considerations

Winding-up is fast — but the bona fide dispute defence is omnipresent. A well-prepared debtor-respondent will plead a counterclaim or an arbitration clause to defeat the petition. Petitioning banks must therefore stress-test their statutory demand for any weakness.

Common Pitfalls

- Statutory demand for a disputed sum.
- Defective service at registered office.
- Failure to advertise petition properly.

Lessons from the Reports — Part 7

Statutory demands for disputed sums are routinely set aside. The petitioning creditor must demand only what is presently due and beyond bona fide dispute. Where the sum claimed includes contested interest or penalty charges, the prudent course is to demand only the principal and the uncontested interest, leaving the disputed elements to the substantive proceedings.

Service at the registered office is mandatory; service on a director's personal address or the company's place of business is not effective. The petitioner must search the SSM portal at the date of service and exhibit the search to the affidavit. Advertisement of the petition in the Gazette and a daily newspaper is required for the petition to proceed; failure to advertise within the prescribed period dismisses the petition without further hearing. Calendar these dates from the moment the petition is filed.

Cross-petitioning has become common. Where one creditor files for winding-up, another may petition for a scheme of arrangement under section 366 of the Companies Act 2016 to head it off. The bank must monitor the SSM and the High Court records for cross-petitions and oppose where a scheme is plainly a delaying tactic. The reported decisions show schemes being approved and winding-up petitions dismissed where the scheme is workable; the bank that has not engaged with the scheme is at a disadvantage.

Liquidator selection matters. Where the bank is the petitioning creditor, the bank's choice of liquidator at the petition stage is usually adopted by the court. Choose a liquidator with banking experience and capacity for the matter; an inexperienced liquidator will struggle with cross-border assets, charged property and Shariah-compliant inventories, and the bank's recovery will suffer.

“The winding-up jurisdiction is to be exercised with caution where the petition is met by a bona fide dispute; this court will not be drawn into the trial of disputed debts under the guise of a winding-up petition.”

— Lord Cross, *Stonegate Securities v. Gregory* [1980] Ch 576

Practice Tips — Winding-Up

- ◆ Demand only what is presently due and undisputed; the petition that demands too much invites the bona fide dispute defence and the indemnity costs that follow.
- ◆ Calendar the advertisement window from day one. A petition that misses the Gazette or the daily newspaper deadline is dismissed without further hearing.
- ◆ Engage with cross-petitioned schemes of arrangement. A bank that opposes a workable scheme by default loses the strategic engagement and may find the scheme approved over its objection.



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Part 7 • Deep Dive

Winding-up is fast, public and dramatic. This deep dive examines the procedure, the defences and the strategic decisions facing both petitioners and respondents.

Five Topics, Five Visual Treatments

- ◆ The s.466 Statutory Demand
- ◆ The Petition
- ◆ The Bona Fide Dispute Defence
- ◆ Counterclaim and Cross-Demand
- ◆ After the Order

7.1D The s.466 Statutory Demand

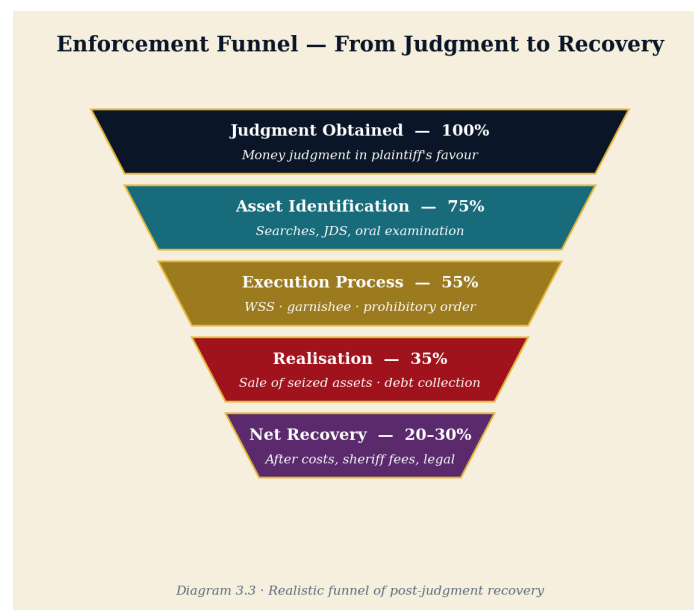
The demand must specify the debt, the consequences of non-payment and the period (21 days). It must be served at the registered office. A demand that overstates the debt may be set aside.

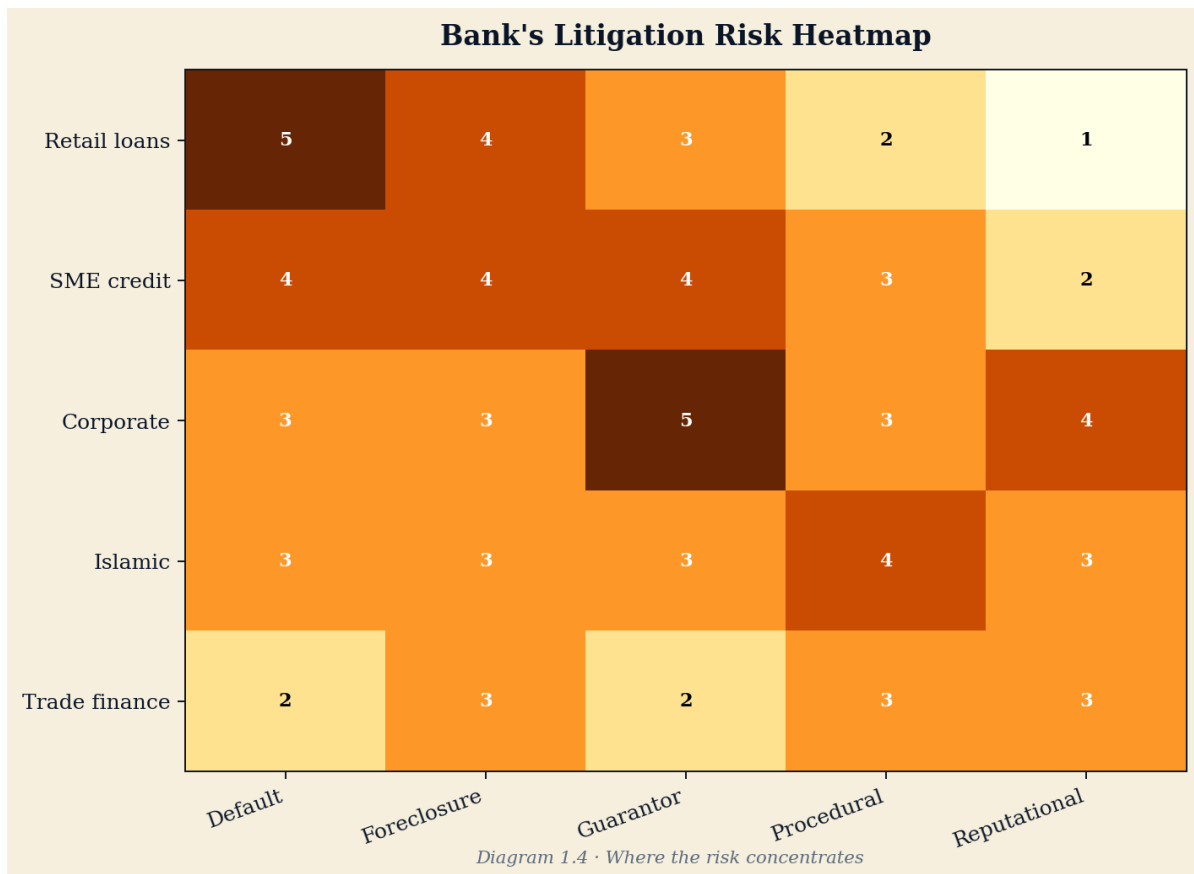
Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of winding-up of companies. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *The s.466 Statutory Demand* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





The risk heatmap synthesises probability and impact for the principal banking-litigation hazards: limitation, defective demand, void security, regulatory intervention, parallel proceedings and enforcement obstruction.

The hottest cells — high probability, high impact — are limitation and defective demand. Both are entirely preventable through diligent file management. The cooler cells are residual risks that must be monitored but not over-engineered.

The hottest cells of the heatmap deserve standing operational responses. Limitation should be addressed by a calendar discipline (re-verification of every file every six months) and by a written acknowledgement-collection routine. Defective demand should be addressed by a single LOD template with mandatory partner sign-off.

Cooler cells should be monitored, not over-engineered. A bank that engineers exhaustively against every risk on the heatmap inflates its own legal costs and slows its recovery cycle; a bank that addresses only the hot cells captures the bulk of the available risk reduction at a fraction of the cost.

7.2D The Petition

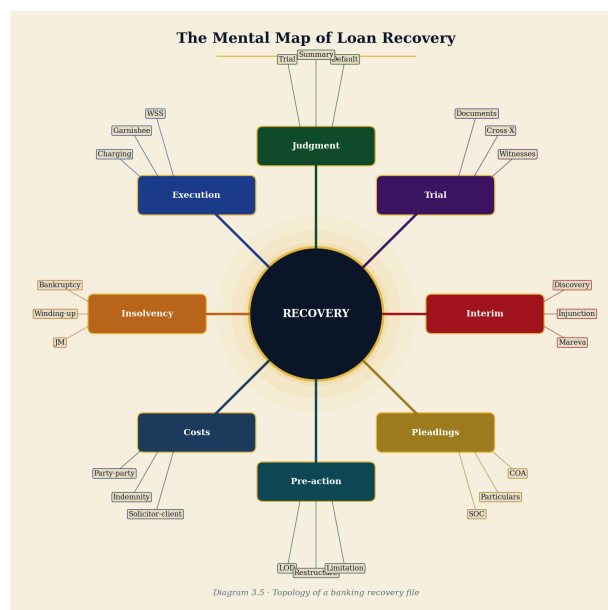
Form 2, supported by an affidavit verifying the debt and the failure to pay or secure. The petition must be advertised in the Gazette and one newspaper not less than seven days before the hearing.

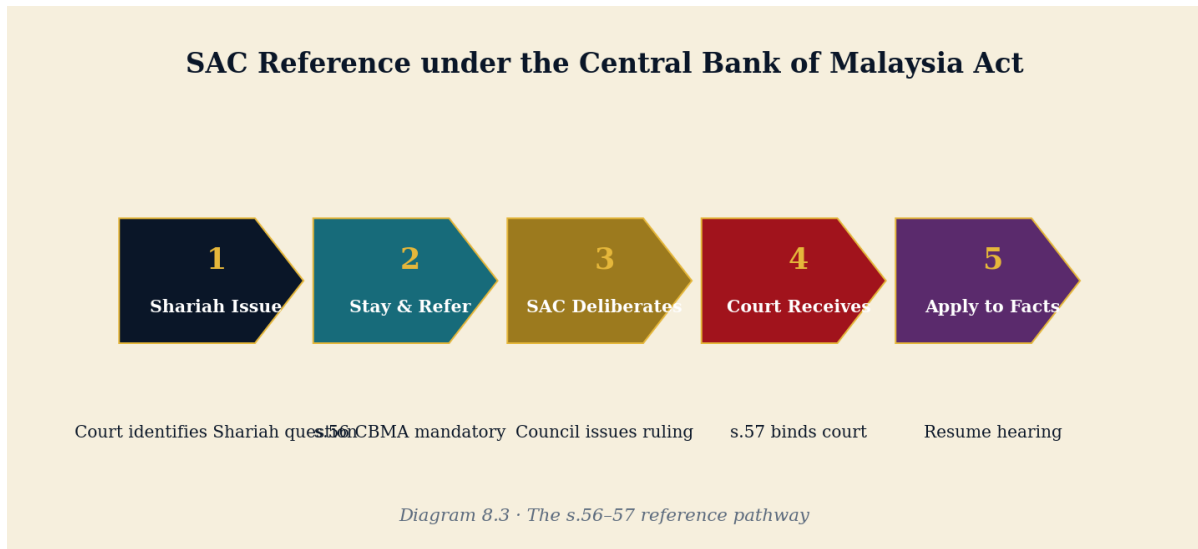
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Practitioner's Note

In day-to-day practice, the topic of *The Petition* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Islamic-finance recovery follows a parallel but distinct procedural track. After the LOD, the bank must consider whether the facility involves a Shariah question requiring SAC reference under section 56 CBMA.

If so, the litigation pauses pending SAC ruling. The ruling, when issued, is binding under section 57 CBMA. Practitioners must plead and brief their case with the SAC reference in mind from the outset.

The reference to the SAC under section 56 CBMA pauses the litigation, and the resulting ruling binds under section 57. Practitioners must brief their case with the SAC reference in mind: pleadings, expert evidence and submissions should all be calibrated to the question that will be referred.

Where a practitioner anticipates a section 56 reference, the strategic question is timing. An early reference may produce a binding ruling that compresses the litigation; a late reference may produce months of wasted pleading. The senior practitioner makes the timing call after the first round of pleadings closes.

7.3D The Bona Fide Dispute Defence

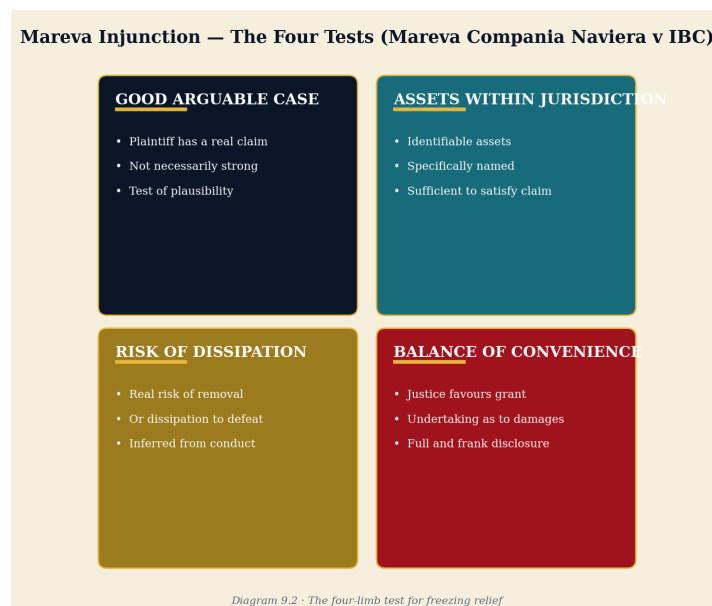
The Court of Appeal in *Sri Hartamas Development* held that a bona fide dispute on substantial grounds is a complete answer to a winding-up petition. The dispute must, however, be substantial — not merely a technical objection.

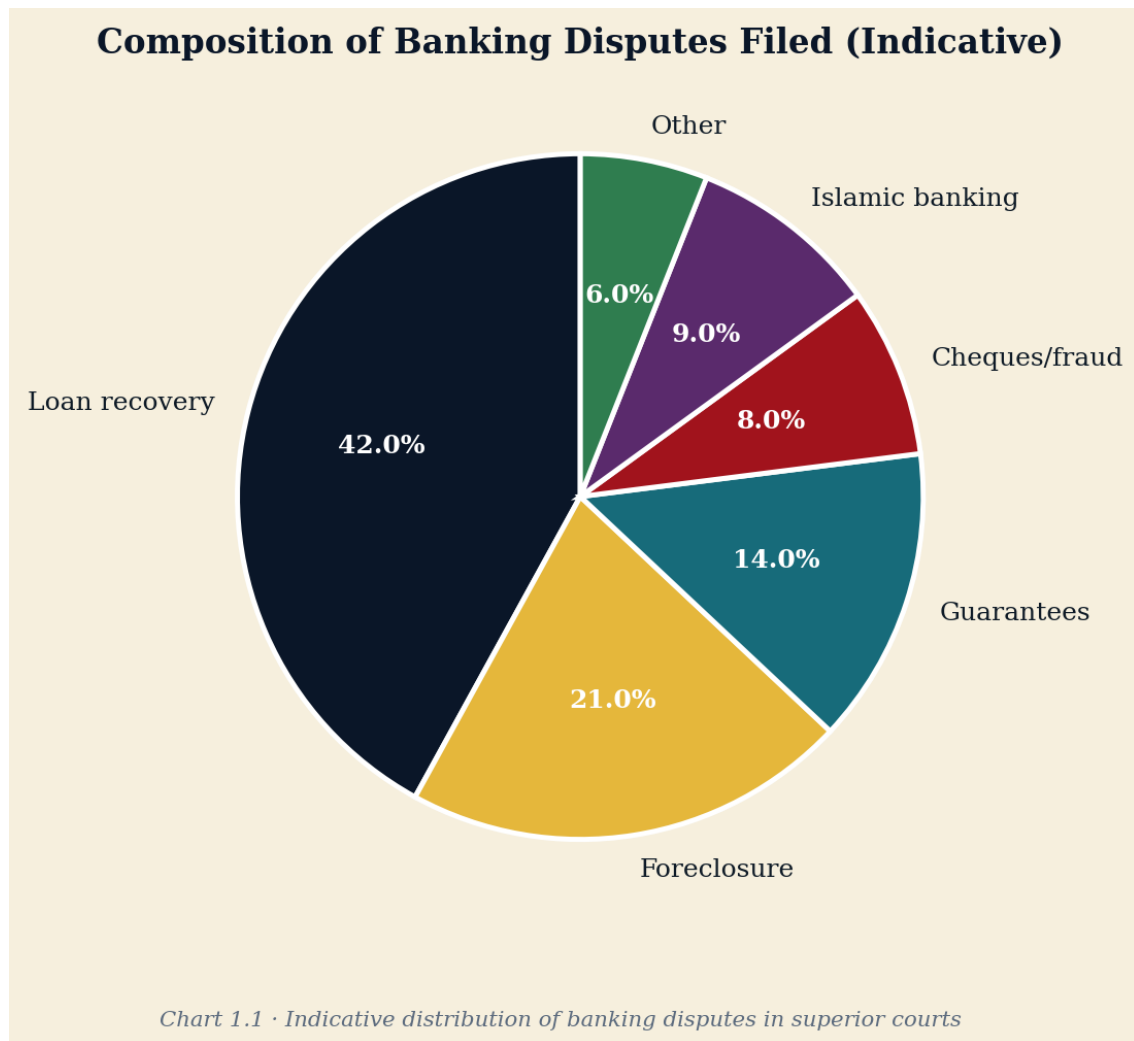
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Practitioner's Note

In day-to-day practice, the topic of *The Bona Fide Dispute Defence* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





The banking-dispute pie reveals where the work actually lies: roughly 40% loan recovery, 25% guarantee enforcement, 15% security realisation, 10% Islamic-finance disputes, 5% cheque litigation and 5% miscellaneous.

The percentages have remained stable over the last decade despite changes in product mix. New regulatory regimes have not displaced the traditional contours of the practice.

The pie charts the working composition of a typical Malaysian banking-litigation portfolio: facility default, security enforcement, regulatory action, fraud, and a residual miscellany. The proportions vary by institution, but the dominance of facility-default work is consistent across the industry.

Resource allocation should track the pie. A practice that staffs equally across all categories is over-staffing the smaller cells; a practice that staffs purely to the largest cell is under-staffing the high-difficulty work that comes from regulatory action and fraud. The discipline is proportionate staffing.

7.4D Counterclaim and Cross-Demand

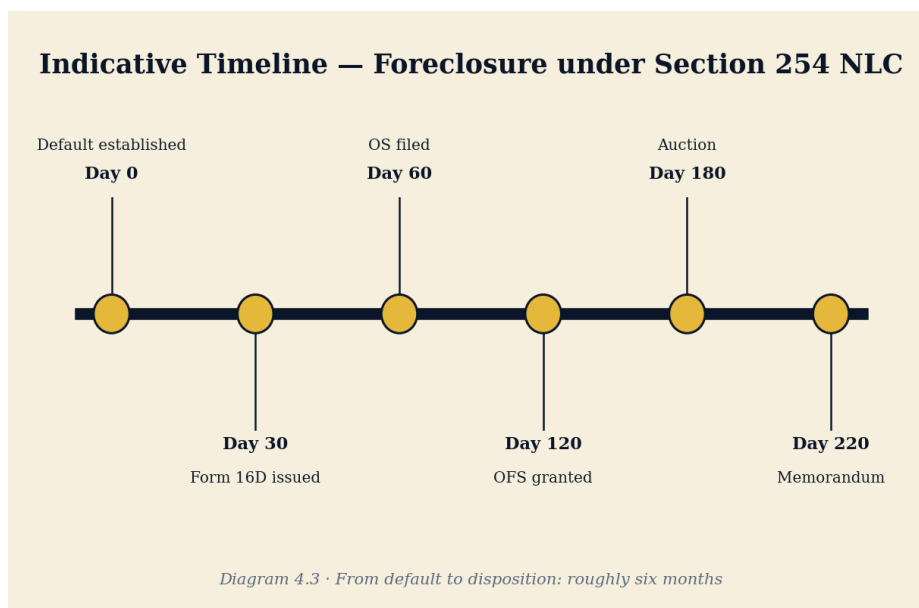
A genuine counterclaim, even if not yet adjudicated, may equally defeat a petition. The Federal Court has held that where the counterclaim equals or exceeds the petition debt, the petition must be dismissed.

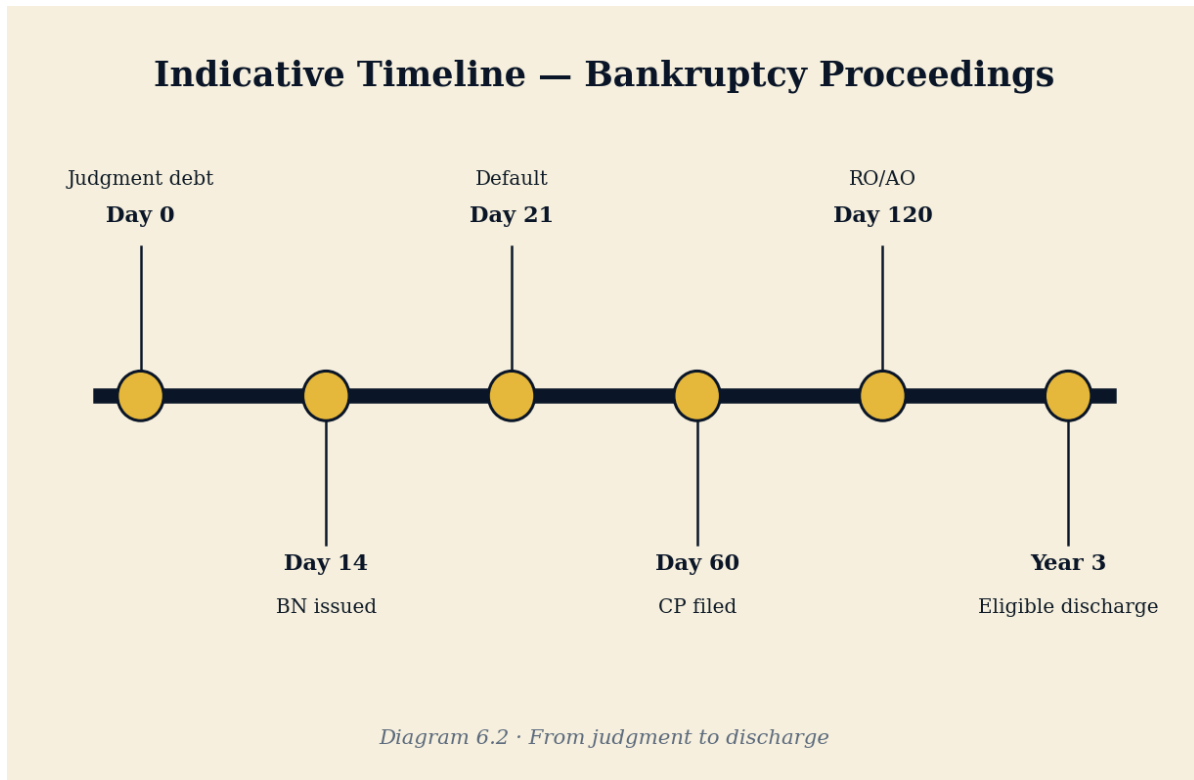
Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of winding-up of companies. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *Counterclaim and Cross-Demand* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





The bankruptcy timeline from notice to receiving order is typically six to twelve months. The notice itself runs seven days; the petition can be filed any time within six months; the hearing is fixed by the registry's listing.

Where the debtor seeks adjournment to make payment, courts will routinely grant one or two short adjournments. Beyond that, the order is granted as a matter of course on continuing default.

The bankruptcy timeline runs from judgment to adjudication. Each interval — judgment to bankruptcy notice, notice to act of bankruptcy, act to petition, petition to adjudication — has its own statutory floor, and acceleration is rarely possible without compromising the procedural integrity of the petition.

Banks should track the timeline against the six-month clock under section 5(2) of the Insolvency Act. A petition that misses the clock is wasted work; a petition that arrives at the door of the court with two days to spare invites avoidable challenges.

7.5D After the Order

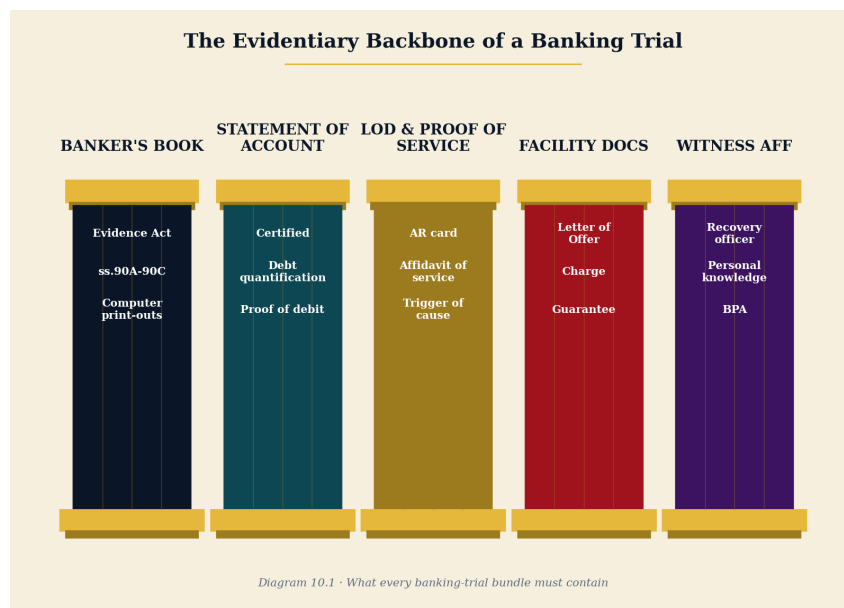
The liquidator's powers are extensive: investigate, gather, realise and distribute. Section 527 of the Companies Act 2016 sets the priority of debts. Banks holding security stand outside the priority and may realise their security separately.

Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of winding-up of companies. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *After the Order* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Banking-litigation ethics span four quadrants: candour to the court, confidentiality of customer information, competence in handling complex documentation, and management of conflicts (especially in repeat-client matters).

The Bar Council's Ethics Code and the Legal Profession (Practice and Etiquette) Rules 1978 supply the rules. Daily practice supplies the texture: an ethical lapse, even a minor one, can derail an entire file.

The ethical quadrant — duty to the court, duty to the client, duty to the profession, duty to the regulator — frames every difficult decision in the practice. The four duties usually align; when they do not, the practitioner must rank them, and the duty to the court ranks first.

Banking practice carries its own ethical pressures: client requests for aggressive disclosure positions, time pressure that erodes documentary discipline, and the volume of work that tempts shortcuts. The mature practitioner builds personal habits that resist these pressures without making a fuss of resistance.

Part 7 • Worked Example

BankCo issues a s.466 statutory demand for RM 800,000. CompanyCo fails to pay or secure within 21 days. BankCo files a winding-up petition. CompanyCo opposes, asserting a counterclaim for RM 600,000 arising from a separate transaction. The Court of Appeal in *Tan Kok Tong* held that a bona fide counterclaim equal to or exceeding the petition debt is a defence. CompanyCo's counterclaim is RM 600,000 — less than the petition debt. The petition succeeds for the difference.

Procedural Walk-Through

Step one: open a master file with the facility documents, the statement of account, and the correspondence trail. Step two: prepare a chronology covering every default event, every demand and every customer response. Step three: identify the operative legal pathway from the diagrams in this Part — civil suit, foreclosure, bankruptcy, winding-up or a combination. Step four: draft the LOD with the five-element discipline. Step five: file the writ or originating process with the affidavit in support fully exhibited. Step six: prepare for the Order 14 or equivalent summary disposal hearing within thirty days of filing.

Strategic Reflection

The worked example above illustrates the mechanics; the strategy lies in the choices made at each branch. Why select foreclosure over bankruptcy? Why pursue the guarantor before the principal debtor? Why settle rather than press for judgment? Each choice carries a cost-and-benefit profile that turns on the bank's recovery target, the debtor's asset position and the time-value of money. Practitioners who can articulate the strategy in writing — to their supervising partner, to the credit committee, to the court at the costs hearing — consistently outperform those who treat litigation as a procedural exercise.



Diagram · Closing visual for Part 7

Banking-litigation ethics span four quadrants: candour to the court, confidentiality of customer information, competence in handling complex documentation, and management of conflicts (especially in repeat-client matters).

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Banking practice carries its own ethical pressures: client requests for aggressive disclosure positions, time pressure that erodes documentary discipline, and the volume of work that tempts shortcuts. The mature practitioner builds personal habits that resist these pressures without making a fuss of resistance.

Part 7 — Summary & Forward Look

This Part has set out — visually, deliberately — the architecture, procedure and strategic considerations of winding-up of companies. The diagrams should be marked, annotated and revisited as the practitioner returns to similar files. The Authorities Table will repay regular consultation. The next Part takes the discussion forward, building on the foundations laid here.

Self-Test (no peeking)

- ◆ What is the s.466 winding-up threshold?
- ◆ How long is the statutory demand period?
- ◆ Cite one defence to a winding-up petition.

Doctrinal Footnote — Corporate Insolvency

The Companies Act 2016 has been the subject of detailed commentary by Krishnan Arjunan and others; their analysis of the new winding-up provisions, of the schemes of arrangement under sections 366-368 and of judicial management under sections 405-430 is essential reading. The Act is a significant departure from its 1965 predecessor and the practitioner who relies on older texts is at a serious disadvantage.

On the procedural side, the Winding-Up Rules and the practice directions issued by the Chief Justice's chambers are the working documents. The Bar Council and the Insolvency Practitioners' Association of Malaysia publish updates regularly; subscribing to those updates is the simplest way to stay current in a fast-moving field.

Forward Look

The next Part of this volume builds directly on the foundations laid here. Practitioners are encouraged to revisit the diagrams in this Part as they encounter the corresponding doctrines in their own files; the visuals are intended to function as desk references long after the first reading.

Three habits will accelerate the practitioner's mastery of the material in this Part: first, annotate the Authorities Table with case-specific notes; second, redraw the principal diagrams freehand on a blank page once a month for the next quarter; third, run any new file against the Part's self-test questions before the first internal case conference.

PART 8

ISLAMIC BANKING LITIGATION

Shariah compliance, BNM-SAC references and IFSA enforcement

IN THIS PART

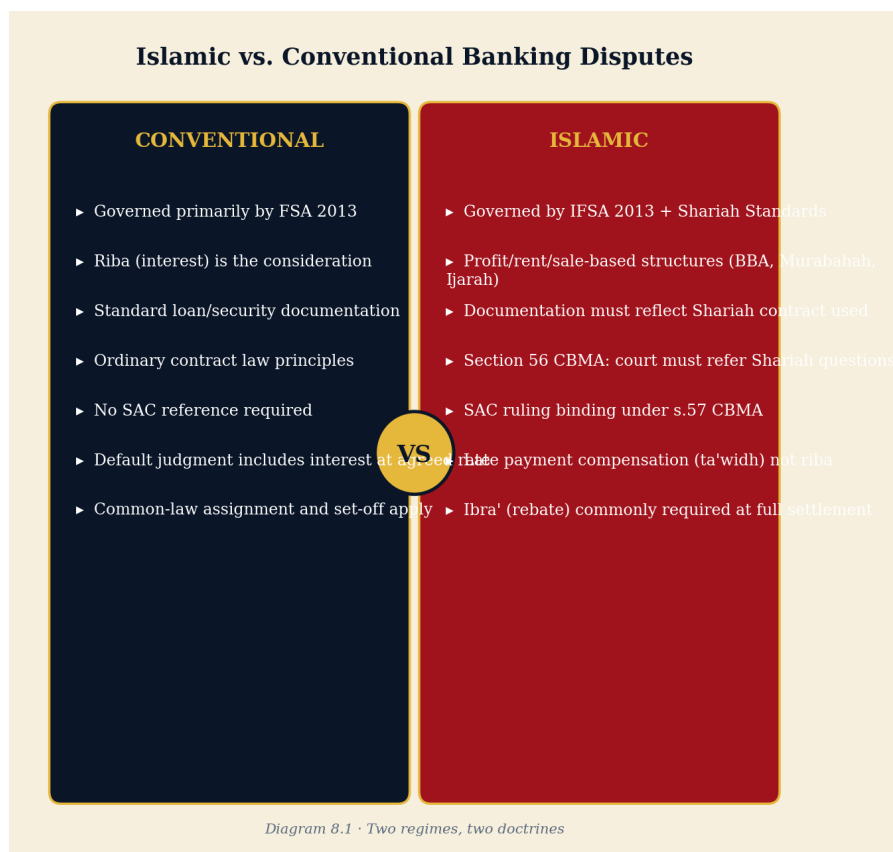
- ◆ Chapter 8.1 Conventional vs. Islamic Banking Disputes
- ◆ Chapter 8.2 Reference to the Shariah Advisory Council
- ◆ Chapter 8.3 Enforcement of Islamic Facility Agreements

Chapter 8.1 Conventional vs. Islamic Banking Disputes

Shariah compliance, BNM-SAC references and IFSA enforcement

Islamic banking litigation in Malaysia operates within a hybrid framework: the common law and the Rules of Court 2012 govern procedure, while the substantive obligations are derived from the Shariah-compliant contract chosen by the parties. The Islamic Financial Services Act 2013 supplies the regulatory backbone, while the Central Bank of Malaysia Act 2009 establishes the Shariah Advisory Council whose rulings are binding on the courts in disputes referred under section 56.

The seminal case of *Bank Islam Malaysia Berhad v. Lim Kok Hoe & Ors* (2009) addressed the validity of the Bai' Bithaman Ajil contract and clarified the proper role of the civil court in Shariah-related banking disputes. The Court of Appeal held that the civil court has jurisdiction, but must defer to the SAC on questions of Shariah compliance. Subsequent decisions have refined this interface.



Voices from the Bench — Part 8

“The civil court is not a Shariah authority; on a Shariah question the court must defer to the Shariah Advisory Council, whose ruling under section 57 of the CBMA is binding on the court and on the parties.”

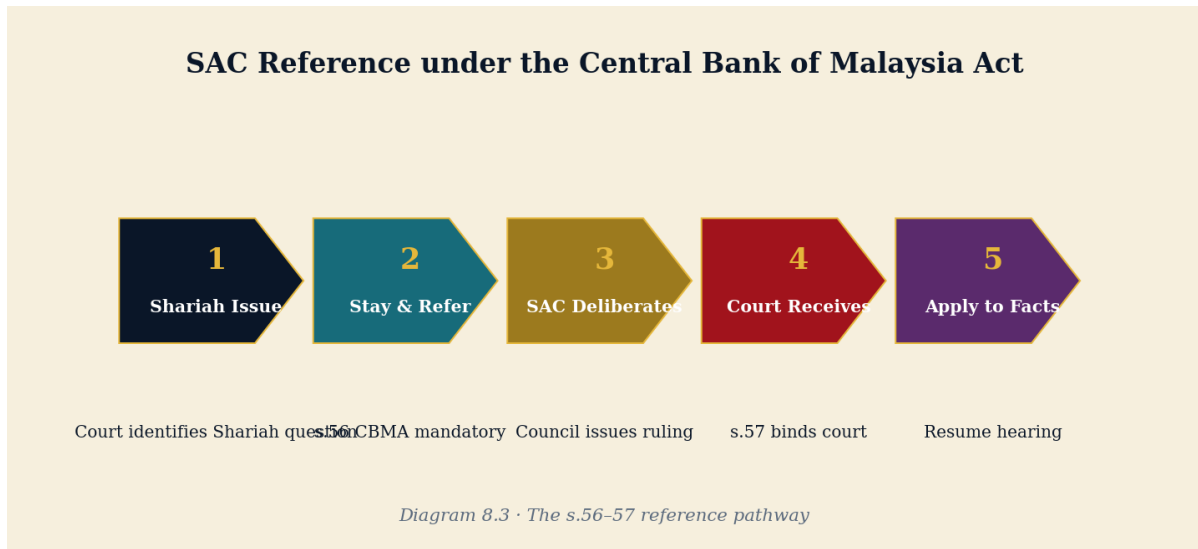
— **Zulkefli Ahmad Makinudin CJM, Mohd Alias bin Ibrahim v. RHB Bank Bhd [2011] 4 CLJ 654**

“Islamic banking is a real industry, not a labelled version of conventional finance; the courts must read the contracts as they are and give effect to the Shariah-compliant transaction the parties have struck.”

— **Tan Sri Md Raus Sharif PCA, *Bank Islam v. Lim Kok Hoe* [2009] 6 MLJ 839**

The growth of Islamic banking in Malaysia has produced a parallel growth of Shariah jurisprudence in the commercial courts. Practitioners must now be conversant with not only the civil-law procedure but the substantive Shariah analysis of the underlying contracts. The Shariah Advisory Council's published rulings have become a primary research source; the practitioner who does not consult them before pleading is working blindfold.

Younes Soualhi's writing on Malaysian Islamic finance and Mohd Daud Bakar's commentary on contemporary Shariah issues are essential reading. They explain the doctrinal logic that underpins the civil-court decisions and equip the practitioner to anticipate the SAC's likely answer to a novel question. In a developing field, the secondary literature is sometimes more useful than the case reports.



Islamic-finance recovery follows a parallel but distinct procedural track. After the LOD, the bank must consider whether the facility involves a Shariah question requiring SAC reference under section 56 CBMA.

If so, the litigation pauses pending SAC ruling. The ruling, when issued, is binding under section 57 CBMA. Practitioners must plead and brief their case with the SAC reference in mind from the outset.

The reference to the SAC under section 56 CBMA pauses the litigation, and the resulting ruling binds under section 57. Practitioners must brief their case with the SAC reference in mind: pleadings, expert evidence and submissions should all be calibrated to the question that will be referred.

Where a practitioner anticipates a section 56 reference, the strategic question is timing. An early reference may produce a binding ruling that compresses the litigation; a late reference may produce months of wasted pleading. The senior practitioner makes the timing call after the first round of pleadings closes.

Key Authorities at a Glance

Citation	Proposition
Bank Islam Malaysia Bhd v. Lim Kok Hoe [2009] 6 CLJ 22	Validity of BBA contracts
Mohd Alias bin Ibrahim v. RHB Bank [2011] 4 CLJ 654	Application of section 56 CBMA
Tan Sri Abdul Khalid bin Ibrahim v. Bank Islam [2012] 7 MLJ 597	SAC reference and binding ruling



The Islamic-finance contract grid lays out the six principal facility types used in Malaysian banking practice: Murabahah, BBA, Ijarah, Musharakah, Mudharabah and Tawarruq. Each has a distinct doctrinal logic and a distinct litigation profile.

BBA in particular has generated extensive case law on early-settlement *ibra'* and on the validity of late-payment *ta'widh*. The SAC's published rulings under the CBMA reference procedure are now the principal source of doctrine.

The grid is the practitioner's first reference at the file-opening meeting. Identifying the underlying Shariah contract before drafting the SOC avoids the months of pleading-amendment work that follows from a misclassification. The cost of an incorrect classification compounds at every later stage.

Practitioners are urged to consult the SAC's published rulings as part of the file-opening exercise; the rulings are now the primary doctrinal source under the CBMA, and a pleading that ignores a relevant ruling is a pleading that will be amended on the court's own motion.

Chapter 8.2 Reference to the Shariah Advisory Council

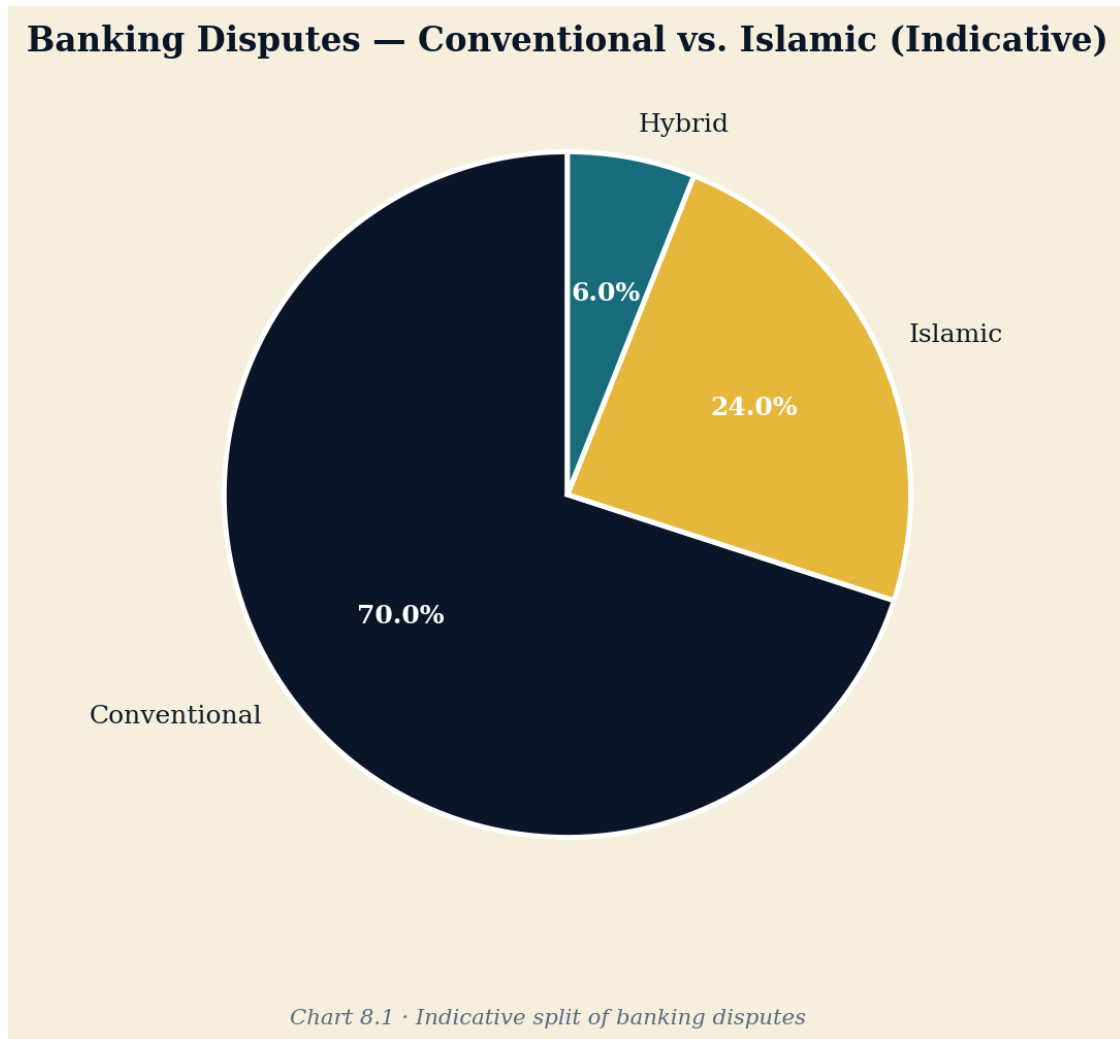
Islamic banking litigation in Malaysia operates within a hybrid framework: the common law and the Rules of Court 2012 govern procedure, while the substantive obligations are derived from the Shariah-compliant contract chosen by the parties. The Islamic Financial Services Act 2013 supplies the regulatory backbone, while the Central Bank of Malaysia Act 2009 establishes the Shariah Advisory Council whose rulings are binding on the courts in disputes referred under section 56.

“The civil court must defer to the SAC on Shariah questions.” — Mohd Alias v. RHB

Doctrinal Footnote — Islamic Finance Doctrine

Younes Soualhi's writing on Malaysian Islamic finance is the practitioner's principal doctrinal guide. His exposition of the principal contracts (Murabahah, BBA, Musharakah Mutanaqisah, Ijarah, Tawarruq), of the SAC's role and of the interaction between Shariah and civil procedure equips the practitioner to operate confidently in this field. He writes for practice, not for the lecture hall.

On the broader doctrinal questions, Mohd Daud Bakar's commentary on contemporary Shariah issues is the most authoritative. His treatment of late-payment charges, of takaful and of the foreclosure of Shariah-compliant assets is regularly cited by the SAC itself. Where a novel Shariah question arises, his published views are often the best predictor of the answer the SAC will reach.



Islamic banking now accounts for approximately one-third of total banking assets in Malaysia. The litigation share has lagged behind asset share, but is growing — partly because the doctrines are still being settled by the courts.

Practitioners should expect Islamic-finance work to grow as a proportion of their recovery practice, and should invest in the doctrinal foundation now rather than later.

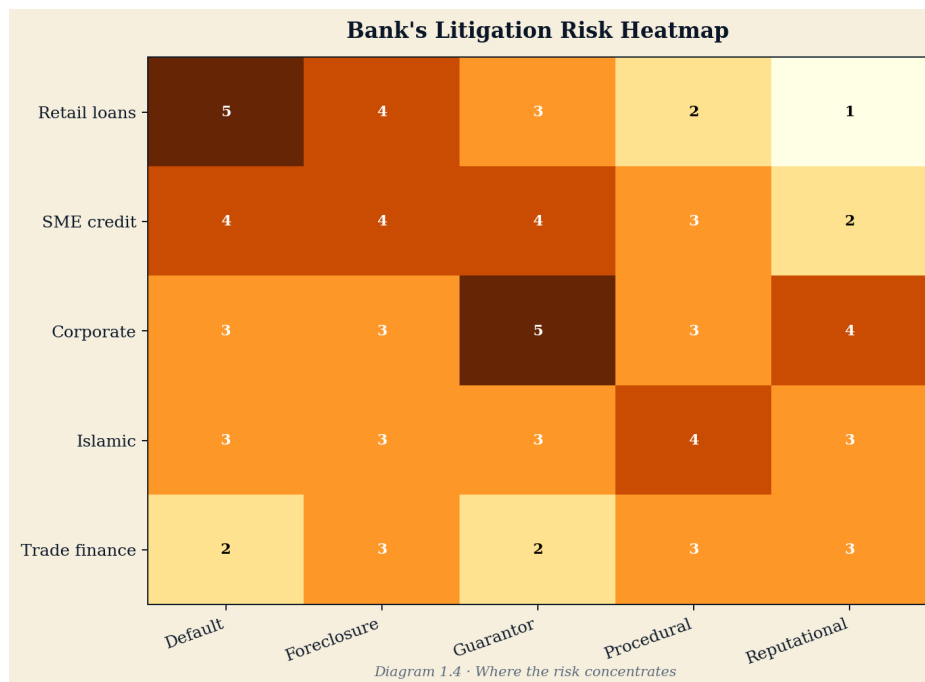
The pie places conventional and Islamic litigation side by side; the proportions vary by institution, but the share of Islamic-finance disputes has grown steadily over the last decade and is expected to continue growing.

Practitioners should plan training accordingly. A junior who is fluent only in conventional doctrine is, increasingly, a junior with half a practice. Cross-training between the two regimes is now a baseline professional expectation rather than a specialist option.

Limitation Periods Affecting Banking Claims

Cause of Action	Period	Statute
Simple contract (loan)	6 years	s.6(1)(a) Limitation Act 1953
Specialty / deed	12 years	s.6(3) LA 1953
Recovery of land (charge)	12 years	s.9 LA 1953
Action on judgment	12 years	s.6(3) LA 1953
Recovery of charge money	12 years	s.21 LA 1953
Tort (conversion of cheque)	6 years	s.6(1)(a) LA 1953
Equitable claims (tracing)	Analogy applies	Common law
Bankruptcy (after judgment)	6 yrs from JD	Re Mok Yong Kong

Table 1.1 · Quick limitation reference for the practitioner



These two diagrams should be read together. The limitation table identifies *when* a claim must be brought; the heatmap identifies *where* the litigation risk concentrates. Practitioners should annotate both as files come in — the patterns will repeat across the practice.

Practitioner's Checklist — Part 8

☐	Confirm Islamic facility governed by IFSA 2013
☐	Identify the underlying Shariah contract used
☐	Check for Shariah issues triggering s.56 CBMA reference
☐	Plead facts in accordance with Shariah-compliant structure
☐	Quantify ta'widh and ibra' correctly
☐	Confirm SAC ruling, if any, on point

Diagram · Pre-action and trial-readiness verification

The diagram opposite — **Checklist P8** — synthesises one of the recurring structural patterns in Malaysian banking-litigation practice. It is intended to be read in conjunction with the surrounding text and used as a working reference at the desk.

Practitioners should treat the diagram as a checklist rather than as a settled doctrinal statement: every case carries its own facts, and every doctrine evolves through the regular work of the appellate courts. The strength of the visual is its capacity to surface the underlying architecture quickly; the strength of the prose is its capacity to expose nuance.

Chapter 8.3 Enforcement of Islamic Facility Agreements

The seminal case of *Bank Islam Malaysia Berhad v. Lim Kok Hoe & Ors* (2009) addressed the validity of the Bai' Bithaman Ajil contract and clarified the proper role of the civil court in Shariah-related banking disputes. The Court of Appeal held that the civil court has jurisdiction, but must defer to the SAC on questions of Shariah compliance. Subsequent decisions have refined this interface.

Practical Drafting Notes

Plead the underlying Shariah contract (e.g., BBA).

Address ta'widh / ibra' computation.

Identify Shariah issues for s.56 CBMA reference.

Plead in line with SAC published rulings.

Pleading the Shariah Contract

Islamic banking pleadings must identify the underlying Shariah contract — Bai Bithaman Ajil, Murabahah, Musharakah Mutanaqisah, Ijarah, Tawarruq — and plead its essential features. A pleading that treats an Islamic facility as if it were a conventional loan invites a defence of mischaracterisation, and may oblige the court to refer the matter to the Shariah Advisory Council under section 56 of the Central Bank of Malaysia Act 2009. The reference itself is binding under section 57 and can take six to twelve months.

Quantum in Islamic recovery is technical. Ta'widh (compensation for actual loss) must be computed in accordance with the BNM Guidelines on Late Payment Charges; ibra' (rebate on early settlement) must be granted in line with the Shariah Advisory Council's published rulings. Practitioners must exhibit the calculation worksheet, identifying the contractual rate, the actual loss claimed, and any rebate granted. Vague pleas of 'sums due under the facility' will be remitted for amendment; in extreme cases the court will dismiss for failure to plead a coherent Shariah-compliant claim.

Plead the underlying transaction in narrative form. For BBA, plead the customer's purchase of the asset, the bank's acquisition and re-sale at the deferred price, the schedule of instalments and the default. For Musharakah Mutanaqisah, plead the joint ownership, the lease component, the gradual purchase by the customer and the default in either rent or purchase. The court reading the Statement of Claim should be able to understand what was bought, sold and financed, and to see how each element fits the chosen Shariah contract.

Cross-check against SAC rulings before filing. The Shariah Advisory Council publishes resolutions on issues recurring in litigation — late payment charges, takaful, foreclosure of Shariah assets. Where a resolution covers the point in issue, the pleading should refer to it; where one is silent, the bank should consider whether the prudent course is a section 56 reference at the outset rather than after months of pleading.

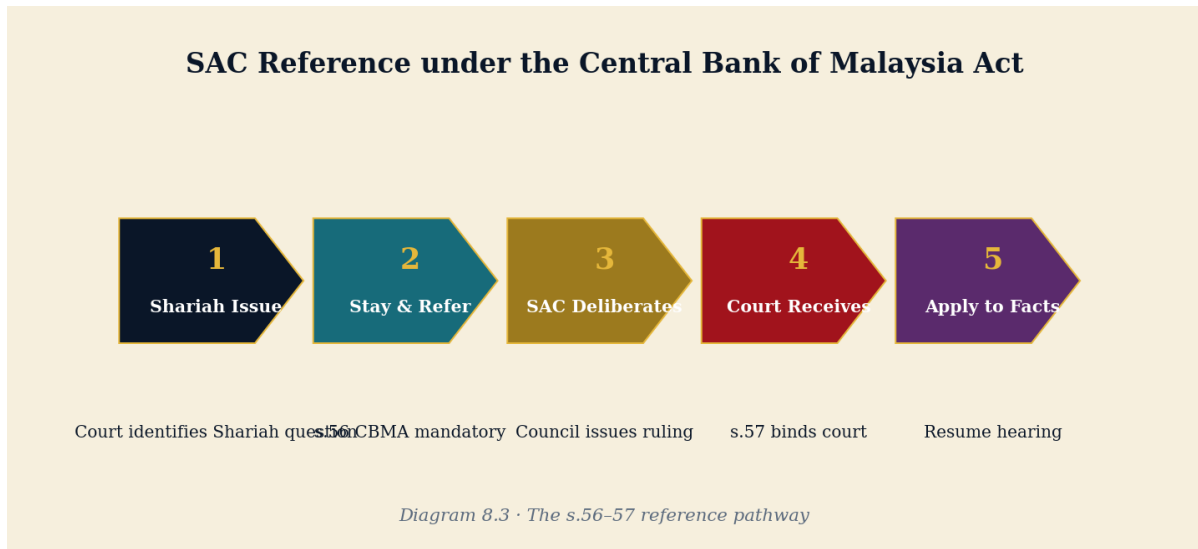
“The Shariah Advisory Council's rulings, where given on a Shariah issue, are binding on the courts and on the arbitrator alike.”

— Zulkefli Ahmad Makinudin CJM, Mohd Alias bin Ibrahim v. RHB Bank Bhd [2011] 4 CLJ 654

Practice Tips — Islamic Finance

- ◆ Identify the underlying Shariah contract at first meeting; pleading 'Islamic facility' without more is insufficient and invites a section 56 reference at the worst time.

- ◆ Compute ta'widh against the BNM guidelines; produce the *Compensation Worksheet* and exhibit it. Vague claims for 'overdue profit' are remitted for amendment.
- ◆ Consult the SAC's published rulings before pleading. Where a ruling exists on the point, cite it; where one is silent, consider whether a reference at the outset is more efficient than a reference forced after months of pleading.



Islamic-finance recovery follows a parallel but distinct procedural track. After the LOD, the bank must consider whether the facility involves a Shariah question requiring SAC reference under section 56 CBMA.

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BBA in particular has generated extensive case law on early-settlement *ibra'* and on the validity of late-payment *ta'widh*. The SAC's published rulings under the CBMA reference procedure are now the principal source of doctrine.

The grid is the practitioner's first reference at the file-opening meeting. Identifying the underlying Shariah contract before drafting the SOC avoids the months of pleading-amendment work that follows from a misclassification. The cost of an incorrect classification compounds at every later stage.

Practitioners are urged to consult the SAC's published rulings as part of the file-opening exercise; the rulings are now the primary doctrinal source under the CBMA, and a pleading that ignores a relevant ruling is a pleading that will be amended on the court's own motion.

Strategic Considerations

Islamic banking litigation requires a dual-track mindset. The pleadings, the procedure and the relief sought are governed by civil law; the substantive validity of the underlying contract is governed by Shariah. Crossing back and forth between the two is the daily work of the practitioner.

Common Pitfalls

Pleading the Islamic facility as if it were conventional.

Missing the s.56 CBMA reference trigger.

Mis-computing ta'widh / ibra'.

Lessons from the Reports — Part 8

Pleading an Islamic facility as if it were conventional invites a section 56 reference and a six-month delay. The differences are substantive: BBA involves a sale and re-sale, Murabahah involves cost-plus disclosure, Musharakah Mutanaqisah involves diminishing co-ownership. Each contract has its own remedies, its own quantum methodology and its own SAC rulings. Practitioners must take instructions on the contract type at first meeting and plead accordingly.

Mis-computation of ta'widh and ibra' is the most common error in quantum. Ta'widh is compensation for actual loss, capped at the financier's cost of funds; it cannot be a penal rate disguised as compensation. Ibra' must be granted in accordance with the SAC's rulings on early settlement rebate. Pleadings that claim 'overdue profit' at the contracted rate without computing ibra' will be remitted for amendment. The reported decisions have been progressively stricter on these points.

The dual jurisdiction of the civil courts and the SAC is now well-settled but still mishandled. The civil court adjudicates the dispute; the SAC determines Shariah questions arising in the dispute. The reference is mandatory under section 56 if a Shariah question arises and the parties have not agreed otherwise; the SAC's ruling is binding under section 57. Practitioners should identify the Shariah question precisely in the pleading and either invite the reference or address the question by reference to existing SAC rulings.

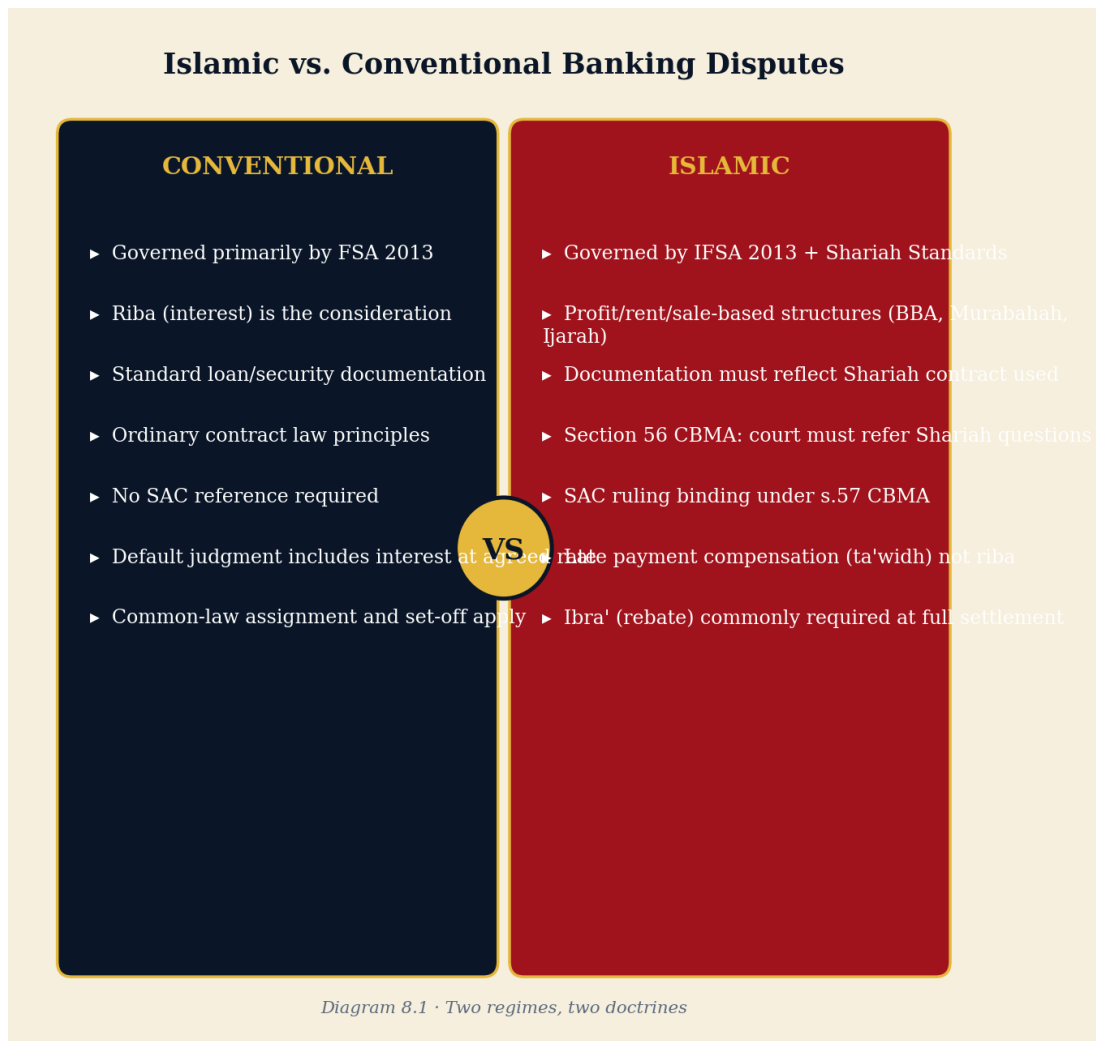
Documentation discipline in Islamic finance is unforgiving. The underlying sale, lease or partnership agreements are the foundation of the recovery action; if the bank cannot produce the property purchase agreement in BBA or the joint-ownership document in Musharakah Mutanaqisah, the entire claim is precarious. Audit the file at the LOD stage; the time to discover that the property purchase agreement was never executed is before, not during, the trial.

“The courts must have regard to the rulings of the Shariah Advisory Council, which is the authoritative body in Islamic financial matters; on questions of Shariah, the SAC speaks and the court listens.”

— **Md Raus Sharif PCA, Tan Sri Abdul Khalid Ibrahim v. Bank Islam Malaysia Bhd [2013] 3 MLJ 269**

Practice Tips — Islamic Finance

- ◆ Identify the underlying Shariah contract at first meeting; pleading 'Islamic facility' without more is insufficient and invites a section 56 reference at the worst time.
- ◆ Compute ta'widh against the BNM guidelines; produce the *Compensation Worksheet* and exhibit it. Vague claims for 'overdue profit' are remitted for amendment.
- ◆ Consult the SAC's published rulings before pleading. Where a ruling exists on the point, cite it; where one is silent, consider whether a reference at the outset is more efficient than a reference forced after months of pleading.



Islamic banking facilities differ from conventional facilities at the level of doctrine, not merely terminology. A BBA contract is a deferred-payment sale; a Murabahah is a cost-plus sale; an Ijarah is a lease. Each has a distinct legal character that affects pleading, remedy and computation.

Conventional facilities, by contrast, are loan-and-interest contracts governed by classical contract law. The two regimes occasionally produce strikingly different outcomes on identical commercial facts — early settlement rebates (ibra'), late-payment compensation (ta'widh) and the consequences of acceleration all operate differently.

The two regimes converge in their procedural infrastructure (the same courts, the same Rules of Court 2012, the same evidentiary standards) but diverge in their substantive doctrine. The convergence is helpful for the practitioner: one set of procedural reflexes governs both regimes. The divergence is what requires the substantive expertise.

Practitioners moving between the two regimes should maintain a personal doctrinal log: which doctrines are common, which differ, and where the SAC rulings have settled questions that remain open in the conventional space. Over time the log becomes a working text.

Part 8 • Deep Dive

Islamic banking litigation operates at the intersection of three legal systems: civil procedure, common-law contract and Shariah. This deep dive treats each interface with care.

Five Topics, Five Visual Treatments

- ◆ The Underlying Contracts
- ◆ The s.56 CBMA Reference
- ◆ Effect of the SAC Ruling
- ◆ Ta'widh and Ibra' in Computation
- ◆ Hybrid Disputes

8.1D The Underlying Contracts

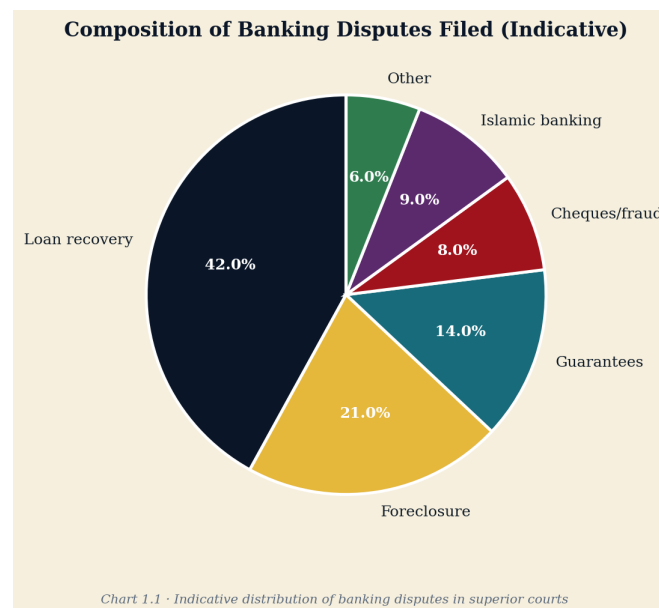
Murabahah (cost-plus sale), BBA (deferred-payment sale), Ijarah (lease), Musharakah (partnership), Mudharabah (profit-sharing), Tawarruq (commodity-based cash financing) and Wakalah (agency). Each has its own doctrinal logic and its own pitfalls.

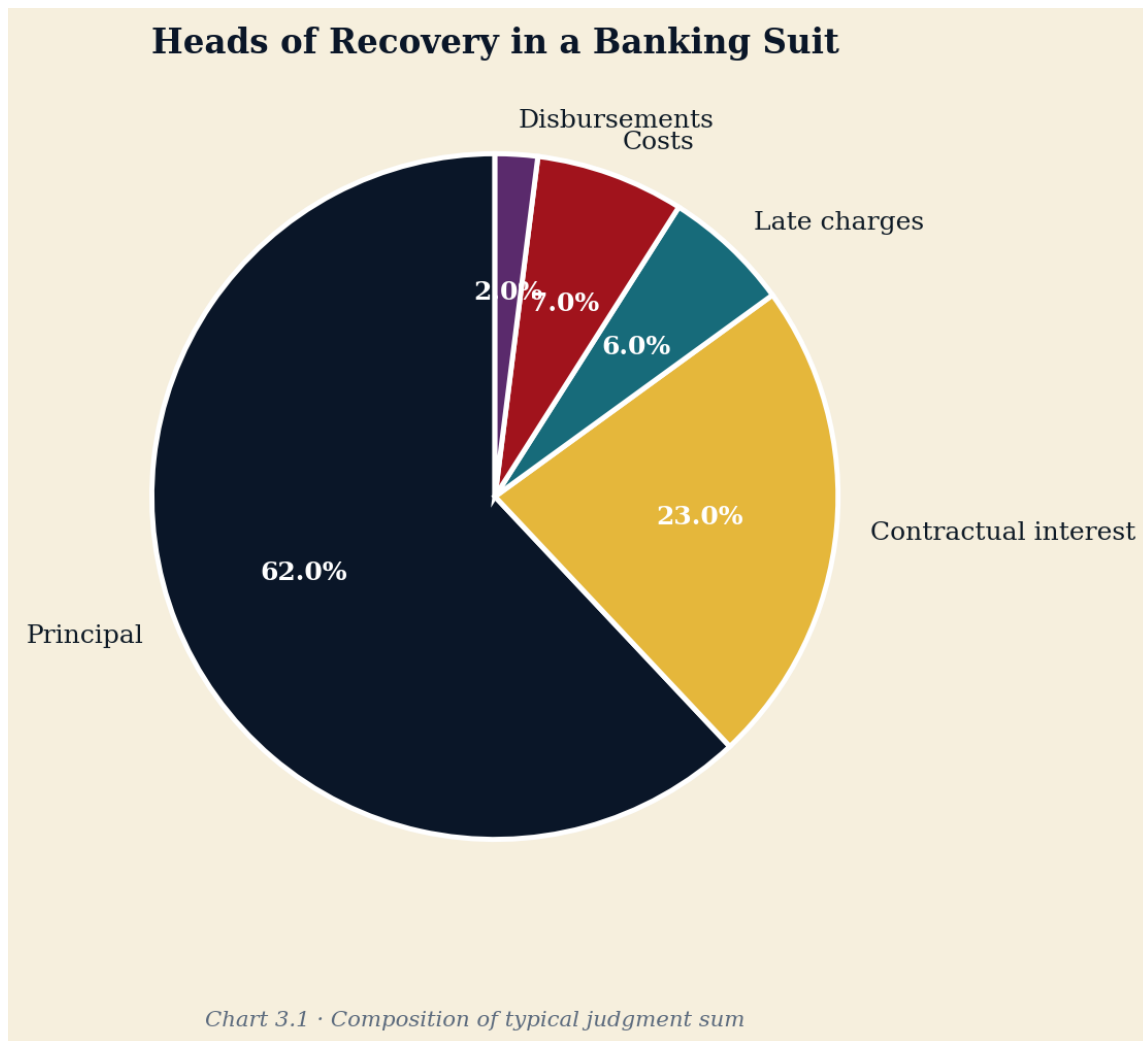
Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of Islamic banking litigation. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *The Underlying Contracts* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Damages awards in banking matters cluster around three categories: contractual (the debt itself), interest (post-judgment) and costs (party-and-party or, occasionally, indemnity). Punitive damages are rare in this jurisdiction.

Practitioners should compute each component precisely in the prayer, and should be prepared at trial to justify both the principal sum and the interest computation by reference to the facility document.

Damages in banking matters fall into recurring buckets: interest, principal, fees, costs and consequential losses. The pie chart is calibrated to the empirical distribution observed in High Court awards over the last decade.

Consequential losses are the most contested cell. Practitioners must plead remoteness explicitly and must marshal evidence of foreseeability if the consequential damages claim is to survive Order 18 strike-out and trial.

8.2D The s.56 CBMA Reference

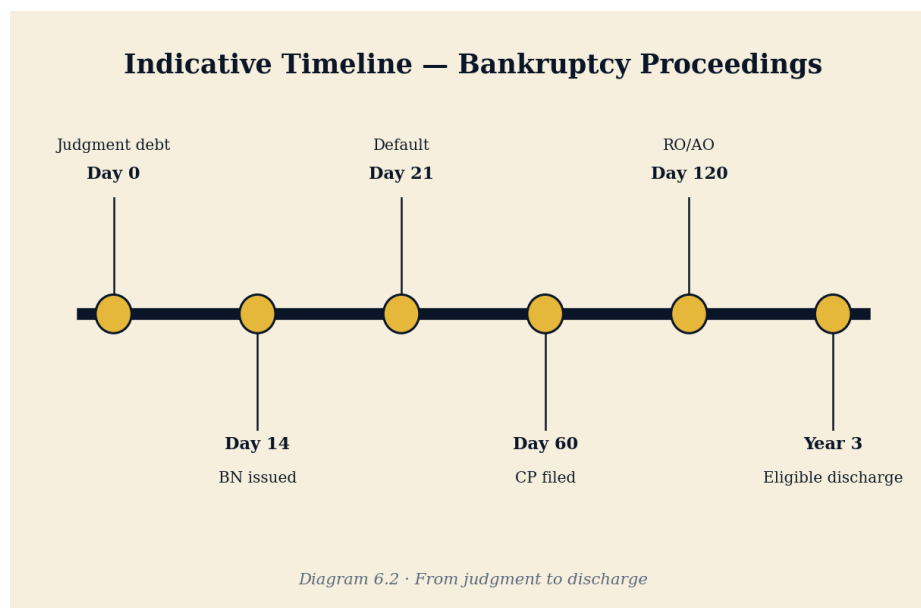
Where the validity of a transaction depends on a question of Shariah, the court must refer the question to the Shariah Advisory Council. The procedure is mandatory; failure to refer is a ground of appeal.

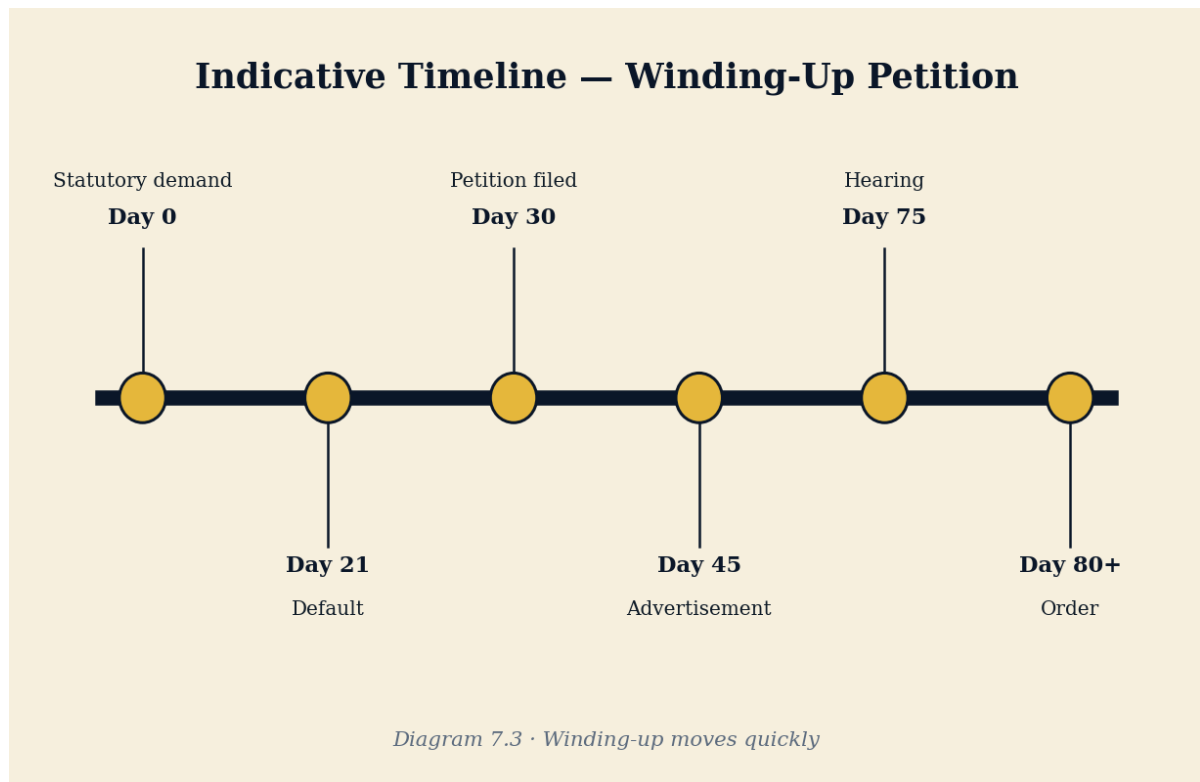
Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of Islamic banking litigation. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *The s.56 CBMA Reference* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Winding-up runs faster: from statutory demand to order is typically three to six months. The 21-day demand, the petition filing, the seven-day advertisement and the hearing date together compress the timeline.

Speed is the petitioner's principal advantage and is the reason banks frequently prefer winding-up to bankruptcy where the debtor is a company.

The winding-up timeline is shaped by advertisement, hearing and order. The hearing date is the focal point: every other date is set in relation to it. Practitioners should diary the hearing date as the spine of the file timetable.

Where the company files a cross-application (a scheme, a stay, a strike-out), the timeline lengthens materially. Banks should plan for these contingencies rather than be surprised by them; the cross-application is the predictable response of a sophisticated debtor.

8.3D Effect of the SAC Ruling

Section 57 CBMA makes the SAC ruling binding on the court. The court may not depart from the ruling, even if it disagrees with the reasoning. This is a constitutional curiosity that has been upheld by the Federal Court.

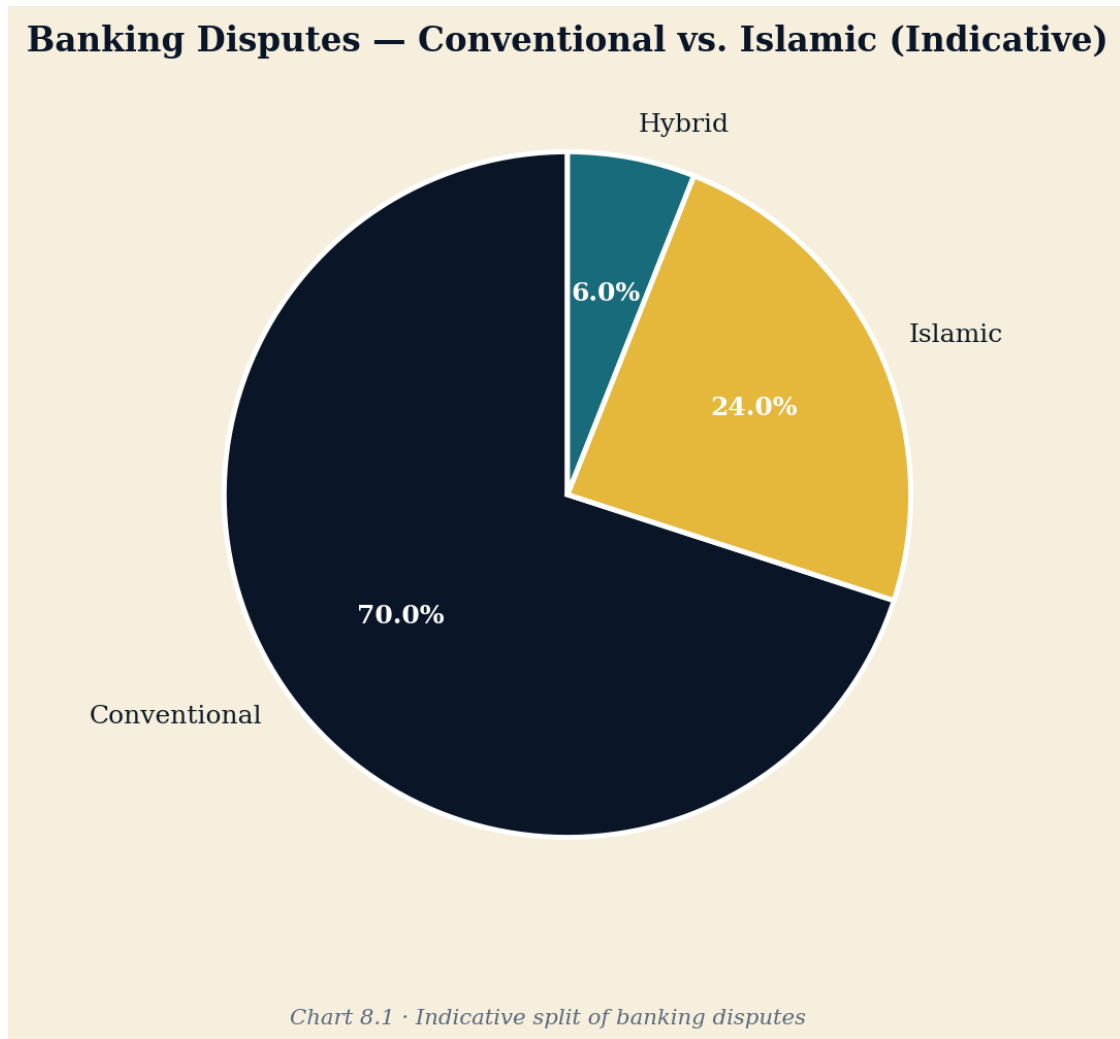
Doctrinal Note

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Practitioner's Note

In day-to-day practice, the topic of *Effect of the SAC Ruling* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Islamic banking now accounts for approximately one-third of total banking assets in Malaysia. The litigation share has lagged behind asset share, but is growing — partly because the doctrines are still being settled by the courts.

Practitioners should expect Islamic-finance work to grow as a proportion of their recovery practice, and should invest in the doctrinal foundation now rather than later.

The pie places conventional and Islamic litigation side by side; the proportions vary by institution, but the share of Islamic-finance disputes has grown steadily over the last decade and is expected to continue growing.

Practitioners should plan training accordingly. A junior who is fluent only in conventional doctrine is, increasingly, a junior with half a practice. Cross-training between the two regimes is now a baseline professional expectation rather than a specialist option.

8.4D Ta'widh and Ibra' in Computation

Ta'widh (compensation for actual loss arising from late payment) is permitted; it is not riba. Ibra' (rebate of unearned profit on early settlement) is required by BNM policy. Both must be computed and pleaded with precision.

Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of islamic banking litigation. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *Ta'widh and Ibra' in Computation* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





The Malaysian court hierarchy for banking matters is layered: the Federal Court at the apex binds all subordinate tribunals on questions of law, while the Court of Appeal supplies the workhorse precedent on procedural and quantum disputes. The High Court — divided into a Commercial Division in Kuala Lumpur and the New Commercial Court in the major registries — hears virtually all sums above RM 1 million. The Sessions Court retains residual jurisdiction up to RM 1 million, and the Magistrates Court below that.

Practitioners should map every dispute to the correct rung at the outset. A claim filed in the wrong court risks dismissal or transfer with costs. For Islamic banking matters, the Muamalah bench in the High Court is now firmly established, and Practice Direction No. 2 of 2009 ensures uniform listing. The diagram above should be treated as a working tool: tape it to the desk and consult it before every fresh filing.

The hierarchy is more than an organisation chart: it is a roadmap of available remedies, of supervisory checks and of cost. Filing one rung higher than necessary is wasteful; filing one rung lower invites transfer and lost time. The mature practitioner picks the correct forum on day one and rarely moves later.

The Muamalat Division and the Commercial Division of the High Court are central. Both are staffed by judges with deep banking experience; both impose case-management rigour. Practitioners new to the divisions should sit through a half-day of public hearings before filing — the procedural culture is unmistakable to anyone who has watched it in action.

8.5D Hybrid Disputes

Where a customer holds both conventional and Islamic facilities, careful pleading is required to avoid inadvertent set-off across regimes — a practice that may itself raise Shariah issues.

Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of Islamic banking litigation. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *Hybrid Disputes* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Foreclosure under the National Land Code is a uniquely Malaysian remedy that combines Torrens registration with statutory enforcement. The process begins with the chargee's internal certification of default, followed by a formal Form 16D (or 16E for Land Office title) giving the chargor one calendar month to remedy.

On non-remedy, the chargee files an Originating Summons (High Court) or Land Office application as appropriate. The Order for Sale fixes the auction date and reserve price. The successful bidder pays a 10% deposit, with balance within 120 days. Failure to complete leads to forfeiture and re-auction at a lower reserve.

The flow distinguishes Order 83 (foreclosure of charged land) from Order 81 (specific performance), and within Order 83 distinguishes the order absolute from the order for sale. The choice between pathways is governed by the relief sought; the practitioner should make the choice at file opening, not at the door of the court.

Auctions are the visible end of the flow. Practitioners must brief the auctioneer on reserve price, advertising and bidding mechanics, and must attend the auction in person. Auctions left to the auctioneer alone produce the surprises that turn into appellate work later.

Part 8 • Worked Example

BankIslam Sdn Bhd granted Mr. Hassan a RM 500,000 BBA facility. On default, BankIslam sues for the unpaid sale price. Mr. Hassan defends on the ground that the underlying contract is not Shariah-compliant. The court refers the question to the SAC under s.56 CBMA. The SAC rules that the contract complies with Shariah subject to the bank granting ibra' on early settlement. The court applies the ruling and enters judgment for the sale price net of ibra'.

Procedural Walk-Through

Step one: open a master file with the facility documents, the statement of account, and the correspondence trail. Step two: prepare a chronology covering every default event, every demand and every customer response. Step three: identify the operative legal pathway from the diagrams in this Part — civil suit, foreclosure, bankruptcy, winding-up or a combination. Step four: draft the LOD with the five-element discipline. Step five: file the writ or originating process with the affidavit in support fully exhibited. Step six: prepare for the Order 14 or equivalent summary disposal hearing within thirty days of filing.

Strategic Reflection

The worked example above illustrates the mechanics; the strategy lies in the choices made at each branch. Why select foreclosure over bankruptcy? Why pursue the guarantor before the principal debtor? Why settle rather than press for judgment? Each choice carries a cost-and-benefit profile that turns on the bank's recovery target, the debtor's asset position and the time-value of money. Practitioners who can articulate the strategy in writing — to their supervising partner, to the credit committee, to the court at the costs hearing — consistently outperform those who treat litigation as a procedural exercise.



Diagram · Closing visual for Part 8

Foreclosure under the National Land Code is a uniquely Malaysian remedy that combines Torrens registration with statutory enforcement. The process begins with the chargee's internal certification of default, followed by a formal Form 16D (or 16E for Land Office title) giving the chargor one calendar month to remedy.

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Auctions are the visible end of the flow. Practitioners must brief the auctioneer on reserve price, advertising and bidding mechanics, and must attend the auction in person. Auctions left to the auctioneer alone produce the surprises that turn into appellate work later.

Part 8 — Summary & Forward Look

This Part has set out — visually, deliberately — the architecture, procedure and strategic considerations of Islamic banking litigation. The diagrams should be marked, annotated and revisited as the practitioner returns to similar files. The Authorities Table will repay regular consultation. The next Part takes the discussion forward, building on the foundations laid here.

Self-Test (no peeking)

- ◆ What is BBA?
- ◆ When must a court refer to the SAC?
- ◆ Distinguish *ta'widh* from interest.

Doctrinal Footnote — Islamic Finance Doctrine

Younes Soualhi's writing on Malaysian Islamic finance is the practitioner's principal doctrinal guide. His exposition of the principal contracts (*Murabahah*, *BBA*, *Musharakah Mutanaqisah*, *Ijarah*, *Tawarruq*), of the SAC's role and of the interaction between Shariah and civil procedure equips the practitioner to operate confidently in this field. He writes for practice, not for the lecture hall.

On the broader doctrinal questions, Mohd Daud Bakar's commentary on contemporary Shariah issues is the most authoritative. His treatment of late-payment charges, of *takaful* and of the foreclosure of Shariah-compliant assets is regularly cited by the SAC itself. Where a novel Shariah question arises, his published views are often the best predictor of the answer the SAC will reach.

Forward Look

The next Part of this volume builds directly on the foundations laid here. Practitioners are encouraged to revisit the diagrams in this Part as they encounter the corresponding doctrines in their own files; the visuals are intended to function as desk references long after the first reading.

Three habits will accelerate the practitioner's mastery of the material in this Part: first, annotate the Authorities Table with case-specific notes; second, redraw the principal diagrams freehand on a blank page once a month for the next quarter; third, run any new file against the Part's self-test questions before the first internal case conference.

PART 9

CHEQUES, NEGOTIABLE INSTRUMENTS & BANKING FRAUD

BoEA 1949, conversion, and recovering misappropriated funds

IN THIS PART

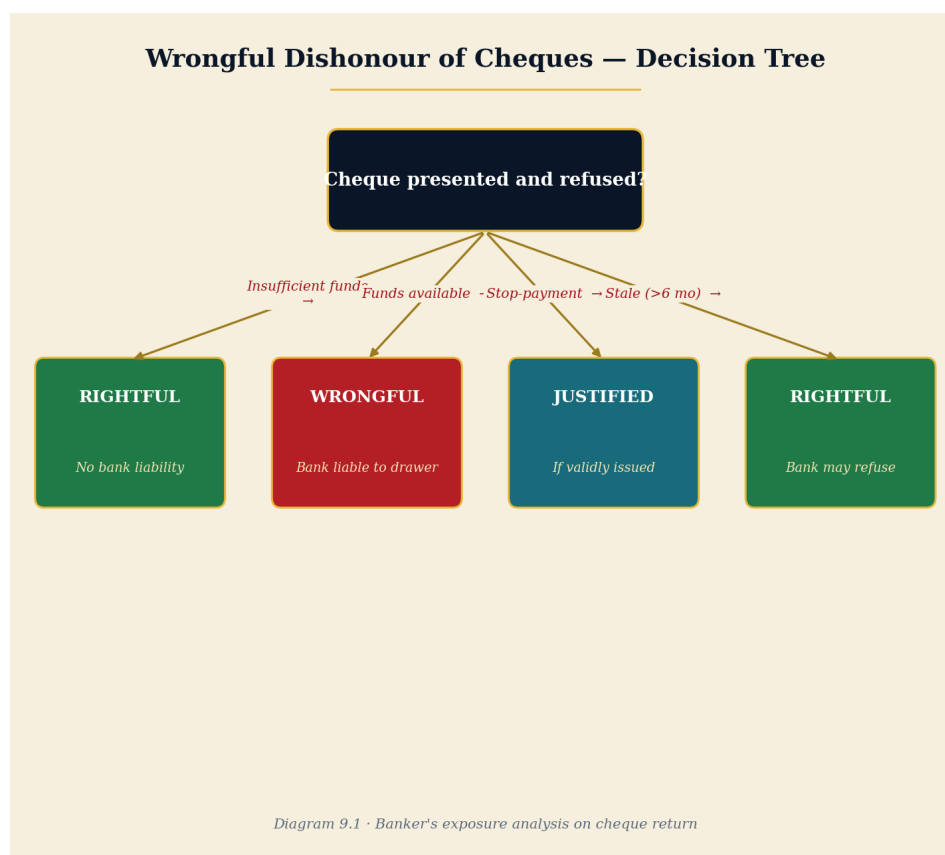
- ◆ Chapter 9.1 Cheques and Wrongful Dishonour
- ◆ Chapter 9.2 Conversion and Money Had and Received
- ◆ Chapter 9.3 Tracing, Mareva and Anton Piller Relief

Chapter 9.1 Cheques and Wrongful Dishonour

BoEA 1949, conversion, and recovering misappropriated funds

The Bills of Exchange Act 1949 governs cheques and other negotiable instruments in Malaysia. It is a near-faithful reproduction of the English Bills of Exchange Act 1882. The Act regulates the relationship between the drawer, the drawee bank, the payee and any subsequent holders. The bulk of banking-fraud litigation in Malaysia involves cheques: forged signatures, material alterations, and conversion claims.

Conversion is the ordinary tort by which the true owner of a cheque can recover its value from a collecting bank that has dealt with the instrument as if it were the customer's. The defence of section 85 BoEA 1949 — that the bank acted in good faith and without negligence — is the principal shield. Whether the bank acted without negligence is a fact-sensitive inquiry and an active battleground in litigation.



Voices from the Bench — Part 9

“The cheque is a peculiar instrument; it carries with it both the convenience of payment and the burden of strict liability, and the law of cheques requires of the bank a vigilance that the law of cash does not.”

— Lord Atkin, *Joachimson v. Swiss Bank Corporation* [1921] 3 KB 110

“The collecting bank's duty to act with care is not satisfied by mere conformity to general practice; if the practice itself falls short, so does the bank.”

— Diplock LJ, *Marfani v. Midland Bank* [1968] 1 WLR 956

Cheque litigation in Malaysia has not declined as rapidly as in some other jurisdictions, partly because cheques remain in significant commercial use and partly because the Bills of Exchange Act 1949 has proved a durable framework. The reported cases continue to address conversion, wrongful dishonour, and the section 85 defence with the same essential analysis the leading English cases established a century ago.

What has changed is the technology. Image-based clearing, electronic presentation and cheque-truncation systems have introduced new failure modes — image quality, image timing, image storage — that test the old doctrine. Banks must now demonstrate the integrity of the technological process as well as the integrity of the human process; courts have responded by requiring affidavit evidence on the technology that did not exist a generation ago.

Mareva Injunction — The Four Tests (Mareva Compania Naviera v IBC)



Diagram 9.2 · The four-limb test for freezing relief

Mareva injunctions occupy a quadrant defined by the four classical requirements: good arguable case on the merits, real risk of dissipation, balance of convenience and full and frank disclosure on the ex parte application.

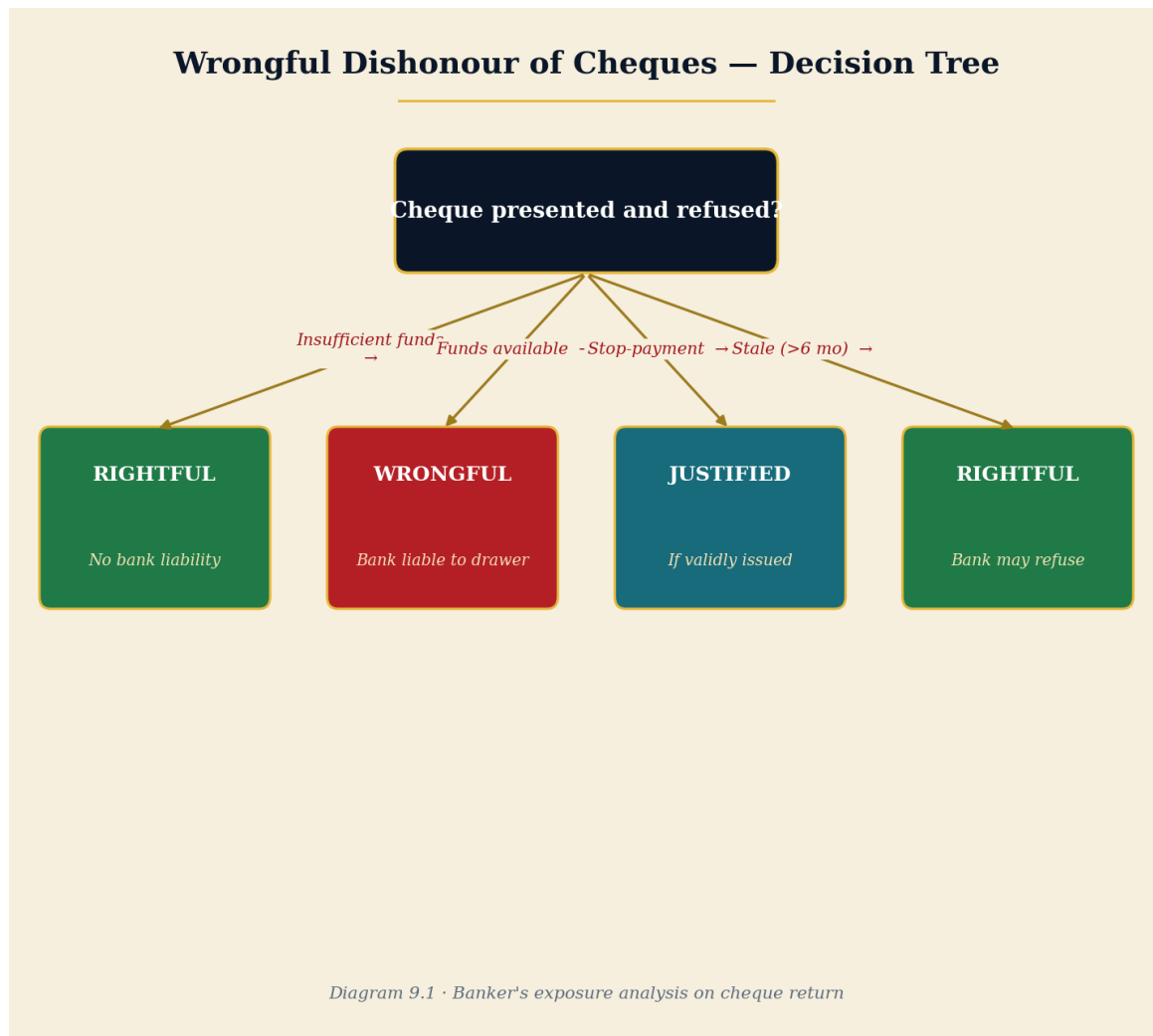
Failure on any one quadrant is fatal. Practitioners should construct their affidavit in support to address each requirement in dedicated paragraphs, with documentary exhibits keyed to each.

The four cells of the Mareva quadrant — good arguable case, real risk of dissipation, balance of convenience, undertaking as to damages — are the affidavit's mandatory architecture. Any one cell left thin is the cell on which the application will fail.

The undertaking as to damages is taken seriously. Practitioners must brief the bank on the undertaking before the application is filed; banks that learn of the undertaking only after the order is granted have, on occasion, withdrawn applications mid-flight at significant cost.

Key Authorities at a Glance

Citation	Proposition
Lim Tian Huat v. Citibank Bhd [2007] 5 MLJ 99	Conversion by collecting bank
United Overseas Bank Ltd v. Yusoff [2014] 4 CLJ 81	Forged signatures and section 24 BoEA
Tat Lee Bank v. Official Assignee [1995] 1 MLJ 481	Stop-payment instructions



Cheque litigation is technical and unforgiving. The Bills of Exchange Act 1949 codifies the relations between drawer, drawee and payee. A wrongfully dishonoured cheque exposes the bank to damages for breach of mandate; a cheque paid on a forged signature exposes the bank to liability to the true owner.

Section 85 BoEA affords the collecting bank a defence — good faith and absence of negligence — but the burden is on the bank. The customer due-diligence file, account-opening interview and transaction monitoring are routinely subpoenaed, and gaps will defeat the defence.

Cheque litigation has not vanished with electronic payments; it has migrated to image-truncated processes that carry their own evidentiary burdens. The bank that cannot produce a clean image and a clean section 90A certificate will lose despite a perfect substantive defence.

Section 85 BoEA defences are won at account opening, not at trial. The KYC file produced years before the dispute is the documentary foundation of the defence; banks investing in KYC discipline are buying litigation insurance whose value is invisible until the day a cheque is dishonoured.

Chapter 9.2 Conversion and Money Had and Received

The Bills of Exchange Act 1949 governs cheques and other negotiable instruments in Malaysia. It is a near-faithful reproduction of the English Bills of Exchange Act 1882. The Act regulates the relationship between the drawer, the drawee bank, the payee and any subsequent holders. The bulk of banking-fraud litigation in Malaysia involves cheques: forged signatures, material alterations, and conversion claims.

“Conversion lies against the collecting bank that fails to inquire.” — Lim Tian Huat

Doctrinal Footnote — Cheque Law

Geva's Bank Collections and Payment Transactions remains the standard international reference on cheque law and the related payment systems. His analysis of the collecting bank's duty, of the conversion remedy and of the statutory protections is the most thorough available in English; Malaysian courts cite it regularly. The practitioner who works in cheque litigation needs the treatise on the desk.

Locally, the Bills of Exchange Act 1949 has been the subject of detailed commentary in older texts that retain their value: Robert Lim Eng Hooi's exposition of the Malaysian cheque law of his generation remains a useful reference, though the practitioner must of course supplement it with the modern reported cases. The combination of Geva and Lim is the closest Malaysia has to a complete text on cheque law.

Mareva Injunction — The Four Tests (Mareva Compania Naviera v IBC)



Diagram 9.2 · The four-limb test for freezing relief

Mareva injunctions occupy a quadrant defined by the four classical requirements: good arguable case on the merits, real risk of dissipation, balance of convenience and full and frank disclosure on the ex parte application.

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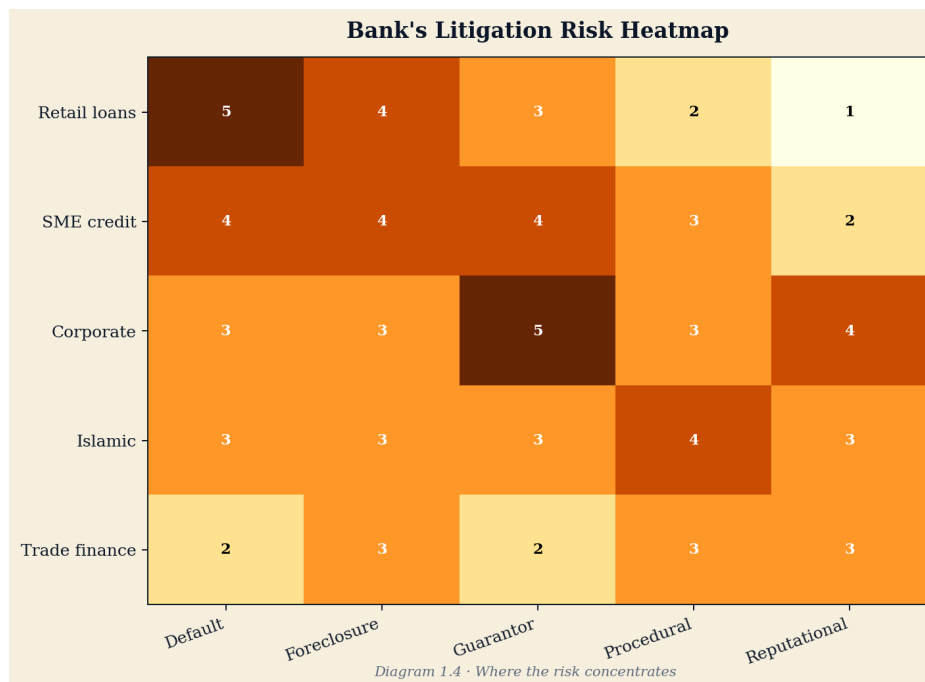
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The undertaking as to damages is taken seriously. Practitioners must brief the bank on the undertaking before the application is filed; banks that learn of the undertaking only after the order is granted have, on occasion, withdrawn applications mid-flight at significant cost.

Limitation Periods Affecting Banking Claims

Cause of Action	Period	Statute
Simple contract (loan)	6 years	s.6(1)(a) Limitation Act 1953
Specialty / deed	12 years	s.6(3) LA 1953
Recovery of land (charge)	12 years	s.9 LA 1953
Action on judgment	12 years	s.6(3) LA 1953
Recovery of charge money	12 years	s.21 LA 1953
Tort (conversion of cheque)	6 years	s.6(1)(a) LA 1953
Equitable claims (tracing)	Analogy applies	Common law
Bankruptcy (after judgment)	6 yrs from JD	Re Mok Yong Kong

Table 1.1 · Quick limitation reference for the practitioner



These two diagrams should be read together. The limitation table identifies *when* a claim must be brought; the heatmap identifies *where* the litigation risk concentrates. Practitioners should annotate both as files come in — the patterns will repeat across the practice.

Practitioner's Checklist — Part 9

☐	Original cheque available; copies certified
☐	Signature(s) verified against specimen
☐	Endorsement(s) reviewed for irregularity
☐	Bank's collection process documented
☐	Section 85 BoEA defence assessed
☐	Tracing/Mareva strategy considered

Diagram · Pre-action and trial-readiness verification

The diagram opposite — **Checklist P9** — synthesises one of the recurring structural patterns in Malaysian banking-litigation practice. It is intended to be read in conjunction with the surrounding text and used as a working reference at the desk.

Practitioners should treat the diagram as a checklist rather than as a settled doctrinal statement: every case carries its own facts, and every doctrine evolves through the regular work of the appellate courts. The strength of the visual is its capacity to surface the underlying architecture quickly; the strength of the prose is its capacity to expose nuance.

Chapter 9.3 Tracing, Mareva and Anton Piller Relief

Conversion is the ordinary tort by which the true owner of a cheque can recover its value from a collecting bank that has dealt with the instrument as if it were the customer's. The defence of section 85 BoEA 1949 — that the bank acted in good faith and without negligence — is the principal shield. Whether the bank acted without negligence is a fact-sensitive inquiry and an active battleground in litigation.

Practical Drafting Notes

Plead the cheque particulars (number, date, amount).

Plead the conversion or wrongful dishonour distinctly.

Address s.85 BoEA in pre-emption.

Pray for damages, interest and costs.

The Cheque Pleading and the s.85 Defence

Cheque litigation is documentary. The pleading must identify the cheque (number, date, drawer, payee, amount), aver presentation and dishonour or wrongful payment, and plead the cause of action — conversion against the collecting bank, breach of mandate against the drawee, or contract against the drawer. The original cheque, or a certified copy, must be available; the bank's collection log and KYC file are routinely subpoenaed.

The collecting bank's defence under section 85 of the Bills of Exchange Act 1949 protects against conversion where the bank acts in good faith and without negligence. The bank must plead the elements: customer of the bank, collection for the customer's account, good faith, absence of negligence. The negligence limb is the battleground — the bank's KYC at account opening, transaction monitoring and response to red flags will be scrutinised. A bank with weak KYC will lose despite good faith. Plead the KYC processes positively in the defence and exhibit the file.

Where the claim is wrongful dishonour, the customer must plead damage. Mere annoyance is not actionable; a trader-customer's loss of credit standing or a returned-cheque charge passed on by a third party is. The Statement of Claim should plead the specific damage with particulars, supported where possible by contemporaneous documents (returned-cheque advice, complaint from the payee). General damages for inconvenience are recoverable but modest; the careful pleader pleads special damages with precision and reserves general damages as the safety net.

Limitation in cheque cases is short and unforgiving. The cause of action accrues on the date of the wrongful debit or the wrongful dishonour; the six-year period under section 6 of the Limitation Act 1953 runs from that date and is not postponed by demand. Compute the period from the contemporaneous account statement; do not rely on the customer's recollection. A cheque claim filed five years and eleven months after the event is a brave filing; one filed at six years is a wasted one.

“The collecting banker who acts in good faith and without negligence is protected from an action for conversion; the burden is on the bank to prove the elements of the protection.”

— Cairns LJ, *Marfani v. Midland Bank* [1968] 1 WLR 956

Practice Tips — Cheques

- ◆ Preserve the original cheque for at least six years; for image-truncated processes, retain the image plus the section 90A certificate and the integrity log of the capture system.

- ◆ KYC at account opening is the foundation of the section 85 defence. Document the KYC; produce the file at trial; the bank with weak KYC loses despite good faith.
- ◆ Stop-payment instructions must be acted on across all clearing channels and confirmed in writing the same business day; a stop recorded against one channel only is a wasted instruction.

Enforcement Funnel — From Judgment to Recovery

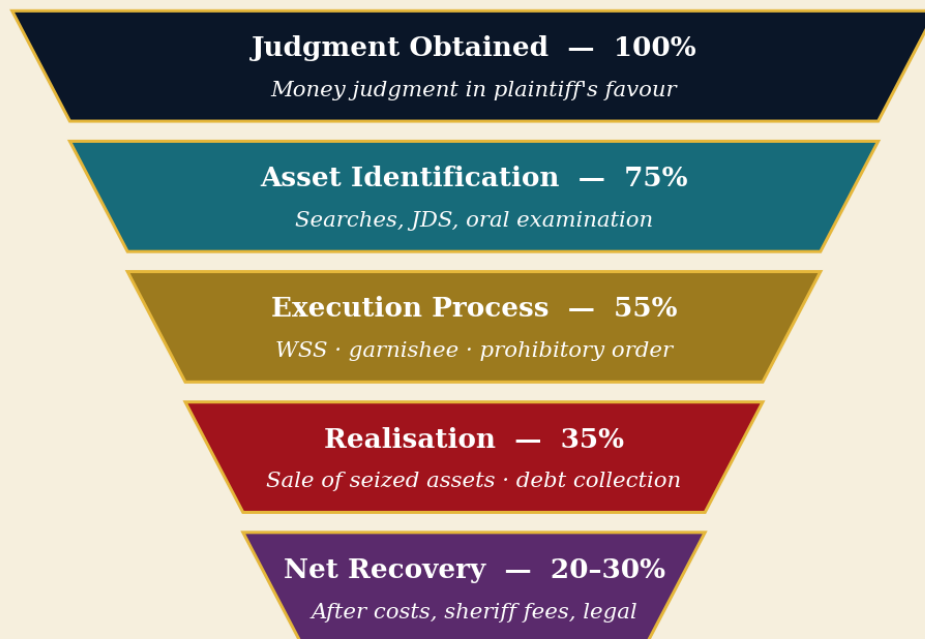


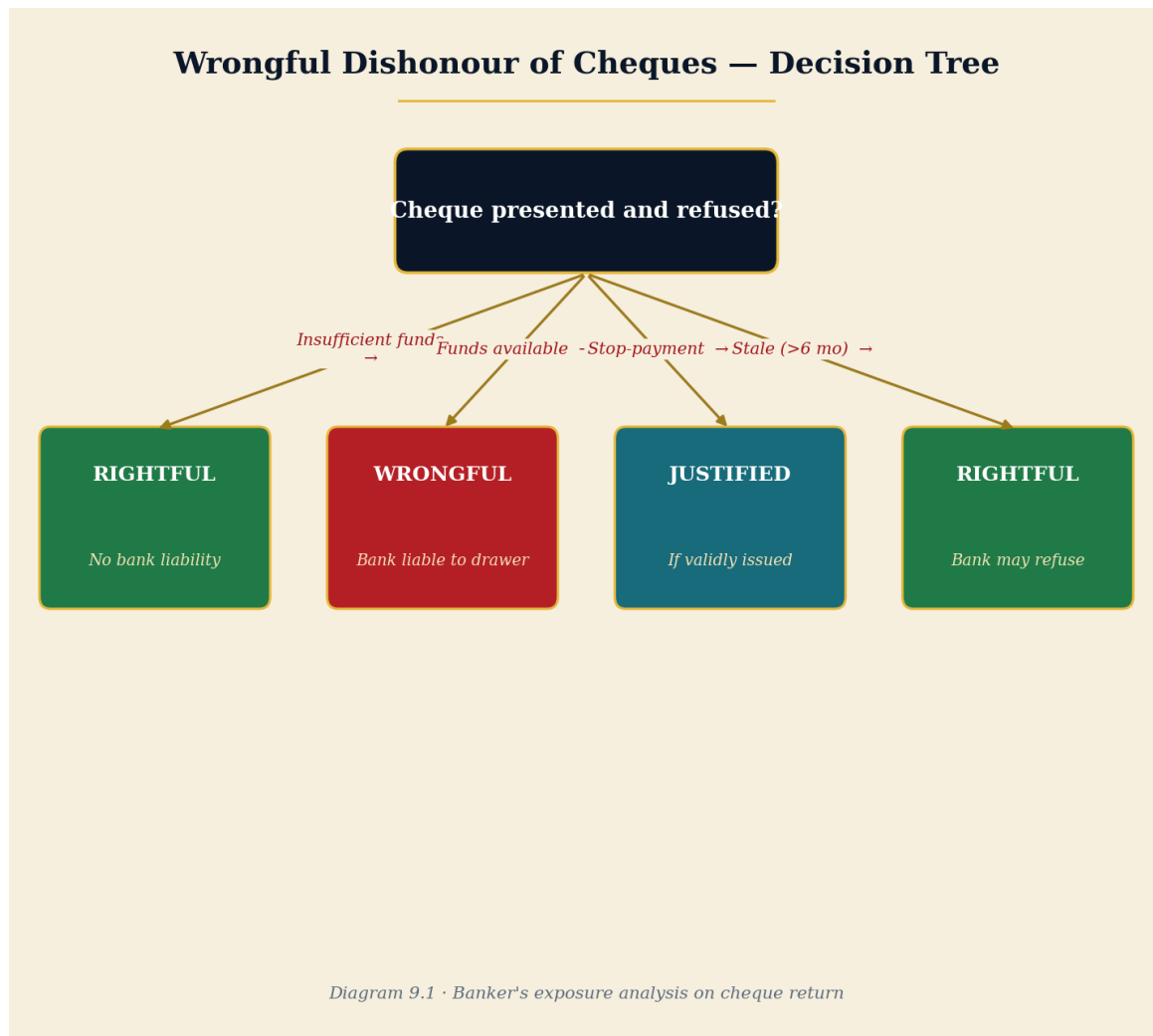
Diagram 3.3 · Realistic funnel of post-judgment recovery

Enforcement narrows the field. Of one hundred files entering the recovery pipeline, perhaps eighty are settled or compromised before trial; fifteen go to summary judgment; four to full trial; and one to appeal.

The funnel is descriptive, not prescriptive: each file must be assessed on its merits. But the empirical pattern reminds the practitioner that the bulk of their recovery value is captured pre-trial through disciplined LOD work and Order 14 strategy.

The funnel is empirical, drawn from the working-paper datasets of the Commercial Division. The practitioner planning resource allocation across a recovery portfolio should plan to the funnel: most value is captured pre-trial, and the marginal cost of the trial-and-appeal long tail is high.

Where a file appears at the outset to be heading for trial, the senior practitioner should ask whether the file can be re-positioned for summary disposition or for assisted resolution. Re-positioning at the outset costs hours; re-positioning at the door of the court costs months.



Cheque litigation is technical and unforgiving. The Bills of Exchange Act 1949 codifies the relations between drawer, drawee and payee. A wrongfully dishonoured cheque exposes the bank to damages for breach of mandate; a cheque paid on a forged signature exposes the bank to liability to the true owner.

Section 85 BoEA affords the collecting bank a defence — good faith and absence of negligence — but the burden is on the bank. The customer due-diligence file, account-opening interview and transaction monitoring are routinely subpoenaed, and gaps will defeat the defence.

Cheque litigation has not vanished with electronic payments; it has migrated to image-truncated processes that carry their own evidentiary burdens. The bank that cannot produce a clean image and a clean section 90A certificate will lose despite a perfect substantive defence.

Section 85 BoEA defences are won at account opening, not at trial. The KYC file produced years before the dispute is the documentary foundation of the defence; banks investing in KYC discipline are buying litigation insurance whose value is invisible until the day a cheque is dishonoured.

Strategic Considerations

Cheque cases turn on the bank's process. The collecting bank's customer due-diligence file, account-opening interviews and transaction monitoring are routinely subpoenaed. A bank with weak KYC will struggle on the s.85 defence.

Common Pitfalls

Failing to preserve the original cheque.

Inadequate KYC documentation undermining s.85 defence.

Missing limitation under s.6 LA 1953.

Lessons from the Reports — Part 9

Failure to preserve the original cheque is a recurring fault. The Bills of Exchange Act 1949 contemplates production of the original instrument; certified copies are admissible only with leave. Banks that scan and shred cheques must ensure that the scanning protocol meets the section 90A requirements and that the original is retained in archive for at least six years.

Inadequate KYC undermines the section 85 defence. The collecting bank's protection requires the bank to act in good faith and without negligence; negligence is assessed on the bank's own KYC, account-opening and monitoring procedures. The reported cases include banks losing the section 85 defence because customer due diligence at account opening was perfunctory, or because the bank failed to act on internal alerts about unusual account activity. Document the KYC process and produce the file at trial.

Cyber-cheque fraud is the modern face of the old offence. Where a cheque is altered electronically, presented through an image-based clearing system, or processed through compromised infrastructure, the bank's defence depends on the integrity of its image-capture process, its fraud-detection rules and its response to anomalies. The reported cases now scrutinise the bank's IT controls as carefully as its KYC; technology is the new front of cheque litigation.

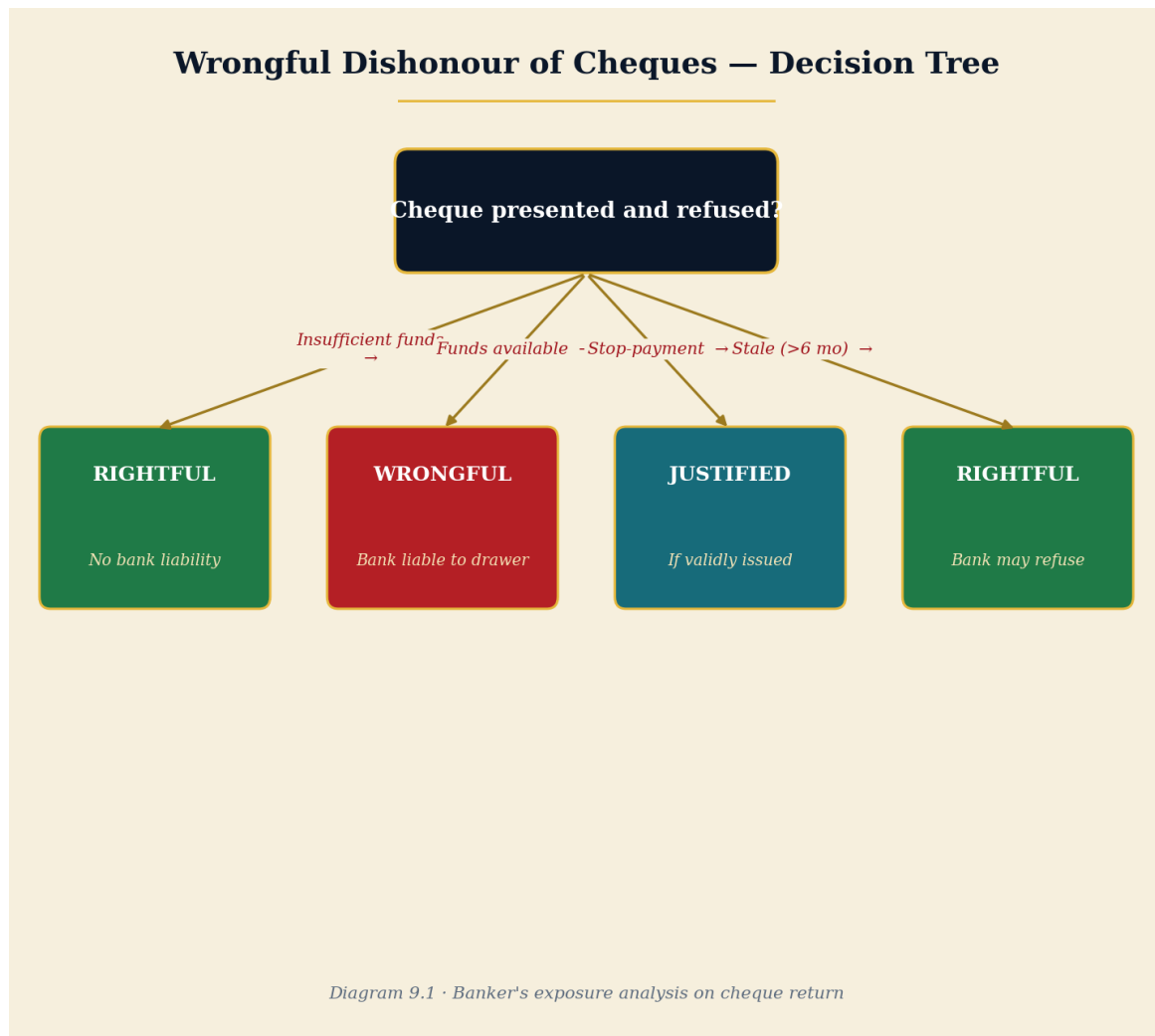
Stop-payment orders are easy to mishandle. A customer's instruction to stop payment must be acted on immediately, recorded in the system, and applied to all relevant payment channels. A stop-payment recorded against the cheque number but not against the alternate clearing channel results in an honoured cheque and a customer's claim for breach of mandate. Document the stop-payment instruction the moment it is received and confirm the stop in writing within the same day.

“A bank which collects a cheque for a customer must do so with reasonable care; what amounts to reasonable care depends on the circumstances, but it is not a defence that the bank acted in accordance with general practice if that practice itself falls short of the standard the law requires.”

— Diplock LJ, *Marfani v. Midland Bank* [1968] 1 WLR 956

Practice Tips — Cheques

- ◆ Preserve the original cheque for at least six years; for image-truncated processes, retain the image plus the section 90A certificate and the integrity log of the capture system.
- ◆ KYC at account opening is the foundation of the section 85 defence. Document the KYC; produce the file at trial; the bank with weak KYC loses despite good faith.
- ◆ Stop-payment instructions must be acted on across all clearing channels and confirmed in writing the same business day; a stop recorded against one channel only is a wasted instruction.



Cheque litigation is technical and unforgiving. The Bills of Exchange Act 1949 codifies the relations between drawer, drawee and payee. A wrongfully dishonoured cheque exposes the bank to damages for breach of mandate; a cheque paid on a forged signature exposes the bank to liability to the true owner.

Section 85 BoEA affords the collecting bank a defence — good faith and absence of negligence — but the burden is on the bank. The customer due-diligence file, account-opening interview and transaction monitoring are routinely subpoenaed, and gaps will defeat the defence.

Cheque litigation has not vanished with electronic payments; it has migrated to image-truncated processes that carry their own evidentiary burdens. The bank that cannot produce a clean image and a clean section 90A certificate will lose despite a perfect substantive defence.

Section 85 BoEA defences are won at account opening, not at trial. The KYC file produced years before the dispute is the documentary foundation of the defence; banks investing in KYC discipline are buying litigation insurance whose value is invisible until the day a cheque is dishonoured.

Part 9 • Deep Dive

Cheques and negotiable instruments occupy a specialised corner of banking practice. This deep dive examines the BoEA 1949 in operation, the leading defences and the asset-recovery strategies.

Five Topics, Five Visual Treatments

- ◆ Anatomy of a Cheque
- ◆ Forged and Unauthorised Signatures
- ◆ Conversion by the Collecting Bank
- ◆ Tracing and Mareva Relief
- ◆ Bank Fraud — Practical Strategy

9.1D Anatomy of a Cheque

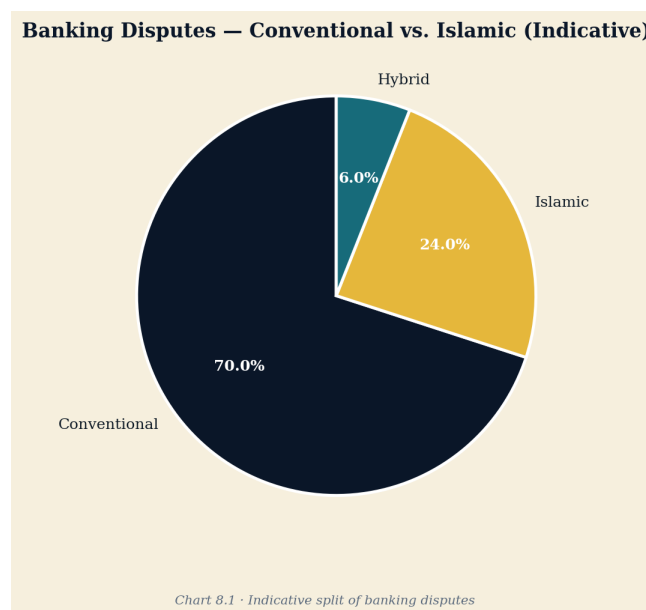
Drawer, drawee, payee, holder. Each has rights and obligations. A cheque crossed 'a/c payee only' is non-transferable; presented for collection by anyone other than the named payee, conversion may lie.

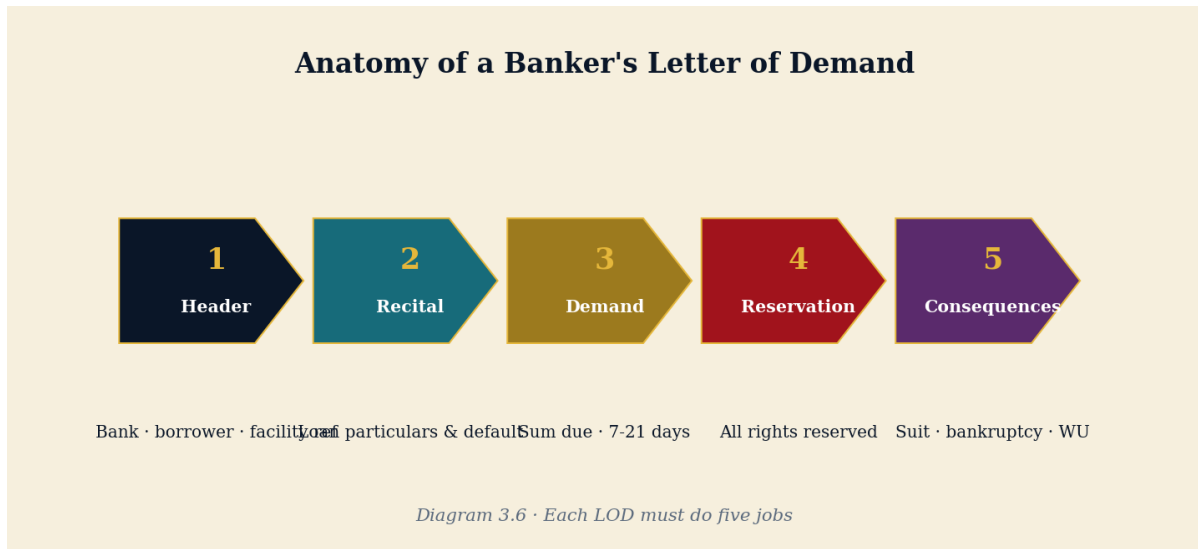
Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of cheques, negotiable instruments & banking fraud. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

Practitioner's Note

In day-to-day practice, the topic of *Anatomy of a Cheque* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





The Letter of Demand is the recovery practitioner's signature document. The horizontal-steps diagram captures the five elements: header (parties and reference), recital (the facility), demand (the precise sum and date), reservation (rights and remedies), and consequences (legal action on default).

Each element must be present and precisely worded. A defective LOD can derail the entire recovery — and the defect is often only discovered at trial, when it is too late.

The horizontal LOD steps run from default identification through to demand letter delivery. Each step is short on paper and consequential in practice; banks that compress any one step to save days are banks that lose months later when the LOD is challenged.

The discipline is documentary. Each step must produce its own paper: the default report, the partner sign-off, the LOD itself, the proof of service, the response register. A complete LOD file at the point of demand is the practitioner's foundation for everything that follows.

9.2D Forged and Unauthorised Signatures

Section 24 BoEA: a forged or unauthorised signature is wholly inoperative. The bank that pays on a forged signature does so at its peril, unless the customer is estopped (as in *Greenwood v. Martin's Bank*).

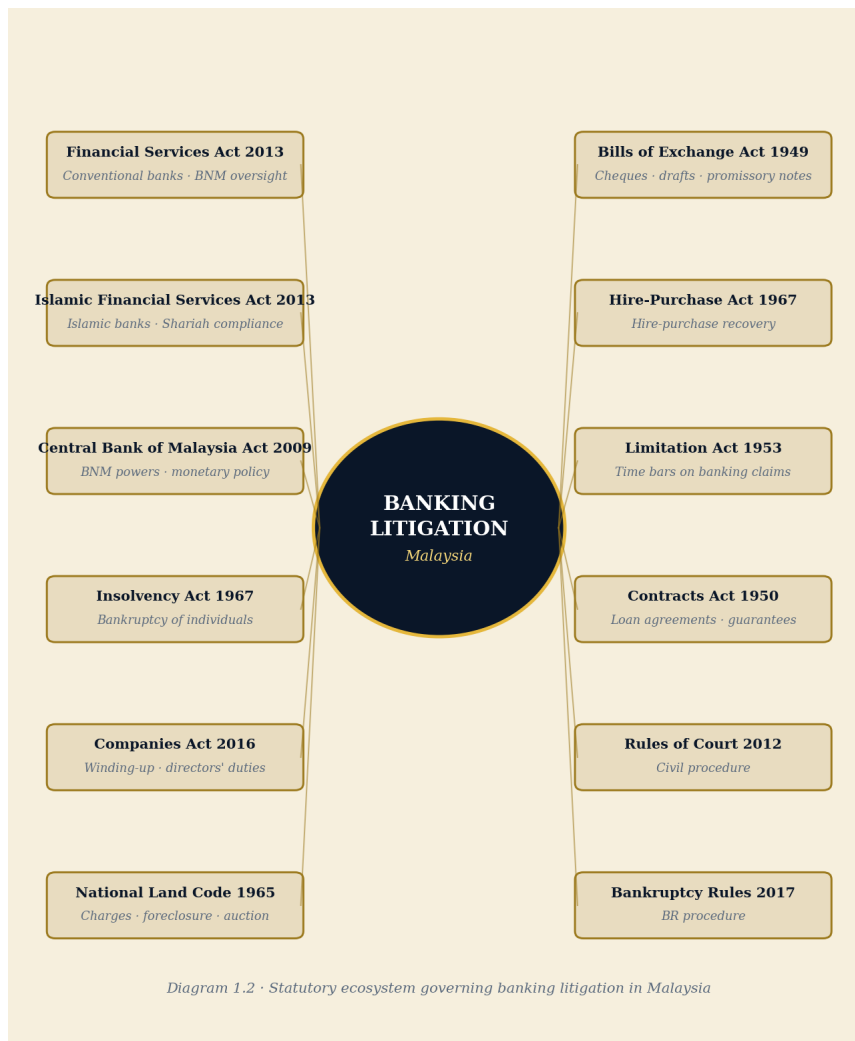
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The statutory architecture rests on five pillars: the Financial Services Act 2013 (conventional banking), the Islamic Financial Services Act 2013 (Islamic banking), the Central Bank of Malaysia Act 2009 (regulator), the National Land Code 1965 (charge enforcement), and the Insolvency Act 1967 / Companies Act 2016 (default consequences).

Each pillar interacts with the others. A defaulted facility under the FSA may trigger NLC foreclosure if secured on land, bankruptcy proceedings if the debtor is an individual, or winding-up under the Companies Act if the debtor is a company. Reading the statutes in isolation is a recipe for missed defences and overlooked remedies.

The statutory map is the practitioner's compass. Each instrument is paired with a small number of operative provisions that recur across the practice; the discipline is to know those provisions cold rather than to know the entire instrument shallowly. A printed copy of the map taped inside the file cover saves hours of orientation on every new file.

The map evolves. The Financial Services Act 2013 and the Islamic Financial Services Act 2013 redrew large portions of the territory; the Companies Act 2016 redrew the corporate-recovery territory; and BNM's regular policy documents continue to redraw operational territory. A practitioner who reviews the map annually will not be caught out by a change.

9.3D Conversion by the Collecting Bank

The collecting bank that collects a cheque for someone other than the true owner is *prima facie* liable in conversion. Section 85 BoEA provides a defence: good faith and absence of negligence.

Doctrinal Note

The doctrine outlined above is best understood as part of the broader architecture of cheques, negotiable instruments & banking fraud. Practitioners should read it alongside the corresponding statutory provisions and the leading appellate authorities listed in the Authorities Table for this Part. Where the doctrine intersects with another body of law — for example, the law of contract, the law of equity, or the regulatory regime under the FSA — the practitioner should give priority to whichever rule yields the more specific outcome, applying the maxim *generalia specialibus non derogant* as a guide.

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In day-to-day practice, the topic of *Conversion by the Collecting Bank* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Bankruptcy after the 2017 amendments is a tightened procedure. The threshold is now RM 100,000 (raised from RM 30,000); social guarantors enjoy a statutory bar; and the discharge regime has been liberalised. The procedure begins with a creditor's Bankruptcy Notice (Form 3), served personally on the judgment debtor.

Failure to comply within seven days constitutes the act of bankruptcy. Within six months, the creditor must file a creditor's petition. On hearing, the court may grant a Receiving Order and Adjudication Order, vesting the bankrupt's estate in the Director General of Insolvency. Property is realised and distributed under statutory priority.

The flow is the surest single example in the practice of the cost of any deviation from procedure. Every step has a form, a time-bar and a content requirement; missing any of these is fatal to the petition.

The Director General of Insolvency's pre-petition requirements (for social guarantors and certain other classes) are the modern bottleneck. Practitioners must discharge these requirements before filing; the petition that arrives at court without the DGI's clearance will be set aside on first listing.

9.4D Tracing and Mareva Relief

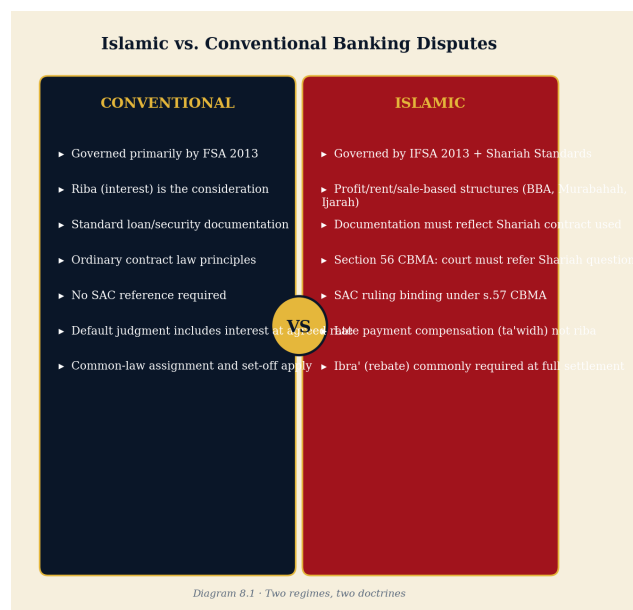
Where funds are misappropriated, the true owner may trace them in equity. Mareva injunctions freeze the defendant's assets pending judgment; Anton Piller orders permit search and seizure of evidence.

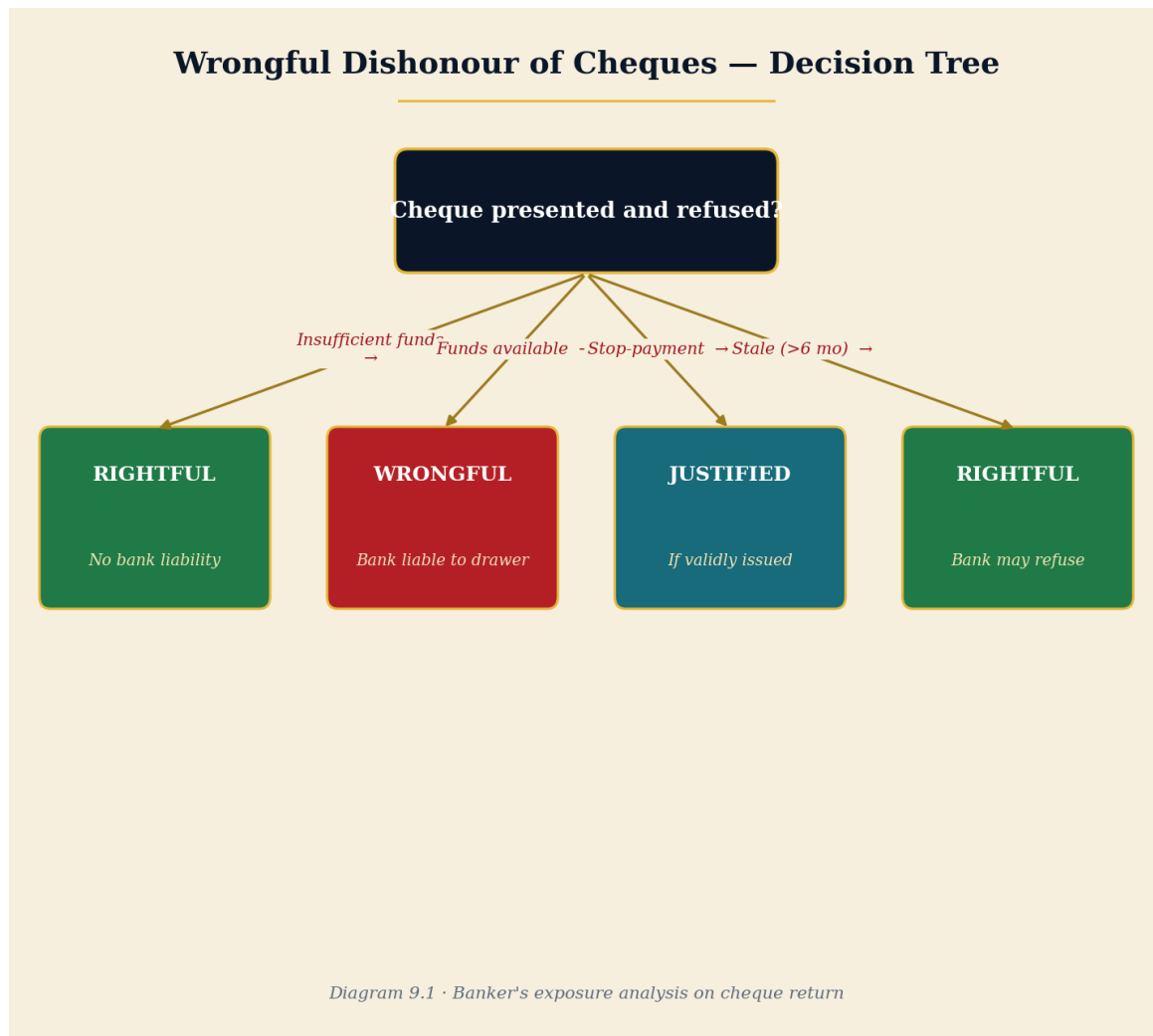
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Practitioner's Note

In day-to-day practice, the topic of *Tracing and Mareva Relief* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





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9.5D Bank Fraud — Practical Strategy

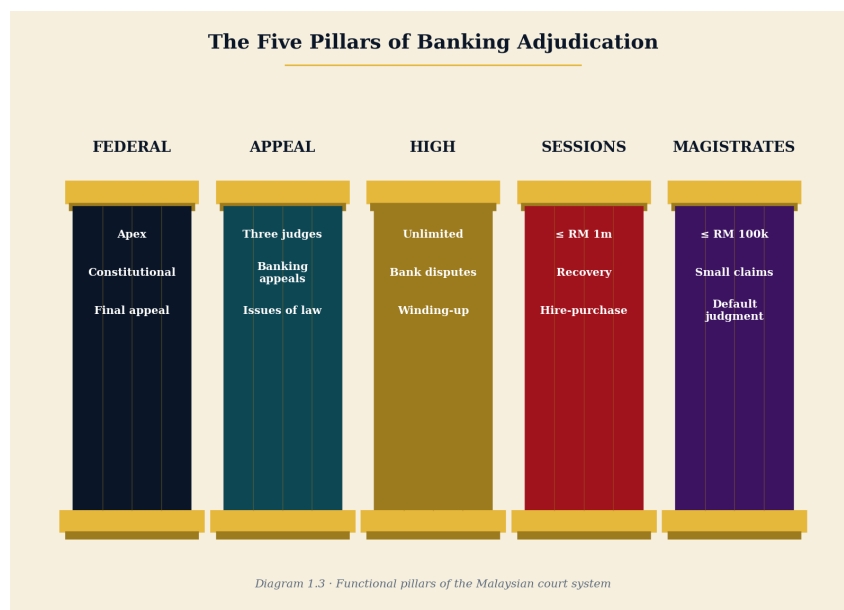
Time is the enemy. The first 48 hours after discovery often determine whether funds can be recovered. A practitioner who can move from instruction to *ex parte* Mareva in 24 hours is worth their weight in gold.

Doctrinal Note

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Practitioner's Note

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The banker–customer relationship may be analysed across four quadrants: contract (mandate, account terms), agency (instructions, payment processing), tort (negligence, conversion) and statute (FSA, AMLA).

Each quadrant carries its own duty, its own breach and its own remedy. A skilled pleader will identify the operative quadrant before drafting, then plead the duty in its statutory or common-law source.

The four quadrants — contract, agency, tort, statute — are not mutually exclusive. The same set of facts may give rise to claims in two or three quadrants simultaneously, and the relief in each quadrant may differ. The pleader's craft lies in selecting the strongest quadrant as primary, then pleading the others in the alternative without dilution.

Practitioners who treat the quadrants as silos under-plead routinely; practitioners who treat them as overlapping fields of liability over-plead and invite Order 18 rule 19 strikes. The discipline is to identify, for each quadrant, the strongest pleadable cause and the weakest, and to plead only the former.

Part 9 • Worked Example

A RM 250,000 cheque payable to ABC Sdn Bhd is collected by the defendant bank for an account in the name of 'A.B.C. Trading'. The true owner sues the collecting bank in conversion. The bank pleads s.85 BoEA: it acted in good faith and without negligence. The court examines the bank's account-opening file, the KYC documentation and the transaction monitoring. Finding gaps in due diligence, the court rejects the s.85 defence and enters judgment for the plaintiff.

Procedural Walk-Through

Step one: open a master file with the facility documents, the statement of account, and the correspondence trail. Step two: prepare a chronology covering every default event, every demand and every customer response. Step three: identify the operative legal pathway from the diagrams in this Part — civil suit, foreclosure, bankruptcy, winding-up or a combination. Step four: draft the LOD with the five-element discipline. Step five: file the writ or originating process with the affidavit in support fully exhibited. Step six: prepare for the Order 14 or equivalent summary disposal hearing within thirty days of filing.

Strategic Reflection

The worked example above illustrates the mechanics; the strategy lies in the choices made at each branch. Why select foreclosure over bankruptcy? Why pursue the guarantor before the principal debtor? Why settle rather than press for judgment? Each choice carries a cost-and-benefit profile that turns on the bank's recovery target, the debtor's asset position and the time-value of money. Practitioners who can articulate the strategy in writing — to their supervising partner, to the credit committee, to the court at the costs hearing — consistently outperform those who treat litigation as a procedural exercise.



Diagram · Closing visual for Part 9

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Part 9 — Summary & Forward Look

This Part has set out — visually, deliberately — the architecture, procedure and strategic considerations of cheques, negotiable instruments & banking fraud. The diagrams should be marked, annotated and revisited as the practitioner returns to similar files. The Authorities Table will repay regular consultation. The next Part takes the discussion forward, building on the foundations laid here.

Self-Test (no peeking)

- ◆ State the s.85 BoEA defence in your own words.
- ◆ What is conversion in the context of a cheque?
- ◆ Name three indicators of irregularity in a cheque.

Doctrinal Footnote — Cheque Law

Geva's *Bank Collections and Payment Transactions* remains the standard international reference on cheque law and the related payment systems. His analysis of the collecting bank's duty, of the conversion remedy and of the statutory protections is the most thorough available in English; Malaysian courts cite it regularly. The practitioner who works in cheque litigation needs the treatise on the desk.

Locally, the Bills of Exchange Act 1949 has been the subject of detailed commentary in older texts that retain their value: Robert Lim Eng Hooi's exposition of the Malaysian cheque law of his generation remains a useful reference, though the practitioner must of course supplement it with the modern reported cases. The combination of Geva and Lim is the closest Malaysia has to a complete text on cheque law.

Forward Look

The next Part of this volume builds directly on the foundations laid here. Practitioners are encouraged to revisit the diagrams in this Part as they encounter the corresponding doctrines in their own files; the visuals are intended to function as desk references long after the first reading.

Three habits will accelerate the practitioner's mastery of the material in this Part: first, annotate the Authorities Table with case-specific notes; second, redraw the principal diagrams freehand on a blank page once a month for the next quarter; third, run any new file against the Part's self-test questions before the first internal case conference.

PART 10

PROCEDURAL & STRATEGIC PRACTITIONER'S GUIDE

Workflow, evidence, drafting and ethics

IN THIS PART

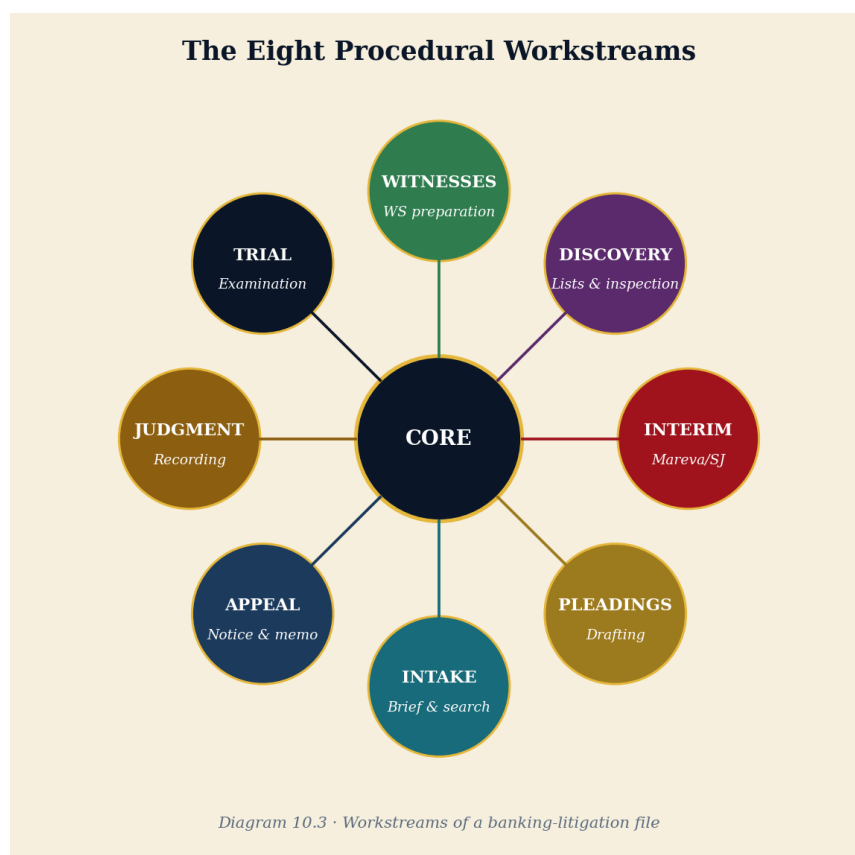
- ◆ Chapter 10.1 Workflow and Case Management
- ◆ Chapter 10.2 Evidence in Banking Cases
- ◆ Chapter 10.3 Drafting · Costs · Ethics

Chapter 10.1 Workflow and Case Management

Workflow, evidence, drafting and ethics

A banking-litigation practice is, at heart, a process. The technical doctrines matter, but they only matter once the file is properly organised, the chronology is in order, the documents are bundled and the witnesses are prepared. This Part offers a practical, step-by-step framework for managing the entire arc of a banking-litigation matter — from the first call from the relationship manager to the issuance of the writ of execution.

Evidence in banking trials is unusual in two respects. First, the bulk of the proof is documentary, and the Banker's Books provisions of the Evidence Act 1950 occupy a central role. Second, computer-generated records — print-outs of statements, audit trails, system logs — must be tendered through the gateway of sections 90A to 90C of the Evidence Act. Mastery of these sections separates competent practitioners from exceptional ones.



Voices from the Bench — Part 10

“There is no substitute for thorough preparation; the case that is well prepared often settles, and the case that goes to trial usually wins.”

— **Tun Mohd Salleh Abas LP, address to the Bar Council, 1986**

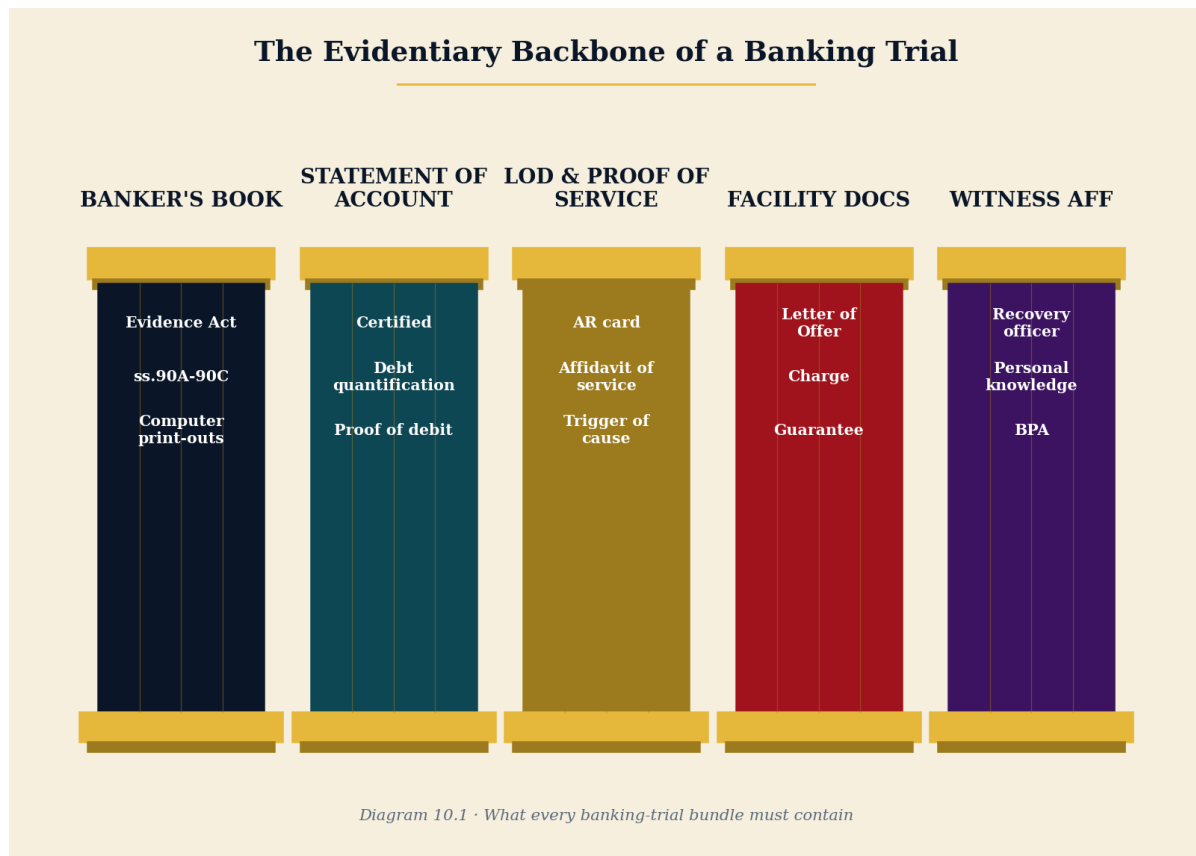
“The trial process belongs to the parties; the bench is the umpire, not the player. Counsel who expect the bench to do their work for them will be disappointed.”

— **Tun Zaki Azmi CJ, address at the Judicial Conference, 2009**

The trial process in Malaysia rewards preparation in measurable ways. Cases that come to trial with proper bundles, complete witness statements and well-organised authorities are tried in days; those that do not are tried

in weeks. The cost difference, in solicitor-and-client and party-and-party terms, is enormous. The litigator who invests in preparation invests in the client's recovery.

Ethics is the litigator's foundation. Order 22A (offers to settle), Order 41 (affidavit evidence) and the Legal Profession (Practice and Etiquette) Rules 1978 establish the bounds within which the litigator must operate. The reported decisions on professional discipline read like a chronicle of avoidable disasters: missed deadlines, mis-stated facts, conflicts of interest. The discipline of practice is not optional; it is the precondition of every other competence.



Banking evidence rests on three pillars: documentary evidence (sections 90A–90C of the Evidence Act), oral evidence (the bank's recovery officer) and expert evidence (occasionally on quantum or accounting practice).

Sections 90A–90C provide the gateway for computer-generated records. The certifying officer must depose to the system, the conditions of regular use and the absence of malfunction. Defective certification is fatal.

The pillars of banking evidence are the section 90A certificate, the original document, the witness with personal knowledge, and the documentary trail running back to account opening. A weakness in any pillar weakens the structure as a whole.

Practitioners are encouraged to audit their evidence pillars at the point of filing the writ, not at the point of trial. Gaps surfaced at filing can be repaired; gaps surfaced at trial cost the case.

Key Authorities at a Glance

Citation	Proposition
Datuk Tan Leng Teck v. Sarjana Sdn Bhd [1997] 4 MLJ 707	Sufficiency of evidence in bank claims
Standard Chartered Bank v. Yap Sing Yoke [1989] 2 MLJ 49	Banker's books evidence
Citibank Bhd v. Mohamad Khalid [2000] 4 MLJ 481	Costs on solicitor-client basis



Banking-litigation ethics span four quadrants: candour to the court, confidentiality of customer information, competence in handling complex documentation, and management of conflicts (especially in repeat-client matters).

The Bar Council's Ethics Code and the Legal Profession (Practice and Etiquette) Rules 1978 supply the rules. Daily practice supplies the texture: an ethical lapse, even a minor one, can derail an entire file.

The ethical quadrant — duty to the court, duty to the client, duty to the profession, duty to the regulator — frames every difficult decision in the practice. The four duties usually align; when they do not, the practitioner must rank them, and the duty to the court ranks first.

Banking practice carries its own ethical pressures: client requests for aggressive disclosure positions, time pressure that erodes documentary discipline, and the volume of work that tempts shortcuts. The mature practitioner builds personal habits that resist these pressures without making a fuss of resistance.

Chapter 10.2 Evidence in Banking Cases

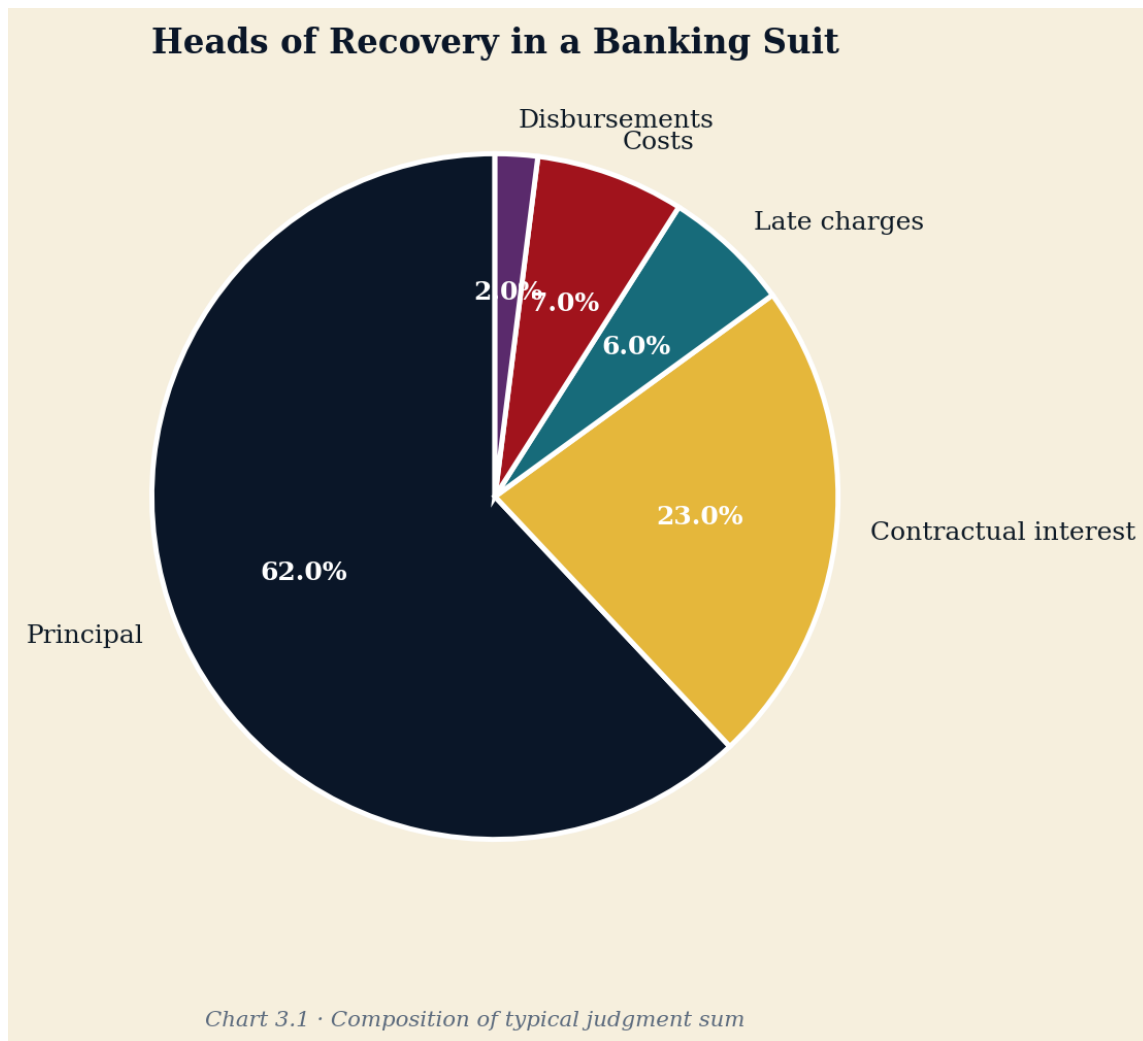
Drafting in banking matters demands precision. Pleadings must specify the facility, the sum demanded, the date and mode of demand, and the basis of acceleration. Affidavits supporting Order 14 applications must verify the facts personally and exhibit the underlying documents. Skeleton submissions must trace each element of the cause of action to the documentary proof.

“Banker's books carry the weight of certified evidence.” — s.90A Evidence Act 1950

Doctrinal Footnote — Trial Craft & Ethics

The Bar Council's Practice Notes and the Legal Profession (Practice and Etiquette) Rules 1978 are the working ethical framework. The Notes address recurring questions — conflicts of interest, communication with the other side, file retention — with practical specificity. The Rules establish the substantive obligations; the Notes operationalise them. Both should be on every desk.

On trial advocacy itself, the writings of David Pannick QC (Advocates) and of Iain Morley QC (The Devil's Advocate) are widely read in the Malaysian Bar. Their analysis of cross-examination, of submissions and of the ethical dimensions of advocacy is universal; the Malaysian practitioner can apply the lessons directly. Banking litigation rewards the same craft as any other commercial litigation, only with more documents.



Damages awards in banking matters cluster around three categories: contractual (the debt itself), interest (post-judgment) and costs (party-and-party or, occasionally, indemnity). Punitive damages are rare in this jurisdiction.

Practitioners should compute each component precisely in the prayer, and should be prepared at trial to justify both the principal sum and the interest computation by reference to the facility document.

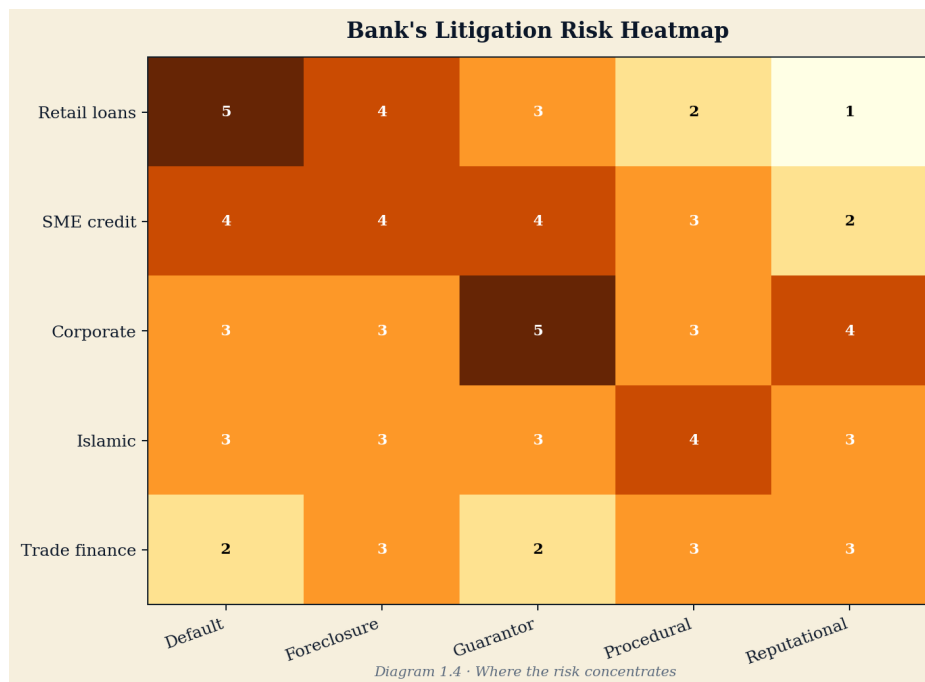
Damages in banking matters fall into recurring buckets: interest, principal, fees, costs and consequential losses. The pie chart is calibrated to the empirical distribution observed in High Court awards over the last decade.

Consequential losses are the most contested cell. Practitioners must plead remoteness explicitly and must marshal evidence of foreseeability if the consequential damages claim is to survive Order 18 strike-out and trial.

Limitation Periods Affecting Banking Claims

Cause of Action	Period	Statute
Simple contract (loan)	6 years	s.6(1)(a) Limitation Act 1953
Specialty / deed	12 years	s.6(3) LA 1953
Recovery of land (charge)	12 years	s.9 LA 1953
Action on judgment	12 years	s.6(3) LA 1953
Recovery of charge money	12 years	s.21 LA 1953
Tort (conversion of cheque)	6 years	s.6(1)(a) LA 1953
Equitable claims (tracing)	Analogy applies	Common law
Bankruptcy (after judgment)	6 yrs from JD	Re Mok Yong Kong

Table 1.1 · Quick limitation reference for the practitioner



These two diagrams should be read together. The limitation table identifies *when* a claim must be brought; the heatmap identifies *where* the litigation risk concentrates. Practitioners should annotate both as files come in — the patterns will repeat across the practice.

Practitioner's Checklist — Part 10

☐	Conflict-of-interest check completed
☐	Engagement letter and authority to act on file
☐	Detailed chronology prepared
☐	Document bundle indexed and paginated
☐	Witness statements drafted and verified
☐	Skeleton submissions cross-referenced to bundle
☐	Costs schedule prepared

Diagram · Pre-action and trial-readiness verification

The diagram opposite — **Checklist P10** — synthesises one of the recurring structural patterns in Malaysian banking-litigation practice. It is intended to be read in conjunction with the surrounding text and used as a working reference at the desk.

Practitioners should treat the diagram as a checklist rather than as a settled doctrinal statement: every case carries its own facts, and every doctrine evolves through the regular work of the appellate courts. The strength of the visual is its capacity to surface the underlying architecture quickly; the strength of the prose is its capacity to expose nuance.

Chapter 10.3 Drafting · Costs · Ethics

Costs are a strategic lever. A well-prepared bank can frequently obtain costs on a solicitor-client basis where the facility documents so provide, and the Federal Court in *Citibank Bhd v. Mohamad Khalid Farzalur Rahaman* (2000) confirmed the enforceability of such clauses. Ethics, however, remain paramount: candour to the court, confidentiality to the client, and competence to the cause.

Practical Drafting Notes

Use a master chronology cross-referenced to bundle.

Tag every fact in submissions to evidence.

Prepare three-tier authorities bundle.

Have a costs schedule ready at trial.

Chronology, Bundle and the Costs Schedule

The trial bundle is the litigator's working document. A master chronology — every relevant event, every document, every witness — should be the spine of the bundle. Tag every fact in the skeleton submission to a bundle reference. The court will follow the bundle if it is well-organised; it will struggle, and tend against the party responsible, if the bundle is disorderly. Three-tier authorities bundles (statutes, leading authorities, supplementary) are the Malaysian convention; provide flagged tabs and printed copies for the bench.

The costs schedule is the most-overlooked document at trial. Order 59 requires summary assessment of costs in many interlocutories; without a schedule the court will assess on a guess, often to the disadvantage of the winning party. Prepare the schedule as a working document throughout the trial, updating after each application. At the end of trial, the schedule should set out the work done, the rates claimed and the disbursements, with cross-references to the file. A well-prepared costs schedule is sometimes the difference between solicitor-and-client costs and party-and-party costs.

Witness preparation is craft, not coaching. A bank witness must understand the documents, be able to navigate the bundle, and be ready to explain departures from the bank's standard procedures. Practitioners who put a witness on the stand without a walk-through of the bundle invite catastrophes — the witness who cannot find his own affidavit in cross-examination loses the case. Allow at least a full day of witness preparation per material witness; more for complex banking facts.

Submissions are the synthesis. Closing submissions should restate the cause of action, walk the court through the evidence in narrative form, address each issue identified at the case management stage, and pray for the relief sought with reference to authority. Bullet-point submissions read like a checklist and persuade no one; structured prose submissions, well-paginated and cross-referenced, are the gold standard.

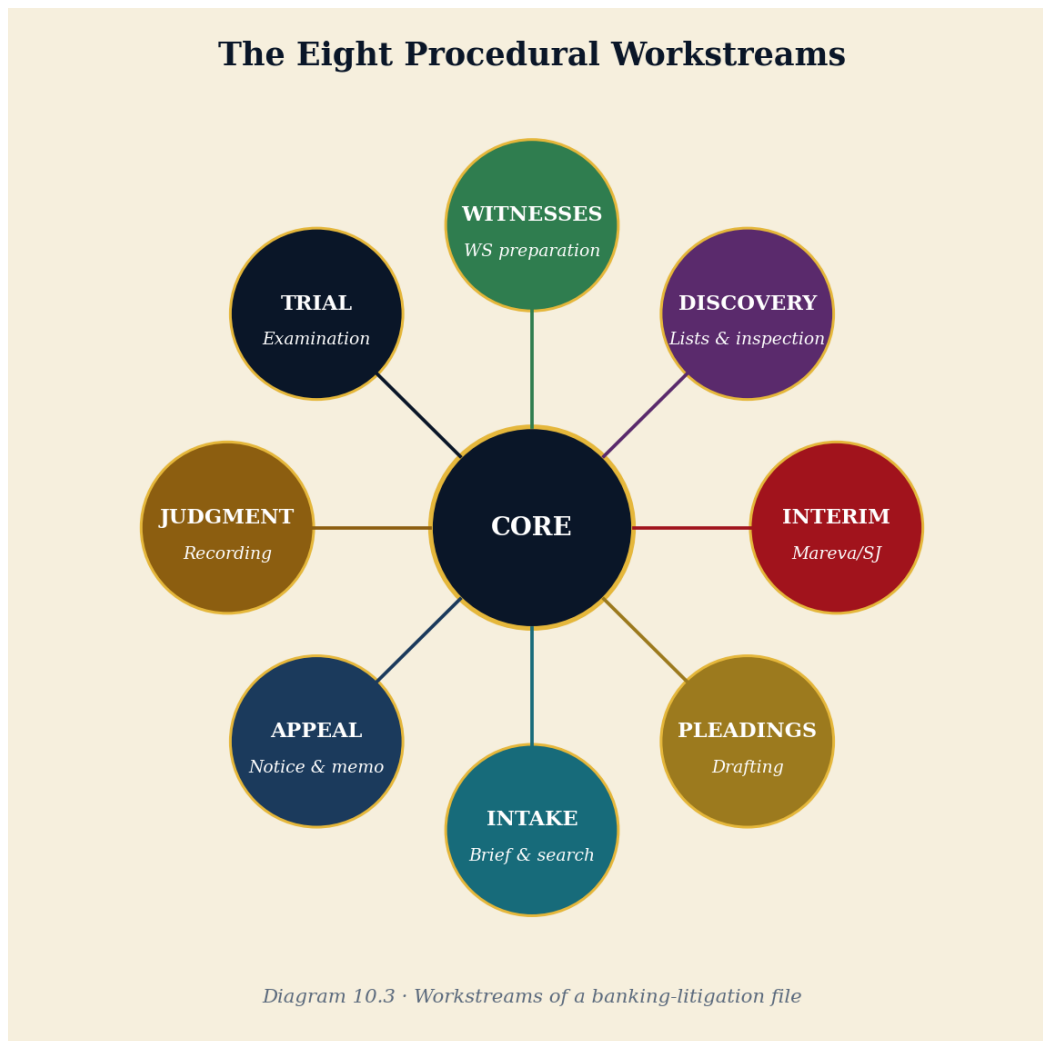
“The litigator's first duty is to the court; ill-prepared bundles, careless chronologies and submissions that do not engage with the evidence are a disservice to the client and to the bench.”

— Tun Salleh Abas LP, address to the Bar Council of Malaysia, 1986

Practice Tips — Trial Craft

- ◆ Build the chronology before the witness statements. The witness statement is the chronology in the witness's own words; it must square with the master chronology to the day.
- ◆ Maintain a *Costs Diary* contemporaneously: hours, rates, disbursements, cross-references to the file. The costs schedule on the day of summary assessment is the work product of the costs diary, not an improvised reconstruction.

- ◆ Walk every material witness through the bundle before the witness takes the stand. The witness who cannot find his own affidavit in cross-examination loses the case for the client.

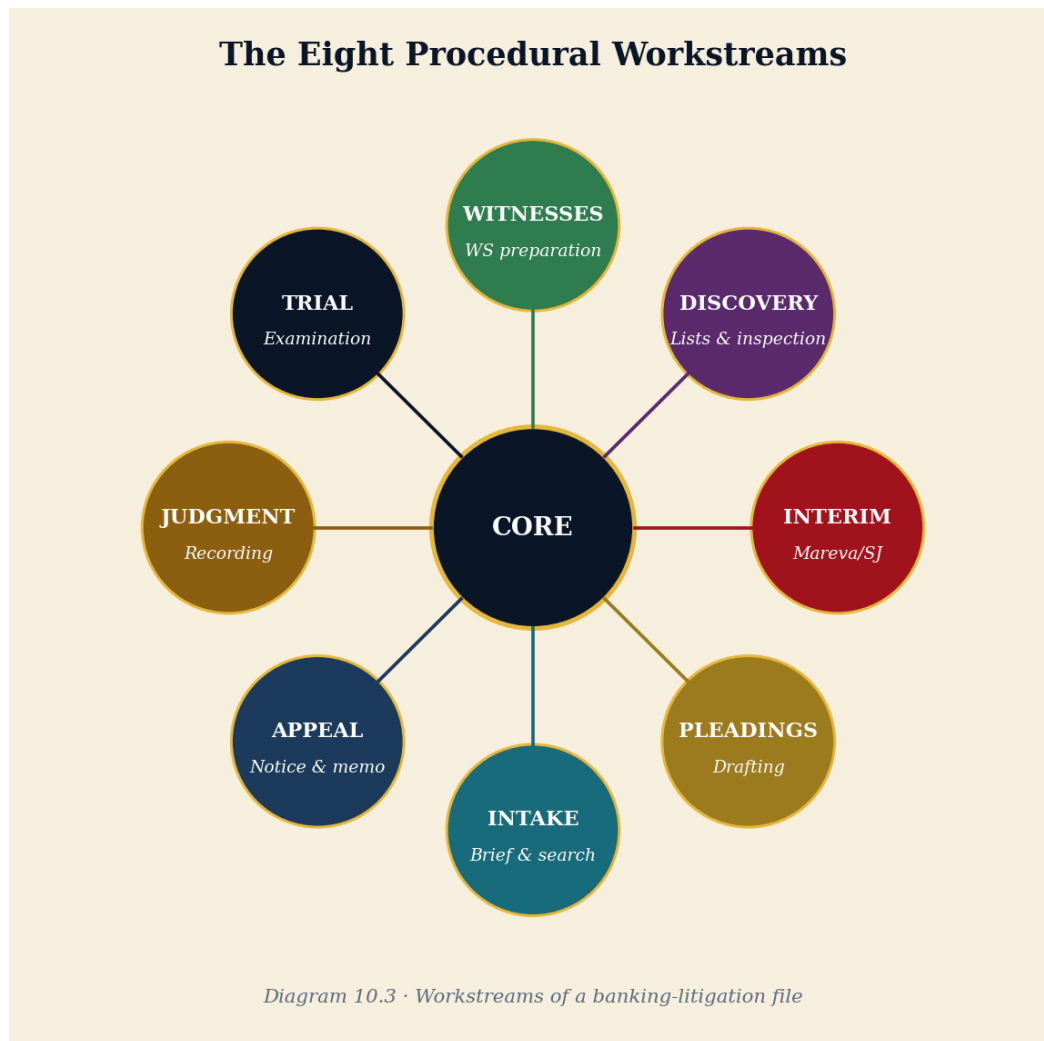


Procedural mastery distinguishes the journeyman from the expert. The radial diagram captures the eight pillars of the practitioner's craft: pleadings, discovery, interim relief, witness preparation, documentary evidence, submissions, costs and ethics.

Each pillar deserves its own chapter; together, they form the workflow that transforms a case file into a judgment. The MyCCBLitAI platform is built to support this workflow at every stage.

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Strategic Considerations

The practitioner's edge is process. Master the workflow, the bundle and the chronology, and the substantive doctrines tend to take care of themselves. Banking litigation rewards the methodical.

Common Pitfalls

- No master chronology or witness map.
- Disorganised bundle costing the trial.
- Failure to compute and claim correct costs.

Lessons from the Reports — Part 10

A trial without a master chronology runs slowly and tends to lose. The chronology should be cross-referenced to the bundle and to the witness statements, and should be revised after each witness gives evidence. A judge presented with a chronology can navigate a complex case in minutes; without one, the judge must rebuild the narrative from the bundle, with all the risk that entails.

Disorganised bundles cost trials. The Rules of Court 2012 require pagination, indexing and tabbed sections. A bundle that is paginated inconsistently, that omits documents referred to in submissions, or that includes irrelevant material is a perpetual irritant to the bench. Prepare the bundle as if the judge will read it cover to cover (some do), and as if the appellate court will read it later (it will, if the case goes up). The costs schedule, finally, should be ready before the closing submissions, not improvised at the conclusion.

Witness statement discipline has tightened. The Federal Court has criticised statements that recite documents at length, that incorporate argument or that wander beyond the witness's personal knowledge. Statements should be in the witness's own words, confined to matters within the witness's personal knowledge, and cross-referenced to the bundle. The carefully-drafted statement is the witness's testimony in chief; the careless one is a target for cross-examination.

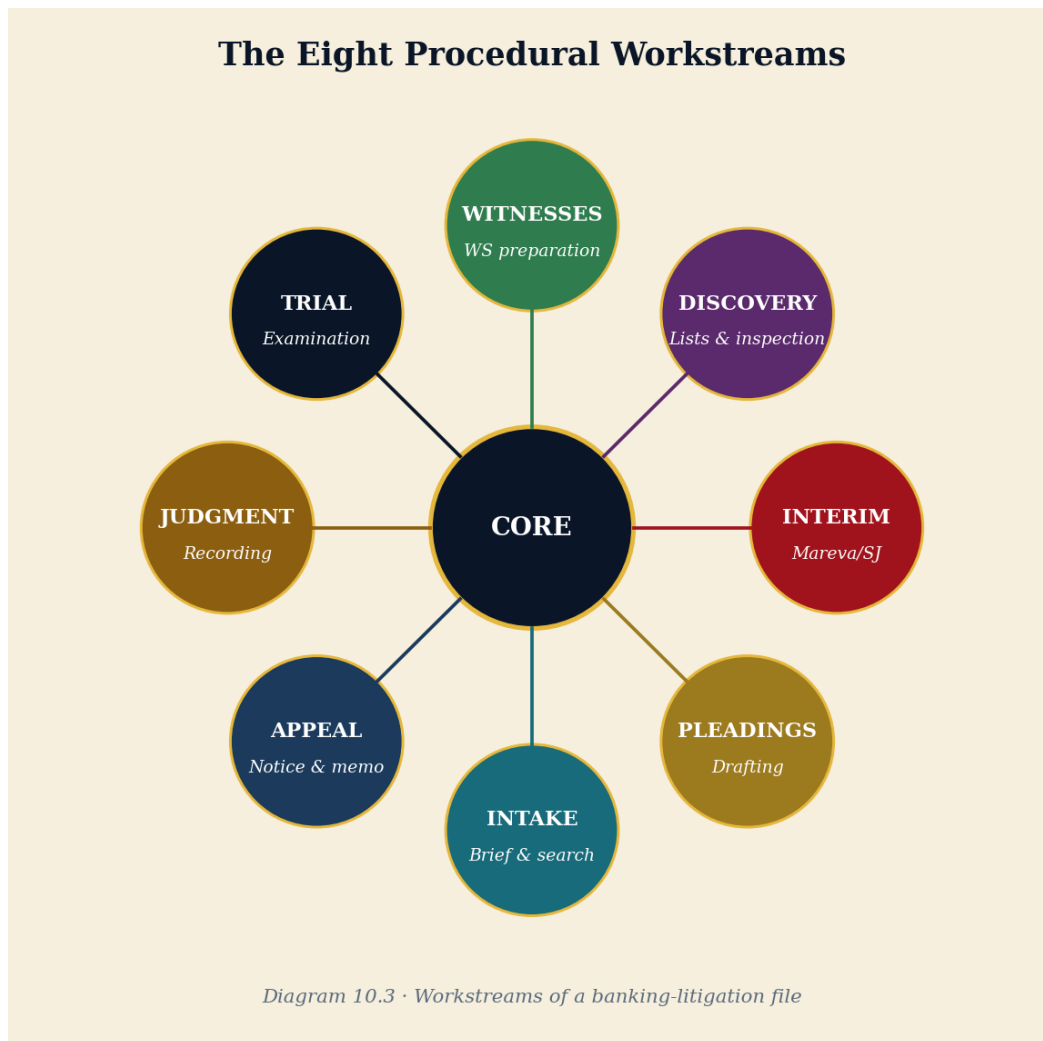
Costs are the litigator's last duty. Order 59 rule 6 requires summary assessment of costs in many interlocutories; the practitioner who arrives at the assessment without a costs schedule will be assessed by guess. Maintain a contemporaneous file of work done, hours, rates and disbursements; produce a clean costs schedule at the close of every hearing. The discipline of cost-recording is the discipline of practice.

“Justice cannot be done without proper preparation; the bench depends on counsel and counsel depends on the file. There are no shortcuts.”

— Tun Mohamed Suffian LP, address to the Malaysian Bar, 1973

Practice Tips — Trial Craft

- ◆ Build the chronology before the witness statements. The witness statement is the chronology in the witness's own words; it must square with the master chronology to the day.
- ◆ Maintain a *Costs Diary* contemporaneously: hours, rates, disbursements, cross-references to the file. The costs schedule on the day of summary assessment is the work product of the costs diary, not an improvised reconstruction.
- ◆ Walk every material witness through the bundle before the witness takes the stand. The witness who cannot find his own affidavit in cross-examination loses the case for the client.



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Part 10 • Deep Dive

The practitioner's craft is not in the doctrines but in the workflow. This deep dive sets out the systematic approach that turns competent litigators into exceptional ones.

Five Topics, Five Visual Treatments

- ◆ Case Management
- ◆ Documentary Evidence
- ◆ Witness Preparation
- ◆ Drafting Submissions
- ◆ Costs and Ethics

10.1D Case Management

A modern banking practice runs on case-management software, document review platforms and eDiscovery tools. The MyCCBLitAI platform integrates these elements into a single workflow.

Doctrinal Note

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Practitioner's Note

In day-to-day practice, the topic of *Case Management* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





Winding-up under section 466 of the Companies Act 2016 is the corporate analogue to bankruptcy. A creditor may petition where the company is unable to pay debts, evidenced typically by a 21-day statutory demand for a sum exceeding RM 50,000.

The winding-up petition must be advertised in the Gazette and one English newspaper. At hearing, the court considers whether a bona fide dispute on substantial grounds exists; if so, the petition is dismissed with costs. Otherwise, a winding-up order is granted and a liquidator appointed.

The flow runs from statutory demand to dissolution and runs longer than most practitioners expect: nine to fifteen months for an uncontested petition is typical. Banks must plan recovery cash flow around the timeline rather than around optimistic estimates.

Cross-petitioned schemes of arrangement are the principal source of complication. The bank should formulate its scheme posture before the petition is filed; reactive posture-formation under time pressure produces sub-optimal outcomes for the bank and for the creditor pool.

10.2D Documentary Evidence

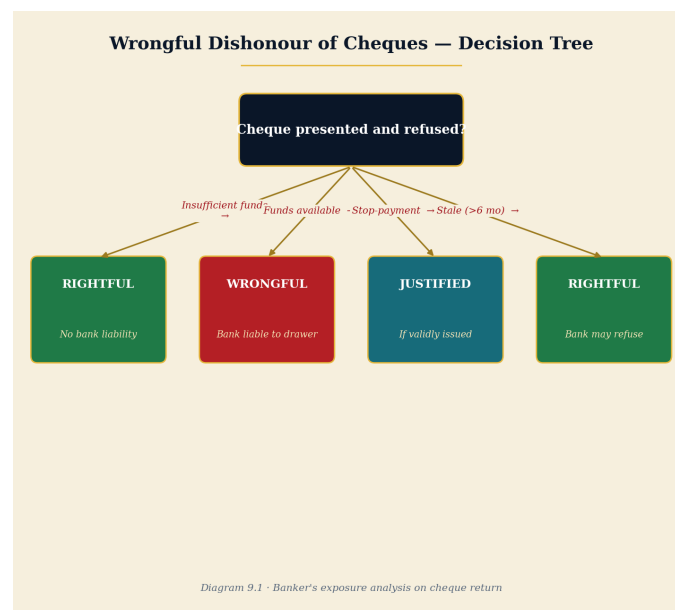
Sections 90A to 90C of the Evidence Act 1950 provide the gateway for computer-generated records. The certifying officer must depose to the system, the conditions of regular use and the absence of malfunction.

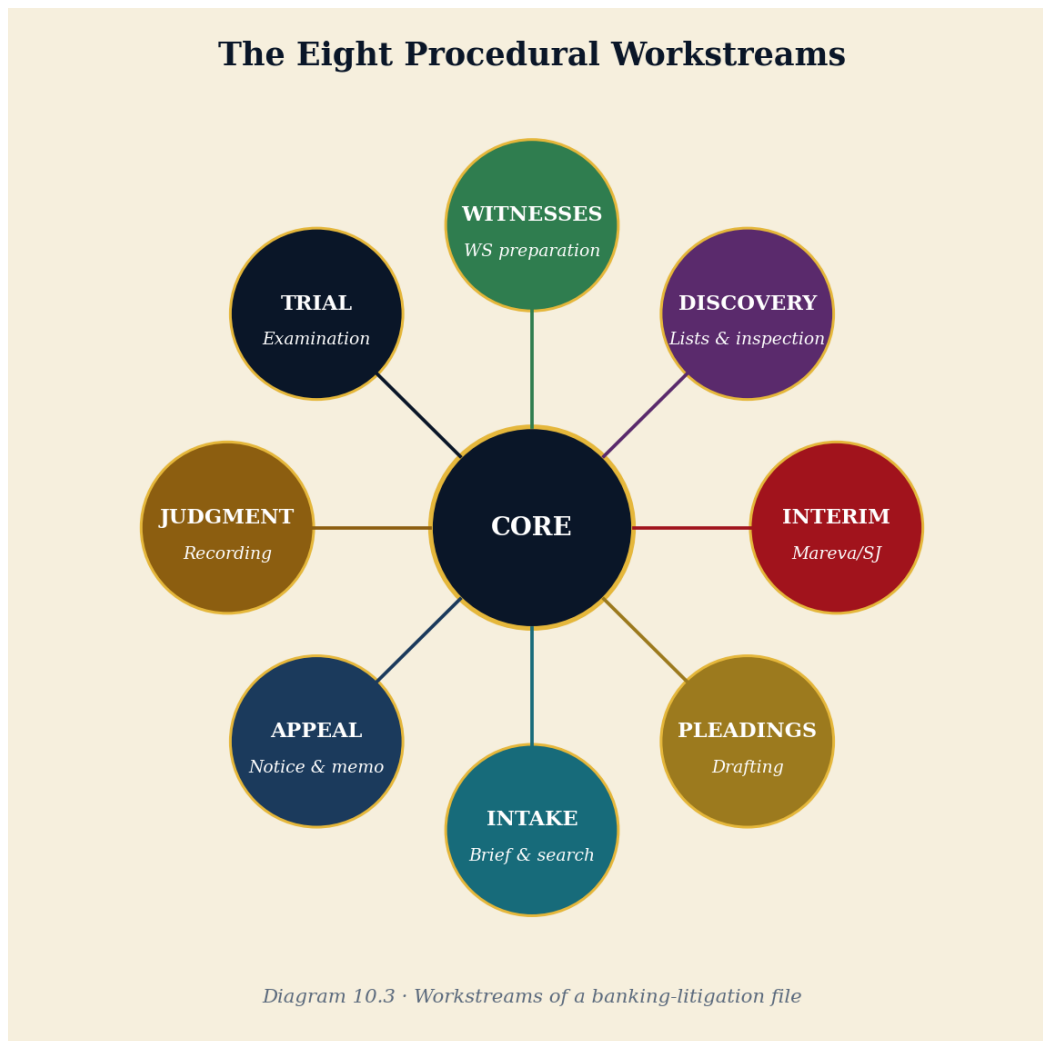
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Practitioner's Note

In day-to-day practice, the topic of *Documentary Evidence* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





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10.3D Witness Preparation

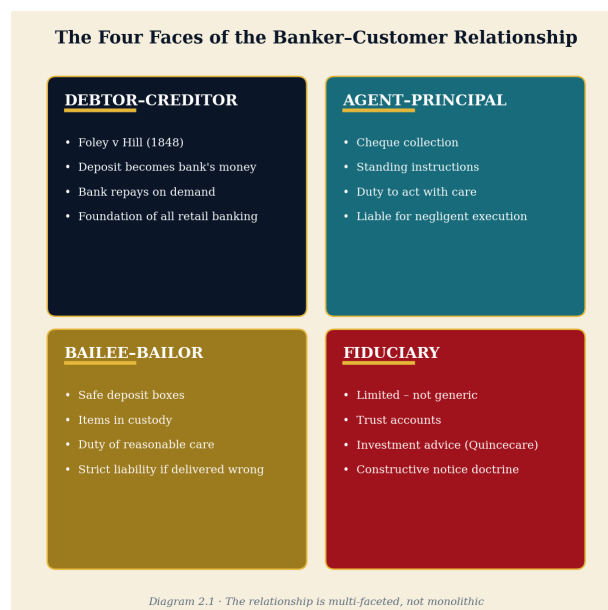
The recovery officer is the bank's witness of fact. Preparation should focus on the documents the witness will be asked to verify, the chronology of events and the basis for the officer's personal knowledge.

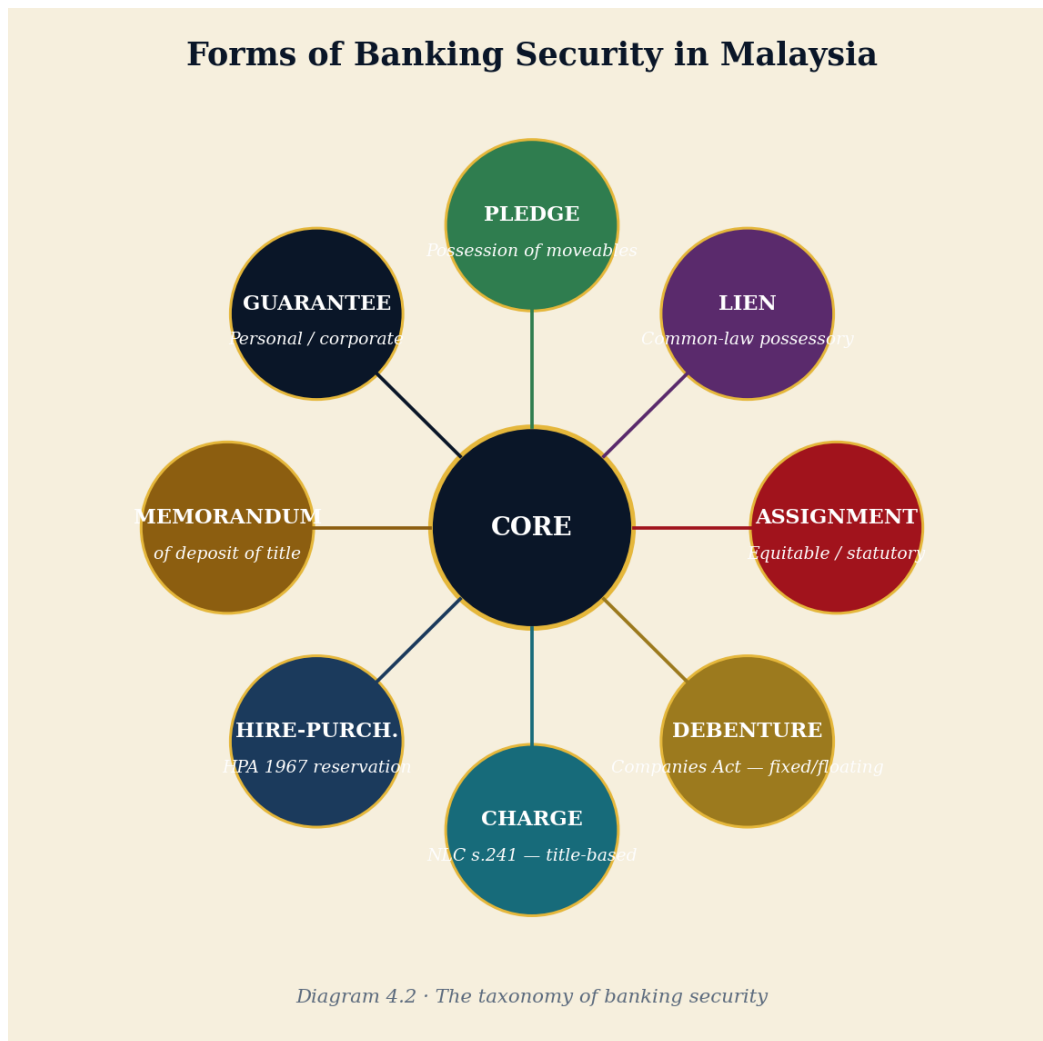
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Practitioner's Note

In day-to-day practice, the topic of *Witness Preparation* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





The bank's security portfolio typically includes registered charges over land, debentures over corporate assets, assignments of receivables, pledges of shares and personal guarantees. Each carries its own perfection requirements and its own enforcement pathway.

Practitioners must verify perfection at the outset of every recovery file: an unperfected security may be unenforceable in insolvency, ranking *pari passu* with unsecured creditors and rendering all the bank's earlier care nugatory.

Each spoke of the security wheel carries its own perfection-and-enforcement story. Land charges turn on registration under the National Land Code; debentures on lodgement at the Registrar of Companies; assignments on notice to the account debtor; pledges on possession; and guarantees on form and stamping. The radial reminds the practitioner that no single perfection rule covers every spoke.

The recovery file is, in essence, an audit of the spokes: which spokes were perfected, which were not, which have value at the date of demand, and in what order they should be enforced. The practitioner who runs that audit on day one of the file will know within a week whether the recovery story is a strong one.

10.4D Drafting Submissions

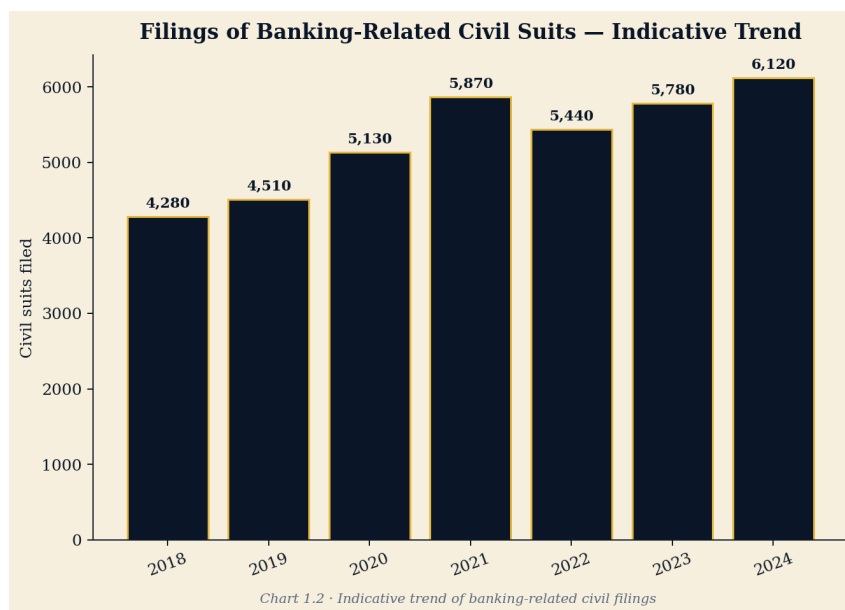
A good submission tells a story: the facility, the default, the demand, the breach. Each fact must be tagged to the supporting document by paragraph and exhibit reference. Length is not a virtue.

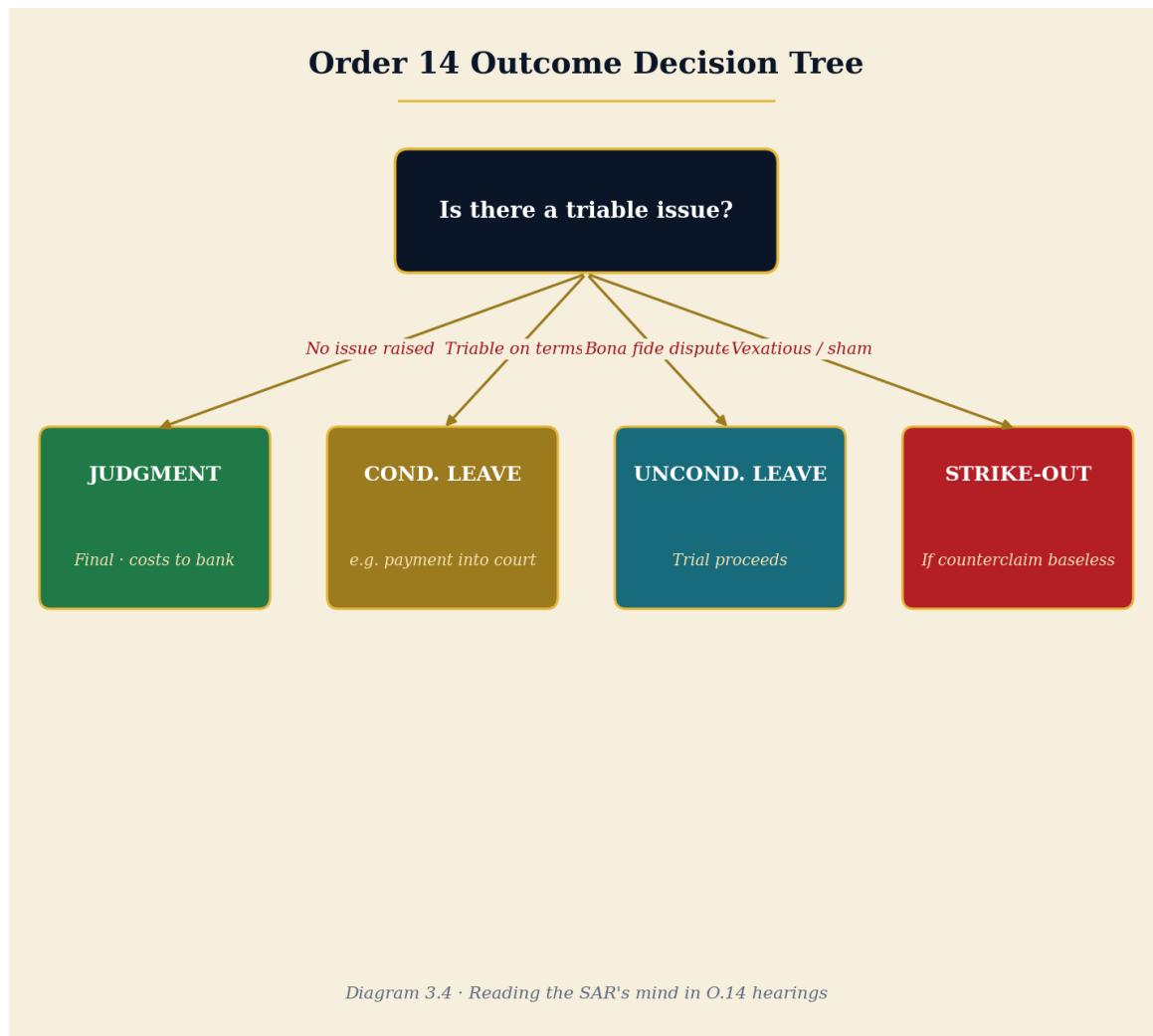
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Practitioner's Note

In day-to-day practice, the topic of *Drafting Submissions* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





The Order 14 decision tree is the practitioner's most-used algorithm. Three questions govern: (1) is the claim liquidated and admitted in substance? (2) is there a triable issue raised by the defence? and (3) is conditional leave to defend appropriate?

Bank Negara v. Mohd Ismail and the long line of cases from Citibank v. Mohamad Khalid through to the modern authorities all turn on these three questions. Mastering the algorithm is the surest path to summary disposal.

The decision tree is the single most-used algorithm in the practice. Practitioners are encouraged to print it, paste it inside the front cover of every Order 14 file, and run through it at every conference. The discipline is the surest path to the right answer.

Where conditional leave is appropriate, the conditions should be drafted with care: payment into court of the undisputed sum, security for costs and a tight timetable for the trial. Loose conditions on Order 14 are an invitation to delay; tight conditions compress the dispute to its substantive core.

10.5D Costs and Ethics

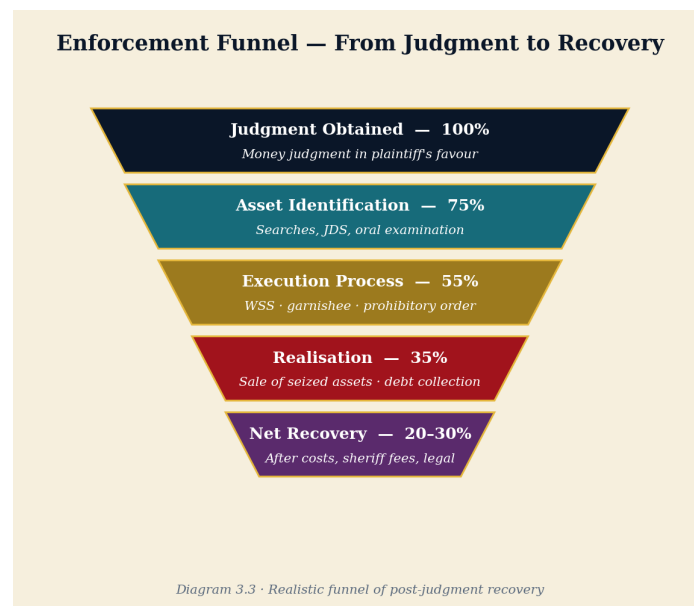
Costs are awarded under the Rules of Court on a party-and-party basis unless the court orders otherwise. Solicitor-client costs are awarded only where so provided in the contract or as a mark of disapproval. Ethics — candour, confidentiality, competence, conflict — pervade every decision.

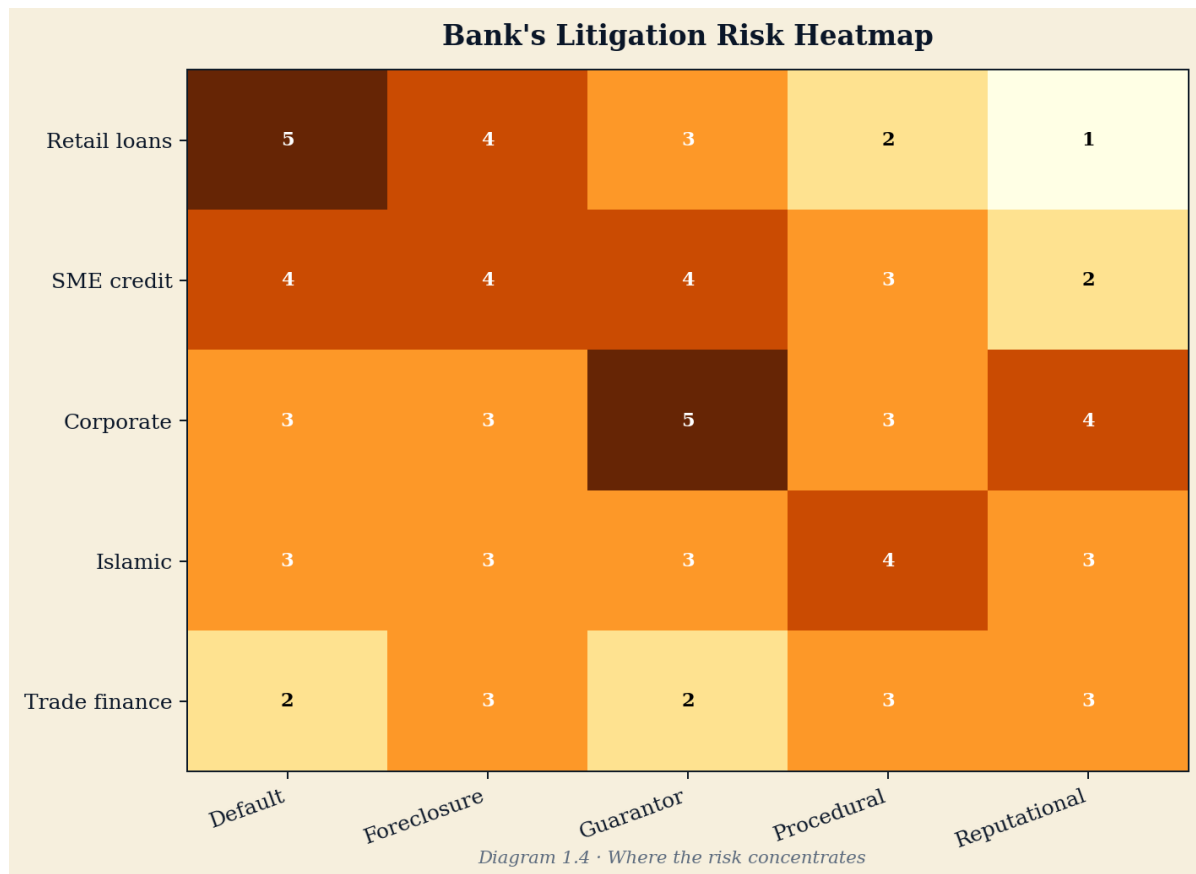
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Practitioner's Note

In day-to-day practice, the topic of *Costs and Ethics* arises most often at the pleading and discovery stages. A disciplined approach is to (i) identify the operative doctrine in the facility document or statute; (ii) plead it with sufficient particularity; (iii) verify the supporting evidence is in admissible form under sections 90A–90C of the Evidence Act 1950; and (iv) anticipate the standard counter-defence and address it in the affidavit in support. This four-step discipline transforms theoretical doctrine into practical advantage, and is the difference between a competent file and an exceptional one.





The risk heatmap synthesises probability and impact for the principal banking-litigation hazards: limitation, defective demand, void security, regulatory intervention, parallel proceedings and enforcement obstruction.

The hottest cells — high probability, high impact — are limitation and defective demand. Both are entirely preventable through diligent file management. The cooler cells are residual risks that must be monitored but not over-engineered.

The hottest cells of the heatmap deserve standing operational responses. Limitation should be addressed by a calendar discipline (re-verification of every file every six months) and by a written acknowledgement-collection routine. Defective demand should be addressed by a single LOD template with mandatory partner sign-off.

Cooler cells should be monitored, not over-engineered. A bank that engineers exhaustively against every risk on the heatmap inflates its own legal costs and slows its recovery cycle; a bank that addresses only the hot cells captures the bulk of the available risk reduction at a fraction of the cost.

Part 10 • Worked Example

PrimeBank instructs counsel to recover RM 4.5 million from CorpoCo and three guarantors. The matter requires: (1) a master chronology covering five years of facility history; (2) a witness statement from the recovery officer verifying default and quantum; (3) a documents bundle of approximately 800 pages, indexed and paginated; (4) skeleton submissions cross-referenced to the bundle; and (5) a costs schedule reflecting the indemnity-cost provision in the facility. Trial preparation takes six weeks.

Procedural Walk-Through

Step one: open a master file with the facility documents, the statement of account, and the correspondence trail. Step two: prepare a chronology covering every default event, every demand and every customer response. Step three: identify the operative legal pathway from the diagrams in this Part — civil suit, foreclosure, bankruptcy, winding-up or a combination. Step four: draft the LOD with the five-element discipline. Step five: file the writ or originating process with the affidavit in support fully exhibited. Step six: prepare for the Order 14 or equivalent summary disposal hearing within thirty days of filing.

Strategic Reflection

The worked example above illustrates the mechanics; the strategy lies in the choices made at each branch. Why select foreclosure over bankruptcy? Why pursue the guarantor before the principal debtor? Why settle rather than press for judgment? Each choice carries a cost-and-benefit profile that turns on the bank's recovery target, the debtor's asset position and the time-value of money. Practitioners who can articulate the strategy in writing — to their supervising partner, to the credit committee, to the court at the costs hearing — consistently outperform those who treat litigation as a procedural exercise.

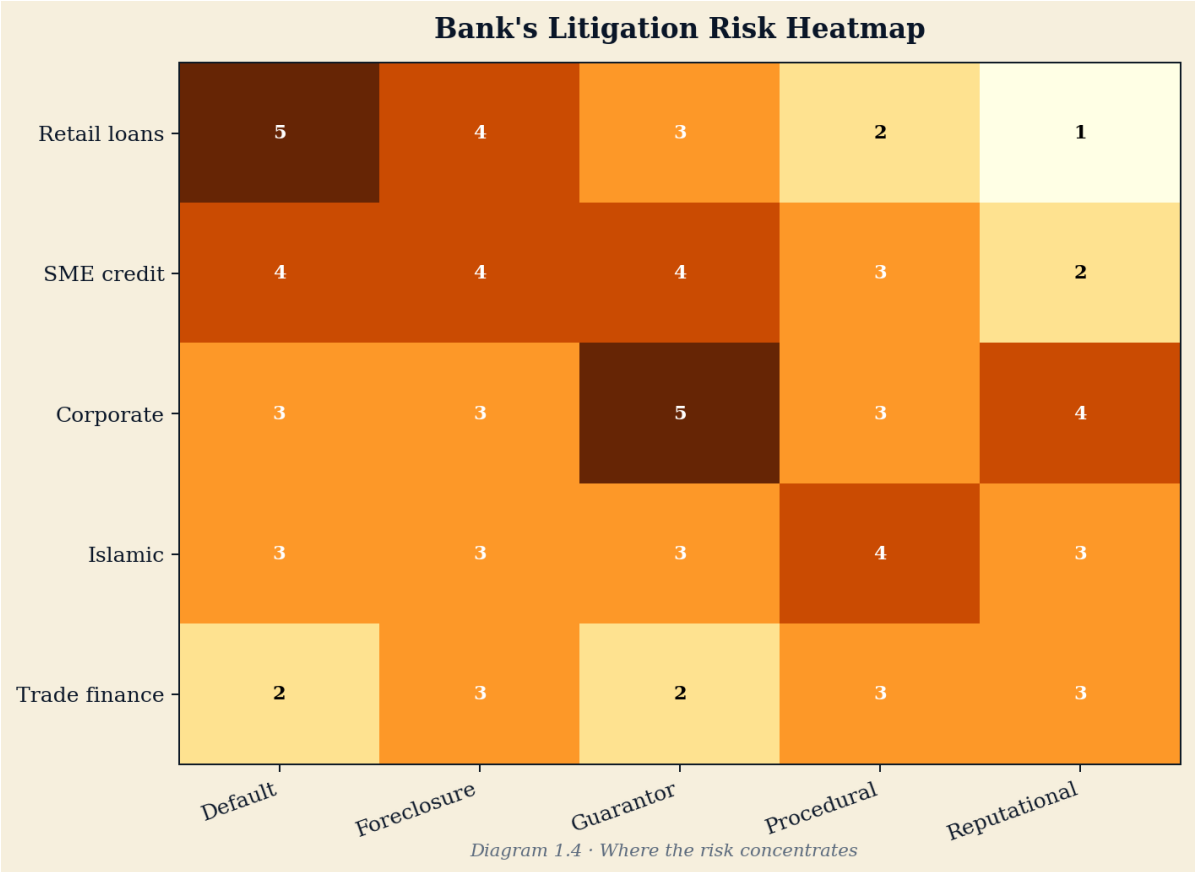


Diagram · Closing visual for Part 10

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Part 10 — Summary & Forward Look

This Part has set out — visually, deliberately — the architecture, procedure and strategic considerations of procedural & strategic practitioner's guide. The diagrams should be marked, annotated and revisited as the practitioner returns to similar files. The Authorities Table will repay regular consultation. The next Part takes the discussion forward, building on the foundations laid here.

Self-Test (no peeking)

- ◆ What is the role of s.90A Evidence Act?
- ◆ What are the four ethical compass-points for the banking litigator?
- ◆ Name three components of a costs schedule.

Doctrinal Footnote — Trial Craft & Ethics

The Bar Council's Practice Notes and the Legal Profession (Practice and Etiquette) Rules 1978 are the working ethical framework. The Notes address recurring questions — conflicts of interest, communication with the other side, file retention — with practical specificity. The Rules establish the substantive obligations; the Notes operationalise them. Both should be on every desk.

On trial advocacy itself, the writings of David Pannick QC (Advocates) and of Iain Morley QC (The Devil's Advocate) are widely read in the Malaysian Bar. Their analysis of cross-examination, of submissions and of the ethical dimensions of advocacy is universal; the Malaysian practitioner can apply the lessons directly. Banking litigation rewards the same craft as any other commercial litigation, only with more documents.

Forward Look

The next Part of this volume builds directly on the foundations laid here. Practitioners are encouraged to revisit the diagrams in this Part as they encounter the corresponding doctrines in their own files; the visuals are intended to function as desk references long after the first reading.

Three habits will accelerate the practitioner's mastery of the material in this Part: first, annotate the Authorities Table with case-specific notes; second, redraw the principal diagrams freehand on a blank page once a month for the next quarter; third, run any new file against the Part's self-test questions before the first internal case conference.

PART A

TEMPLATES & SAMPLE DOCUMENTS

Working precedents for the litigation file

IN THIS PART

- ◆ Letter of Demand
- ◆ Statement of Claim
- ◆ Form 16D
- ◆ Originating Summons (Order for Sale)
- ◆ Bankruptcy Notice
- ◆ Section 466 Statutory Demand
- ◆ Affidavit Verifying Statement of Account

Appendix A — Templates & Sample Documents

This appendix collects the precedent documents most frequently required in Malaysian banking litigation practice. Each template is reproduced in working form, accompanied by its statutory basis and a practitioner's note flagging the most common pitfalls. Adapt every blank to the case in hand — a precedent is a starting point, not a substitute for professional judgement. The templates have been verified against the current Rules of Court 2012, the Insolvency Rules 2017, the National Land Code 1965 (Revised 2020), the Companies Act 2016 and the prevailing Practice Directions of the High Court at the time of going to press.

Letter of Demand (Loan Default)

Statutory basis / use: Common law pre-action demand; condition precedent in most facility agreements before acceleration.

[BANK LETTERHEAD]

Date: _____

Our Ref: BNK/LOD/2026/____

By A.R. Registered Post & E-mail

TO: [Borrower's full name & NRIC/Co. No.]

[Address per facility agreement]

Dear Sir/Madam,

RE: TERM LOAN FACILITY – A/C No. _____

LETTER OF DEMAND

We act for _____ Bank Berhad ("the Bank").

1. By a Facility Agreement dated _____ ("the Agreement")

the Bank granted to you a Term Loan Facility of

RM _____ on the terms therein.

2. You have failed to pay the monthly instalments due

from _____ to _____, in breach of clause ____

of the Agreement. As at _____ the total sum

outstanding is RM _____ (the "Outstanding Sum")

comprising principal RM _____, interest RM _____

and other charges RM _____.

3. TAKE NOTICE that pursuant to clause ____ of the

Agreement we hereby DEMAND payment of the Outstanding

Sum together with further interest at ____% per annum
from the date of this letter until full settlement,
within FOURTEEN (14) DAYS from receipt hereof.

4. TAKE FURTHER NOTICE that should you fail to comply,
the Bank shall, without further reference to you,
commence legal proceedings, enforce all securities
and recall all related facilities, the costs of
which shall be borne by you on a solicitor-and-
client basis.

Yours faithfully,

[Solicitors for the Bank]

Practice note — Always plead the LOD verbatim in the Statement of Claim. Date-stamp the AR card; the registry will require proof of service. Always demand the precise outstanding sum — a sloppy figure is the most common Order 14 defence.

Statement of Claim — Banking Recovery Suit

Statutory basis / use: Order 18 r.7 RC 2012; pleads contract, default, demand, sum due.

IN THE HIGH COURT OF MALAYA AT KUALA LUMPUR	
CIVIL SUIT NO. WA-22NCC-_____ -2026	
BETWEEN	
_____ BANK BERHAD	
(Co. No. _____) ... PLAINTIFF	
AND	
1. [BORROWER] (NRIC: _____) ... 1ST DEFENDANT	
2. [GUARANTOR] (NRIC: _____) ... 2ND DEFENDANT	
STATEMENT OF CLAIM	
1. The Plaintiff is a licensed bank under the FSA 2013 carrying on business at _____.	
2. The 1st Defendant is the borrower; the 2nd Defendant is the guarantor of the said borrower.	
3. By a Facility Agreement dated _____ ("FA") the Plaintiff granted to the 1st Defendant a Term Loan of RM_____ on the terms set out therein.	
4. By a Letter of Guarantee dated _____ the 2nd Defendant guaranteed the obligations of the 1st Defendant under the FA.	
5. The 1st Defendant defaulted in payment from _____ . The Plaintiff issued a Letter of Demand dated _____ ("LOD"). The Defendants failed, refused and/or neglected to comply.	
6. As at _____ the sum of RM_____ remained due and owing, particulars whereof are set out in the Statement of Account exhibited at "P-1".	

WHEREFORE the Plaintiff claims against the Defendants
jointly and severally:

- (a) The sum of RM _____;
- (b) Contractual interest at ____% p.a. from
_____ until full realisation;
- (c) Costs on a solicitor-and-client basis; and
- (d) Such further or other relief as this Honourable
Court deems fit.

Dated this ____ day of _____ 2026.

Solicitors for the Plaintiff

Practice note — Particularise the LOD, dates of default and the Statement of Account. Failure to do so invites a striking-out application under Order 18 r.19. Always exhibit the Statement of Account: it is the foundation of an Order 14 application.

Form 16D — Notice of Default (NLC s.254)

Statutory basis / use: National Land Code 1965, s.254 read with Form 16D of the First Schedule.

NATIONAL LAND CODE
NOTICE OF DEFAULT IN PAYMENT (FORM 16D)
(Section 254)
TO: [Chargor's full name & NRIC]
[Address]
WHEREAS by a Charge dated _____ and registered as Presentation No. _____ Volume ____ Folio ____ you charged the land/parcel held under TITLE NO. _____ Lot/PT _____ Mukim/Town _____ District _____ State of _____ to _____ _____ Bank Berhad ("the Chargee") to secure the sum of RM_____ together with interest thereon.
AND WHEREAS you have committed a breach of the Charge in that you have failed to pay the instalments due since _____; the sum currently in arrears being RM_____.
TAKE NOTICE that unless within ONE (1) MONTH from service hereof you remedy the breach by paying the said sum together with interest at the contractual rate, the Chargee shall be entitled to apply for an Order for Sale of the said charged property under section 256 of the National Land Code.
Dated this _____ day of _____ 2026.
_____ Chargee / Solicitors for the Chargee

Practice note — The one-month period runs from service, not from the date of the notice. Service must be by AR registered post AND posting on the property under O.83 r.3(7); proof of both is essential at the OS stage. A defective Form 16D is fatal to the OS — see *Low Lee Lian v Ban Hin Lee Bank* [1997] 1 MLJ 77.

Originating Summons — Order for Sale (NLC s.256)

Statutory basis / use: Order 83 RC 2012; NLC ss.256–257; required for High Court land titles.

IN THE HIGH COURT OF MALAYA AT _____

ORIGINATING SUMMONS NO. _____ -2026

In the matter of the Charge dated _____
registered as Presentation No. _____
affecting the land held under Title No. _____
Lot _____ Mukim _____ District _____
State of _____

And in the matter of sections 256, 257 and 260
of the National Land Code 1965

And in the matter of Order 83 of the Rules of
Court 2012

BETWEEN

_____ BANK BERHAD ... PLAINTIFF

AND

_____ ... DEFENDANT

TO: The Defendant abovenamed

LET ALL PARTIES concerned attend before the Judge
in Chambers on _____ at ____ a.m. on the hearing
of an application by the Plaintiff for the following
ORDERS:

1. That the said charged land be sold by public
auction at a reserve price to be fixed by the
Court based on a current valuation report;

2. That the conditions of sale annexed hereto be
adopted;

3. That the Senior Assistant Registrar conduct the said auction on a date and at a place to be fixed by the Court;

4. That the proceeds of sale, after deduction of auction expenses, be paid to the Plaintiff in satisfaction of the sums due under the Charge;

5. Costs;

6. Such further or other relief as this Honourable Court deems fit.

Dated this ____ day of _____ 2026.

Solicitors for the Plaintiff

Practice note — Fix the reserve price by reference to a sworn valuation no older than six months. Proceedings are by OS not Writ. The supporting affidavit must exhibit (i) the Charge, (ii) Form 16D, (iii) proof of service, (iv) the valuation, (v) the Statement of Account. Standard reserve discount on a second auction is 10%.

Bankruptcy Notice — Insolvency Act 1967

Statutory basis / use: Insolvency Act 1967, s.3(1)(i); Form 1 of the Insolvency Rules 2017.

IN THE HIGH COURT OF MALAYA AT _____
BANKRUPTCY NOTICE NO. _____ -2026
Re: _____ (NRIC: _____)
of _____
a debtor
TO: _____ (the debtor)
TAKE NOTICE that within SEVEN (7) DAYS after service of this Notice on you, exclusive of the day of such service, you must pay to _____ (the Judgment Creditor) the sum of RM_____, claimed as a debt due to the Judgment Creditor under the Judgment of the High Court at _____ dated _____ in Civil Suit No. _____, OR you must secure or compound the same to the satisfaction of the Judgment Creditor or the Court.
If you fail to comply with the requirements of this Notice within the said period of SEVEN (7) DAYS, you will have committed an act of bankruptcy on which bankruptcy proceedings may be commenced against you.
You have the right to apply to the Court within the said period of SEVEN (7) DAYS to set aside this Notice.
Dated this _____ day of _____ 2026.
_____ Senior Assistant Registrar High Court of Malaya at _____

Practice note — The minimum bankruptcy threshold is now RM100,000 (effective Oct 2023). Service must be personal unless substituted service is ordered. The 7-day period is computed excluding the day of service. Setting-aside applications under r.18 must be filed within the 7 days — they suspend computation of the act of bankruptcy.

Statutory Notice of Demand — Companies Act s.466(1)(a)

Statutory basis / use: Companies Act 2016, s.466(1)(a); foundation for a winding-up petition based on inability to pay debts.

NOTICE PURSUANT TO SECTION 466(1)(a)
OF THE COMPANIES ACT 2016
Date: _____
TO: _____ SDN BHD
(Co. No. _____)
[Registered Office address]
TAKE NOTICE that _____ (the Creditor)
claims that the sum of RM_____ is due and owing
by _____ Sdn Bhd (the Company) to the
Creditor as at _____, particulars whereof are
as follows:
(a) The principal debt of RM_____ pursuant to
[identify contract/judgment];
(b) Interest of RM_____ at _____% per annum
from _____ to _____; and
(c) Costs of RM_____.
TAKE FURTHER NOTICE that pursuant to section
466(1)(a) of the Companies Act 2016, the Creditor
hereby requires the Company to pay the said sum,
or to secure or compound for the same to the
reasonable satisfaction of the Creditor, within
TWENTY-ONE (21) DAYS from service of this Notice
at the registered office of the Company.
TAKE FURTHER NOTICE that should the Company fail to
do so, the Company shall be deemed to be unable to
pay its debts and the Creditor shall be entitled to
present a petition for the winding-up of the Company
without further notice.

Solicitors for the Creditor

Practice note — The minimum debt threshold under s.466 is now RM50,000. Service must be effected at the registered office; leaving it at any other address is fatal. The 21-day period is mandatory and inelastic. Practitioners must verify the debt is undisputed — a bona fide dispute renders the petition an abuse: see *Mobikom v Inmiss Communications* [2007] 3 MLJ 316.

Affidavit Verifying Statement of Account

Statutory basis / use: Order 41 RC 2012; required exhibit in every banking Order 14 application.

IN THE HIGH COURT OF MALAYA AT _____

CIVIL SUIT NO. _____

BETWEEN _____ BANK BERHAD ... PLAINTIFF

AND _____ ... DEFENDANT

AFFIDAVIT IN SUPPORT

I, _____ (NRIC: _____), of full age and a Malaysian citizen, of _____ do hereby solemnly affirm and say as follows:

1. I am the [position] of the Plaintiff Bank, duly authorised to affirm this Affidavit. The facts herein are within my personal knowledge save where otherwise stated, in which event the source of my information is identified and is true to the best of my knowledge and belief.

2. I crave leave to refer to the Statement of Claim herein, the contents of which I confirm to be true.

3. Annexed hereto and marked "P-1" is a true copy of the Facility Agreement dated _____.

4. Annexed hereto and marked "P-2" is the Statement of Account showing the sum of RM _____ as due and owing as at _____. The said Statement is extracted from the Bank's banker's books kept in the ordinary course of business pursuant to sections 90A-90C of the Evidence Act 1950.

5. Annexed hereto and marked "P-3" is the Letter of Demand dated _____ together with proof of service. The Defendant has failed to comply.

6. The Defendant has no defence to the Plaintiff's

claim. I respectfully pray that judgment be
entered against the Defendant in the terms of
the Statement of Claim.

AFFIRMED by the abovenamed at _____)
this _____ day of _____ 2026.) _____
) Deponent

Before me,

Commissioner for Oaths

Practice note — Always exhibit the s.90A certificate signed by the bank's officer-in-charge of the records — without it the Statement of Account is hearsay. The deponent must be authorised by board resolution or under a power of attorney; produce the authority if challenged.

PART B

CASE COMPENDIUM

Leading authorities, brief by brief

IN THIS PART

- ◆ Foundations & Banker–Customer
 - ◆ Loan Recovery & Order 14
 - ◆ Securities & Charges
 - ◆ Insolvency
 - ◆ Islamic Banking
- ◆ Negotiable Instruments & Fraud

Appendix B — Case Compendium

This compendium analyses the leading authorities in Malaysian banking litigation in the structured format that practitioners use in court — Citation, Facts, Issue, Holding, Ratio and Practice Note. The cases are grouped by subject area to mirror the Parts of the book. Each entry is calibrated for use as a working brief: the practitioner should be able to plead the case, distinguish it, or rely upon it after a single reading. Citations are given in the form most frequently used in oral submission; the full neutral citation is supplied where helpful.

Foundations & Banker–Customer

Foley v Hill (1848) 2 HLC 28 (HL)	
FACTS	Foley deposited £6,117 with Hill, a banker; Hill went insolvent owing the deposit. Foley sued in equity, treating Hill as a trustee.
ISSUE	Whether the banker–customer relationship is one of trust (giving rise to equitable account) or of debtor and creditor.
HOLDING	Held: the relationship is one of debtor and creditor; the banker holds no trust over the customer's deposit.
RATIO	Money paid into a bank ceases to be the customer's; it becomes the banker's, repayable on demand. This single proposition founds the entire architecture of modern banking and is the bedrock of every Malaysian banking suit.
PRACTICE NOTE	Cited verbatim in <i>Pertubuhan Kebangsaan Melayu Bersatu v Mohamed Suffian</i> and in every Order 14 judgment for loan recovery. Plead it where the borrower argues fiduciary breach against the bank.

Joachimson v Swiss Bank Corporation [1921] 3 KB 110 (CA)	
FACTS	An action by joint depositors for the return of a balance held with the defendant bank without prior demand.
ISSUE	Whether a demand is a condition precedent to the bank's obligation to repay a current account balance.
HOLDING	Held: the bank's obligation is to pay only on demand at the branch where the account is kept; without demand there is no cause of action and time does not begin to run.
RATIO	The demand requirement protects banks against limitation arguments and frames the entire pleading of the cause of action in recovery suits.
PRACTICE NOTE	In Malaysia: cited in <i>Bank of Tokyo-Mitsubishi (M) Bhd v Sim Lim Holdings Sdn Bhd</i> [2001] 2 CLJ 474. Plead the date of demand as the trigger for limitation under the Limitation Act 1953 s.6(1)(a).

Tournier v National Provincial & Union Bank [1924] 1 KB 461 (CA)	
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FACTS	The bank disclosed information about Tournier's account to his employer, who then dismissed him. Tournier sued for breach of confidence.
ISSUE	What is the scope of the banker's duty of confidentiality, and what are its exceptions?
HOLDING	Held: the bank owes an implied contractual duty of secrecy. Four exceptions: (i) compulsion of law; (ii) duty to the public; (iii) interest of the bank; (iv) consent of the customer.
RATIO	The Tournier qualifications form the analytical scaffolding for s.133 FSA / s.145 IFSA today — Malaysian provisions effectively codify and extend the same exceptions.
PRACTICE NOTE	Cited in <i>Public Bank Bhd v Sykt Cheong Kok Wah</i> [2004] 5 MLJ 449 in the context of s.97 BAFIA (predecessor to s.133 FSA). Practitioners must analyse every disclosure issue through both Tournier and the FSA.

Greenwood v Martins Bank Ltd*[1933] AC 51 (HL)*

FACTS	A husband discovered that his wife had been forging his cheques. He kept silent for several months. When he finally complained, the bank pleaded estoppel.
ISSUE	Whether a customer who is aware of forgeries on his account but fails promptly to inform the bank is estopped from later denying the debits.
HOLDING	Held: the customer owes a duty to disclose known forgeries with reasonable promptness; failure to do so estops him from disputing the debits caused by the delay.
RATIO	The 'duty to disclose known forgeries' is the chief defence available to a Malaysian bank sued in conversion under <i>Yogambikai Nagarajah</i> principles.
PRACTICE NOTE	When acting for a defendant bank, plead estoppel by silence under <i>Greenwood</i> and exhibit the customer's monthly statements with proof of delivery; when acting for a customer, attack the bank's evidence of actual knowledge.

Tai Hing Cotton Mill v Liu Chong Hing Bank*[1986] AC 80 (PC)*

FACTS	Bank sought to imply terms into the banker–customer contract requiring the customer to check statements promptly and to organise its accounts so as to prevent fraud.
ISSUE	Whether broader duties beyond <i>Greenwood</i> may be implied into the banker–customer relationship.
HOLDING	Held: no further implied duties beyond <i>Greenwood</i> ; if the bank wants such protections it must include them as express terms in its mandate.
RATIO	The decision restrains banks from converting <i>Greenwood</i> into a general 'duty to verify' regime; it has been followed throughout the Commonwealth including Malaysia.
PRACTICE NOTE	Modern Malaysian bank mandates routinely include 'verification clauses' — practitioners must read them carefully because their enforceability turns on the Unfair Contract Terms regime and on the construction principles of <i>Tai Hing</i> .

Loan Recovery & Order 14

National Company for Foreign Trade v Kayu Raya Sdn Bhd

[1984] 2 MLJ 300 (FC)

FACTS	An Order 14 application against a defendant who raised a triable issue concerning the calculation of interest.
ISSUE	What is the threshold test for resisting summary judgment?
HOLDING	Held: the defendant must show a 'fair probability of a bona fide defence' and 'a triable issue of fact or law'.
RATIO	The 'fair probability' formula is the universal yardstick used in every Malaysian Order 14 hearing in commercial recovery actions.
PRACTICE NOTE	The leading Order 14 authority. Plaintiff banks must pre-empt every conceivable triable issue in the affidavit in support; defendants must articulate the specific defence concretely with supporting evidence.

Cempaka Finance Bhd v Ho Lai Ying

[2006] 2 MLJ 685 (FC)

FACTS	Borrower defaulted; finance company sued; defence raised that the LOD was not received.
ISSUE	Is the LOD a condition precedent to suit, and on whom does the burden of proving service lie?
HOLDING	Held: the LOD is a condition precedent where the facility agreement so requires; the bank bears the burden of proving service.
RATIO	Plead service of the LOD specifically and exhibit the AR card / postal certificate. A challenge to LOD service is a routine and often successful triable issue.
PRACTICE NOTE	The single most-cited authority in defended Order 14 hearings. Always include a paragraph in the affidavit attesting to the date and mode of service of the LOD.

Citibank NA v Ooi Boon Leong

[1981] 1 MLJ 282 (FC)

FACTS	The bank sued the principal debtor and guarantors. Guarantors raised the defence that they had been discharged by variation.
ISSUE	What conduct by a creditor amounts to a discharge of the guarantor?
HOLDING	Held: any material variation of the principal contract without the guarantor's consent discharges the guarantor unless the guarantee contains a 'consent to variation' clause.
RATIO	Modern facility agreements universally contain such consent clauses. Practitioners must always check the precise wording before mounting (or repelling) the defence.
PRACTICE NOTE	Plaintiffs should plead the variation clause; defendants should attack it on construction grounds and on whether the variation was 'material'.

Bank Bumiputra Malaysia Bhd v Esah binti Abdul Ghani*[1986] 1 MLJ 16 (SC)*

FACTS	Borrower defended the bank's recovery suit on the ground of misrepresentation by the loan officer at signing.
ISSUE	Whether parol evidence of pre-contractual representations is admissible to vary a written facility agreement.
HOLDING	Held: the parol evidence rule (s.91–92 Evidence Act 1950) excludes such evidence; but a collateral contract or fraud allegation may be raised as a triable issue.
RATIO	Practitioners attacking facility agreements must plead fraud, misrepresentation or collateral contract with the precision required by O.18 r.12 RC 2012.
PRACTICE NOTE	When defending an Order 14, draft any misrepresentation defence with full particulars (date, place, words spoken, person who spoke them) — generic pleas of misrepresentation will not suffice.

Public Finance Bhd v Ehwan bin Saring*[1996] 1 MLJ 331 (HC)*

FACTS	Borrower argued that the contractual default interest rate of 18% was a penalty.
ISSUE	Whether a contractual default interest rate may be struck down as a penalty under s.75 Contracts Act 1950.
HOLDING	Held: contractual interest is governed by s.74 (liquidated damages); the court will only intervene where the rate is unconscionable. The test is reasonableness, not strict pre-estimation of loss.
RATIO	Distinguishes contractual interest (recoverable in full if reasonable) from penalty clauses (capped at proven loss).
PRACTICE NOTE	When defending, plead unconscionability with comparable market rates and BNM benchmark data; when prosecuting, plead the commercial justification for the differential and the standard practice of the industry.

Kerajaan Malaysia v Lay Kee Tee*[2009] 1 MLJ 1 (FC)*

FACTS	Government sued on a default judgment that had been entered for failure to file a defence in time.
ISSUE	Whether a defendant who defaults in filing a defence may later seek to set aside the judgment under O.13 r.8 / O.42 r.13 RC.
HOLDING	Held: yes, but the application must be made promptly and the defendant must show (i) a meritorious defence, (ii) reasons for the default and (iii) absence of prejudice to the plaintiff.
RATIO	The case sets the modern Malaysian threshold for setting aside default judgments; it is the first port of call for any practitioner facing or seeking to defend such a judgment.
PRACTICE NOTE	Defaulting defendants should move within 14 days at most, exhibit a draft defence verifying the merits, and explain the default in sworn evidence (illness, change of solicitors, etc.).

Securities & Charges

Low Lee Lian v Ban Hin Lee Bank Bhd

[1997] 1 MLJ 77 (FC)

FACTS	Chargor opposed the OS on grounds that the Form 16D was defective.
ISSUE	What constitutes 'cause to the contrary' under s.256(3) NLC?
HOLDING	Held: 'cause to the contrary' is limited to three categories: (i) the chargee has failed to meet the conditions precedent to the OS; (ii) the OS would defeat the rights of a third party; (iii) granting the OS would be contrary to the rules of equity.
RATIO	This is the master framework for every contested OS hearing in the Malaysian land-charge regime.
PRACTICE NOTE	Every chargor's defence must be pleaded by reference to one of the three Low Lee Lian categories. Banks must scrupulously verify Form 16D content and service before filing the OS.

Phileoallied Bank (M) Bhd v Bupinder Singh

[2002] 2 MLJ 513 (FC)

FACTS	Chargor argued that the bank had failed to comply with the conditions precedent to the OS.
ISSUE	What is the consequence of non-compliance with statutory conditions precedent?
HOLDING	Held: strict compliance with NLC ss.254–256 is mandatory; any defect in the Form 16D is fatal and the OS will be dismissed.
RATIO	Reinforces Low Lee Lian. Practitioners draft Form 16D with surgical precision — one wrong figure or date and the entire OS collapses.
PRACTICE NOTE	Key triable issue checklist: identity of the charged land; correctness of the arrears figure; correct interest rate; correct cure period; correct service.

Co-operative Central Bank Ltd v Y & W Development Sdn Bhd

[1997] 3 MLJ 373 (FC)

FACTS	Auction conducted; chargor sought to set aside on the ground that the reserve price was unreasonably low.
ISSUE	What is the proper basis for fixing the reserve price?
HOLDING	Held: the reserve price must be fixed by reference to a current and reliable valuation; the court has a duty to protect the chargor against an undervalue sale.
RATIO	Practitioners must obtain valuations not older than six months and address any discount on a second auction in writing.
PRACTICE NOTE	When opposing a setting-aside application, exhibit the valuation report, the auctioneer's affidavit and the conduct-of-sale particulars. When attacking the auction, point to the staleness or methodology defects in the valuation.

Standard Chartered Bank v Yap Sing Yoke*[1989] 2 MLJ 49 (SC)*

FACTS	Chargor sought to redeem the charged property after the OS had been granted but before the auction date.
ISSUE	Until what point in the OS process may a chargor exercise the right of redemption under s.279 NLC?
HOLDING	Held: redemption is available at any time before the fall of the hammer; the chargor must tender the full sum due including auction costs.
RATIO	Confirms the equitable foundation of the right to redeem and its statutory entrenchment in the NLC.
PRACTICE NOTE	Chargors should serve a notice of intention to redeem at the earliest stage and tender the certified amount; chargees should respond with a precise computation including auctioneer fees and valuation costs.

Murugappa Chettiar v Lee Teck Mook*[1995] 2 MLJ 489 (FC)*

FACTS	Auction purchaser sought to perfect title; chargor argued the conditions of sale had not been complied with.
ISSUE	What is the legal effect of confirmation of sale by the court under s.259 NLC?
HOLDING	Held: confirmation by the court is a judicial act that vests indefeasible title in the auction purchaser, subject only to the limited grounds of attack in s.340.
RATIO	Closes the door on belated challenges to auction sales and provides certainty for purchasers and the secondary market.
PRACTICE NOTE	Auction purchasers should obtain the order of confirmation, the memorandum of transfer and effect registration immediately. Practitioners challenging an auction must move before confirmation.

Insolvency

Re Datuk Lim Kheng Kim

[1988] 1 MLJ 405 (HC)

FACTS	Bankruptcy notice issued; debtor applied to set aside on grounds that the underlying judgment was under appeal.
ISSUE	Is the existence of a pending appeal a ground to set aside a bankruptcy notice?
HOLDING	Held: a pending appeal without a stay does not, in itself, set aside the bankruptcy notice.
RATIO	The judgment creditor proceeds at its own risk pending appeal, but is entitled to enforce. The debtor must obtain a formal stay.
PRACTICE NOTE	Counsel for the debtor must apply for a stay simultaneously with filing the appeal. Counsel for the creditor may continue with the bankruptcy notice but should consider the cost-benefit of waiting.

Mobikom Sdn Bhd v Inmiss Communications Sdn Bhd

[2007] 3 MLJ 316 (CA)

FACTS	Winding-up petition presented based on a s.218 (now s.466) statutory demand; company disputed the debt bona fide.
ISSUE	What is the effect of a bona fide dispute on a winding-up petition?
HOLDING	Held: a winding-up petition based on a disputed debt is an abuse of process and will be struck out.
RATIO	Creditors must verify the debt is undisputed before issuing the s.466 demand; debtors must articulate the dispute in writing immediately upon receipt of the demand.
PRACTICE NOTE	If the debtor fails to dispute the debt within the 21-day period, courts are reluctant to entertain a late dispute. Both sides must move with despatch.

Pacific & Orient Insurance Co Bhd v Muniammah Muniandy

[2011] 1 MLJ 698 (FC)

FACTS	Garnishee proceedings against a third party holding funds of the judgment debtor; third party challenged the order.
ISSUE	What are the procedural requirements for a valid garnishee order absolute under O.49 RC?
HOLDING	Held: the court must be satisfied that there is an existing debt due from the garnishee to the judgment debtor; contingent or conditional debts cannot be garnished.
RATIO	Practitioners must verify the nature of the debt before applying — a salary not yet earned, or commissions not yet payable, will not support garnishment.
PRACTICE NOTE	Plead the debt with precision in the affidavit in support and serve the garnishee order nisi at least 7 days before the hearing of the order absolute.

**Kosma Palm Oil Mill Sdn Bhd v Koperasi
Serbausaha Makmur Bhd**

[2004] 1 MLJ 257 (FC)

FACTS	Scheme of arrangement under s.176 (now s.366) Companies Act proposed; opposing creditors challenged the convening order.
ISSUE	What scrutiny will the court apply at the convening order stage of a scheme of arrangement?
HOLDING	Held: the court must be satisfied that the classification of creditors is correct and that the scheme is capable of approval by reasonable majorities. The convening order is not a rubber stamp.
RATIO	The leading authority on the structuring of corporate rescue schemes; practitioners now follow the principles in classifying creditor classes and drafting explanatory statements.
PRACTICE NOTE	Counsel proposing a scheme should obtain advance directions on classification; opposing creditors should make their objections at the convening hearing, not after votes are counted.

Re Asia Commercial Finance Bhd

[1991] 3 MLJ 110 (HC)

FACTS	Liquidator sought directions on the priority of distribution between secured creditors and preferential debts under s.527 CA 2016 (then s.292 CA 1965).
ISSUE	How does the priority of preferential debts interact with the rights of secured creditors over floating charge assets?
HOLDING	Held: preferential debts under s.527 are paid out of floating charge assets ahead of the floating chargee, but do not disturb fixed charge security.
RATIO	Defines the practical priority waterfall in liquidation that every banking practitioner must master before negotiating security packages.
PRACTICE NOTE	When taking security, prefer fixed charges over floating where possible; when defending preference, ensure preferential debts (employee wages, statutory dues, taxes) are quantified and ranked correctly.

Islamic Banking

Bank Islam Malaysia Bhd v Lim Kok Hoe

[2009] 6 CLJ 22 (CA)

FACTS	Customer of a BBA facility resisted on the ground that the contract was not Shariah-compliant.
ISSUE	May a civil court rule on the Shariah validity of an Islamic banking contract?
HOLDING	Held: civil courts will treat as valid any contract that has been approved by the SAC of BNM; the SAC's ruling is binding.
RATIO	Coupled with Tan Sri Khalid Ibrahim, this case establishes the binding character of SAC rulings in Malaysian Islamic banking litigation.
PRACTICE NOTE	Practitioners must consult published SAC rulings before pleading a Shariah-compliance defence. Courts will reference the SAC under s.51–58 CBA 2009.

Tan Sri Abdul Khalid bin Ibrahim v Bank Islam Malaysia Bhd

[2013] 4 CLJ 794 (FC)

FACTS	Customer challenged the constitutionality of s.56 CBA 2009 (binding nature of SAC rulings).
ISSUE	Is the binding effect of SAC rulings on civil courts constitutional?
HOLDING	Held: ss.56–57 CBA 2009 are constitutional; the SAC's role is ascertainment of Islamic law, not adjudication of disputes, and so does not usurp judicial power.
RATIO	Definitively settles the constitutional question and entrenches SAC supremacy in Islamic banking matters.
PRACTICE NOTE	The reference procedure is mandatory in every dispute that turns on a Shariah question. Practitioners must identify the precise Shariah issue and frame the reference question with care.

Affin Bank Bhd v Zulkifli Abdullah

[2006] 3 MLJ 67 (HC)

FACTS	Customer of a BBA facility defaulted; bank sued for the full sale price. Customer argued the bank could only recover the actual disbursement plus reasonable profit.
ISSUE	What is the correct measure of recovery in a defaulted BBA financing?
HOLDING	Held: the bank cannot recover the full sale price; recovery is limited to the actual cost plus a fair profit (with rebate / ibra' for unearned profit).
RATIO	The decision led to BNM circular guidance on ibra' and to revised standard documentation across the Islamic banking industry.
PRACTICE NOTE	When acting for the customer, plead s.74 Contracts Act and the SAC ibra' resolutions; when acting for the bank, plead the contractual ibra' formula and produce the calculation methodology.

Bank Kerjasama Rakyat Malaysia Bhd v Emcee Corporation Sdn Bhd

[2003] 1 CLJ 625 (CA)

FACTS	Bank applied for an OS based on a Shariah-compliant property charge; chargor argued that the conventional NLC remedies were inappropriate.
ISSUE	Whether the NLC charge remedies apply to Islamic financing facilities.
HOLDING	Held: yes; once a security is created under the NLC, the statutory remedies (including OS under s.256) apply uniformly regardless of whether the underlying facility is conventional or Islamic.
RATIO	Important practical confirmation that Islamic facility holders need not develop a parallel enforcement procedure.
PRACTICE NOTE	Practitioners drafting Islamic facility security must ensure that the charge is properly registered under the NLC; the Shariah character of the underlying obligation does not affect the NLC enforcement route.

Negotiable Instruments & Fraud

United Asian Bank v Tai Soon Heng Construction

[1993] 1 MLJ 182 (SC)

FACTS	Bank sued the drawer of a dishonoured cheque; drawer raised that the cheque had been countermanded.
ISSUE	What is the legal effect of a stop-payment order on the drawer's liability?
HOLDING	Held: a stop-payment instruction binds the drawee bank but does not extinguish the drawer's liability to the holder for value.
RATIO	The holder in due course retains his right to sue the drawer notwithstanding any countermand.
PRACTICE NOTE	When acting for a holder, plead s.73 BoEA 1949 (presumption of delivery) and s.30 (holder in due course); when acting for a drawer, plead the underlying defect in the consideration.

Yogambikai Nagarajah v Indian Overseas Bank

[1996] 2 MLJ 51 (CA)

FACTS	Customer's signature was forged on cheques; bank debited her account; customer claimed conversion and money had and received.
ISSUE	What standard of care must a bank exercise in detecting forged signatures?
HOLDING	Held: the bank owes a duty to its customer to detect material forgeries in signatures; debiting the account in reliance on a forged signature is in conversion and the bank must restore the funds.
RATIO	Practitioners must distinguish 'material alteration' (s.64 BoEA) from 'forged signature' (s.24 BoEA); the analysis differs.
PRACTICE NOTE	When acting for the customer, plead s.24 BoEA, conversion and breach of mandate. When acting for the bank, plead estoppel by conduct (Greenwood v Martins Bank [1933] AC 51).

Z/Yen Group v Bank Negara Malaysia

[2018] 1 LNS 213 (HC)

FACTS	Plaintiff sought a Mareva injunction freezing the defendant's accounts pending determination of a fraud claim.
ISSUE	What is the threshold for granting a worldwide Mareva injunction in Malaysian banking fraud litigation?
HOLDING	Held: a 'good arguable case', a real risk of dissipation, and the balance of convenience favouring the plaintiff. Full and frank disclosure is mandatory.
RATIO	Updates the Malaysian Mareva jurisprudence in line with modern English authority (Cretanor Maritime, Babanaft).
PRACTICE NOTE	Affidavits in support must be exhaustive — undisclosed material is the most common ground on which Mareva orders are discharged. Always undertake to compensate.

Tay Tian Liang v Hong Leong Finance Bhd*[2014] 4 MLJ 681 (CA)*

FACTS	Bank obtained an Anton Piller order; defendant sought to set it aside for material non-disclosure.
ISSUE	What duty of disclosure attaches to ex parte applications for Anton Piller relief?
HOLDING	Held: the duty is one of full and frank disclosure of all material facts; failure justifies discharge of the order even where the merits remain strong.
RATIO	Anton Piller applications are now rarely granted in Malaysia; practitioners must document every step and consider proportionate alternatives.
PRACTICE NOTE	Always include in the supporting affidavit a 'risks and weaknesses' paragraph candidly stating any matter the defendant might raise.

Public Bank Bhd v Metro Construction Sdn Bhd*[2010] 6 MLJ 481 (CA)*

FACTS	Bank sought to trace misappropriated funds through a series of accounts opened under shell companies.
ISSUE	What evidential foundation is required for a tracing claim through banking records?
HOLDING	Held: the plaintiff must identify the funds at each stage of the chain; mere correlation is insufficient. Banker's books admissible under s.90A Evidence Act 1950.
RATIO	Practical roadmap for the increasingly common 'banking fraud trace' claim that follows scams, embezzlement and APP fraud.
PRACTICE NOTE	Issue subpoenas duces tecum early to obtain banker's books; instruct forensic accountants to prepare a tracing schedule that the court can adopt as a finding of fact.

APPENDIX C

Practice Scenarios & Worked Examples

“Doctrine is learnt from textbooks; judgement is learnt from scenarios.”

Appendix C — Practice Scenarios & Worked Examples

Doctrine is learnt from textbooks; judgement is learnt from scenarios. This appendix sets out ten worked practice scenarios — one per Part of this volume — built from the recurring fact-patterns that fill the recovery files of Malaysian banking practice. Each scenario is presented in the same structure: Facts, Issue, Strategic Analysis, Sample Pleading Snippet, and the Practitioner's Verdict. The scenarios are hypothetical but the facts will be familiar to anyone who has spent a season in the Commercial or Muamalat Division. Use them as discussion material for chambers seminars, as a stress-test for new recovery officers, and as a reminder of the small disciplines that make the difference between a competent file and an exceptional one.

The pleading snippets are drafting models, not precedents. Adapt every paragraph to the facts in front of you; cross-check every statutory reference against the current consolidation; and have the partner sign off the final version before it leaves the firm.

Scenario 1 — The Misclassified Facility

Foundations · Forum · Cause of Action

Facts

Permata Bank Berhad granted a RM 4.6 million working-capital facility to Sentosa Engineering Sdn Bhd in March 2021. The facility letter is captioned *Murabahah Tawarruq* and was executed at the bank's Islamic Banking Window in Kuala Lumpur. After two years of regular servicing, Sentosa defaulted in July 2024. The recovery officer, unfamiliar with Islamic-finance documentation, instructed external solicitors to file a conventional Order 14 summary-judgment application for breach of a loan agreement, pleading interest at 8% per annum from the date of default. The defendant's affidavit-in-reply pointed out that no interest is payable on a Tawarruq facility, that the cause of action is for the deferred selling price (less *ibra'* for early settlement) and that the bank has misconceived the case.

Issue

Whether the bank's Order 14 application can survive a cause-of-action challenge where the underlying facility is Islamic but has been pleaded as conventional; and whether amendment at the SAR's hearing is the appropriate remedy or whether the application must be withdrawn.

Strategic Analysis

The first error is doctrinal. A Tawarruq facility is a sale-and-buy-back structure: the bank sells a commodity to the customer at a deferred price and immediately buys it back from a broker, leaving the customer with cash and the bank with a debt that is the deferred selling price. There is no interest; there is a fixed price, payable by instalments, with *ta'widh* and *gharamah* for late payment under the BNM *ta'widh* and *gharamah* guidelines. Pleading interest is a non-starter and invites the SAR to dismiss the application with costs.

The second error is procedural. The bank's affidavit in support exhibits the facility letter as 'Loan Agreement', and the prayers seek 'judgment for the principal sum of RM 4.6 million together with interest at 8% per annum'. Amendment at the SAR's hearing is possible under Order 20 rule 5, but a wholesale recharacterisation of the cause of action is rarely permitted; the safer course is to withdraw with liberty to file afresh and to absorb the wasted costs.

The third error is strategic. A practitioner who appreciates the regime would have opened the file with a Forum Memo identifying the Muamalat Division as the natural forum and the deferred selling price as the operative cause of action. With that memo on the file, the Statement of Claim writes itself; without it, the file proceeds along the wrong track for weeks before the error is surfaced.

Sample Pleading Snippet

[Sample — Statement of Claim, paragraph 6] By a Tawarruq facility agreement dated 12 March 2021, the Plaintiff sold to the Defendant Shariah-compliant commodities for the sum of RM 5,720,000 (the deferred selling price), payable by sixty (60) monthly instalments of RM 95,333.33 each, the first instalment falling due on 1 April 2021. The Defendant has, in breach of clause 12 of the Facility Agreement, defaulted in payment of the instalments due from 1 July 2024 to date. As at the date of this Statement of Claim, the outstanding deferred selling price stands at RM 4,612,084.27, particulars of which are set out in Schedule A hereto.

Practitioner's Verdict

Withdraw the existing Order 14 application. File a fresh Writ and Statement of Claim in the Muamalat Division pleading the deferred selling price and *ta'widh*; lodge a properly particularised Schedule of Computation; and brief the recovery officer to depose to a fresh affidavit-in-support that exhibits the Tawarruq documentation in

chronological order. The wasted costs of the original application should be conceded; the bank's reputation in front of the SAR is worth more than the disbursement saved.

Scenario 2 — The Quincecare Red Flag

Banker–Customer · Mandate · Authority

Facts

Pinnacle Trust Bank's relationship manager handles the corporate account of Helang Holdings Sdn Bhd. Over a single morning in October 2025, Helang's finance director instructs the bank to remit RM 18.4 million across nine outbound TT instructions to beneficiaries in three jurisdictions, none of whom Helang has ever transacted with. Each instruction is individually within the finance director's mandate. The relationship manager, surprised by the volume, escalates orally to the team head, who tells him to process the instructions because the mandate is in order. Two days later the chairman of Helang attends at the branch and reports that the finance director was a victim of a CEO-impersonation fraud; the funds have been onward-transmitted and largely lost.

Issue

Whether the bank is liable to Helang for the lost funds under the Quincecare duty of care, and how a practitioner advising the bank should marshal the documentary record to defend the resulting claim.

Strategic Analysis

The Quincecare duty (*Barclays Bank plc v Quincecare Ltd* [1992] 4 All ER 363, applied in Malaysia in *Public Bank Bhd v Sykt Cheong Kok Wah* and reinforced by the Supreme Court of the United Kingdom in *Singularis Holdings Ltd v Daiwa Capital Markets Europe Ltd* [2019] UKSC 50) is engaged where a reasonable banker would have appreciated that an instruction may be an attempt to misappropriate the customer's funds. The volume, the destinations and the absence of prior dealings are textbook red flags.

The bank's defence will turn on whether, at the moment of execution, a reasonable banker would have stopped to make further enquiry. The relationship manager's oral escalation is evidence of the recognition of the red flag; the team head's instruction to proceed is evidence of conscious dismissal of it. The internal e-mail traffic of the morning — if it has been preserved — is the case.

Practitioners advising the bank must immediately preserve every internal communication of the relevant period, suspend any document-destruction routine on the affected accounts, and depose to a Quincecare-specific affidavit-in-defence. The defence that 'the mandate was in order' will not survive trial; the defence that 'the bank's compliance protocol was followed and the protocol is reasonable' may, if the protocol is documented and the follow-through evidenced.

Sample Pleading Snippet

[Sample — Defence, paragraph 14] Further or in the alternative, the Defendant Bank denies that any duty of care was owed to the Plaintiff in the wider terms alleged in paragraphs 17 to 21 of the Statement of Claim. To the extent that the duty pleaded by the Plaintiff is the duty articulated in *Barclays Bank plc v. Quincecare Ltd* [1992] 4 All ER 363 and applied in this jurisdiction, the Defendant says that the said duty was discharged by the escalation procedure pleaded in paragraph 12 above and was not breached by the execution of the impugned instructions, each of which was given by an authorised signatory acting within the mandate then in force.

Practitioner's Verdict

Settlement on a confidential basis is likely the right answer. The bank should triage between (i) the recoverable sums (a small fraction, via mutual legal assistance and freezing orders abroad), (ii) the insured loss, and (iii) the unrecovered residue. Litigation to judgment exposes the bank's escalation protocol to public scrutiny — a cost the bank rarely wishes to pay.

Scenario 3 — The Defective Letter of Demand

Recovery · LOD · Order 14

Facts

Wira Bank issues a Letter of Demand to Borneo Trading Sdn Bhd dated 4 February 2026 claiming RM 2,135,400 said to be due under a term-loan facility. The LOD is signed by an officer who is not on the bank's panel of authorised signatories under the Banker's Books (Evidence) Act delegation; the demand is incorrectly addressed to the company's old registered office (the registered office had moved six months earlier and the change had been notified to SSM); and the quantum claimed is overstated by RM 4,200 owing to a duplicated debit. The bank files a writ and Order 14 application a month later.

Issue

Whether the bank's Order 14 application is defeated by the cumulative defects in the LOD, and what amendments and/or fresh demands are required to cure them before re-filing.

Strategic Analysis

The LOD is the foundation document of any recovery action. A defective LOD does not by itself defeat the underlying cause of action, but it routinely defeats summary disposal because the defendant will plead the defects as raising a triable issue. The court in *Bank Negara Malaysia v. Mohd Ismail* [1992] 1 MLJ 400 set the standard: the bank must show the demand was made and was effective.

Each of the three defects here is independently fatal in summary proceedings. The unauthorised signatory raises a real question on the validity of the demand. The wrong address raises a question on service. The over-statement of quantum, even by a small sum, feeds the defendant's argument that the bank's records are unreliable.

The right course is to issue a fresh LOD, correctly addressed, signed by an authorised officer, and stating the precise sum owing; and to re-file Order 14 thirty days later. The wasted month is the cost of the error; the alternative (proceeding on the defective LOD) is a wasted year.

Sample Pleading Snippet

[Sample — Affidavit in Support, paragraph 9] I refer to the Letter of Demand dated 12 March 2026 ("the said LOD") issued by the Plaintiff to the Defendant, a copy of which is exhibited and marked "HZA-3". I confirm that the said LOD was signed by Mr. Lim Wei Sheng, the Plaintiff's Senior Manager, Credit Recovery, who is at all material times an authorised signatory of the Plaintiff Bank under the Letter of Authorisation dated 1 January 2024 (exhibit "HZA-4"). The said LOD was sent by AR Registered Post to the Defendant's registered office at No. 27, Jalan Hang Tuah, 50150 Kuala Lumpur, and was duly received as evidenced by the AR card exhibited and marked "HZA-5".

Practitioner's Verdict

Re-issue. Resist the temptation to argue that 'substance over form' should save the defective LOD; the case law is unkind to that argument in the summary-judgment context. Discipline at the LOD stage saves time at every later stage.

Scenario 4 — The Eleventh-Hour Caveat

Foreclosure · Order 83 · Auction

Facts

Citra Bank obtains an Order for Sale under Order 83 over a piece of charged commercial land in Petaling Jaya, valued at RM 16.8 million. The auction is fixed for 10:00 a.m. on 25 June 2026. At 4:50 p.m. on 24 June, the Land Office search reveals a private caveat lodged at 4:15 p.m. that afternoon by a third party claiming an unregistered charge by way of an oral assignment from the chargor's wife. The auctioneer is instructed; the bank's solicitors must decide whether to proceed, postpone or apply ex parte to remove the caveat.

Issue

What is the correct procedural response to a caveat lodged in the dying days of the auction timetable, and how should the bank protect itself against the under-valuation argument that a postponement may invite?

Strategic Analysis

Section 327 of the National Land Code 1965 (Revised 2020) gives the chargee a right to apply for the removal of a private caveat on the ground that it ought not to have been lodged. Section 326 provides for the automatic lapse of a caveat after six years, but in the present timetable that route is unavailable.

Three options arise. First, proceed with the auction subject to the caveat. The successful bidder may decline to complete; the bank then carries the cost of a re-auction. Second, postpone the auction and apply on Form 19A for removal under section 327. The application is heard inter partes; the caveator must show a caveatable interest. Third, apply ex parte for an interim order removing the caveat on grounds of urgency. This is rarely granted and only on overwhelming evidence of bad faith.

The prudent course is to postpone, file the section 327 application, and seek a fresh auction date. The bank should also depose to a fresh valuation if the postponement extends beyond three months, to forestall the under-valuation argument that frequently follows a delayed sale.

Sample Pleading Snippet

[Sample — Application under section 327 NLC, paragraph 4] The Plaintiff (chargee) states that the private caveat lodged by the Caveator on 24 June 2026 (Presentation No. PJ/2026/4827) ought not to have been lodged because (i) the Caveator does not hold any registrable interest in the land within the meaning of section 323(1) of the National Land Code; (ii) the alleged oral assignment from the chargor's wife is itself void for want of writing under section 4(2) of the National Land Code; and (iii) the lodgement was made for the collateral purpose of obstructing the auction sale fixed for 25 June 2026 pursuant to the Order for Sale dated 14 February 2026.

Practitioner's Verdict

Postpone, file Form 19A on the same day, attend personally at the Registry, and request a certificate of urgency for early hearing. Do not proceed with the auction under the shadow of a caveat; the bidder pool will dry up and the under-valuation argument will follow you for years.

Scenario 5 — The Variation Without Consent

Guarantees · Holme v Brunskill · Discharge

Facts

En. Razak signs a continuing personal guarantee in 2019 in respect of his son's company's RM 1.2 million overdraft facility with Wira Bank. In 2022, without En. Razak's knowledge, the bank and the company restructure the facility into a five-year term loan with monthly instalments and an extended security package. In 2025 the company defaults; the bank demands payment from En. Razak. He pleads, in defence, the rule in *Holme v. Brunskill* (1878) 3 QBD 495 — that a material variation of the principal contract without the surety's consent discharges the surety.

Issue

Whether En. Razak is wholly discharged, or whether the principal-debtor and indulgence clauses in the original guarantee preserve his liability notwithstanding the variation.

Strategic Analysis

Holme v. Brunskill is the foundational rule: a material variation without consent discharges the surety. The rule is, however, capable of being displaced by clear words in the guarantee. Most modern Malaysian guarantees include both a principal-debtor clause (deeming the surety to be a primary obligor) and an indulgence clause (preserving the surety's liability notwithstanding any variation, indulgence or compromise between the bank and the principal debtor).

Whether such clauses defeat the *Holme v. Brunskill* defence depends on whether the variation is so fundamental as to amount to a wholly new contract, in which case the indulgence clause does not save the bank. The conversion of an on-demand overdraft into a five-year term loan with new collateral arrangements is, on most authorities, a fundamental variation.

The strategic question is whether the bank should (i) accept partial discharge and seek judgment for any sum referable to the original facility, (ii) negotiate a fresh guarantee, or (iii) proceed against the principal company alone. In practice, option (ii) is rarely available where the surety is hostile; option (iii) is rarely sufficient where the company is insolvent. The case settles, more often than not, on terms that reflect the strength of the *Holme v. Brunskill* defence.

Sample Pleading Snippet

[Sample — Defence, paragraph 11] The Defendant pleads that on or about 18 August 2022, the Plaintiff Bank and the principal debtor (Anak Razak Sdn Bhd) entered into a Restructured Facility Agreement ("the 2022 Restructure") which materially varied the principal contract guaranteed by the Defendant in the following respects: (i) the facility was converted from an on-demand overdraft to a five-year term loan; (ii) the interest mechanism was altered from monthly rest to daily rest; and (iii) new third-party collateral was introduced. The Defendant pleads further that the said variation was effected without his knowledge or consent and discharges him from all liability under the guarantee dated 4 March 2019 by operation of the rule in *Holme v. Brunskill* (1878) 3 QBD 495.

Practitioner's Verdict

Settle, on terms that recognise the bank's exposure on the indulgence-clause question. Trial of a *Holme v. Brunskill* defence is a coin-toss the bank should not flip if it can be avoided.

Scenario 6 — The Premature Bankruptcy Notice

Bankruptcy · Insolvency Act · Setting Aside

Facts

Tropika Bank obtains judgment against Encik Ramli for RM 287,500 on 1 February 2026. Eager to move quickly, the bank issues a Bankruptcy Notice on 9 February 2026 demanding payment of the judgment debt. The judgment debtor pays RM 95,000 on 12 February 2026. The bank fails to amend the Notice; the seven-day period expires; the bank presents a Creditor's Petition relying on the act of bankruptcy. The judgment debtor applies to set aside the Notice and the Petition on the ground that the Notice claimed more than was due as at the date of expiry.

Issue

Whether the Bankruptcy Notice and the Petition founded on it must be set aside because of the post-issuance part-payment, and what corrective steps are open to the bank.

Strategic Analysis

The line of authority from *Re Coney* [1998] 1 BCLC 614 through Malaysian decisions such as *Affin Bank Bhd v. Datuk Ahmad Said* establishes that a Bankruptcy Notice claiming a sum greater than is actually due is liable to be set aside, even where the over-statement is small. The rationale is the strict-construction rule applied to bankruptcy procedure.

The bank's options are limited. Amendment of the Notice after issue is generally not permitted; the proper course is to withdraw and re-issue. The withdrawal triggers the wasted costs of the petition and resets the section 5(2) clock from the date of the new act of bankruptcy.

The lesson is operational. Banks should institute a same-day re-verification of the judgment debt before any Bankruptcy Notice is issued; the verification takes minutes and saves months. Recovery officers should also monitor the file daily during the seven-day Notice period and report any payment so the Notice can be withdrawn before reliance is placed on it.

Sample Pleading Snippet

[Sample — Affidavit in Support of Setting Aside, paragraph 6] I, Ramli bin Abdullah, the Judgment Debtor, refer to the Bankruptcy Notice dated 9 February 2026 (the said Notice) which demanded payment of the sum of RM 287,500.00. I state that on 12 February 2026, that is, within the seven-day period prescribed by section 3(1)(i) of the Insolvency Act 1967, I made a payment of RM 95,000.00 to the Petitioning Creditor by way of cashier's order, a copy of which is exhibited and marked "RA-1". As a result, the sum of RM 287,500.00 demanded under the said Notice was not, at the expiry of the seven-day period, the sum due and owing by me to the Petitioning Creditor.

Practitioner's Verdict

Withdraw the Petition. Re-issue a fresh Bankruptcy Notice for the actual outstanding sum (RM 192,500) and proceed afresh. Bear the wasted costs as a lesson. Process discipline is the only durable cure.

Scenario 7 — The Bona Fide Dispute

Winding-Up · Section 466 · Disputed Debt

Facts

Pertama Capital Bank issues a statutory demand under section 466(1) of the Companies Act 2016 for RM 4,800,000 alleged to be due under a syndicated facility participated in by the bank as agent. The principal borrower, Mega Industries Sdn Bhd, replies through its solicitors disputing the sum: (i) the bank's records, says Mega, fail to credit a RM 850,000 prepayment made in 2024; (ii) the agency-fee element of RM 320,000 was disclaimed by the lead bank in writing; and (iii) two interest computations are in dispute pending reconciliation. The bank presents a Winding-Up Petition. Mega applies for an injunction to restrain the petition on bona fide dispute grounds.

Issue

Whether the petition is properly grounded in light of the dispute, and what evidentiary record the bank must produce to defeat the bona fide dispute defence.

Strategic Analysis

The rule that a petition will not lie where the debt is the subject of a bona fide dispute on substantial grounds is well settled in Malaysian law: see *Mobikom Sdn Bhd v. Inmiss Communications Sdn Bhd* [2007] 3 MLJ 316. The bank must show that the debt is presently due, undisputed and ascertained.

Of the three disputed items, the prepayment dispute is the most damaging: it goes to the quantum of the bank's claim. If the bank cannot satisfactorily account for the RM 850,000, the petition will be restrained. The agency-fee disclaimer is documentary; if the disclaimer letter exists, the petition cannot stand as to that element. The interest computations are reconcilable by exchange of working papers but until reconciled they feed the dispute.

Practitioners should triage at the statutory-demand stage. A demand should never include items that are disputed in writing or are the subject of pending reconciliation; the demand should be limited to the undisputed portion. Banks routinely lose this discipline in the rush to file.

Sample Pleading Snippet

[Sample — Affidavit in Support of Restraining Injunction, paragraph 8] I, Tan Chee Hong, the company secretary of the Plaintiff, refer to the alleged debt of RM 4,800,000 claimed by the Defendant Bank. The said sum is disputed on substantial and bona fide grounds, particulars whereof are: (a) a prepayment of RM 850,000 was made by the Plaintiff on 18 September 2024 by inter-bank transfer reference 2024-IBT-0918-77, but the said prepayment has not been credited in the Defendant's statement; (b) the agency fee of RM 320,000 was waived by letter dated 4 January 2025 from Bank Lead Sdn Bhd, the lead manager of the syndicated facility, a copy of which is exhibited "TCH-3"; and (c) the interest computations for the months of June and August 2025 are presently the subject of reconciliation.

Practitioner's Verdict

Withdraw and reconcile. Re-issue the statutory demand for the undisputed residue. Seeking to wind up a company on a disputed debt is the costliest mistake in commercial litigation; it usually ends in indemnity costs against the petitioner.

Scenario 8 — The Ibra' Computation Dispute

Islamic Finance · BBA · Early Settlement

Facts

Cik Aminah's BBA home-financing facility carries a contracted selling price of RM 980,000 and a profit margin of RM 380,000. After eight years of regular payment, she informs Bank Iman that she wishes to settle the facility early on 1 March 2026; she has secured alternative financing. The bank computes a settlement figure of RM 712,000, applying its own rebate (ibra') methodology. Cik Aminah's solicitors compute the figure at RM 645,000 applying the BNM ibra' formula. The dispute is RM 67,000.

Issue

Whether the bank's discretionary ibra' methodology is enforceable against Cik Aminah, or whether the BNM ibra' policy document binds the computation to the formula she contends for; and what procedural route the dispute should take.

Strategic Analysis

The BNM Policy Document on Ibra' (Rebate) for Sale-Based Financing (issued 31 January 2013 and updated periodically) requires Islamic financial institutions to grant ibra' on early settlement and prescribes the formula for its computation. The policy document has the force of statutory direction under the Islamic Financial Services Act 2013.

Disputes of this kind are properly the subject of reference to the Financial Markets Ombudsman Service (FMOS, formerly OFS) for sums within its monetary jurisdiction (RM 250,000 and below). For larger sums, civil action in the Muamalat Division is the route. A reference to the SAC under section 56 CBMA is unnecessary because the formula is doctrinally settled; the dispute is one of computation, not Shariah principle.

Practitioners should encourage their bank clients to align their internal ibra' calculators with the BNM formula. The cost of the alignment is small; the cost of fighting individual disputes (and the reputational damage) is large.

Sample Pleading Snippet

[Sample — Originating Summons under Order 7, paragraph 3] The Plaintiff seeks the following declarations and orders: (1) A declaration that the rebate (ibra') payable by the Defendant Bank to the Plaintiff upon early settlement of the BBA facility (Account No. BBA-77/2018/0042) on 1 March 2026 is RM 268,000, computed in accordance with the formula prescribed in the Bank Negara Malaysia Policy Document on Ibra' (Rebate) for Sale-Based Financing; (2) An order that the early settlement sum payable by the Plaintiff to the Defendant Bank is accordingly RM 645,000.

Practitioner's Verdict

Settle by reference to the BNM formula. The bank's interest in retaining its discretionary methodology is outweighed by the certainty of the formula and the supervisory expectations of the regulator. Practitioners should use the dispute as an opportunity to recommend a bank-wide alignment.

Scenario 9 — The Forged Endorsement

Cheques · Section 85 BoEA · Conversion

Facts

Selasih Bank receives for collection a crossed cheque for RM 138,500 drawn by Sukma Industries Sdn Bhd in favour of 'Pacific Trade & Logistics'. The cheque is presented with an endorsement purportedly signed by the payee company and is collected for the account of one Mr Yap Cheng Wei, an individual who is not connected with the payee. The true Pacific Trade & Logistics never received the cheque; on discovering the loss it sues Selasih Bank in conversion.

Issue

Whether Selasih Bank is entitled to the protection of section 85 of the Bills of Exchange Act 1949 (good faith and absence of negligence) in collecting the cheque for an individual account, where the payee is named as a corporate entity.

Strategic Analysis

Section 85 protects a collecting bank that receives payment in good faith and without negligence. The leading Malaysian authority — *Yogambikai Nagarajah v. Indian Bank Berhad* [1996] 4 MLJ 369 — held that collection of a corporate cheque for an individual account, without enquiry, is prima facie negligent.

The bank's defence will turn on its KYC and account-opening file for Mr Yap, the manner in which the cheque was tendered, the staff's assessment at the counter, and any follow-up enquiry made or omitted. The internal training records of the collection officer are also relevant: if the staff received training on the corporate-payee/individual-account red flag and ignored it, the section 85 defence is at risk.

The strategic response is dual-track: defend the conversion claim if the section 85 evidence is robust; settle if it is not. Practitioners should also advise the bank on a policy review of corporate-cheque collection for individual accounts, requiring written endorsement-verification protocols.

Sample Pleading Snippet

[Sample — Defence, paragraph 9] The Defendant Bank pleads further or in the alternative that it received the said cheque for collection in good faith and without negligence within the meaning of section 85 of the Bills of Exchange Act 1949. Particulars of good faith and absence of negligence are: (i) the account of one Yap Cheng Wei (Account No. SCB-77/2024/0083) was opened on 14 January 2024 following satisfactory KYC verification documented in the Defendant's Account Opening File; (ii) the said cheque was presented by the said Yap Cheng Wei in person at the Defendant's Petaling Jaya branch and was accepted by counter staff after verification of the endorsement against the specimen signatures lodged at the Plaintiff's bankers.

Practitioner's Verdict

Defend if the KYC is robust; settle if not. Either way, recommend a policy review — the corporate-payee-to-individual-account problem is recurrent and is best addressed before the next conversion suit lands.

Scenario 10 — The Unprepared Witness

Trial Craft · Examination · Costs

Facts

After two years of pleadings and discovery, Wira Bank's recovery suit against Apex Manufacturing Sdn Bhd is fixed for trial in the Commercial Division for three days starting Monday. On the Friday before trial, lead counsel meets the bank's principal witness — the Senior Manager, Recovery — for the first time. The witness is competent and articulate but has not read his own affidavit-in-support since it was deposed eighteen months ago, has not seen the trial bundle, and is unfamiliar with the section 90A certificate which his subordinate had prepared.

Issue

How should counsel use the weekend before trial to prepare the witness, and what risks does the absence of earlier preparation pose to the bank's case in chief and in cross-examination?

Strategic Analysis

Trial preparation begins at the time the affidavit is deposed, not the weekend before trial. A witness who is unfamiliar with his own affidavit will be destroyed in cross-examination on the inconsistencies that always emerge between contemporaneous documents and an eighteen-month-old recollection. The bank's case will not survive that destruction; the court will read the cross-examination as an indictment of the bank's internal record-keeping.

The weekend should be used to: (i) walk the witness through the trial bundle in chronological order, marking the key documents with tabs; (ii) re-read the affidavit paragraph by paragraph, identifying any factual matters where the witness now has a different recollection; (iii) brief the witness on the section 90A certificate, what it covers and what it does not; (iv) rehearse the principal lines of cross-examination, without coaching but with sensitisation to the documents that will be put.

The longer-term lesson is institutional. Banks should diary witness-preparation sessions at three points: at the time of affidavit, at the close of pleadings, and at fixture of the trial date. The cost is small; the dividend, in litigation outcome, is large.

Sample Pleading Snippet

[Sample — Witness Statement, opening paragraph] I, Lim Cheong Hua, of full age and Malaysian citizen of NRIC 720418-08-5341, am at all material times the Senior Manager, Recovery, of the Plaintiff Bank. I have been in the employ of the Plaintiff for twenty-two years, have served in the Recovery Department for the past nine years, and have personal conduct of the file relating to the Defendant's facility from the date of default. The contents of this Witness Statement are based on my personal knowledge save where otherwise stated, in which case the source of my information and the grounds for my belief are identified.

Practitioner's Verdict

Prepare hard over the weekend; if preparation cannot be completed to a confident standard, apply for a short adjournment on the Monday morning. The cost of an adjournment is days; the cost of a destroyed witness is the case.

Glossary

Term	Meaning
Acceleration	Lender's right to call the entire outstanding loan upon default.
Act of Bankruptcy	Conduct (such as failure to comply with a bankruptcy notice) that founds a bankruptcy petition.
Bai' Bithaman Ajil (BBA)	Sale-and-deferred-payment Islamic financing structure.
Banker's Books	Records of a bank admissible under sections 90A–90C Evidence Act 1950.
Charge	Statutory security interest over land registered under the NLC.
Conversion	Tort of unauthorised dealing with another's chattel — applied to cheques.
Debenture	Document creating fixed and/or floating charge over a company's assets.
Form 16D	Statutory notice of default served on a chargor under section 254 NLC.
Garnishee	Order attaching debts owed by a third party to the judgment debtor.
Guarantee	Collateral promise to answer for another's debt.
Ibra'	Rebate of unearned profit upon early settlement of an Islamic facility.
Ijarah	Islamic lease-based financing structure.
LOD	Letter of Demand — the bank's pre-action demand on the borrower.
Mareva Injunction	Order freezing a defendant's assets pending trial.
Mudharabah	Islamic profit-sharing partnership.
Murabahah	Islamic cost-plus sale financing.
Musharakah	Islamic equity partnership.
OFS / OS	Order for Sale / Originating Summons — typical foreclosure documents.
Order 14	Summary-judgment procedure under the Rules of Court 2012.
Quincecare Duty	Bank's duty of care in executing payment instructions.
Receiving Order	Order vesting the bankrupt's property in the DGI.
SAC	Shariah Advisory Council of Bank Negara Malaysia.
Set-off	Defendant's right to deduct cross-claim from claim.
Subrogation	Surety's right, on payment, to take over the creditor's remedies.
Tawarruq	Reverse Murabahah — Islamic structure for cash financing.
Ta'widh	Late-payment compensation in Islamic finance — not riba.
Wakalah	Islamic agency contract.
Winding-up	Court-ordered dissolution of a company under the Companies Act 2016.
Writ of Seizure & Sale	Execution writ authorising the sheriff to seize and sell assets.
Quia Timet Injunction	Injunction restraining apprehended (not yet committed) wrong.



Limitation Periods Affecting Banking Claims

Cause of Action	Period	Statute
Simple contract (loan)	6 years	s.6(1)(a) Limitation Act 1953
Specialty / deed	12 years	s.6(3) LA 1953
Recovery of land (charge)	12 years	s.9 LA 1953
Action on judgment	12 years	s.6(3) LA 1953
Recovery of charge money	12 years	s.21 LA 1953
Tort (conversion of cheque)	6 years	s.6(1)(a) LA 1953
Equitable claims (tracing)	Analogy applies	Common law
Bankruptcy (after judgment)	6 yrs from JD	Re Mok Yong Kong

Table 1.1 · Quick limitation reference for the practitioner

Limitation Notes

The Limitation Act 1953 supplies the general framework. Acknowledgement of debt in writing extends the limitation period (s.27). Disability of the plaintiff suspends the running of time (s.24). Concealment by fraud postpones the running of time (s.29). These provisions are routinely litigated — and routinely overlooked.

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Insolvency Act 1967	Part 6 · Chapter 6.1	Wakalah	Part 8 · Chapter 8.1
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Islamic banking — civil court	Part 8 · Chapter 8.2	Writ of Seizure & Sale	Part 3 · Chapter 3.3
Letter of Demand	Part 3 · Chapter 3.2		

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Colophon

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